

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 16-16

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

– vs. –

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

**APPENDIX TO COMPLAINANTS' BRIEF IN SUPPORT OF
ITS' EXCEPTIONS TO INITIAL DECISION**

Appendix "1"	Initial Decision Partially Dismissing Complaint Dated January 17, 2017
Appendix "2"	Sworn Response to Interrogatories verified by Alla Solovyeva, from the matter of MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al. (U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-7110)
Appendix "3"	Sworn Declaration of Respondent Dimitry Alper from the matter of MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al. (U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-7110)
Appendix "4"	Backside of the MTL House Bill of Lading
Appendix "5"	Certification of Maxim Ostrovskiy
Appendix "6"	Verified Complaint (FMC Docket No.: 16-16)
Appendix "7"	Pages from Tariff of Marine Transport Logistic Inc.
Appendix "8"	Complainants' Response to the Commission's Order to Show Cause Why the Complaint Should Not Be Partially Dismissed
Appendix "9"	Respondent Marine Transport Logistic, Inc.'s Brief in Support of the Order to Show Cause

Appendix “10”	Respondent Dimitry Alper’s Letter Brief in Support of the September 15, 2016 Order to Show Cause
Appendix “11”	Complainants' Reply to Respondents' Responses to the Commission's Order to Show Cause
Appendix “12”	U.S. Customs and Border Protection Field Operations, New York Informational Pipeline No.: 08-012-NWK
Appendix “13”	Declaration of Aleksandr Solovyev from the matter of MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al. (U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-7110)
Appendix “14”	Deposition Transcript of Aleksandr Solovyev, dated November 20, 2015 from the matter of <i>Crocus Investments, LLC at al., v. Marine Transport Logistics, Inc. et al.</i> (FMC Docket No.: 15-04)
Appendix “15”	Storage Invoice No.: 24261 (Ref. IO-5010) for the Mercedes dated May 9, 2013
Appendix “16”	Memorandum in Opposition to Plaintiff’s Motion for Injunctive Relief in the matter of MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al., U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-7110
Appendix “17”	Ocean Liner Bill of Lading from MAESRK Line for the Subject Mercedes
Appendix “18”	Certification of Alexander Safonov from the matter of MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al. (U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-7110)
Appendix “19”	Respondents' Proposed Findings of Fact, and Response To Complainants' Proposed Findings of Fact from the <u>Crocus</u> matter

APPENDIX “1”

FEDERAL MARITIME COMMISSION

DOCKET NO. 16-16

**MAVL CAPITAL INC.,
IAM AL GROUP INC., and MAXIM OSTROVSKIY**

v.

MARINE TRANSPORT LOGISTICS, INC. and DMITRY ALPER

INITIAL DECISION PARTIALLY DISMISSING COMPLAINT¹

I. INTRODUCTION.

On August 5, 2016, complainants MAVL Capital Inc. (MAVL), IAM AL Group Inc. (IAM), and Maxim Ostrovskiy initiated this proceeding against respondents Marine Transport Logistics, Inc. (MTL) and Dmitry Alper alleging that Respondents violated sections 41102(c), 41104(3) and 41104(10) of the Shipping Act of 1984, 46 U.S.C. §§ 41102(c), 41104(3) and 41104(10), and the Commission's regulations at Part 515, in connection with certain vehicles allegedly owned by Complainants.

Complainant Ostrovskiy, a resident of Russia, is the principal of complainant MAVL, a New York corporation, and complainant IAM, an Indiana corporation. Respondent MTL is licensed by the Commission as a non-vessel-operating common carrier (NVOCC). The Complaint alleges that Alper was the director of operations of MTL (Complaint ¶ 7), an allegation that MTL admits (MTL Answer ¶ 7), but Alper denies. (Alper Answer ¶ 7.) The Complaint alleges that Alper is the alter ego of MTL, accountable for the actions of MTL. (Complaint ¶ 12.) Both MTL and Alper deny this allegation.

¹ The initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

This Commission proceeding is not the only litigation between these parties. On December 12, 2013, Complainants filed suit against MTL, Alper, and several other persons in the United States District Court for the Eastern District of New York alleging breach of maritime contract, conversion, related causes of action under state law, and violation of the Racketeer Influenced and Corrupt Organization Act in connection with vehicles owned by Complainants, including the vehicles that are the subject of this proceeding. *MAVL Capital, Inc. v. Marine Transport Logistics, Inc., et al*, No. 13-cv-7110 (E.D.N.Y. Dec. 12, 2013) (Complaint filed). (See MTL Brief in Support of the Show Cause Order, Exhibit 2.) The New York case is still pending.

In the FMC proceeding, Complainants seek a reparation award against MTL and Alper for alleged violations of the Shipping Act in connection with a purported shipment of a 2006 Mercedes SL65, a purported shipment of a 2011 Porsche Panamera, and a purported shipment of three motorcycles – a 2004 Harley Davidson FXDXI, a 2007 Harley Davidson FXD, and a 2000 Harley Davidson XL883. Complainants allege they intended to ship these vehicles overseas by water from the United States, but were prevented from doing so by the conduct of Respondents. Complainants allege that they have sustained and continue to sustain direct injuries in excess of \$180,000 due to the alleged conduct. (Complaint Part VII.)

On August 11, 2016, the Secretary of the Commission issued a Notice of Filing of Complaint and Assignment assigning this proceeding to the Office of the Administrative Law Judges. On August 16, 2016, a Notice of Assignment was issued, assigning this proceeding to the undersigned. Respondent Alper filed his Answer on August 31, 2016, and respondent MTL filed its Answer on September 6, 2016. MTL and Alper deny most allegations in the Complaint and assert affirmative defenses.

II. ORDER TO SHOW CAUSE.

Because “it appear[ed] that the Complaint does not allege that Respondents engaged in international transportation by water of the Mercedes or the Harley Davidsons,” an Order was issued *sua sponte* on September 15, 2016, directing Complainants to show cause by October 3, 2016, “why the allegations in their Complaint regarding the 2006 Mercedes SL65 and [the Harley Davidson motorcycles] should not be dismissed for lack of subject matter jurisdiction or for failure to state a claim upon which relief can be granted.” *MAVL Capital Inc., IAM AL Group Inc., and Maxim Ostrovskiy v. Marine Transport Logistics, Inc. and Dmitry Alper*, FMC No. 16-16 (ALJ Sept. 15, 2016) (Order to Show Cause Why Complaint Should Not be Partially Dismissed (Show Cause Order)) at 7 (*MAVL v. MTL*). Respondents were ordered to file a response to Complainants’ response to the Order by October 17, 2016. *Id.* The Order permitted Complainants to file a reply to Respondents’ responses by October 24, 2016. *Id.*

On October 3, 2016, Complainants filed their response to the Show Cause Order. Complainants included a Certification signed by Complainant Ostrovskiy (Ostrovskiy Certification) alleging additional facts. On October 17, 2016, respondent Alper and respondent MTL filed separate briefs in support of the Show Cause Order, and on October 24, 2016, Complainants filed a Reply to

Respondents' briefs. Complainants and MTL included a significant number of exhibits with their responses.

The claims regarding the alleged conversion of the Mercedes are not within the Commission's subject matter jurisdiction. Because in their response to the Show Cause Order Complainants did not articulate any argument that Respondents violated section 41104(10) of the Act in connection with the Mercedes or the Harley Davidson motorcycles, section 41104(3) in connection with the Mercedes, or section 41102(c) in connection with the Harley Davidson motorcycles, Complainants are deemed to have abandoned these claims. For the purposes of this motion, the well-pleaded facts alleged in the Complaint and the well-pleaded facts alleged in the Ostrovskiy Certification are accepted as true. Complainants do not state facts that would support a finding that they entered into a contract of carriage to transport the Mercedes and fail to state a claim of violation of section 41102(c) in connection with the Mercedes. Therefore, claims regarding the Mercedes are dismissed with prejudice. Complainants do not state a claim that Respondents retaliated against them in violation of section 41104(3) in connection with the Harley Davidson motorcycles. Therefore, claims regarding the Harley Davidson motorcycles are dismissed with prejudice. Remaining allegations will continue pursuant to the current schedule as addressed in the Initial Order, *MAVL v. MTL*, FMC No. 16-16 (ALJ Aug. 16, 2016) (Initial Order), and the Order Modifying Initial Order issued today. *MAVL v. MTL*, FMC No. 16-16 (ALJ Jan. 17, 2017) (Order Modifying Initial Order).

III. CONTROLLING AUTHORITY.

A. Relevant Statutes.

Complainants filed their Complaint pursuant to section 41301 of the Act.

A person may file with the . . . Commission a sworn complaint alleging a violation of this part, except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.

46 U.S.C. § 41301(a).

The Complaint alleges that MTL is an NVOCC licensed by the Commission. (Complaint ¶ 9). "The term 'non-vessel-operating common carrier' means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier." 46 U.S.C. § 40102(16).

The term "common carrier" – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination;

and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(6).

The Act prohibits common carriers from taking certain actions. The Complaint alleges that Respondents violated sections 41102(c), 41104(3), and 41104(10) of the Act. (Complaint ¶¶ 51(A)-51(C). Section 41102(c) provides: “No common carrier, ocean transportation intermediary or marine terminal operator may fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). Section 41104 provides:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not –

* * *

(3) retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason;

* * *

(10) Unreasonably refuse to deal or negotiate.

46 U.S.C. § 41104.

The Act defines actual injury.

(a) *Definition.* – In this section, the term “actual injury” includes the loss of interest at commercial rates compounded from the date of injury.

(b) *Basic amount.* – If the complaint was filed within the period specified in section 41301(a) of this title, the . . . Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part.

* * *

(e) *Attorney Fees.* – In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.

46 U.S.C. § 41305.

B. Authority Guiding *Sua Sponte* Dismissal of a Case by a Commission Administrative Law Judge.

A Commission administrative law judge may dismiss *sua sponte* a complaint that fails to state a claim.

Rule 12 of the Commission's Rules of Practice and Procedure (the Rules) states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. As the Commission's Rules do not address motions to dismiss for lack of subject matter jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply in this case. *See, e.g., The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, 2007 WL 2468431 (F.M.C.).

Rule 12(b)(1) permits a party to raise by motion lack of subject matter jurisdiction, and Rule 12(b)(6) permits a party to raise by motion failure to state a claim. With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. . . . A factual attack challenges "the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered." . . . In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. As it does when considering a Rule 12(b)(6) motion to dismiss for failure to state a claim, the court construes the complaint in the light most favorable to the plaintiff and accepts all well-pled facts alleged . . . in the complaint as true.

Sinaltrainal v. Coca-Cola Company, 578 F.3d 1252, 1260 (11th Cir. 2009).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 677] (2009). The complaint must be sufficient to "give the defendant fair notice of what the . . . claim is and the grounds upon which it rests." *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* § 1215 (3d ed. 2010) ("[T]he test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.").

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., 32 S.R.R. 126, 136 (FMC 2011).

In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rule of Civil Procedure 12(b)(6) and the federal caselaw interpreting it . . . [C]ourts will dismiss a claim if the plaintiff's complaint fails to plead 'enough facts to state a claim for relief that is plausible on its face.' Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff's claim for relief. Indeed, '[w]hile a complaint need not plead 'detailed factual allegations,' the factual allegations it does include 'must be enough to raise a light to relief above the speculative' and to 'nudge . . . claims across the line from conceivable to plausible.' This 'plausibility standard is not akin to probability requirement, but it asks for more than a sheer possibility that a defendant has acted unlawfully. Where a complaint pleads facts that are merely consistent with a defendant's liability, it stops short of the line between possibility and plausibility of entitlement to relief.'

Cornell v. Princess Cruise Lines, Ltd. (Corp.), et al, 33 S.R.R. 614, 620 (FMC 2014) (internal citations omitted).

[The Commission] must accept as true the well-pleaded factual allegations of the complaint, draw all reasonable inferences therefrom in [Complainants'] favor, and determine whether the complaint, so read, limns facts sufficient to justify recovery on any cognizable theory. In arriving at this determination, we differentiate between well-pleaded facts, on the one hand, and "bald assertions, unsupportable conclusions, periphrastic circumlocution, and the like," on the other hand; the former must be credited, but the latter can safely be ignored.

LaChapelle v. Berkshire Life Ins. Co., 142 F.3d 507, 508 (1st Cir. 1998).

"It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission." *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, 29 S.R.R. 394, 396 (ALJ 2001) (citing *The Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). "It is also elemental that parties, such as complainants in the instant case, who invoke the jurisdiction of a tribunal such as the Commission, have the burden of showing that jurisdiction lies." *Crowley Liner Services, supra*, 29 S.R.R. at 396 (citing *River Parishes*, 28 S.R.R. at 201 (ALJ 1998, affirmed 28 S.R.R. 751 (FMC 1999)); *GAAR v. Quirk*, 86 F.3d 451, 453 (5th Cir. 1996); *Aetna Casualty & Surety Co. et al.*, 796 F.2d 770, 773 (5th Cir. 1986)).

“The Commission ‘is not a court, and cannot rely . . . on the powers of a court of equity. On the contrary, the law is settled that an administrative agency can exercise only those powers conferred on it by Congress.’” *Trans-Pacific Freight Conference of Japan v. FMB*, 302 F.2d 875, 880 (D.C. Cir. 1962). The Commission has jurisdiction over matters relating to “transportation by water of . . . cargo between the United States and a foreign country.” That jurisdiction essentially begins when a common carrier assumes responsibility for transportation of the cargo and ends when the cargo is delivered to the consignee at the place of destination contemplated by the contract of carriage. *See, e.g., Norfolk Southern R. Co. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 23-27 (2004) (finding that federal maritime law applies to the inland portions of international shipments transported under a through bill of lading). *See also, Kawasaki Kisen Kaisha, Ltd. v. Regal-Beloit Corp.*, 561 U.S. 89, 108 (2010) (finding that ocean transportation occurring under a through bill of lading cannot be separated into ocean and domestic inland transportation); *accord, Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, 2011 FMC LEXIS 12, 56 (FMC 2011) (“[L]egislative history demonstrates that Congress intended that the Commission have jurisdiction over through transportation including the inland segment of such transportation.”)

Dismissal is appropriate in this case because “[l]ack of subject matter jurisdiction, unlike many other objections to jurisdiction of a particular court, cannot be waived. It may be raised at any time by a party to an action, or by the court *sua sponte*.” *Bueford v. Resolution Trust Corp.*, 991 F.2d 481, 485 (8th Cir. 1993). *See also, In re Ben Carter*, 618 F.2d 1093, 1100 (5th Cir. 1980) (“Subject matter jurisdiction is limited by the Constitution and the Congress, and cannot be expanded by judicial interpretation or by the acts or consent of the parties to a case.”)

C. Evidence and Burden of Persuasion.

A complainant alleging a violation of the Shipping Act “has the initial burden of proof to establish the[] violation[]. The applicable standard of proof is one of substantial evidence, an amount of information that would persuade a reasonable person that the necessary premise is more likely to be true than to be not true.” *AHL Shipping Company v. Kinder Morgan Liquids Terminals, LLC*, FMC No. 04-05, 2005 WL 1596715, at *3 (ALJ June 13, 2005). *See* 5 U.S.C. § 556(d) (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”); 46 C.F.R. § 502.155. “[A]s of 1946 the ordinary meaning of burden of proof [in section 556(d)] was burden of persuasion, and we understand the APA’s unadorned reference to ‘burden of proof’ to refer to the burden of persuasion.” *Director, Office of Workers’ Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party with the burden of persuasion must prove its case by a preponderance of the evidence. *Steadman v. SEC*, 450 U.S. at 102. “[W]hen the evidence is evenly balanced, the [party with the burden of persuasion] must lose.” *Greenwich Collieries*, 512 U.S. at 281. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993), adopted in relevant part, 26 S.R.R. 1424 (FMC 1994).

IV. ALLEGATIONS OF VIOLATION OF SECTION 41104(10).

The Complaint alleges that Respondents violated section 41104(10) of the act, which prohibits a common carrier from refusing to deal or negotiate. (Complaint V.B.) Complainants did not articulate any argument that Respondents violated section 41104(10) of the Act in their response to the Show Cause Order.

[A party's] failure to brief and argue [an] issue is grounds for finding that the issue has been abandoned. *Fehlhaber v. Fehlhaber*, 681 F.2d 1015, 1030 (5th Cir. 1982) (citing *U.S. v. Indiana Bonding & Surety Co.*, 625 F.2d 26, 29 (5th Cir. 1980) (finding that "even though [an] issue was listed as one of the defendant's contentions in the pretrial order, and was thus presumably triable, [the defendant's] failure to present evidence in support of the defense before the district court precludes our review of it [on appeal]"). Cf. *McMaster v. United States*, 177 F.3d 936, 940-41 (11th Cir. 1999) (noting that a claim may be considered abandoned when the allegation is included in the plaintiff's complaint, but he fails to present any argument concerning this claim to the district court); *Lyes v. City of Riviera Beach, Fla.*, 126 F.3d 1380, 1388 (11th Cir. 1997) (noting that "the onus is upon the parties to formulate arguments; grounds alleged in the complaint but not relied upon in summary judgment are deemed abandoned") (citation omitted), *reh'g granted and vacated by*, 136 F.3d 1295 (1998), reinstated by, 166 F.3d 1332, 1336 (11th Cir. 1999) (*en banc*); *Road Sprinkler Fitters Local Union No. 669 v. Indep. Sprinkler Corp.*, 10 F.3d 1563, 1568 (11th Cir. 1994) (concluding that a district court "could properly treat as abandoned a claim alleged in the complaint but not even raised as a ground for summary judgment").

Coalition for the Abolition of Marijuana Prohibition v. City of Atlanta, 219 F.3d 1301, 1326 (11th Cir. 2000). Therefore, Complainants are deemed to have abandoned any claim that Respondents violated section 41104(10) in connection with the Mercedes or the three Harley Davidson motorcycles and this claim is dismissed with prejudice.

V. THE 2006 MERCEDES SL65.

A. Allegations in the Complaint.

Complainants allege that they imported a 2006 Mercedes SL65 into the United States and hired MTL to store it pending repair and shipment to Germany.

27. On or about December 3, 2012, Complainants requested that MTL act as Complainants' "receiving agent" and store a [Mercedes] imported to the United States by Complainants so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas.
28. Said Mercedes was then received by MTL's warehouse facility.

29. On or about December 3, 2012, Complainants explained to MTL that the [Mercedes] was to be shipped to Germany by respondents on a date to be determined by Complainants after Complainants could inspect said vehicle and order custom made repair parts.
30. Because of the commercial relationship between Complainants and MTL, MTL agreed to charge Complainants a monthly storage charge of \$150 for the storage of the [Mercedes].
31. The respondents unlawfully converted [the Mercedes] and shipped it to the United Arab Emirates on or about August 24, 2013 without the permission or direction of Complainants.
32. The respondents unlawfully shipped this vehicle overseas without obtaining a Power of Attorney or other Written Authorization for the Complainants.
33. The respondents have further failed to follow all legal prerequisites to selling this vehicle, such as notifying the Complainants prior to the sale, and the requirement that respondents obtain valid title [to] this vehicle. Respondents have further failed to provide documentation establishing that a sale took place, nor have they come forward with the specific sum realized from the sale of the vehicle.
34. In addition, the consignee listed on the bill of lading for the shipment of this vehicle is a third-party that has no relationship, commercial or otherwise with the Complainants.
35. The respondents unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit.
36. Therefore, as a result of respondents' unlawful conversion of this vehicle, complainants are entitled to damages in the amount of \$39,931.81, which includes the sum of \$25,615.00 paid to purchase this vehicle, \$1000 for shipment from the U.S. to Germany for repairs, \$7000.00 expended on repairs of the vehicle in Germany, and \$6316.81 in freight, U.S. customs clearance and other charges for shipment of this vehicle back to the United States.

(Complaint.)

B. The Show Cause Order.

The Show Cause Order stated "it appears that the Complaint alleges that MTL stole the [2006 Mercedes SL65] while it was stored in MTL's warehouse, not while MTL was transporting

it internationally by water. The Complaint does not appear to allege a Shipping Act violation by MTL or Alper.” *MAVL v. MTL*, FMC No. 16-16, Order at 6 (ALJ Sept. 15, 2016) (Show Cause Order). Complainants were ordered to show cause why the “why the allegations in their Complaint regarding the 2006 Mercedes SL65 . . . should not be dismiss[ed] for lack of subject matter jurisdiction or for failure to state a claim upon which relief can be granted.” *Id.* at 7.

C. Responses to the Show Cause Order.

Complainants included a certification by Complainant Ostrovskiy alleging additional facts with their response. Although these facts are not part of the Complaint, because Complainants have asked for leave to amend the Complaint, and because of the outcome below, for the purposes of this Initial Decision, these facts are assumed to be true.

Ostrovskiy states:

3. As explained below, The Mercedes was received by delivered respondent [MTL] for one purpose, to wit: for long term storage in contemplation of export back to Germany.
4. As additionally explained below, MTL invoiced complainants for storage of the Mercedes pursuant to the terms of its tariff related to vehicles received by MTL for purposes of export.
5. It was only after complainants requested that the respondents release the vehicle from long term storage by MTL and export it back to Germany, said vehicle was intentionally shipped to Dubai by respondents and then subsequently sold under the pretext of respondents exercising a maritime lien.
6. The respondents claim to have exercised this lien pursuant to the terms and conditions of MTL’s house bill of lading under which the vehicle was transported overseas.
7. On or about December 3, 2012, Complainants requested that MTL act as Complainants’ “receiving agent” and store the Mercedes, imported to the United States from Germany by Complainants so that maintenance could be performed on the vehicle after which it would subsequently [be] shipped back to Germany.
8. Said Mercedes was then received by MTL’s warehouse facility.
9. I personally provided MTL with the original Certificate of Title for the Mercedes to facilitate the forthcoming export of the vehicle back to Germany, which included presentation of the of the title to U.S. Customs so that it could be “validated” by U.S. Customs prior to being loaded on board a vessel

destined for Germany. A copy of the certificate of title for the Mercedes is annexed hereto as Exhibit "A".

10. On or about December 3, 2012, Complainants explained to MTL that the Mercedes was to be shipped back to Germany by respondents on a date to be determined by Complainants after Complainants could inspect said vehicle and order custom made repair parts.
11. Due to the fact that this vehicle was delivered to MTL's facility for the sole purpose of being exported back to Germany, complainants received thirty (30) days of free storage at MTL's warehouse pursuant to MTL's tariff.
12. After the thirty free days of storage had expired, MTL began invoicing complainants \$150.00 per month which represented a 50% discount of MTL's normal storage rate of \$10.00 per day, and this was done in light of the parties' ongoing business relationship. A copy of the invoice is annexed hereto as Exhibit "B".
13. On or about June 1, 2013, I visited MTL's storage site to obtain possession of the vehicle to visually inspect it prior to export back to Germany through MTL, and MTL refused to offer any explanation as to the whereabouts of the vehicle.
14. Subsequent thereto, in early June of 2013, and due to a lack of response by MTL, I then proceeded to export the vehicle without visual inspection. I then requested that the respondents release the Mercedes from the MTL storage site and export it back to Germany.
15. The request to MTL for export to Germany was made verbally. I specifically instructed MTL to export the vehicle to Germany to an address previously provided to MTL for export of my other cargo. The request was made to export to the following consignee: Anatoli Ostrovski, Arnold STR 2, Dusseldorf Germany, 40749.
16. It was not until I filed a lawsuit in the United States District Court for the Eastern District of New York that I learned that respondents exported the Mercedes to Dubai.
17. Instead of following my instructions, the respondents shipped the Mercedes to the United Arab Emirates on or about August 24, 2013 without my permission or direction to ship it to that location.

(Comp. Resp. to Order to Show Cause, Certification of Maxim Ostrovskiy (Ostrovskiy Certification).) Exhibit A attached to the Certification is not a certificate of title, but a State of California Salvage Certificate for the Mercedes stating:

The vehicle described herein has been declared a total loss salvage vehicle . . . and may not be registered without a vehicle identification number (VIN) inspection . . . and a brake and light inspection. . . . [California Code] requires the seller and any subsequent sellers that transfer ownership of a total loss vehicle pursuant to a properly endorsed salvage certificate to disclose to the purchaser at, or prior to, the time of the sale that the vehicle has been declared a total loss salvage vehicle.

(Ostrovskiy Certification, Exhibit A.) The Certificate shows the owner as Mercury Insurance. The second page of the Certificate states that the Mercedes was assigned to Manhattan Auto Brokers, Inc., on October 8, 2010. Manhattan Auto Brokers's current connection to the Mercedes is not explained.

Complainants contend that Respondents violated the Shipping Act because the Mercedes was received by MTL for storage in contemplation of export back to Germany. Complainants contend that it was only after they requested that Respondents release the Mercedes from storage and export it back to Germany that Respondents "intentionally misdelivered" the Mercedes to Dubai and sold it under the pretext of a maritime lien pursuant to the terms of MTL's bill of lading. (Comp. Resp. to Order to S/C at 2.) Complainants also contend that because the alleged unlawful activity occurred "*while MTL was engaged in the course of transporting the vehicle internationally by water,*" (*id.* (emphasis in original)), the Commission has jurisdiction over their claim.

Respondent Alper argues that Complainants' response "does not contradict the statement in the Order to Show Cause that MTL stole the Mercedes while it was stored in MTL's warehouse, not while MTL was transporting it internationally by water;" therefore, Complainants' response "does not change the fact that the conversion of the vehicle occurred in MTL's warehouse, thereby, abrogating any claim to a violation of the Shipping Act." (Alper Brief at 2.)

Respondent MTL denies Complainants allegation that MTL converted the Mercedes. MTL argues however, that even accepting the allegation as true, the alleged conversion of the Mercedes could only have occurred prior to the export of the Mercedes – that is, before the Mercedes entered into international transportation by water to Dubai. MTL contends that "Complainants' allegations are, in reality, allegations of conversion occurring [in MTL's storage facility] in New Jersey without any international carriage by water and without any Shipping Act implications whatsoever." Thus, argues MTL, Complainants' claim must be dismissed for lack of jurisdiction. (MTL Brief in Support of the Show Cause Order at 5.)

In reply, Complainants assert that Respondents have articulated conflicting statements in their responses in the district court litigation and their responses in the FMC proceeding regarding the claim that Respondents converted the Mercedes. According to Complainants, on one hand Respondents denied having converted the Mercedes in their joint Answer in the district court case,

while arguing in this proceeding that the Mercedes was converted prior to its shipment abroad. (Comp. Reply to Resp. at 2.) In addition, Complainants state that in the district court litigation Respondents claimed to have sold the Mercedes to recover outstanding debts owed by Complainants pursuant to MTL's bill of lading terms. Complainants assert that any such sale constitutes "a clear violation of the Shipping Act." (*Id.*) According to Complainants, because Respondents shipped the Mercedes to Dubai under Complainants' original title and executed a lien on the vehicle, conversion of the vehicle must have occurred in Dubai because ownership of the Mercedes could only have transferred when the new title was issued in Dubai. *Id.* at 6.

D. Complainants' Claims Regarding the 2006 Mercedes SL65 are Dismissed With Prejudice.

Complainants allege that in December 2012 they hired MTL to act as their "receiving agent" and store [the] Mercedes, imported to the United States from Germany by Complainants so that so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas." (Complaint ¶ 27.) MTL admits that it arranged for storage of the Mercedes. (MTL Answer ¶ 27.) Complainants do not allege that MTL was involved in the shipment or violated the Shipping Act when the Mercedes was imported into the United States. The invoice issued by MTL for the storage of the Mercedes indicates that Atlantic Cargo Logistics LLC² was the shipper and the consignee when the Mercedes was imported. This invoice indicates that the shipment of the Mercedes originated in BRV, presumably Bremerhaven, Germany, with destination NYC, presumably the Port of New York and New Jersey, and that the Mercedes entered the United States on October 31, 2012. (Ostrovskiy Certification, Exhibit B.) I note that if MTL were involved in the importation of the Mercedes, the international ocean transportation likely ended soon after October 31, 2012, when the Mercedes arrived in the United States and certainly by December 3, 2012, when the Mercedes was put in long term storage with MTL, and that this event occurred more than three years before Complainants filed their Commission Complaint. *See* 46 U.S.C. § 41301(a) (Shipping Act provides three-year statute of limitations for a claim for a reparation award). Whether or not MTL operated as a common carrier when the Mercedes was imported, accepting the Complaint's factual allegations as true, MTL's role became that of a storage facility (or changed from that of a common carrier within the meaning of the Act into that of a storage facility) when the Mercedes arrived at its warehouse in Bayonne, NJ. (Complaint ¶¶ 27-29; Ostrovskiy Certification, Exhibit B.)

MTL stored the Mercedes in its warehouse for more than six months and charged Complainants \$150 per month for that storage. (Complaint ¶ 30; (MTL Answer ¶ 30.) According to the invoice included in Complainants' response, by May 9, 2013, Complainants owed MTL a total of \$900.00 in storage fees. (Ostrovskiy Certification, Exhibit B.)

The Show Cause Order stated:

² Atlantic Cargo Logistics LLC is an NVOCC licensed by the Commission. *See* <http://www2.fmc.gov/oti/NVOCC.aspx>, last visited December 21, 2016.

According to the Complaint, *before* [Complainants] instructed Respondents to export the Mercedes, Respondents “unlawfully converted this vehicle and shipped it to the United Arab Emirates on or about August 24, 2013, without the permission or direction of the Complainants.” (*Id.* ¶¶ 31-32.) Therefore, it appears that the Complaint alleges that MTL stole the Mercedes while it was stored in MTL’s warehouse, not while MTL was transporting it internationally by water.

MAVL v. MTL, FMC No. 16-16, Order at 6 (ALJ Sept. 15, 2016) (Show Cause Order) (emphasis in original). To the extent the facts alleged in the Ostrovskiy Certification change this characterization of the events in the Complaint, they do not change the outcome. (Ostrovskiy Certification ¶¶ 3-17.)

Complainants contend that MTL received the Mercedes in December 2012 for one purpose:

[F]or storage by MTL in contemplation of export back to Germany. It was only after complainants requested that the respondents release the vehicle from storage and export it back to Germany, the said vehicle was intentionally misdelivered to Dubai by respondents and then subsequently sold under the pretext of respondents allegedly exercising a maritime lien pursuant to the terms and conditions of MTL’s house bill of lading.

Thus, with respect to the Mercedes, the respondents violated the Shipping Act because the unlawful activity occurred *while MTL was engaged in the course of transporting the vehicle internationally by water.*

(Comp. Resp. to Order to S/C at 2 (emphasis in original). *See also id.* at 3 (“As additionally explained in the Certification of Maxim Ostrovskiy, because this vehicle *was delivered to MTL’s facility for the sole purpose of being exported back to Germany*, complainants received thirty (30) days of free storage at MTL’s warehouse. (Ostrovskiy Certification, ¶ ‘11’)”) (emphasis in original).) The allegation that the Mercedes was stored with MTL “*for the sole purpose of being exported back to Germany*” is contradicted by the allegation in the Verified Complaint signed by Ostrovskiy that Complainants stored the Mercedes with MTL “so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas.” (Complaint ¶ 27.)

Complainants do not allege any facts supporting a claim that MTL entered into a contract of carriage with Complainants to transport the Mercedes to Germany when it agreed to store the Mercedes. Contract law requires three elements for the formation of a contract – (1) an offer, (2) an acceptance, and (3) consideration. *Vinmar Inc. v. China Ocean Shipping Company*, 26 S.R.R. 420, 423 (FMC 1992). The record does not contain evidence of a contract between the parties for international ocean carriage of the Mercedes to Germany, *e.g.*, the agreed upon cost of ocean freight, agreed upon date of shipment, estimated date of arrival, port of loading, port of unloading, port or point of delivery, and identity of the consignee. Storage of a vehicle for maintenance or “in contemplation of export” without a contract of carriage does not constitute international transportation. Therefore, even if the request Complainants allege they made in December 2012 to ship the Mercedes to Germany were considered to be an offer to enter into a contract of carriage,

nothing in the record supports a finding that the offer to transport the Mercedes, as distinguished from the offer to store the Mercedes, was accepted. MTL was not “engaged in the course of transporting the [Mercedes] internationally by water” when it was storing the Mercedes.

As alleged by Complainants, the first significant event that happened after MTL accepted the Mercedes for storage occurred “[o]n or about June 1, 2013, [when Ostrovskiy] visited MTL’s storage site to obtain possession of the vehicle to visually inspect it prior to export back to Germany through MTL, and MTL refused to offer any explanation as to the whereabouts of the vehicle.” (Ostrovskiy Certification ¶ 13.) After the refusal, Ostrovskiy states that he decided to send the Mercedes back to Germany without a visual inspection. The record does not reflect whether any maintenance was performed on the Mercedes while it was in storage. Ostrovskiy alleges that in early June 2013 he asked MTL to release the Mercedes from the MTL storage site and export it to Germany and gave MTL the name and address of the consignee. (Ostrovskiy Certification ¶¶ 14-15.) After Complainants filed their New York complaint against Respondents and others on December 12, 2013, Ostrovskiy alleges that he learned that Respondents exported the Mercedes to Dubai on or about August 24, 2013, without Ostrovskiy’s permission or direction to ship it to Dubai. (Ostrovskiy Certification ¶¶ 16-17.)

Although Complainants allege that in early June 2013 Ostrovskiy told MTL he wanted the Mercedes to be shipped to Germany (“specifically instructed MTL to export the vehicle to Germany to an address previously provided to MTL for export of my other cargo” (Ostrovskiy Certification ¶ 15)), Complainants again do not allege any facts supporting a claim that MTL entered into a contract of carriage with Complainants to transport the Mercedes to Germany. Furthermore, it does not seem plausible that MTL would enter into a contract of carriage to transport the Mercedes at a time when MTL claims Complainants owed it \$900 in storage fees.

Complainants find support in MTL’s tariff that provides for 30 days free storage prior to a shipment, a benefit Complainants allege they received, and the requirement that a carrier must have the vehicle title to ship a vehicle to a foreign country. (*Id.* at 4.) Neither giving 30 days free storage in contemplation that the Mercedes would be shipped nor giving MTL the title constitutes the offer, acceptance, and consideration necessary to form a contract of carriage.

Complainants also provide MTL’s answers to interrogatories in the New York case as further proof. In those responses, Alla Solovyeva, MTL’s president, stated that a company call Car Express & Import, Inc., exported the Mercedes to Dubai where it “was sold pursuant to Clause 15 of the MTL Bill of Lading [‘LIEN’] for unpaid freight and other charges owed by plaintiffs.” (Comp. Resp. to Order to S/C, Appendix C at 3.) Complainants contend that based on Solovyeva’s responses to interrogatories, MTL is arguing in the district court that the storage fees for the Mercedes allegedly incurred but not paid by Complainants gave rise to a maritime lien pursuant to MTL’s tariff. MTL does not claim that it had a maritime lien in its brief in support of the order to show cause filed with the Commission. MTL does claim that Complainants did not pay or attempt to pay the storage fees for the Mercedes. (MTL Brief in Support of the Show Cause Order at 4-6.)

A maritime lien in cargo may be created in certain circumstances.

“A maritime lien is a privileged claim upon maritime property, such as a vessel, arising out of services rendered to or injuries caused by that property.” 1 Thomas J. Schoenbaum, *Adm. and Mar. Law* § 9-1, at 683 (5th ed. 2011). Maritime liens are a security device intended “to keep ships moving in commerce while preventing them from escaping their debts by sailing away.” *Id.* at 684-85. Thus, such a lien attaches to the maritime property from the moment a debt arises, and adheres, even through changes in the property’s ownership, until extinguished by operation of law. *Id.* at 683.

In much the same way that traditional maritime liens against a ship were based on the legal fiction that the ship was the wrongdoer, *see* 1 Schoenbaum, *supra*, § 9-1, at 683-84, maritime law recognizes a reciprocal claim against the ship’s cargo for debts associated with it.

Subject to the exception that the lien of the shipowner may be displaced by an unconditional delivery of the goods before the consignee is required to pay the freight, or by an inconsistent and irreconcilable provision in the charter-party or bill of lading, the rule is universal as understood in the decisions of the Federal courts, that the ship is bound to the merchandise and the merchandise to the ship for the performance on the part of the shipper and shipowner of their respective contracts.

The Maggie Hammond, 76 U.S. (9 Wall.) 435, 449-50, 19 L. Ed. 772 (1869). As the Supreme Court acknowledged in its influential opinion in a case captioned simply *The Bird of Paradise*, such liens on cargo may arise out of contracts to pay freight. 72 U.S. (5 Wall.) 545, 18 L. Ed. 662 (1866); *see also* 2 Thomas A. Russell, *Benedict on Admiralty* § 44, at 3-50 n.2 (7th ed. rev. 2010) (collecting cases).

World Imports, Ltd. v. OEC Group New York, 820 F.3d 576, 583 (3d Cir. 2016).

A maritime lien “arises from the usages of commerce, independently of the agreement of the parties, and not from any statutory regulations.” *The Bird of Paradise*, 72 U.S. at 555.

The contract of affreightment itself creates no [maritime] lien, and this Court has consistently declared that the obligation between ship and cargo is mutual and reciprocal and does not attach until the cargo is on board or in the master’s custody. We think the lien created by the law must be mutual and reciprocal; the lien of the cargo owner upon the ship is limited by the corresponding and reciprocal rights of the ship owner upon the cargo.

Osaka Shosen Kaisha v. Pacific Export Lumber Co., 260 U.S. 490, 499-500 (1923).

While there has been a lack of unanimity in the decisions as to the precise limits of the lien in favor of the cargo, the cases are agreed that the right to the [maritime] lien has its source in the contract of affreightment and that the lien itself is justified as a means by which the vessel, treated as a personality or as impliedly hypothecated to secure the performance of the contract, is made answerable for nonperformance. This engagement of the vessel, or its hypothecation, as distinguished from the personal obligation of the owner, does not ensue upon the mere execution of the contract for transportation. Only upon the lading of the vessel, or at least when she is ready to receive the cargo – where there is “union of ship and cargo” – does the contract become the contract of the vessel and the right to the lien attach. No lien for breach of the contract to carry results from failure of the vessel to receive and load the cargo or a part of it.

It is not questioned here that the union of ship and cargo, once established, gives rise to the right of the vessel to a lien on the cargo for the freight money and of the cargo on the vessel for failure to carry safely and deliver rightly.

Krauss Bros. Lumber Co. v. Dimon S.S. Corp., 290 U.S. 117, 121 (1933).

Complainants allege that MTL claimed a maritime lien on the Mercedes based on Complainants’ alleged failure to pay the storage charge, giving MTL a claimed right to sell the Mercedes. (Complaint ¶ 33; Ostrovskiy Certification ¶¶ 5-6.) If MTL has a lien on the Mercedes, the lien does not arise out of a contract to pay freight as required by the principles set forth in *The Bird of Paradise*, but the contract to pay storage fees to which Complainants and MTL agreed in December 2012. Even if there were a contract of carriage, MTL does not claim that Complainants failed to pay freight money, which could arguably be secured by a maritime lien, but storage fees unrelated to a contract of carriage that MTL claims are owed for the Mercedes.

Accordingly, it does not appear that MTL has a maritime lien on the Mercedes. Solovyeva claims that MTL has a lien based on clause 15 of MTL’s bill of lading, but neither MTL nor Complainants has submitted as an exhibit an MTL bill of lading with Complainants identified as the shipper and MTL as the carrier that would incorporate that clause. The MTL invoice for storage to Complainants is clearly not linked to the transportation into the United States because MTL was not the carrier. There was no subsequent “union of ship and [Mercedes],” *Krauss Bros. v. Dimon*, to export the Mercedes overseas until it was placed on the vessel to be transported to Dubai, and Complainants were not involved in that transportation.

The agreement between MTL and Complainants to store the Mercedes may have created a bailment under New Jersey law.

A bailment may be created by contract, either express or implied, or by operation of law or statute. *Cerreta v. Kinney Corp.*, 50 N.J. Super. 514, 517, 142 A.2d 917 (App.Div. 1958). A bailment arises when a person leaves his chattel on the premises of another “if the latter is given primary control of the chattel for the time being.”

Moore's Trucking Co. v. Gulf Tire & Supply Co., 18 N.J. Super. 467, 469-70, 87 A.2d 441 (App. Div.) (listing as examples of bailments: "jewelry checked with a swimming pool attendant; diamonds delivered to a retail jeweler 'on memorandum' for sale; automobile placed in shop to be washed; airplane stored in a hangar," (citations omitted)), *certif. denied*, 10 N.J. 22, 89 A.2d 306 (1952); *see also State v. Goodman*, 390 N.J. Super. 259, 266-67, 915 A.2d 79 (App. Div. 2007) (holding that film left with a store for developing gave rise to a bailment); *Jasphy v. Osinsky*, 364 N.J. Super. 13, 15, 18, 834 A.2d 426 (App. Div. 2003) (noting that a bailment arose when plaintiff left her three fur coats with defendant for storage and cleaning). A bailment has been explained in the following way:

A bailment is created by the delivery of personal property by one person to another in trust for a specific purpose, pursuant to an express or implied contract to fulfill that trust. Inherent in the bailment relationship is the requirement that the property be returned to the bailor, or duly accounted for by the bailee, when the purpose of the bailment is accomplished, or that it be kept until it is reclaimed by the bailor.

[8A *Am. Jur. 2d Bailments* § 1 (1997).]

Notably, for a bailment to arise, the bailor must have "possession and primary control" over the chattel. *City of Jersey City v. Liggett & Myers Tobacco Co.*, 14 N.J. 112, 115, 101 A.2d 555 (1953). During the bailment arrangement, the bailee has sole custody and control and exclusive possession of the chattel. 8A *Am. Jur. 2d Bailments* § 42 (1997). Nonetheless, the bailee still "must deal with the property during the term of the bailment according to the bailor's instructions." *Id.* at § 4.

LaPlace v. Briere, 404 N.J. Super. 585, 598-599, 962 A.2d 1139, 1146-1147 (App. Div. 2009). In this case, there was a delivery of personal property (the Mercedes) to MTL by Complainants for long term storage so that maintenance could be performed on the vehicle before it would be shipped back to Germany. (Complaint ¶¶ 27-31; Ostrovskiy Certification ¶¶ 3-17.) MTL had "sole custody and control and exclusive possession" of the Mercedes for the period in which it was in storage.

Complainants contend: "[R]espondents unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit." (Complaint ¶ 35.) Under New Jersey law:

Conversion has been defined as "an unauthorized assumption and exercise of the right of ownership over goods or personal chattels belonging to another, to the alteration of their condition or the exclusion of an owner's rights." *Barco Auto Leasing Corp. v. Holt*, 228 N.J. Super. 77, 83, 548 A.2d 1161 (App. Div. 1988) (quoting *McGlynn v. Schultz*, 90 N.J. Super. 505, 526, 218 A.2d 408 (Ch. Div. 1966), *certif. denied*, 50 N.J. 409, 235 A.2d 901 (1967)). Conversion is an intentional tort in that the defendant must have intended "to exercise a dominion or control over the

goods which is in fact inconsistent with the plaintiff's rights." *Prosser and Keeton on Torts* § 15 at 92 (5th ed.1984). However, the defendant need not knowingly or intentionally act wrongfully for a conversion to occur. *Ibid.* Conversion is "the wrongful exercise of dominion and control over property owned by another inconsistent with the owners' [sic] rights." *Sun Coast Merch. Corp. v. Myron Corp.*, 393 N.J. Super. 55, 84, 922 A.2d 782 (App. Div. 2007) (quoting *Port-O-San Corp. v. Teamsters Local Union No. 863 Welfare & Pension Funds*, 363 N.J. Super. 431, 440, 833 A.2d 633 (App. Div. 2003)), *certif. denied*, 194 N.J. 270, 944 A.2d 30 (2008).

Chicago Title Ins. Co. v. Ellis, 409 N.J. Super. 444, 454, 978 A.2d 281, 287 (App. Div. 2009).

A bailor may sue a bailee in conversion and/or negligence. Common-law conversion is "the exercise of any act of dominion in denial of another's title to the chattels or inconsistent with such title." *Mueller v. Technical Devices Corp.*, 8 N.J. 201, 207, 84 A.2d 620 (1951). Thus, intentional or negligent acts can give rise to a conversion cause of action. The tort arises from the bailee's commission of an unauthorized act of dominion over the bailor's property inconsistent with its rights in that property. *Ibid.* The good faith or intent of the bailee do not play a part in an action for conversion. *McGlynn v. Schultz*, 90 N.J. Super. 505, 526, 218 A.2d 408 (Ch. Div. 1966), *aff'd*, 95 N.J. Super. 412, 231 A.2d 386 (App. Div.), *certif. denied*, 50 N.J. 409, 235 A.2d 901 (1967). For example, a bailee who mistakenly destroys or disposes of the goods is liable in conversion although there is no intent to steal or destroy the goods.

Lembaga Enterprises, Inc. v. Cace Trucking & Warehouse, Inc., 320 N.J. Super. 501, 507, 727 A.2d 1026, 1029 (App. Div. 1999).

Under New Jersey law:

A warehouse has a lien against the bailor on the goods covered by a warehouse receipt or storage agreement or on the proceeds thereof in its possession for charges for storage or transportation, including demurrage and terminal charges, insurance, labor, or other charges, present or future, in relation to the goods, and for expenses necessary for preservation of the goods or reasonably incurred in their sale pursuant to law.

N.J. Stat. § 12A:7-209. Complainants contend that MTL failed to follow all legal requirements before selling the Mercedes, such as notifying the Complainants prior to the sale, and the requirement that respondents obtain valid title. (Complaint ¶ 33; Ostrovskiy Certification ¶¶ 5-6.) See N.J. Stat. § 12A:7-210 (requirements for enforcement of warehouse's lien).

Accepting the factual allegations in the Complaint and the Ostrovskiy Certification as true, it appears that while operating as a bailee under New Jersey law storing Complainants' Mercedes, MTL committed the tort of conversion the Mercedes by "an unauthorized assumption and exercise

of the right of ownership” over the Mercedes. The “unauthorized assumption and exercise of the right of ownership” – the alleged conversion – of the Mercedes would appear to have occurred either on June 1, 2013, when MTL allegedly refused to permit Ostrovskiy to see the Mercedes or tell him anything about it, or in early June 2013 when Ostrovskiy asked MTL to release the Mercedes from the MTL storage site and export it to Germany, and certainly no later than August 24, 2013, when MTL shipped the Mercedes to Dubai, a shipment in which Complainants were not involved, and sold it to cover storage fees MTL claimed were due and owing.

Complainants then allege that MTL sold the Mercedes without following legal requirements for enforcing a lien. (Complaint ¶ 33.) The legal requirements establishing a lien for storage fees and governing enforcement of that lien arise under New Jersey law. The Commission does not have subject matter jurisdiction to determine whether a New Jersey storage facility claiming nonpayment of storage fees not connected to an agreement to transport cargo by water between the United States and a foreign country, had a warehouse’s lien under New Jersey law or followed proper procedure when exercising a claimed lien on the property for storage fees. This is true even when the storage facility is also licensed as and is in the business of operating as an NVOCC.³

In their reply to MTL, Complainants contend that the conversion of the Mercedes occurred in Dubai. (See Comp. Reply to Resp. at 3 (“[I]t remains undisputed that the respondents shipped complainants’ Mercedes to Dubai, under complainants’ original title and then claimed to have executed a lien on said vehicle, allegedly pursuant to the terms and conditions of the MTL Bill of lading. Therefore, ownership of the Mercedes was transferred at the time that the new title was issued in Dubai.”); Comp. Reply to Resp. at 6 (same claim).) The contention is inconsistent with the allegation in the Complaint that “respondents unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit.” (Complaint ¶ 35.) Furthermore, conversion is not dependent on change of ownership such as the issuance of a new title. MTL’s alleged “unauthorized assumption and exercise of the right of ownership” occurred at some time before the Mercedes was loaded on board the Maersk ship to be transported to Dubai, not after it arrived in Dubai when title was transferred. This claim is without merit.

The Shipping Act was promulgated to regulate “the common carriage of goods by water in the foreign commerce of the United States.” 46 U.S.C. § 40101(1). The Act’s requirements apply to common carriers that “provide transportation by water of . . . cargo between the United States and a foreign country for compensation [and] assume [] responsibility for the transportation from the port or point of receipt to the port or point of destination [and] use [] for all or part of that transportation, a vessel operating on the high seas . . . between a port in the United States and a port in a foreign country.” 46 U.S.C. § 40102(6). Complainants do not allege that MTL entered into a contract of carriage to transport the Mercedes from the United States to a foreign port. The record only shows an agreement between the parties to store Complainants’ Mercedes in MTL’s warehouse, not to ship

³ The New York complaint alleges a cause of action for conversion. *MAVL Capital, Inc. v. Marine Transport Logistics, Inc., et al*, No. 13-cv-7110, Complaint at 20 (E.D.N.Y. Dec. 12, 2013). (See MTL Brief in Support of the Show Cause Order, Exhibit 2.)

the Mercedes overseas. The Commission does not have jurisdiction to adjudicate the allegation that MTL violated New Jersey by converting the Mercedes. Therefore, the claims regarding the Mercedes are dismissed with prejudice.

VI. THE HARLEY DAVIDSON MOTORCYCLES.

A. Allegations in the Complaint.

Complainants allege that they purchased three Harley Davidson FXDXI motorcycles and made arrangements to ship them with another NVOCC.

47. Between June 7, 2013 and July 8, 2013, complainants purchased a 2004 Harley Davidson FXDXI, VIN ending in 7436 (“Harley #1”); a 2007 Harley Davidson FXD, VIN ending in 1645 (“Harley #2”); and a 2000 Harley Davidson XL883, VIN ending in 3838 (“Harley #3”).
48. After having made payment in full for these motorcycles, all three of said vehicles were released to complainants with their original titles.
49. As a result of MTL’s previous failures to deliver complainants’ vehicles to their overseas destinations, complainants retained the services of another NVOCC not a party to this action and known as Unitrans-PRA (“Unitrans”), and Harley #’s “1”, “2”, and “3” were delivered to the Unitrans’ storage facility for shipment overseas.
50. On or about September 6, 2013, respondent Alper contacted Unitrans on behalf of MTL via email, and directed Unitrans to refrain from shipping Harley #’s “1”, “2”, and “3” and to “hold” that cargo.
51. As a result of respondents’ fraudulent acts described herein, the complainants incurred approximately \$22,920.00 in storage charges for the storage of these motorcycles.

(Complaint.)

B. The Show Cause Order.

The Show Cause Order stated that the Complaint does not appear to allege a Shipping Act violation by MTL or Alper regarding the three Harley Davidson motorcycles because Complainants do not allege that they hired or paid Respondents to ship Complainants’ motorcycles overseas or that Unitrans, a different NVOCC, was Respondents’ agent for transporting the motorcycles. *MAVL v. MTL*, FMC No. 16-16, Order at 7 (ALJ Sept. 15, 2016) (Show Cause Order). Complainants were ordered to show cause why the “allegations in their Complaint regarding . . . the 2004 Harley Davidson FXDXI, the 2007 Harley Davidson FXD, and the 2000 Harley Davidson XL883 should

not be dismiss[ed] for lack of subject matter jurisdiction or for failure to state a claim upon which relief can be granted.” *Id.*

C. Responses to the Show Cause Order.

Complainants contend that the Complaint “alleges a cause of action against the respondents for retaliation under section 41104(3) of the Shipping Act wherein respondents retaliated against complainants due to complainants having patronized another carrier known as Unitrans-PRA Co. Inc.” (Comp. Resp. to Order to S/C at 7.) Complainants included additional facts in the Ostrovskiy Certification. Although these facts are not part of the Complaint, because Complainants have asked for leave to amend the Complaint, and because of the outcome below, these facts are assumed to be true for the purposes of this decision.

18. On or about June 7, 2013, MAVL purchased a 2004 Harley Davidson FXDXI, VIN ending in 7436 (“Harley #1”). This motorcycle was paid for in full by MAVL.
19. On or about June 11, 2013, MAVL purchased a 2007 Harley Davidson FXD, VIN ending in 1645 (“Harley #2”). This motorcycle was paid for in full by MAVL.
20. On or about July 8, 2013, MAVL purchased a 2000 Harley Davidson XL883, VIN ending in 3838 (“Harley #3”). This motorcycle was paid for in full by MAVL.
21. After MAVL made payment in full for all three motorcycles, they were all released to MAVL with their original titles.
22. Complainants retained the services of a carrier not a party to this action and known as Unitrans-PRA (“Unitrans”), and Harley #'s “1”, “2”, and “3” were delivered to the Unitrans’ storage facility for shipment overseas.
23. On or about September 6, 2013, respondent Alper contacted Unitrans via email and directed Unitrans to refrain from shipping Harley #'s “1”, “2”, and “3” on the basis that MAVL had attempted to appropriate these motorcycles which were purportedly owned by MTL and Car Express. Alper specifically stated to Unitrans that: “Your company was previously advised of this fact verbally on August 22, 2013 and this serves as formal notice of such. We are currently requesting that you hold the . . . cargo until release instructions are provided . . .”. A copy of Alper’s email is annexed hereto as Exhibit “C”.
24. On or about October 23, 2013, respondent Alper then fraudulently obtained a replacement title for Harley #3 from the State of Georgia.

25. On or about November 8, 2013, respondent Alper contacted Unitrans and advised that he had obtained title to Harley #3 so that Unitrans would release Harley #3 back into the custody and control of MTL. A copy of the email is annexed hereto as Exhibit "D".
26. Alper's act in obtaining title to Harley #3 was fraudulent on the basis that he was aware that complainants possessed an original title, and he made misrepresentations to the State of Georgia in order to obtain a replacement title.
27. Upon information and belief, the misrepresentations made to the State of Georgia made by Alper in order to obtain title were that the original title was misplaced or destroyed, and that MTL was the lawful owner of Harley #3.
28. To date, respondents have refused to authorize Unitrans to release Harley #'s "1", "2", and "3" to their proper consignees, despite complainants' request that the respondents do so.

(Ostrovskiy Certification.)

Complainants contend that "the complaint alleges a cause of action against the respondents for retaliation under section 41104(3) of the Shipping Act wherein respondents retaliated against complainants due to complainants having patronized another carrier known as Unitrans-PRA Co. Inc." (Comp. Resp. to Order to S/C at 7.)

Mr. Alper's actions and attempts to take possession of the motorcycles (by fraudulently obtaining a replacement title) and interfere with their export by complainants (by instructing Unitrans to hold the cargo) were done as a direct result of complainants having retained another carrier to export the motorcycles overseas. The motorcycles were the lawful property of complainants and respondent Alper had no basis in law or in fact to interfere with their export.

(Comp. Resp. to Order to S/C at 8.)

With respect to the three Harley Davidson Motorcycles described in the complaint, the Presiding Officer is aware that complainants have alleged a Shipping Act violation sounding in retaliation under § 41104(3) of the Shipping Act, wherein complainants claim that the respondents retaliated against complainants for patronizing another carrier after the complainants decided to wind down the business relationship with the respondents. The three motorcycles, purchased and paid for in full, and lawfully owned by complainants, were delivered to the warehouse of a non-party NVOCC known as Unitrans-PRA Co. Inc. ("Unitrans").

As explained herein, while preparations for export were underway, respondent Alper interfered with the export, and contacted Unitrans to place a hold on that cargo. Alper threatened Unitrans with legal action on the alleged basis that Alper was the owner of said cargo and claimed that complainants were attempting to misappropriate his cargo. Alper went as far as to obtain a replacement title in his own name for one of the motorcycles and did so under false and fraudulent pretenses. As a result of the foregoing, the motorcycles were not timely released because of Alper's lies to Unitrans, where they accrued storage and demurrage charges in excess of the value of the motorcycles. This act of retaliation was done solely to punish complainants for deciding not to do business with MTL.

(*Id.* at 10-11.)

Alper contends that Complainants have failed to address the issue raised in the Show Cause Order – that Complainants do not allege they hired or paid Respondents to ship their three Harley Davidson motorcycles and have not alleged that Unitrans, the NVOCC they hired, is an agent of MTL. (Alper Brief at 2.) Alper argues that Complainants' allegations do not establish that Complainants hired Respondents to transport the motorcycles or that Unitrans was Respondents' agent. (*Id.*)

MTL contends that Complainants fail to raise a Shipping Act claim because Complainants have not shown any injury flowing from the alleged retaliation. (MTL Brief in Support of Order to S/C at 6.) MTL states that Complainants attached as an exhibit Alper's email to Unitrans (*see* Ostrovskiy Certification ¶ 23), but did not include the rest of the email thread including the Unitrans reply to Alper in which Unitrans refused Alper's request.

Unitrans-PRA Co., Inc has never been involved in any business transactions with MTL so it is unacceptable for us to get any requests from MTL in regards of third party transactions.

* * *

If you will provide our company with Court Order, we will execute it, but any instructions or orders from your company have no legal ground and can not be executed.

(MTL Brief in Support of Order to S/C at 7. *See also id.* Exhibit 4 (Alper email of September 6, 2013, Alper followup email of September 10, 2013, and Unitrans email reply of September 10, 2013).) MTL states that although MTL asked Unitrans to hold the motorcycles, Unitrans refused the request. Therefore, MTL claims that the alleged violation – contacting Unitrans in an attempt

to prevent the shipment of the motorcycles – did not proximately cause the alleged injury – the alleged accrued storage and demurrage charges.⁴

MTL argues that moreover, even accepting Complainants' allegations as true for the purpose of the Order to Show Cause, Unitrans, not Respondents, should be culpable for any Shipping Act violation resulting from the alleged refusal to export the motorcycles. MTL contends that dismissal of the claim involving the three Harley Davidson motorcycles is thus warranted. (*Id.* at 6-8.) MTL argues that under section 41104(3) of the Act, "retaliation" occurs when a carrier refuses or threatens to refuse to provide available cargo space accommodation or engages in other unfair or unjust discrimination, whereas Complainants "voluntarily elected not to hire, book, or pay MTL to ship the motorcycles" in question. Thus, argues MTL, it could not have denied Complainants cargo space accommodation or discriminated against Complainants "for a *non-existent* booking with MTL." *Id.* at 8-9 (emphasis in original).

Complainants contend that MTL was originally hired by Complainants for ocean transportation of the motorcycles.

With respect to the three Harley Davidson Motorcycles, respondent Alper has already admitted in a sworn declaration that MTL had received the titles for all three motorcycles after they were paid for in full by complainants "so that MTL could arrange the ocean carriage for the 3 Harley Davidson motorcycles." (See, Declaration of Dimitry Alper, ¶ "34" a copy of which is annexed hereto as Appendix "D").

(Comp. Reply to Resp. at 6.) "While it is undisputed that the three motorcycles eventually ended up in the custody of non-party NVOCC Unitrans . . . Alper had no legal right to interfere with the transport of the vehicles by Unitrans in the first place." (Comp. Reply to Resp. at 7.) Complainants assert that Respondents' claim that it was Unitrans that committed the Shipping Act violation by refusing to export the motorcycles is "a feckless attempt to pass the blame and extricate respondents from what is otherwise a textbook example of retaliation under the Shipping Act." (*Id.*)

D. Complainants' Claims Regarding the Harley Davidson Motorcycles are Dismissed With Prejudice.

Complainants do not argue that the alleged actions of MTL regarding the Harley Davidson motorcycles violated section 41102(c) of the Act. Therefore, any claim in the Complaint that MTL violated section 41102(c) is deemed abandoned and dismissed with prejudice. *Coalition for the Abolition of Marijuana Prohibition v. City of Atlanta*, 219 F.3d at 1326.

⁴ Complainants neither admit nor dispute the claim that Unitrans responded by refusing to comply with MTL's request and do not question the subsequent correspondence in that email. Because this is before me on whether the Complaint states a claim, I do not make a finding on this.

Section 41104(3) prohibits a common carrier from “retaliat[ing] against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C. § 41104(3). This section was derived from section 14 Third of the Shipping Act, 1916, “which was copied virtually verbatim into the 1984 Act as section [41104(3)].” *International Association of NVOCCs v. Atlantic Container Line*, 1990 FMC LEXIS 5 (ALJ Jan. 25, 1990). In construing section 14 Third, the Supreme Court stated:

[T]he revealed congressional purpose in § 14 Third . . . , as we have said, was to outlaw practices in addition to those specifically prohibited elsewhere in the section when such practices are used to stifle the competition of independent carriers. The characterizations “unjustly discriminatory” and “unjustly prejudicial” found in other sections (§§ 15, 16 and 17) imply a congressional intent to allow some latitude in practices dealt with by those sections, but the practices outlawed by the “resort to” clause of § 14 Third take their gloss from the abuses specifically proscribed by the section; that is, *they are confined to practices designed to stifle outside competition.*

Federal Maritime Board v. Isbrandtsen, 356 U.S. 481, 495 (1958) (footnote omitted) (emphasis added). Section 41104(3), like its predecessor section 14, Third, is not “a flat and unqualified prohibition of any discrimination by a carrier for any reason.” *Isbrandtsen*, 356 U.S. at 495.

Complainants allege that they hired Unitrans to transport the motorcycles “[a]s a result of MTL’s previous failures to deliver complainants’ vehicles to their overseas destinations.” (Complaint ¶ 49.) They do not allege that MTL “refus[ed], or threaten[ed] to refuse, cargo space accommodations when available” because Complainants hired Unitrans. Therefore, there is no claim that MTL violated the first provision in section 41104(3).

The core of Complainants’ claim is instead that “[o]n or about September 6, 2013, respondent Alper contacted Unitrans on behalf of MTL via email, and directed Unitrans to refrain from shipping Harley #’s ‘1’, ‘2’, and ‘3’ and to ‘hold’ that cargo.” (*Id.* ¶ 50.) Complainants do not explain how the act that Complainants allege – emailing Unitrans in an attempt to stop shipment of the motorcycles – is designed to stifle outside competition. Therefore, accepting as true the allegations in the Complaint and Ostrovskiy Certification, Complainants do not state a claim of violation of section 41104(3).

Complainants’ contention that Alper admitted that MTL received the titles for the motorcycles “so that MTL could arrange the ocean carriage for the 3 Harley Davidson motorcycles” does not support a finding that MTL entered into a contract of carriage to transport the motorcycles. First, Alper does not state that MTL agreed to transport the motorcycles for Complainants. Second, Alper’s claim that MTL received the titles is contradicted by Ostrovskiy, who states that “all three of said vehicles were released to complainants with their original titles” and that “complainants retained the services of another NVOCC not a party to this action and known as [Unitrans], and Harley #’s ‘1’, ‘2’, and ‘3’ were delivered to the Unitrans’ storage facility for shipment overseas.” (Complaint ¶¶ 48-49. *See also* Ostrovskiy Certification ¶¶ 21-22 (“the

motorcycles were all released to MAVL with their original titles” and “Complainants retained the services of a carrier not a party to this action and known as [Unitrans], and Harley #’s ‘1’, ‘2’, and ‘3’ were delivered to the Unitrans’ storage facility for shipment overseas.”.) Moreover, accepting Complainants’ allegations as true, even if Complainants originally intended MTL to arrange ocean carriage of the motorcycles, Complainants ultimately tendered the motorcycles to a different NVOCC – Unitrans – for international ocean carriage.

Accepting the factual allegations in the Complaint and the Ostrovskiy Certification as true, Complainants fail to state a claim that Respondents retaliated against Complainants due to complainants having patronized another carrier, or has filed a complaint, or for any other reason. 46 U.S.C. § 41104(3). Therefore, the claims regarding the Harley Davidson motorcycles are dismissed with prejudice.

VII. COMPLAINANTS’ REQUEST TO AMEND THEIR COMPLAINT IS DENIED.

Complainants request that the Presiding Officer . . . to the extent necessary, allow complainants leave to amend the Complaint. Comp. Reply to Resp. at 7-6.

If the underlying facts or circumstances relied upon by a plaintiff may be a proper subject of relief, he ought to be afforded an opportunity to test his claim on the merits. In the absence of any apparent or declared reason – such as undue delay, bad faith or dilatory motive on the part of movant, repeated failure to cure deficiencies by amendments previously allowed, undue prejudice to the opposing party by virtue of allowance of the amendment, *futility of amendment*, etc. – the leave sought should, as the rules require, be “freely given.”

Foman v. Davis, 371 U.S. 178, 182 (1962) (emphasis added). “Courts may deny a motion to amend a complaint as futile . . . if the proposed claim would not survive a motion to dismiss.” *James Madison Ltd. v. Ludwig*, 82 F.3d 1085, 1099 (D.C. Cir. 1996) citing *Foman v. Davis*, 371 U.S. 178, 181-182 (1962); *Moldea v. New York Times*, 22 F.3d 310, 319 (D.C. Cir. 1994).

Amendment of the Complaint would not cure the Commission’s lack of jurisdiction to adjudicate the claim that Respondents converted the Mercedes while it was held in long term storage. The factual allegations set forth in Complainants’ Complaint and the Ostrovskiy Certification are accepted as true. In order to state a claim, Complainants would have to contradict these sworn allegations. Therefore, leave to amend the Complaint is denied as futile.

VIII. CONCLUSION.

Because the claims involving the alleged conversion of the 2006 Mercedes SL65 do not involve international ocean transportation, the Commission lacks subject matter jurisdiction to hear the claims. Accepting as true the facts alleged in the Complaint and the Ostrovskiy Certification, Complainants fail to state a claim for relief for violation of the Shipping Act regarding the 2006 Mercedes SL65 and the 2004 Harley Davidson FXDXI, the 2007 Harley Davidson FXD, and the

2000 Harley Davidson XL883. Any amendment of the claims would not cure the discussed defects. The claims regarding the 2011 Porsche Panamera remain pending.

ORDER

Upon consideration of the Order to Show Cause Why Complaint Should Not Be Partially Dismissed, the responses thereto, and the record herein, and for the reasons set forth above, it is hereby

ORDERED that the claims regarding the 2006 Mercedes SL65 set forth in the Complaint be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that the claims regarding the 2004 Harley Davidson FXDXI, the 2007 Harley Davidson FXD, and the 2000 Harley Davidson XL883 set forth in the Complaint be **DISMISSED WITH PREJUDICE**.



Clay G. Guthridge
Administrative Law Judge

APPENDIX “2”

9934/SHV
CICHANOWICZ, CALLAN, KEANE, VENGROW & TEXTOR, LLP
61 Broadway, Suite 3000
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(212)344-7042
Attorneys for Defendants

MAVL CAPITAL, INC., IAM & AL GROUP
INC., and MAXIM OSTROVSKIY,

Plaintiffs,

- against -

MARINE TRANSPORT LOGISTICS, INC.,
ROYAL FINANCE GROUP, INC., CAR
EXPRESS & IMPORT, INC., ALEKSANDR
SOLOVYEV, DIMITRY ALPER, and JOHN
DOE CORP., the unidentified Vessel Operating
Common Carrier/Ocean Liner,

Defendants.

UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK

13 Civ. 7110 (SLT)(RLM)

**RESPONSE TO PLAINTIFFS'
INTERROGATORIES TO
MARINE TRANSPORT
LOGISTICS, INC.**

Defendant Marine Transport Logistics, Inc. ("MTL"), by their attorneys Cichanowicz, Callan, Keane, Vengrow & Textor, LLP, answer plaintiffs' Interrogatories as follows.

GENERAL OBJECTIONS

Defendant expressly reserves their right to supplement or modify these responses, and will do so to the extent required by the Federal Rules of Civil Procedure. Defendant will not be responding to Interrogatories relating to the motion to dismiss causes of action in the Complaint that is currently pending before the Court at this time, and will respond to all such Interrogatories, as necessary, following the Court's decision on the motion to dismiss in accordance with that required by the Federal Rules of Civil Procedure.

SPECIFIC OBJECTIONS AND RESPONSES

1. With respect to the documents annexed hereto as Exhibit "A", if these documents contain an AES-XTN number (AES External Transaction Number) or are missing an AES-ITN.

Response:

AEX-XTN or AES-ITN numbers are listed on the "Exhibit A" documents. With respect to MTL HB/L HBOL15161, AES-XTN and/or AES-ITN numbers are not required for Bobcats.

2. With respect to all Vehicles, please state the following: (A) If sold by you, identify the individuals or entities directly involved in the sale of these Vehicles. (B) Identify the documents pertaining to the transfer of ownership of said Vehicles, whether sold by you, used as part of the export process. (C) If sold by you, state the amount received for the sale of said Vehicles and identify which defendant received the proceeds of the sales of said Vehicles. (D) State whether or not the proceeds of the sale of said Vehicles has already been applied to any purported debt owed by Plaintiffs, and if they were, in what manner the proceeds of the sale were applied.

Response:

The 2006 Mercedes SL65 was sold for \$3,800 in Dubai. No other vehicles responsive to this Interrogatory are known at this time, and MTL is still in the process of developing relevant documents in response to this Interrogatory and will provide same, if available.

3. With respect to the 2006 Mercedes SL65, Vehicle Identification Number ("VIN") ending in 3072, 2011 Porsche Panamera, VIN ending in 7399, and 2010 Bobcat S185, VIN ending in 8388 described in the Complaint, explain the factual basis under which these vehicles were exported to Dubai, UAE and/or sold to third parties.

Response:

The 2006 Mercedes SL65 VIN#3072, 2011 Porsche Panamera VIN#7399, and 2010 Bobcat S185 listed above were exported to Dubai, UAE for sale by Car Express & Import, Inc. pursuant to Clause 15 of the MTL House Bill of Lading ["LIEN"] for unpaid freight and other charges owed by plaintiffs. The 2011 Porsche Panamera VIN#7399 and the 2010 Bobcat S185 are currently in storage in Dubai, UAE. The 2006 Mercedes SL65 VIN#3072 was sold pursuant to Clause 15 of the MTL House Bill of Lading ["LIEN"] for unpaid freight and other charges owed by plaintiffs.

4. With respect to all Vehicles: (A) Identify the individuals or entities authorizing you to export these vehicles. (B) Identify the manner in which the individuals or entities authorizing you to export these vehicles provided such authorization. Identify the documents pertaining to the export of these vehicles, including any documents received by you from individuals or entities authorizing you to export this vehicle, and documents filed by you with any government authorities, such as U.S. Customs, the U.S. Census Bureau, and the U.S. Department of Commerce.

Response:

Authorization for the export of the vehicles was given by plaintiffs orally and in writing via e-mail, as seen in the email correspondence previously attached as part of defendant Aleskandr Solovyev's Affidavit in Opposition to Plaintiff's Order to Show

Cause, e.g.: the June 11, 2013 email from plaintiff for the 2004 Bobcat S205 and 2010 Bobcat S185, April 18, 2013 email from plaintiff for the 2011 Porsche Panamera VIN#7399, and implied consent has been given from the course of conduct moving vehicles between plaintiff and MTL.

5. State whether you are required to file any documents with CBP, Department of Commerce, or the ocean liners in reference to the overseas shipment of Containers, Vehicles, or goods, including any filings required under a process known as "Pipeline", and describe in detail all such documents.

Response:

MTL files a dock receipt and a certificate of title with CBP. No title is required for the export of Bobcats. MTL provides shipping instructions and a copy of the MTL House Bill of Lading to the Vessel Operating Ocean Common Carrier. Upon clarification by plaintiffs on what "Pipeline" is, MTL reserves the right to supplement or amend this Interrogatory response.

6. Identify the individuals in your office who prepared, filed, and received any and all documents related to the AES-ITN's for the Vehicles.

Response:

Natalia Leslie was involved in the preparing, filing, and receiving of documents relating the AES-ITN. Natalia Leslie is no longer employed with MTL.

7. Identify the individuals at your office who received the written authorizations or powers of attorney to prepare and transmit Electronic Export Information for the Vehicles.

Response:

See response to Interrogatory no. 6.

8. State the USPPI (U.S. Principal Party in Interest) listed on the application for the aforesaid AES-ITNs for the Containers, and Vehicles, and provide the address of the USPPI.

Response:

Objection. This Interrogatory seeks responses not relevant to the case at hand, and not reasonably calculated to lead to the discovery of admissible evidence. This Interrogatory is further related to claims that may be subject to dismissal in pending motion practice. Without waiving the foregoing objections, MTL reserves the right to supplement or amend this Interrogatory in accordance with the Court's decision on the pending motion practice.

9. State the names and addresses of each and every individual and/or entity who engaged your services for the transportation of automobiles or other personal property, whether the transportation took place domestically, or abroad, between December 1, 2012 and August 31, 2013.

Response:

Objection. This Interrogatory is overly broad, vague, ambiguous, and lacks particularity, and seeks responses not relevant to the case at hand, and not reasonably

calculated to lead to the discovery of admissible evidence. This Interrogatory is further related to claims that may be subject to dismissal in pending motion practice. Without waiving the foregoing objections, and upon clarification from the plaintiffs on the relevancy, MTL reserves the right to supplement or amend this Interrogatory in accordance with the Court's decision on the pending motion practice.

10. Please identify any licenses, permits or other authorizations issued to you by state and/or federal agencies or authorities which are required by law for the conduct of your business, and include the license/permit/authorization number and issuing agency.

Response:

MTL is licensed as a Non-Vessel Operating Common Carrier by the Federal Maritime Commission. MTL's NVOCC License No. is 018709N.

11. Please identify any licenses, permits or other authorizations issued to you by state and/or federal agencies or authorities which are required by law for the purposes of making loans and/or extending credit for the purchase of automobiles.

Response:

None.

12. Please describe in detail the process followed by you in asserting a lien on the Vehicles which you claim that you were entitled to assert a lien upon.

Response:

MTL provides notice of the outstanding charges owed by the shipper via e-mail. and the lien materializes pursuant to Clause 15 of the MTL House Bill of Lading ["LIEN"] upon non-payment of freight and other charges owed by plaintiffs.

13. Please identify any notices served or published by you prior to your seizure and sale of any of the Vehicles which you claim that you are entitled to seize and sell by virtue of a lien.

Response:

Actual notice is given in the MTL House Bill of Lading, and constructive notice is given in the MTL tariff.

14. Please identify any notices served or published by you prior to your seizure and sale of any of the Vehicles which you claim that you are entitled to seize and sell by virtue of a lien.

Response:

See response to Interrogatory no. 13.

15. Please explain the factual basis for invoicing plaintiffs in the amount of \$16,501.00 as set forth in MARINE TRANSPORT LOGISTICS, INC. invoice number 27702.

Response:

MTL Invoice no. 277002 is for \$16,501.00 outstanding on the purchase, inland transportation, and storage of a 2004 Volvo VIN# 5476 at plaintiff's request.

VERIFICATION

I hereby declare under penalty of perjury that the responses to the foregoing Response to Interrogatories are true and correct to the best of my knowledge, information, and belief.

Dated: December 12, 2014

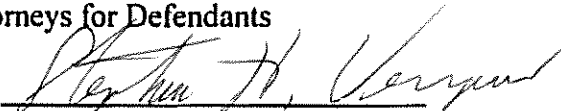
By: 

Alla Solovyeva

Title: President

Dated: December 12, 2014
New York, NY

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APPENDIX “3”

9934/SHV
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(212)344-7042
Attorneys for Defendants

UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK

MAVL CAPITAL, INC., IAM & AL GROUP
INC., and MAXIM OSTROVSKIY,

Plaintiffs,

- against -

MARINE TRANSPORT LOGISTICS, INC.,
ROYAL FINANCE GROUP, INC., CAR
EXPRESS & IMPORT INC., ALEKSANDR
SOLOVYEV, DIMITRY ALPER, and JOHN
DOE CORP., the unidentified Vessel
Operating Common Carrier/Ocean Liner,

Defendants.

13 Civ. 07110 (SLT)(RLM)

**DECLARATION OF
DIMITRY ALPER**

I, DIMITRY ALPER, hereby declare under penalty of perjury that the following is true and correct:

1. I am the Director of Operations for Marine Transport Logistics, Inc. ("MTL") and have held this position since 2009.
2. I am fully familiar with the facts and circumstances of this case and make this declaration on personal knowledge.
3. MTL is a Federal Maritime Commission licensed Non-Vessel Operating Common Carrier (NVOCC).

4. As a NVOCC, MTL provides ocean and intermodal carriage of containerized cargo for its shippers. MTL moves thousands of containers per year.
5. MTL requires that outstanding charges for its services, including freight and storage charges, be fully paid by its shipper before MTL will release the cargo to the consignee. Once cargo is released to the consignee, MTL no longer exercises any control over the cargo and cannot exercise a carrier lien on the cargo to ensure that MTL is paid for services rendered by MTL.
6. The cars, vehicles, and shipments at issue as alleged by Plaintiffs are discussed below.

The 2006 Mercedes SL65 (VIN # 3072)

7. On or about December 3, 2012 Plaintiffs requested that MTL act as Plaintiffs' "receiving agent" and store a 2006 Mercedes SL65 imported by Plaintiffs into the U.S.
8. MTL normally charges a daily storage charge of \$25 for cars stored by MTL and MTL's warehouse agent, World Express & Connection, Inc.
9. Because of the commercial relationship between Plaintiffs and MTL, MTL agreed to charge Plaintiffs a monthly storage charge of \$150 for the storage of the 2006 Mercedes SL65.
10. By May 9, 2013 Plaintiffs had incurred an unpaid balance of \$900 in storage charges from December 2012 through May 2013. Attached as

Exhibit A hereto is a May 9, 2013 email from Natalia Davare, a former employee of MTL, advising Plaintiffs of the outstanding storage charges and requesting that Plaintiffs arrange payment and pick up the 2006 Mercedes SL65.

11. Plaintiffs did not respond to the May 9, 2013 email and did not make any attempt to pay the outstanding storage fees.

12. To date, the \$900 remains unpaid.

The 2004 Bobcat S205 (VIN # 1404)

13. On June 11, 2013 Plaintiffs emailed Car Express and MTL from their ceo@oooacca.net email account asking if the 2004 Bobcat S205 and 2010 Bobcat S185 could be loaded into a container to Finland. In response, Car Express requested that Ostrovskiy provide the VIN #s for the two Bobcats. A copy of Plaintiffs' June 11, 2013 email is attached as **Exhibit B** hereto.

14. On June 12, 2013 Plaintiffs emailed Car Express and MTL from their ceo@oooacca.net email account to provide the VIN numbers for the 2004 Bobcat S205 and 2010 Bobcat S185 and to request that MTL "Please Load" (1) the 2004 Bobcat S205 with the Consignee designated as "OOO ACCA LOGISTIC" in St. Petersburg, and (2) the 2010 Bobcat S185 with the consignee designated as Illushik Valeriy in St. Petersburg. A copy of Plaintiffs' June 12, 2013 email is attached as **Exhibit C** hereto.

15. On July 8, 2013 Plaintiffs emailed MTL from their 'Logistics Department' 11@oooacca.net email account to request that MTL ship all three Bobcats (2004 Bobcat S205, the 2006 Bobcat S250 and the 2010 Bobcat S185). A copy of Plaintiffs' July 8, 2013 email is attached as **Exhibit D** hereto.
16. In accordance with Plaintiffs' request, the 2004 Bobcat S205 (together with the 2006 Bobcat S250) was loaded onboard the vessel OOCL KUALA LUMPUR to Kotka, Finland on or about July 31, 2013. A copy of the front and back of the MTL bill of lading no. HBOL15488 for the shipment of the 2004 Bobcat S205 Ostrovskiy is attached as **Exhibit E** hereto.
17. MTL invoiced Plaintiffs \$1,600 for the shipment. A copy of MTL Invoice no. 27764 is attached as **Exhibit F** thereto.
18. To date, the \$1,600 remains unpaid.

The 2006 Bobcat S250 (VIN # 2346)

19. On July 8, 2013 Plaintiffs emailed MTL from their 'Logistics Department' 11@oooacca.net email account to request that MTL ship all three Bobcats (2004 Bobcat S205, the 2006 Bobcat S250 and the 2010 Bobcat S185). A copy of Plaintiffs' July 8, 2013 email is attached as **Exhibit D** hereto.
20. In accordance with Plaintiffs' request, the 2006 Bobcat S250 (together with the 2004 Bobcat S205) was loaded onboard the vessel OOCL KUALA LUMPUR to Kotka, Finland on or about July 31, 2013. A copy of the front of MTL bill of lading no. HBOL15488 for the shipment of the 2004 Bobcat S205 is attached as **Exhibit E** hereto.

21. MTL invoiced Plaintiffs \$1,600 for the shipment. A copy of MTL Invoice no. 27764 is attached as **Exhibit F** thereto.

22. To date, the \$1,600 remains unpaid.

The 2010 Bobcat S185 (VIN # 8388)

23. On June 11, 2013 Plaintiffs emailed Car Express and MTL from their ceo@oooacca.net email account asking if the 2004 Bobcat S205 and 2010 Bobcat S185 could be loaded into a container to Finland. In response, Car Express requested that Ostrosvkiy provide the VIN #s for the two Bobcats. A copy of Plaintiffs' June 11, 2013 email is attached as **Exhibit B** hereto.

24. In accordance with Plaintiffs' request, the 2010 Bobcat S185 was loaded onboard the vessel OOCL KAOHSIUNG to Kotka, Finland on or about July 11, 2013. A copy of the front of MTL bill of lading no. HBOL15161 for the 2010 Bobcat S185 s attached as **Exhibit G** hereto.

25. MTL invoiced Plaintiffs \$750 for the shipment. A copy of the MTL Invoice no. 27382 is attached as **Exhibit H** thereto.

26. To date, the \$750 remains unpaid.

The 2011 Porsche Panamera (VIN # 7399)

27. On information and belief, the financing for the 2011 Porsche Panamera was arranged between Plaintiffs and Royal Finance Group.

The Hummer Seats

28. On or about July 23, 2013 the 2 Hummer Seats were loaded onboard the vessel APL SHANGHAI to Bremerhaven, Germany. A copy of the front of MTL bill of lading no. HBOL15168 for the 2 Hummer Seats is attached as **Exhibit I** hereto.
29. MTL invoiced Plaintiffs \$1,160 for the shipment. A copy of the MTL Invoice no. 27343 is attached as **Exhibit J** thereto.
30. To date, the \$1,160 remains unpaid.

The 3 Harley Davidson motorcycles

31. On information and belief, on or about June 7, 2013 Car Express purchased a 2004 Harley Davidson FXD1 (VIN # 7346) at Plaintiffs' request.
32. On information and belief, on or about July 8, 2013 Car Express purchased a 2000 Harley Davidson XL883 (VIN # 3838) at Plaintiffs' request.
33. On information and belief, on or about July 29, 2013 Car Express purchased a 2007 Harley Davidson FXD (VIN # 1645) at Plaintiffs' request.
34. Car Express sent the original titles for all 3 Harley Davidson motorcycles to MTL so that MTL could arrange the ocean carriage for the 3 Harley Davidson motorcycles.

35. I did not obtain a replacement title for the 2007 Harley Davidson FXD (VIN # 1645) from the State of Georgia. I did not write the State of Georgia to obtain a replacement title for the 2007 Harley Davidson FXD (VIN # 1645).

The 2010 Mercedes GL (VIN # 2062) and 2012 Mercedes ML (VIN # 8732)

36. MTL was not involved with either the 2010 Mercedes GL (VIN # 2062) and 2012 Mercedes ML (VIN # 8732).

Other unpaid invoices.

37. Plaintiffs owe MTL \$1,504 from the purchase of a 2012 Volkswagen Jetta and the inland freight, storage fees, and interest thereon. A copy of MTL Invoice no. 20059 is attached as **Exhibit K** hereto.

38. Plaintiffs owe MTL \$16,501 from the purchase of a 2004 Volvo VNL and the inland freight, storage fees, and interest thereon. A copy of MTL Invoice no. 27702 is attached as **Exhibit L** hereto.

Dated: New York, New York
March 5, 2014


DIMITRY ALPER

Exhibit A
to Declaration of Dimitry Alper

Eric Chang

From: Natalia D <natalia@mtlworld.com>
Sent: Friday, May 10, 2013 9:46 AM
To: mcyllc@gmail.com
Subject: FW: 06 mb sl65 v :113072 STORAGE FEE
Attachments: Invoices (24261).pdf; 1.pdf

From: Natalia D [<mailto:natalia@mtlworld.com>]
Sent: Thursday, May 09, 2013 5:28 PM
To: 'IAM & AL GROUP, INC'
Cc: 'Alla'; 'Dimitry'
Subject: 06 mb sl65 v :113072 STORAGE FEE

Your vehicle is stored in our facility for more than half a year.
Invoice for storage for period from 05/04-06/05 along with the total outstanding balance are attached
Please advise when you are planning to arrange payment for total storage outstanding and pick up your vehicle

Thank you

Marine Transport Logistic Inc**Open Invoices**Thursday
May 09, 2013**January 11 through May 9, 2013 (USD)**

Type	Date	Number	References	Due	Amt. Due	Origina	Invoice:Container
IAM & AL GROUP, INC							
Invoice	Jan/11/201	18091	Master # COSU4505431850; Booking #	Jan/18/2	150.00	150.00	CAXU6911501
Invoice	Feb/04/201	19098	Master # COSU4505431850; Booking #	Feb/11/2	150.00	150.00	CAXU6911501
Invoice	Mar/04/201	20622	Master # COSU4505431850; Booking #	Mar/11/2	150.00	150.00	CAXU6911501
Invoice	Apr/22/2013	23343	Master # COSU4505431850; Booking #	Apr/29/2	150.00	150.00	CAXU6911501
Invoice	Apr/22/2013	23344	Master # COSU4505431850; Booking #	Apr/29/2	150.00	150.00	CAXU6911501
Invoice	May/09/201	24261	Master # COSU4505431850; Booking #	May/16/	150.00	150.00	CAXU6911501
Total IAM & AL GROUP, INC					900.00		
Total					900.00		



Marine Transport Logistic Inc

63 Hook Road
Bayonne, NJ. 07002
USA

201-858-8600

Invoice

Reference #

IO-5010

Date	Due Date	Number
May/09/2013	May/16/2013	24261
Bill to IAM & AL GROUP, INC 115E 57 STREET, FL11 NEW YORK, NY 10022. USA		
Shipper: ATLANTIC CARGO LOGISTICS LLC Consignee: ATLANTIC CARGO LOGISTICS LLC Origin/Destination: BRV / NYC Entry Date: Oct/31/2012 Carrier: Cosco AWB / BL No.: COSU4505431850 House Way Bill: Pieces / Weight: 1 / 0.00 lb Booking Number: COSU4505431850 Container No.: CAXU6911501		

Year	Make	Model	VIN	Notes
2006	Mercedes-Ben	SL-Class	WDBSK79F86F113072	STORAGE 05/04-6/05

Description of Charges	Quantity	Price	Amount
Storage Fee (5/04-6/05)	1.00	150.00	150.00

TERMS AND CONDITIONS:

This invoice contains cash outlays advances for your account. Payments must be received no later than 10 business days after sailing date. Past due invoices are subject to mandatory late payment fee of \$250 plus the cost of collection. Please remit promptly. All sales are final. No refunds. Marine Transport Logistics credit only. All ocean freight rates are quoted "ALL IN" to include: Base ocean freight, Loading, Lashing, Drayage and Export documentation filing.

USD

150.00

PLEASE PAY THIS AMOUNT

RETURN PORTION

To Ensure Proper Credit, Please Return This Portion With Payment

Payment Instruction

For INTERNATIONAL Wire Transfers:

HSBC BANK
89 RIVER DRIVE SOUTH
JERSEY CITY, NJ 07310ROUTING: 021001088
SWIFT: MRMDUS33

Contact office for account information

For DOMESTIC Wire Transfers:

TD BANK
1701 ROUTE 70 EAST
CHERRY HILL, NJ 08034ROUTING: 026013673
SWIFT: CBNAUS33

Contact office for account information

MAILING ADDRESS

Marine Transport Logistics
63 New Hook Rd
Bayonne, NJ 07002

For ACH PAYMENTS:

Contact Office for account information

Make all checks payable to - Marine Transport Logistics
Office: 201.858.8600 Fax: 201.858.8607

Customer

IAM & AL GROUP, INC

Invoice 24261

File #: IO-5010

Invoice Date: May/09/2013

Container Number: CAXU6911501

Origin: BRV

Destination: NYC

Amount: USD 150.00

Year	Make	Model	VIN
2006	Mercedes-Ben	SL-Class	WDBSK79F86F113072

Exhibit B
to Declaration of Dimitry Alper

Alla Solovyeva

From: Alex Solovyev [mtlworld@mtlworld.com]
Sent: Monday, October 7, 2013 12:31 PM
To: Alla Solovyev
Subject: Re: Loading Bobcats

On Tue, Jun 11, 2013 at 5:08 PM, Alex Solovyev <mtlworld@mtlworld.com> wrote:
GIVE ME VIN #?

--
Aleksandr Solovyev
Car Express & Import Inc
As an agent for Marine Transport
63 New Hook Road,
Bayonne, NJ 07002
Tel: 201-858-8600 Ext: 117
Fax: 201-603-2772
Cell: 646-725-1335
Skype: aleksandr.solovyev

From: CEO ACCA <ceo@oooacca.net>
Date: Tuesday, June 11, 2013 4:55 PM
To: Alex Solovyev <mtlworld@mtlworld.com>, <alla@mtlworld.com>
Subject: Loading Bobcats

Can we load in to container 2004 BOBCAT S205 and 2010 BOBCAT S185 to Finland?

--
Best regars

Maxim Ostrovskiy
MAVL Capital, Inc
ACCA Logistics, Ltd

+1 347 903 5896 New York

+7 921 860 0430 SPB

ceo@oooacca.net

Skype: al.omax

Affiliates:

<http://acm-mab.autolehmann.us/> (CARS/MOTO/SALVAGE)

<http://hcck-mab.autolehmann.us/> (HEAVY EQUIPMENT)

<http://acca.autolehmann.us/> (HEAVY EQUIPMENT)

<http://mabmv.autolehmann.us/> (MOTO / ATV / JETSKI)

www.obpacca.com (WAREHOUSE SBP - RUSSIA)

www.autolehmann.us GENERAL LOCATIONS

Exhibit C
to Declaration of Dimitry Alper

Alla Solovyeva

From: Alla Solovyeva [alla@mtlworld.com]
Sent: Monday, October 7, 2013 12:58 PM
To: 'Dimitry'
Subject: FW: FW: Loading to Kotka
Attachments: photo-3.jpg; IMG_7079.jpg; photo (12).JPG

Regards,

*Alla
Marine Transport Logistics
63 New Hook Road
Bayonne, New Jersey 07002
Phone (201) 858-8600 Ext 116
Fax (201) 308-8402*

www.MTLWORLD.com

From: CEO ACCA <ceo@oooacca.net>
Date: Wednesday, June 12, 2013 10:18 PM
To: Alex Solovyev <mtlworld@mtlworld.com>, <alla@mtlworld.com>
Subject: Loading to Kotka

Please Load

2010 Bobcat S185 VIN: A31.938388 (include PALET FORK and SWEEPER see pictures in attach)
Consignee: Ilushik Valeriy, Kutysheva 55,49, Maloe Verevo, Sankt Peterburg, Russia 188354

2004 BOBCAT S205 VIN:530511404

Consignee: OOO ACCA LOGISTIC, Setevaia 13/7 Pushkin, Sankt Peterburg

..
Best regars

Maxim Ostrovskiy
MAVL Capital, Inc
ACCA Logistics, Ltd

+1 347 903 5896 New York

+7 921 860 0430 SPB

ceo@oooacca.net

Skype: al.omax

Affiliates:

<http://acm-mab.autolehmann.us/> (CARS/MOTO/SALVAGE)

<http://hcck-mab.autolehmann.us/> (HEAVY EQUIPMENT)

<http://acca.autolehmann.us/> (HEAVY EQUIPMENT)

<http://mabmv.autolehmann.us/> (MOTO / ATV / JETSKI)

www.oooacca.com (WAREHOUSE SBP - RUSSIA)

www.autolehmann.us GENERAL LOCATIONS



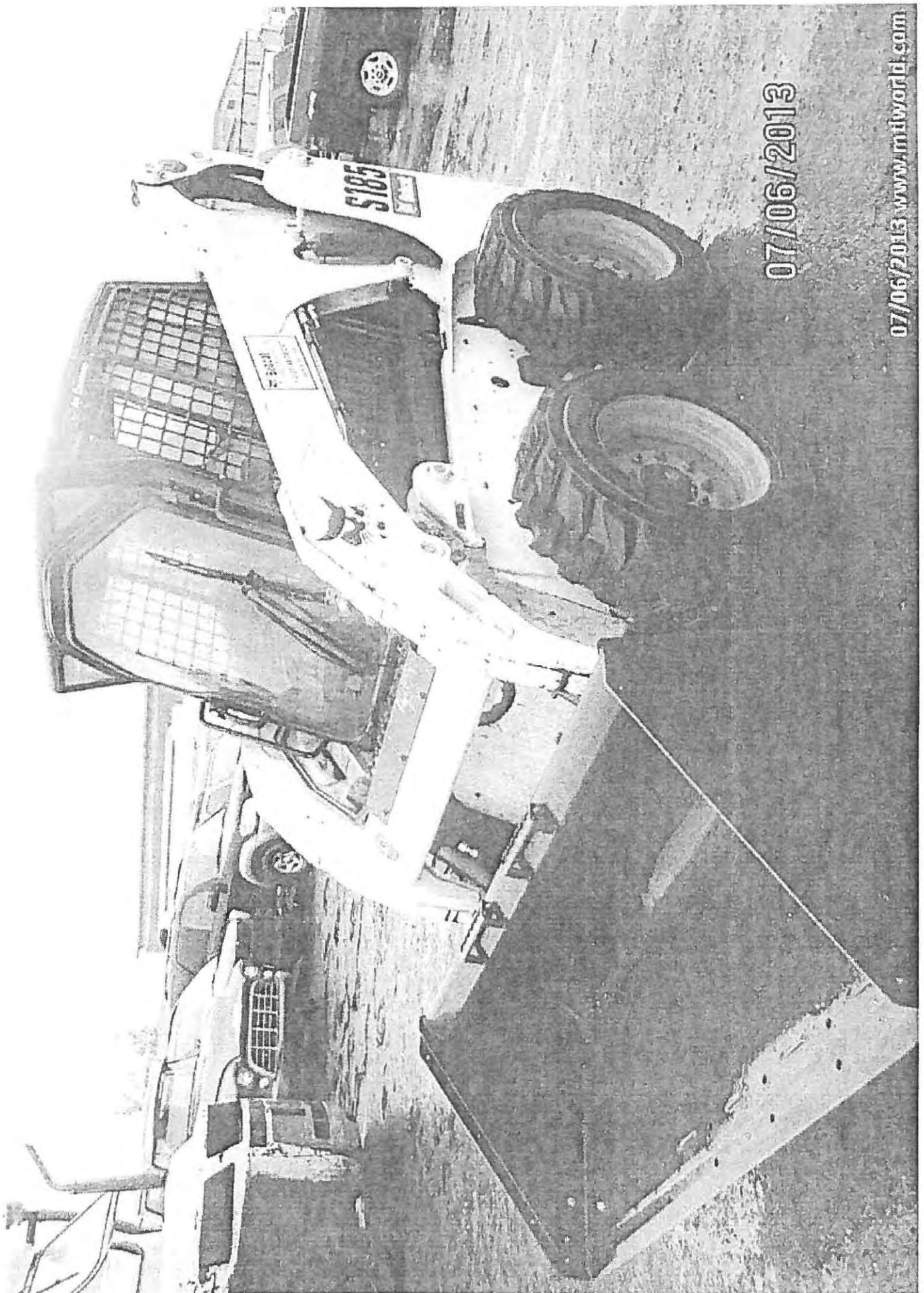




Exhibit D
to Declaration of Dimitry Alper

Alla Solovyeva

From: Anna [anna.v@mtlworld.com]
Sent: Monday, October 7, 2013 1:41 PM
To: 'Alla Solovyeva'
Subject: FW:

Best Regards,

Anna
Marine Transport Logistics
63 New Hook Road
Bayonne, New Jersey 07002
Phone (201) 858-8600 Ext 110
Fax (201) 603-2767
www.MTLWORLD.com

Unless otherwise noted, all ocean freight quotations are: valid for 30 days from the date of original quotation, subject to equipment availability, subject to any and all tariff additional valid at time of shipment.

Inland freight quotations are: subject to third party increases valid at time of shipment, subject to any fuel surcharges valid at time of shipment, subject to weight limitations and weight distribution requirements in accordance with the local and national rules and regulations of the country(ies) of transit, subject to availability of inland carrier at time of booking. Loading, lashing, securing, blocking and bracing of cargo is for shipper's account. Carrier reserves the right to stow cargo in the best interest of the Vessel and in compliance with local, national and international rules, regulations and conventions. On deck shipments at shipper's risk. Dangerous cargo, as defined by 49 CFR or the IMDG Code, is subject to the line's approval at time of booking. Kindly note all vessel dates are subject to changes. Equipment is subject to availability.

By using MTL's services, client thereby agrees to terms and conditions which could be found at our website www.MTLWORLD.com.

ALL COMMUNICATION IN THIS EMAIL IS PRIVILEGED AND INTENDED ONLY FOR THE ORIGINAL RECIPIENT. ALL OTHER USE OF SUCH COMMUNICATION IS PROHIBITED BY LAW.

Go Green! Please don't print this e-mail unless you REALLY, REALLY need to.

-----Original Message-----

From: Logistic Department [<mailto:l1@oooacca.net>]
Sent: Monday, July 08, 2013 2:28 PM
To: anna@mtlworld.com
Subject:

VIN:BOBCAT
S 185-938388 15 000 \$
S 205-ne mogu naiti VIN,svyajites s Irinoi Polkovnik,ona v kurse. 10 200\$
S 250-912346 9500\$

Otpravitel Bobcat S 185,S 205,S 250 :
MAVL CAPITAL, INC
115E 57th Str, FL11
New York,NY 10022
3479035896

Poluchatel
Ooo Acca logistics
Setevaia 13/7
Pushkin, Sankt Petersburg
+79218600430-Maxim,+79110249888-Robert

Sidenia ot HAMER-200 \$
Otpravitel

MAVL capital, inc
115 E 57th street, FL11
New York, NY 10022
3479035896

Poluchatel
To:
Ostrovskiy Anatoliy
Arnold Str 2
Duesseldorf, Germany 40740
+495413504280
Trucking nomer ne mogu naiti<no Alex znaet, Prosledite,chtobi ix pogruzili na Bremerhaven,Germany

Exhibit E
to Declaration of Dimitry Alper



Marine Transport Logistic Inc

BILL OF LADING

2. EXPORTER (Principal or seller-licensee and address including ZIP Code) MAVL Capital, Inc 115E 57th Str, FL11 New York, NY 10022 ZIP CODE		5. DOCUMENT NUMBER 2536515355		5a. B/L NUMBER HBOL15488	
3. CONSIGNED TO TO THE ORDER OF SHIPPER		7. FORWARDING AGENT (Name and address - references) Marine Transport Logistic Inc 63 NEW HOOK RD, BAYONNE, NJ 07002. USA			
4. NOTIFY PARTY/INTERMEDIATE CONSIGNEE (Name and address) Albatros Europe Oy Satamantie 4 office 2115, Tel: +358443201263, Hamina 49460. FINLAND		8. POINT (STATE) OF ORIGIN OR FTZ NUMBER			
12. PRE-CARRIAGE BY		13. PLACE OF RECEIPT BY PRE-CARRIER		9. DOMESTIC ROUTING/EXPORT INSTRUCTIONS	
14. EXPORTING CARRIER OOCL KUALA LUMPUR / 058E		15. PORT OF LOADING/EXPORT New York		10. LOADING PIER/TERMINAL	
16. FOREIGN PORT OF UNLOADING (Vessel and air only) Kotka		17. PLACE OF DELIVERY BY ON-CARRIER		11. TYPE OF MOVE Vessel, Containerized	
				11a. CONTAINERIZED (Vessel only) Yes ☒ No	
MARKS AND NUMBERS (15)	NUMBER OF PACKAGES (19)	DESCRIPTION OF COMMODITIES in Schedule B detail (20)		GROSS WEIGHT (Kilos) (21)	MEASUREMENT (22)
WR 86844	1 PCS	40 Ft. High Cube No.:OOLU9376830 Seal:7266972 BOBCAT S-250 VIN:530912346		2584.12 Kg "5697.00 Lb"	0.00 ft? "0.00 Vlb"
WR 83433	1 VEH	BOBCAT S205 VIN:530511404 AES ITN:X20130806042115		2018.94 Kg "4451.00 Lb"	0.00 ft? "0.00 Vlb"
2				4603.06 Kg 10148.00 lb	0.00 Vlb 0.00 ft?

Carrier has a policy against payment, solicitation, or receipt of any rebate, directly or indirectly, which would be unlawful under the United States Shipping Act, 1984 as amended.
DECLARED VALUE READ CLAUSE 29 HEREOF CONCERNING EXTRA FREIGHT AND CARRIER'S LIMITATION OF LIABILITY.

FREIGHT RATES, CHARGES, WEIGHTS AND/OR MEASUREMENTS

SUBJECT TO CORRECTION	PREPAID	COLLECT
GRAND TOTAL		

RECEIVED, by the Carrier as described on the reverse hereof (hereinafter called the Carrier) from the above named shipper, the goods, or package said to contain goods, hereinabove described, in apparent good order and condition unless otherwise noted hereon, to be held and transported subject to all written, typed printed or stamped provisions of this bill of lading, on this and on the reverse side hereof, to the port or place of discharge named above or so near thereunto as the ship can always safely get and leave always afloat at the stages and conditions of water and weather and there to be delivered or transhipped on payment of the charges

DATED AT **Bayonne**By **Marine Transport Logistics**
SIGNED ON BEHALF OF THE CARRIER

July **31** **2013**
MO. DAY YEAR

B/L No.

HBOL15488

Payment must be received no later than 2 weeks after sailing date. Past Due Invoices are subject to mandatory Late Fee (\$50) and Documentation Fee (\$

Combined Transport Bill of Lading

1. **DEFINITIONS** (a) "Carriage" means the whole or any part of the operations and services undertaken or performed by or on behalf of the Carrier in respect of the Goods covered by this Bill of Lading. (b) "Carrier" means the United States Marine Transport Commission whose liability this Bill of Lading has been signed. (c) "COGSA" means the United States Carriage of Goods by Sea Act of April 16, 1936, 48 U.S.C. 2401. (d) "Container" includes any ISO standard container, trailer, transportable tank, flat rack, pallet unit, any other type of transportation equipment (whether or not refrigerated or heated) or converted vehicle in accordance with ISO standards used to consolidate Goods. (e) "Freight" means all of the following relating to or in connection with the Goods: ocean freight and other charges provided by the Carrier's applicable tariff including but not limited to ad valorem charges, advance charges and less than full container load service charges, currency adjustment factor, bunker adjustment factor, reefer charges, fuel surcharges, demurrage and detention charges, ad valorem charges and costs arising as a result of changing the point of loading or discharge and related expenses arising or occurring under this Bill of Lading; additional freight or other charges including but not limited to reefer freight and charges due to Merchant's misdescription of or failure to disclose additional Goods; dead freight, special freight for the carriage of special cargoes, and reefer freight if the Goods are reefer cargo; and (f) "Incidental" means all charges, expenses, losses, damages, claims, expenses, defenses, exceptions and limitations no matter whether arising by law, by contract or otherwise, and no matter whether they be, arise or diminish any recovery or relief against the Carrier. (g) "Goods" means the cargo accepted from the Merchant and includes any Container supplied by or on behalf of the Merchant. (h) "Hague Rules" means the International Convention for the Unification of Certain Rules of Law Relating to Bills of Lading signed at Brussels, August 25, 1924 but does not mean the Hague-Visby Rules. (i) "Hague-Visby Rules" means the Hague Rules as modified by the Protocol to Amend the International Convention for the Unification of Certain Rules of Law Relating to Bills of Lading signed at Brussels, February 23, 1968 and/or the Protocol Amending the International Convention for the Unification of Certain Rules of Law Relating to Bills of Lading signed at Brussels, December 21, 1979. (j) "Holder" means any person for the time being in possession of this Bill of Lading to whom the property in the Goods has passed by reason of the assignment of the Goods or the endorsement of this Bill of Lading or otherwise. (k) "Merchant" means, jointly and severally, the shipper, holder of this Bill of Lading, consignee, receiver of the Goods, any person owning or entitled to the possession of the Goods or the title of the Goods, and anyone acting on behalf of any such person. (l) "Package" means (i) the container when the Goods are shipped in a Container; (2) the skid or pallet when Goods are shipped on a skid or pallet and are not in a Container and the Container is attached to the package for the purposes of the Carrier's limitation of liability; and (3) the unit of measurement when the Goods are shipped in a Container. (m) "Through bill of lading" means a bill of lading which contains the greater quantity of the Goods and to which some packaging preparation for the transportation has been made which facilitates handling even though it does not conceal or completely enclose the Goods; and (n) the carrier or similar type of protective framework support for the Goods are secured. This Clause does not apply to Goods shipped in bulk, and supersees any other provision which may be printed, stamped or written elsewhere in this Bill of Lading. (o) "Person" includes any natural person, group of people, business entities, and enterprises, whether described, and all personnel of such business entities or enterprises such as owners, members, directors, officers, servants, employees, and agents. (p) "Port-to-Port" means when the port of loading and the port of discharge only are shown on the face hereof and neither the place of acceptance nor the final destination is shown on the face hereof. (q) "Ship" includes the ocean-going vessel named in this Bill of Lading, any substituted vessel, tender vessel, lighter, barge, tug, craft, and other means of conveyance whatsoever which is used in the performance of this contract. (r) "Stowage Unit" means freight unit and the term "unit" as used in the Hague Rules and COGSA. (s) "Subcontractor" means any person, firm, company, and independent contractors (including the Ship, and Underlying Carrier) whether acting as a carrier, trailer or otherwise, terminal operator, warehouseman, stevedore, warehouse, managing agents and independent contractors whatsoever used or employed by the Carrier in connection with the performance of any or all of the Carrier's obligations under this Bill of Lading whether direct or indirect. (t) "Through Bill of Lading" means a bill of lading which covers the entire voyage from the place of receipt to the place of delivery to the Merchant by the Carrier and by one or more Underlying Carriers. (u) "Underlying Carrier" includes any sea, water, rail, motor, air or other carrier utilized by the Carrier for any part of the Carriage of the shipment covered by this Bill of Lading whether it be a Port-to-Port or Through Carriage.

2. **CARRIER'S TAIRIFF** The terms of use Carrier's applicable tariff are incorporated herein. A copy of the relevant provisions of the applicable tariff can be obtained from the Carrier's web site or on request from the Carrier or its agent. The Carrier's applicable tariff shall be deemed to be a part of the Carrier's tariff. In any conflict between this Bill of Lading and the applicable tariff, this Bill of Lading shall prevail except that the applicable tariff shall govern as to freight charges.

3. **MERCHANT'S WARRANTY** The Merchant warrants and represents that in agreeing to the terms of this Bill of Lading, it is with the authority of the Person owning or entitled to the possession of the Goods and this Bill of Lading.

4. **SUB-CONTRACTING** (a) The Carrier shall be entitled to sub-contract in any terms the whole or any part of the Carriage (b) In connection with the Carriage, the Carrier may employ or engage any persons for all or part of this Carriage. It is acknowledged that any Person or Subcontractor, as defined in Clauses 1(m) and 1(o) other than the Carrier is a carrier or bailee of the Goods, or is a Person whose services contribute to the Carriage of the Goods, or is under any responsibility with respect thereto, then all of the Carrier's Defenses shall be available to such and every such Person and/or Subcontractor, and each and every such Person and/or Subcontractor shall be an agent of the Carrier, regardless of whether there is direct privity of contract with the Carrier. Such Person or Subcontractor shall have no greater liability to the Merchant in respect of the Goods than the Carrier does. Nothing in this Bill shall relieve such Person from any liability to the Carrier. (c) On Port-to-Port shipments, where the Carrier consents or arranges with one or more Subcontractors for the carriage, storage or delivery of the Goods, or the Goods are to be carried, stored, or delivered in any case may be, it does so solely as the Merchant's agent and the Carrier shall not be liable as carrier, bailee or otherwise for any loss, damage or delay in respect of the Goods while in the custody of such Subcontractors. The rights, limitations, defenses and exclusions from liabilities of such Subcontractors shall be paramount to the contract by which they undertake such acts, storage or carriage and those contracts shall be binding on the Merchant. (d) On Port-to-Port shipments and Through Carriage movements, the Carrier shall be entitled to (and nothing in this Bill of Lading shall operate to deprive or limit such entitlements) the full benefits of all rights, limitations, defenses and exclusions from liability of the Ship's Bill of Lading throughout the entire time that the Goods are in the actual custody of the Ship and until the Goods are delivered to the Merchant. (e) Notwithstanding from liability, are incorporated into this Bill of Lading by reference and shall be binding on the Merchant.

5. **CLAUSE PARAMOUNT** (a) Nothing in this Bill of Lading shall be construed as a surrender, waiver or reduction of all or any part of the Carrier's Defenses. The Carrier's Defenses referred to in this Bill of Lading are cumulative; (b) The Carrier shall not be liable for any loss, damage, or delay to or in connection with the Goods unless the same occurred while in the custody of the Carrier or a Person or Subcontractor for whom the Carrier is responsible; (c) On all shipments in, from or through the United States, including Through Carriage, this Bill of Lading shall have effect subject to COGSA which shall be deemed incorporated herein; (d) If Clause 5(c) is inapplicable or unenforceable, this Bill of Lading shall be subject to (i) the Hague Rules or Hague-Visby Rules if not as mandatorily applicable in the country of shipment, and (ii) any legislation making those Rules compulsorily applicable to this Bill of Lading; (e) If Clause 5(c) and (d) above are unenforceable or inapplicable, then this Bill of Lading shall be subject to the law of the country of shipment; (f) Notwithstanding Clauses 5(c), (d) or (e) shall be deemed to increase the Carrier's liabilities and obligations under Clauses 5(c) and (d) above; (g) Except where Clause 5(c) below applies, the applicable liability regime (see Clauses 5(c), (d) and (e) hereof) shall govern before the Goods are loaded on board and after they are discharged from the Ship and throughout the time they are in the custody of the Carrier or a Person for whom the Carrier is responsible.

6. **GENERAL LIMITATIONS** (a) The Carrier does not undertake that the Goods shall arrive at the port of discharge or place of delivery at any particular time or to meet any particular market or use. (b) The Carrier shall in no circumstances be liable for indirect or consequential loss or damage arising from any cause whatsoever. Neither shall the Carrier be liable for any purely economic loss including but not limited to loss of profits or for punitive damages; (c) Where delay, loss or damage in respect of the Goods occurs while the Goods are in the custody of an Underlying Carrier or other Person referred to in Clauses 4(a) and (b) above, the Carrier's liability for same shall be no greater than that of such Underlying Carrier or Person under its own contract for carriage; and (d) the Carrier shall be entitled to all the Defenses available to such Underlying Carrier or Person; (e) The Carrier shall be entitled to all the Defenses provided to the International Convention on Limitation of Liability for Maritime Claims (London) 1976. Notwithstanding the foregoing, if local law makes the International Convention on Limitation of Liability for Maritime Claims of 1976 inapplicable, then the Convention shall be deemed applicable, then said Convention will be deemed applicable under this Bill of Lading. The Carrier shall also be entitled to the full benefit of all Defenses available in any national law which shall be applicable; (f) The Carrier shall not be liable for any delay, loss or damage occurring by reason of fire, including that occurring before loading on or after discharge from the Ship or while the Goods are in the custody of the Carrier or a Person for whom the Carrier has been caused by the design or neglect or by the actual fault or privity of the Carrier. In any situation where such exemption from liability may not be permitted by law, the Carrier shall not be liable for any such delay, loss or damage by fire unless caused by its negligence or the negligence of a Person for whom it is responsible.

7. **AMOUNT OF COMPENSATION AND LIMITATION OF LIABILITY** (a) The limitations of liability provided for in this Bill of Lading shall apply unless the nature and value of the Goods have been declared, in writing, by the Merchant and in advance of the Carriage, issued on the first of this Bill of Lading, in the space provided for and no valorem freight rate and other applicable charges shall be paid; (b) Where no declaration is made in writing, the limitations of liability set forth below, all claims for which the Carrier may be liable shall be adjusted and settled on the basis of the lower of, (i) The net invoice value of the Goods plus freight and insurance, or (ii) The usual fair market value of the Goods at the time and place of delivery. The Carrier shall not be liable for loss of profits. (c) The Carrier shall not be liable for any loss or damage occurring by reason of fire, including that occurring before loading on or after discharge from the Ship or while the Goods are in the custody of the Carrier or a Person for whom the Carrier has been caused by the design or neglect or by the actual fault or privity of the Carrier. In any situation where such exemption from liability may not be permitted by law, the Carrier shall not be liable for any such delay, loss or damage by fire unless caused by its negligence or the negligence of a Person for whom it is responsible.

8. **NOTICE OF CLAIM AND TIME FOR SUIT** (a) Unless notice of loss or damage and the general nature of same be given in writing to the Carrier at the port of discharge or place of delivery before or at the time of delivery of the Goods, or, if the loss or damage is not apparent, within three consecutive days after delivery, the Goods shall be deemed to have been delivered as described in this Bill of Lading. (b) Except as provided below, the Carrier shall be discharged from all liability in respect of loss of or damage to the Goods non-delivery, delay or any other loss or damage connected or related to the Carriage unless suit is brought within one year after delivery of the Goods or the date when the Goods should have been delivered. (c) Where delay, loss or damage to the Goods occurs in the custody of an Underlying Carrier or Subcontractor, the Carrier shall be discharged from all liability in respect of same unless: (i) all written notices (such as notice of loss and notice of claim) required by such Underlying Carrier or Subcontractor are provided to the Carrier by Merchant in the form required by such Underlying Carrier or Subcontractor; and (ii) the Carrier or the Merchant's obligation to become familiar with such notices to meet the Underlying Carrier's or Subcontractor's deadlines for filing such notices; and (iii) suit is brought against the Carrier sufficiently early to enable the Carrier to sue the Underlying Carrier or Subcontractor within the time set out in its contract or by law. The requirements of all Underlying Carrier and Subcontractors are available upon request from the Carrier. The Carrier shall have no obligation to volunteer or provide them except upon a timely request by the Merchant.

9. **CARRIER'S DEFENSES** The Carrier's Defenses shall apply in any action in respect of the Goods whether the action be founded in contract, tort or otherwise. (a) The Carrier shall be discharged from all liability in respect of loss of or damage to the Goods non-delivery, delay or any other loss or damage connected or related to the Carriage unless suit is brought within one year after delivery of the Goods or the date when the Goods should have been delivered. (b) Where delay, loss or damage to the Goods occurs in the custody of an Underlying Carrier or Subcontractor, the Carrier shall be discharged from all liability in respect of same unless: (i) all written notices (such as notice of loss and notice of claim) required by such Underlying Carrier or Subcontractor are provided to the Carrier by Merchant in the form required by such Underlying Carrier or Subcontractor; and (ii) the Carrier or the Merchant's obligation to become familiar with such notices to meet the Underlying Carrier's or Subcontractor's deadlines for filing such notices; and (iii) suit is brought against the Carrier sufficiently early to enable the Carrier to sue the Underlying Carrier or Subcontractor within the time set out in its contract or by law. The requirements of all Underlying Carrier and Subcontractors are available upon request from the Carrier. The Carrier shall have no obligation to volunteer or provide them except upon a timely request by the Merchant.

10. **CONTAINER PACKED BY MERCHANT** Where a Container has been filled, packed, stuffed or loaded by the Merchant, then: (a) The Merchant shall ensure that: (i) the nature and condition of the Goods are accurately described on the face hereof and comply with all applicable legal and contractual requirements; the burden of ascertaining those requirements being upon the Merchant; and (ii) the contents of the Container(s) are suitable for the Carriage contracted for; and (iii) there is no unsuitable or defective condition of the Container. Clause 10(a)(ii) does not apply where: (a) the Container is supplied by the Carrier; and (b) the Carrier, in connection with such Carriage, from the Carrier's lack of due diligence in making the Container reasonably fit for the purpose for which it is required; and (c) the unsuitable or defective condition would not have been apparent upon reasonable inspection by the Merchant at or prior to the time when the Container was filled, packed, stuffed or loaded; and (d) there are no drugs, narcotics or other illegal substances or contraband within the Container or inside the Goods; (b) The Carrier shall not be responsible for any delay, loss or damage to the Goods arising out of the Merchant's failure in whole or in part to comply with Clause 10(a) above; (c) Anything in this Bill of Lading in the effect of "shipped on board" or "clean on board" or "received in good order" or any other similar phrase shall be null and void hereof; (d) This Bill of Lading shall be subject to section 80113 of the U.S. Federal Bills of Lading Act, 49 U.S.C. (a.k.a the Pomeroy Act) which is incorporated herein; (e) The Carrier does not have facilities to weigh sealed Containers at the loading port and has neither inspected the contents nor weighed the Containers.

11. **INSPECTION OF GOODS** (a) The Carrier shall be entitled but under no obligation to open any Container at any time without notice to Merchant and to inspect the contents. If it appears that all or any of the Goods cannot be safely or properly carried further, either in the same or in another mode of transport, or if it appears that the nature or condition of the Goods or the Goods in any part thereof, the Carrier may abandon the Carriage and/or take any measures and/or incur any reasonable additional expense to continue the Carriage or to store the same ashore or afloat under cover or in the open, at any place, which storage shall be deemed to constitute due delivery under this Bill of Lading. (b) If Clause 11(a) applies by or on behalf of the Carrier, the Carrier shall be relieved of all liability; and (c) If the Carrier is not relieved of all liability in respect of the Goods, the Carrier shall be deemed to have accepted the Goods as delivered and the Merchant shall indemnify the Carrier for the cost of all measures taken above.

12. **DESCRIPTION OF GOODS** All statements in this Bill of Lading relating to the contents of the Containers, including marks and numbers, number and kind of packages, description, quantity, quality, weight, measure, nature, kind, value or any other particulars are as furnished by the Merchant. They are unknown to the Carrier which has not checked them and the Carrier assumes no liability in respect thereof. (a) **MERCHANT'S RESPONSIBILITY** (i) The Merchant warrants and represents to the Carrier that the particulars relating to the Goods as set out overall have been checked by the Merchant on receipt of this Bill of Lading and that such particulars and any other particulars furnished by or on behalf of the Merchant are correct; (ii) Containers, pallets or similar transportation equipment supplied by or on behalf of the Carrier shall be returned to the Carrier in the same order and condition as handed over to the Merchant, normal wear and tear excepted, with interiors clean and within the time prescribed in the Carrier's tariff or elsewhere. The Merchant shall be liable, regardless of its lack of fault or neglect, for all delay, loss and damage suffered by such equipment of Carriage which occurs during the period such equipment has been interchanged or handed over to the Merchant.

13. **FREIGHT AND CHARGES** (a) The freight and charges have been calculated on the basis of the particulars furnished by or on behalf of the Merchant and the Carrier shall be entitled to the production of the commercial invoice for the Goods or a true copy thereof and to inspect, weigh, reweigh, remeasure and revalue the Goods, and if the particulars are found by the Carrier to be incorrect due to the Merchant's error or misdescription or failure to disclose additional Goods, the Merchant shall: (i) pay the Carrier the correct freight and charges; (ii) pay the Carrier the correct freight and charges for the Goods actually in the Container and the costs incurred by the Carrier in establishing the correct particulars, freight and charges in accordance with the Carrier's tariff and this Bill of Lading; and (iii) pay the penalty or fine imposed by governmental authorities as a result of any misdescription or error or failure to disclose additional Goods. (b) If the freight or charges in the classification hereof of the Goods is subject to correction, and if on correction the freight or charges are higher, the Carrier shall be entitled to the additional amount; (c) Charges shall be deemed fully earned on receipt of the Goods by the Carrier and shall be paid and non-refundable in any event, whether Ship or Underlying Carrier is lost, the Goods delayed, lost or damaged, or the voyage changed, broken up, frustrated or abandoned; (d) All freight and charges shall be paid in full without any offset, counterclaim or deduction; (e) Payment of ocean freight and charges to an intermediary, broker or anyone other than the Carrier, or its authorized agent, shall not be deemed payment to the Carrier and shall be made at the Merchant's sole risk.

14. **LIEN** The Carrier shall have a lien on the Goods and any documents relating thereto for all sums payable to the Carrier: (a) Under this Bill of Lading; (b) Under any other contracts with the Merchant, including without limitation, any and all unpaid ocean freight charges and charges payable to the Carrier; (c) For expenses incurred by the Carrier for the account of the Merchant, and for General Average and salvage contributions to whatsoever due; and (d) For the costs and attorneys' fees incurred in recovering any or all of the foregoing; and for all such purposes the Carrier shall have a right in its absolute discretion to sell or dispose of the Goods or any part thereof by public auction or private sale without notice to the Merchant.

15. **OPTIONAL STOWAGE** (a) The Goods may be stowed by the Carrier in Containers or similar articles of Carriage used to consolidate Goods; (b) Goods stowed in Containers whether by the Carrier or the Merchant, may be carried on or under deck without notice to the Merchant. Goods stowed in any covered-in space or loaded in a Container carried on deck shall be deemed stowed under deck for all purposes, including General Average, COGSA, the Hague Rules, the Hague-Visby Rules and other compulsorily applicable legislation.

16. **DECK CARGO** Goods which are stated herein to be carried on deck, whether or not carried on deck, are carried without responsibility on the part of the Carrier for loss or damage of whatsoever nature arising during carriage by sea whether caused by unsuitableness, negligence or otherwise.

17. **SPECIAL CONTAINERS** (a) Except as provided in below, the Carrier does not undertake to carry Goods that are or must be refrigerated, heated, insulated, or ventilated, or to carry any special Containers packed by or on behalf of the Merchant. Rather, the Carrier shall require the Merchant to use such Containers (if any) at the Merchant's expense. The Carrier shall not be responsible for the functioning of special Containers supplied by or on behalf of the Merchant; (b) Where the Carrier has agreed to

carry the Goods in one or more special Containers, the Carrier shall not be responsible for control and care of the refrigeration units (such as Containers) when the Containers are not in the actual possession of the Carrier or a Person for whom it is responsible. The Carrier does not warrant or represent the good order or condition of the refrigerating or heating machinery and it shall not be liable for any latent defect in the refrigeration or heating equipment; (c) If the Goods have been carried in refrigerated or heated Containers by the Carrier and the particular temperature range by the Merchant is inserted in this Bill of Lading, the Carrier will set the thermodynamic controls within the required temperature range, and will exercise diligence to maintain such temperature plus or minus 1°C; (d) If the Goods received by the Carrier are refrigerated or heated Containers into which the contents have been packed by or on behalf of the Merchant, it is the obligation of the Merchant to stow the contents properly and set the thermodynamic controls exactly. The Carrier shall not be liable for a loss or damage to the Goods arising out of or resulting from the Merchant's failure to do so.

18. **CONTAINER CONDEMNATION, ETC.** Rust, mold, oxidation or condensation inside the Container or any like condition due to moisture is not the responsibility of the Carrier, unless said condition arises out of Carrier's failure to provide a seaworthy Container to the Merchant prior to loading.

19. **SPECIAL ARRANGEMENTS** If the Merchant requires special arrangements for the Carriage of such Goods, then (a) the same must be requested in writing to the Carrier, (b) said arrangements must be noted on the face of this Bill of Lading, and (c) all special freight, as required, must be paid by the Merchant.

20. **METHODS AND ROUTES OF CARRIAGE** (a) The Carrier may at any time and without notice to the Merchant: (i) use any means of Carriage whatsoever; (ii) Transfer the Goods from one conveyance in another including trans-shipment or carrying the Goods on a ship other than the Ship named overlaid; (iii) Preclude any mode in its discretion whether or not the need be direct or indirect or customary or advertised and proceed by or stay at any place or port whatsoever once or more often and in any order; (iv) Load and unload the Goods at any place or port (whether or not any such port is named overlaid) at the point of loading or point of discharge and store the Goods at any such place or port; and (v) Comply with any order or instruction issued by any government or authority or anyone purporting to act as or on behalf of such government or authority or having under the terms of the insurance on the conveyance employed by the Carrier the right to give orders or directions; (b) The liberties set out in Clause 20(a) above may be invoked by the Carrier for any purpose whatsoever including unloading, repacking, towing or being towed, adjusting, inspecting, dewatering and assisting vessels in all situations, and anything done in accordance with Clause 20(a) or any delay arising therefrom shall be deemed to be within the contractual carriage and shall not be a deviation.

21. **MATTERS AFFECTING PERFORMANCE** If at any time the performance of the contract evidenced by this Bill of Lading is or is likely to be affected by any hindrance, risk, delay, difficulty or disadvantage of whatsoever kind which cannot be avoided by the exercise of reasonable diligence, the Carrier (whether or not the Carriage is commenced) may without notice to the Merchant treat its performance under this Bill of Lading as terminated and may, at its option, either: (i) suspend the Carriage at any place or port which the Carrier may deem safe and convenient, whereupon the responsibility of the Carrier in respect of such Goods shall cease. The Merchant shall pay any additional costs of carriage to and delivery and storage at such place or port.

22. **WAR RISK EXPENSES** The Carrier may at any time and without prior notice to the Merchant impose surcharges to cover all extra expenses (including but not limited to extra insurance premiums and costs of diversion) incurred by the Carrier as a result of the outbreak of war, hostilities, war-like operations, terrorism, civil war, civil commotion, blockade, piracy or revolution regardless of whether the Ship sailed or not sailed or is underway at the time the expenses are incurred.

23. **DANGEROUS GOODS** (a) The Merchant will not tender any Goods which are or may become inflammable, explosive or dangerous in nature without first giving advance written notice of the nature and character of the Goods to the Carrier. The Merchant shall comply with all laws and other requirements however described relating to the packing and shipment of such Goods; (b) Such Goods may, at any time or place, be unloaded, destroyed, or rendered harmless without compensation to the Merchant, and if the Merchant has not given notice of their nature and character to the Carrier, the Carrier shall be under no liability to make any General Average contribution in respect of such Goods.

24. **REGULATIONS RELATING TO GOODS** The Merchant shall comply with all regulations or requirements of customs, port and other authorities, and shall bear and pay all duties, taxes, fines, penalties, interest, expenses or losses incurred or suffered by reason thereof or by reason of any illegal, incorrect or insufficient marking, numbering or addressing of the Goods and shall indemnify the Carrier in respect thereof.

25. **NOTIFICATION AND DELIVERY** (a) Any mention in this Bill of Lading of parties to be notified of the arrival of the Goods is solely for the information of the Carrier and the Carrier's failure to give such notice shall not give rise to any liability by the Carrier nor relieve the Merchant of any obligation hereunder; (b) The Merchant shall take delivery of the Goods within the time provided in the Carrier's applicable tariff, failing which the Merchant shall pay demurrage/warehouse charges at the rate stipulated in the Carrier's applicable tariff; (c) If the Merchant fails to take delivery of all or any part of the Goods by the expiration of the tariff's prescribed free time, such Goods shall be deemed to have been delivered to the Merchant and the Carrier may, with or without notice, but subject to its lien, store or warehouse the undelivered Goods at the sole risk and expense of the Merchant, whereupon the liability of the Carrier in respect of the undelivered Goods shall cease. The Carrier shall have a lien (for all expenses incurred); (d) Notwithstanding any to the contrary herein, where in accordance with local law, all import cargo is discharged into the custody of a port authority or customs authority or other agency which is solely responsible for the correct release of the cargo to the rightful consignee or cargo receiver, then the Carrier shall not be liable in the event of an incorrect release of the cargo by such authority or agency; (e) The Carrier does not undertake that the Goods shall arrive at the port of discharge or place of delivery at any particular time or to meet any particular market or use, and the Carrier shall in no circumstance whatsoever and however arising be liable for any delay, loss or damage, or consequential loss or damage caused by the non-delivery of the Goods; (f) The Carrier's liability is limited to the consequences of any delay, the Carrier's liability is limited to an amount equal to two (2) times the freight charged Merchant under this Bill of Lading.

26. **BOTH-TO-BLAME COLLISION** The Both to Blame Clause published by the Baltic and International Maritime Council (BIMCO) is incorporated herein.

27. **GENERAL AVERAGE** (a) The Carrier may declare General Average which shall be adjustable according to the York/Antwerp Rules 1924 at any place at the option of the Carrier and the Amended Jasic Clause as approved by BIMCO is incorporated herein and the Merchant shall provide such security as may be required by the Carrier in this connection; (b) Notwithstanding Clause 27(a) above, the Merchant shall indemnify, defend and hold the Carrier harmless from any claim; and any expense resulting therefrom, of a General Average nature which may be made on the Carrier and shall provide such security as may be required by the Carrier in this connection; (c) The Carrier is not obligated to take any steps to collect security for General Average contributions due to the Merchant.

28. **VARIATION OF THE CONTRACT** No waiver or variation of any term or condition of this Bill of Lading shall be effective against the Carrier unless made in writing and signed by someone with actual authority to do so on the Carrier's behalf.

29. **TORT OR CONTRACT** The Carrier's Defenses shall apply irrespective of whether the claims against it are based in tort, contract or otherwise, or whether the Carrier acted as a carrier, a bailee or otherwise.

30. **INDEMNITY** (a) The Merchant shall indemnify, defend and hold the Carrier harmless from all damages of any (i) failure by the Merchant to comply with any provision of this Bill of Lading, any applicable tariff, circular or contract, and/or any applicable provision of law; and/or (ii) breach or failure of any of the Merchant's representations or warranties, the Merchant's obligation to do so shall not be defeated or reduced by any negligence on the part of or attributable to the Carrier; (b) The Merchant shall reimburse the Carrier for (i) all disbursements, expenses and amounts spent or incurred in connection with the Carriage of the Goods; and (ii) all expenses, costs and fees, including attorneys' fees, incurred in collecting any amounts due the Carrier or as a result of the Merchant's breach of contract, breach of warranty, misrepresentation, or failure to fulfill the terms and conditions of this Bill of Lading.

31. **LAW AND JURISDICTION** (a) With the exception of Clause 4 (d) above in respect, in the Carrier being entitled to inter alia, the Ship's Bill of Lading law and jurisdictional claim, all claims against the Carrier in connection with this Bill of Lading shall be brought and heard exclusively in the U.S. District Court for the Southern District of New York, or if the claim is not brought in the U.S. District Court for the Southern District of New York, or if the claim is not brought in the U.S. District Court for the Southern District of New York, to the exclusion of any other forum; (b) On all claims by the Carrier, the Merchant consents to the jurisdiction of the U.S. District Court for the Southern District of New York or to a court of competent jurisdiction in New York; (c) Except as otherwise provided herein, this Bill of Lading shall be governed and construed in accordance with the laws of New York.

Exhibit F
to Declaration of Dimitry Alper



Marine Transport Logistic Inc

63 Hook Road
Bayonne, NJ. 07002
USA

201-858-8600

Invoice

Reference #

HBOL15488

Date				Due Date	Number
Aug/19/2013				Aug/26/2013	27764
Bill to				Shipper:	
MAVL Capital, Inc				Consignee:	
115E 57th Str, FL11				Origin/Destination:	
New York, NY 10022.				Entry Date:	
				Carrier:	
				AWB / BL No.:	
				House Way Bill:	
				Pieces / Weight:	
				Booking Number:	
				Desc. of Goods:	
				Container No.:	
Year	Make	Model	VIN	Notes	
	BOBCAT	S-250	530912346		
	BOBCAT	S205	530511404		
Description of Charges				Quantity	Price
Ocean Freight Service (v#912346/511404)				2.00	800.00
					1600.00

TERMS AND CONDITIONS:

This invoice contains cash outlays advances for your account. Payments must be received no later than 10 business days after sailing date. Past due invoices are subject to mandatory late payment fee of \$250 plus the cost of collection. Please remit promptly. All sales are final. No refunds. Marine Transport Logistics credit only. All ocean freight rates are quoted "ALL IN" to include: Base ocean freight, Loading, Lashing, Drayage and Export documentation filing.

USD ►

1600.00

PLEASE PAY THIS AMOUNT

RETURN PORTION

To Ensure Proper Credit, Please Return This Portion With Payment

Payment Instruction

For INTERNATIONAL Wire Transfers:

HSBC BANK
89 RIVER DRIVE SOUTH
JERSEY CITY, NJ 07310ROUTING: 021001088
SWIFT: MRMDUS33

Contact office for account information

For DOMESTIC Wire Transfers:

TD BANK
1701 ROUTE 70 EAST
CHERRY HILL, NJ 08034ROUTING: 026013673
SWIFT: CBNAUS33

Contact office for account information

MAILING ADDRESS

Marine Transport Logistics
63 New Hook Rd
Bayonne, NJ 07002

For ACH PAYMENTS:

Contact Office for account information

Make all checks payable to - Marine Transport Logistics

Office: 201.858.8600 Fax: 201.858.8607

Customer Name: MAVL Capital, Inc

Invoice #: 27764

File #: HBOL15488

Invoice Date: Aug/19/2013

Container Number: OOLU9376830

Origin: NYC

Destination: KTK

Amount: USD 1600.00

Year	Make	Model	VIN
	BOBCAT	S-250	530912346
	BOBCAT	S205	530511404

Exhibit G
to Declaration of Dimitry Alper



Marine Transport Logistic Inc

BILL OF LADING

2. EXPORTER (Principal or seller-licensee and address including ZIP Code) CAR EXPRESS AND IMPORT INC 333 AVE X 2ND FL, Tel: 2018588600, BROOKLYN, NY 11223. UNITED STATES OF AMERICA		5. DOCUMENT NUMBER 2535983081		5a. B/L NUMBER HBOL15161	
3. CONSIGNED TO TO THE ORDER OF SHIPPER		7. FORWARDING AGENT (Name and address - references) Marine Transport Logistic Inc 63 NEW HOOK RD, BAYONNE, NJ 07002. USA			
4. NOTIFY PARTY/INTERMEDIATE CONSIGNEE (Name and address) Albatros Europe Oy Satamantie 4 office 2115, Tel: +358443201263, Hamina 49460. FINLAND		8. EXPORT REFERENCES MBL: EO-22396			
12. PRE-CARRIAGE BY		13. PLACE OF RECEIPT BY PRE-CARRIER			
14. EXPORTING CARRIER OOCL KAOHSIUNG / 057E		15. PORT OF LOADING/EXPORT New York		10. LOADING PIER/TERMINAL	
16. FOREIGN PORT OF UNLOADING (Vessel and air only) Kotka		17. PLACE OF DELIVERY BY ON-CARRIER		11. TYPE OF MOVE Vessel, Containerized	
11a. CONTAINERIZED (Vessel only) Yes ☒ No					
MARKS AND NUMBERS (18)	NUMBER OF PACKAGES (19)	DESCRIPTION OF COMMODITIES in Schedule B detail (20)		GROSS WEIGHT (Kilos) (21)	MEASUREMENT (22)
WR 86002	1 VEH	40 Ft. High Cube No.:OOLU9383248 Seal:7266863 BOBCAT S185 , VIN# A3L938388 FORKS FOR 2010 BOBCAT S 185 BUCKET FOR 2010 BOBCAT S185 BATTERIES HAVE BEEN DISCONNECTED AND FUEL TANKS HAVE BEEN		1863.00 Kg	
1					

Carrier has a policy against payment, solicitation, or receipt of any rebate, directly or indirectly, which would be unlawful under the United States Shipping Act, 1984 as amended.
DECLARED VALUE READ CLAUSE 29 HEREOF CONCERNING EXTRA FREIGHT AND CARRIER'S LIMITATION OF LIABILITY.

FREIGHT RATES, CHARGES, WEIGHTS AND/OR MEASUREMENTS		
SUBJECT TO CORRECTION	PREPAID	COLLECT
RECEIVED, by the Carrier as described on the reverse hereof (hereinafter called the Carrier) from the above named shipper, the goods, or package said to contain goods, hereinabove described, in apparent good order and condition unless otherwise noted hereon, to be held and transported subject to all written, typed printed or stamped provisions of this bill of lading, on this and on the reverse side hereof, to the port or place of discharge named above or so near thereunto as the ship can always safely get and leave always afloat at the stages and conditions of water and weather and there to be delivered or transhipped on payment of the charges		
DATED AT <u>Bayonne</u> By <u>Marine Transport Logistics</u> SIGNED ON BEHALF OF THE CARRIER <u>July</u> <u>11</u> <u>2013</u> MO. DAY YEAR		
B/L No. HBOL15161		
GRAND TOTAL		

Payment must be received no later than 2 weeks after sailing date. Past Due Invoices are subject to mandatory Late Fee (\$50) and Documentation Fee

Exhibit H
to Declaration of Dimitry Alper



Marine Transport Logistic Inc

63 Hook Road
Bayonne, NJ. 07002
USA

201-858-8600

Invoice

Reference #

HBOL15161

Date

Due Date

Number

Aug/08/2013

Aug/15/2013

27382

Bill to

MAVL Capital, Inc
115E 57th Str, FL11
New York, NY 10022.

Shipper:

Consignee:

Origin/Destination:

Entry Date:

Carrier:

AWB / BL No.:

House Way Bill:

Pieces / Weight:

Booking Number:

Desc. of Goods:

CAR EXPRESS AND IMPORT INC
TO THE ORDER OF SHIPPER
NYC / KTK
Jul/11/2013
ORIENT OVERSEAS CONTAINER LI
EO-22396
HBOL15161
1 / 4108.00 lb
2535983081
BOBCAT S 185

Year

Make

Model

VIN

Notes

BOBCAT

S 185

A3L938388

Description of Charges

Quantity

Price

Amount

Ocean Freight Service

1.00

750.00

750.00

TERMS AND CONDITIONS:

This invoice contains cash outlays advances for your account. Payments must be received no later than 10 business days after sailing date. Past due invoices are subject to mandatory late payment fee of \$250 plus the cost of collection. Please remit promptly. All sales are final. No refunds. Marine Transport Logistics credit only. All ocean freight rates are quoted "ALL IN" to include: Base ocean freight, Loading, Lashing, Drayage and Export documentation filing.

USD

750.00

PLEASE PAY THIS AMOUNT

RETURN PORTION

To Ensure Proper Credit, Please Return This Portion With Payment

Payment Instruction

For INTERNATIONAL Wire Transfers:

For DOMESTIC Wire Transfers:

HSBC BANK
89 RIVER DRIVE SOUTH
JERSEY CITY, NJ 07310TD BANK
1701 ROUTE 70 EAST
CHERRY HILL, NJ 08034ROUTING: 021001088
SWIFT: MRMOUS33ROUTING: 026013673
SWIFT: CBNAUS33

Contact office for account information

Contact office for account information

MAILING ADDRESS

Marine Transport Logistics
63 New Hook Rd
Bayonne, NJ 07002

For ACH PAYMENTS:

Contact Office for account information

Make all checks payable to - Marine Transport Logistics
Office: 201.858.8600 Fax: 201.858.8607

Customer Name MAVL Capital, Inc

Invoice #: 27382

File #: HBOL15161

Invoice Date: Aug/08/2013

Container Number:

Origin: NYC

Destination: KTK

Amount: USD 750.00

Year	Make	Model	VIN
	BOBCAT	S 185	A3L938388

Exhibit I
to Declaration of Dimitry Alper



Marine Transport Logistic Inc

BILL OF LADING

2. EXPORTER (Principal or seller-licensee and address including ZIP Code) MAVL CAPITAL 63 NEW HOOK RD BAYONNE, NJ 07002. USA ZIP CODE		5. DOCUMENT NUMBER NYNY440126		5a. B/L NUMBER HBOL15168	
3. CONSIGNED TO OSTROVSKI ANATOLI ARNOLD STR 2 DUSSELDORF 40749 4917760347		7. FORWARDING AGENT (Name and address - references) Marine Transport Logistic Inc 63 NEW HOOK RD, BAYONNE, NJ 07002. USA			
4. NOTIFY PARTY/INTERMEDIATE CONSIGNEE (Name and address) CROSS TRANS SERVICE GMBH Steubenstr. 7b, Tel: +494719458036, Bremerhaven D-27568 . GERMANY		8. POINT (STATE) OF ORIGIN OR FTZ NUMBER			
12. PRE-CARRIAGE BY		13. PLACE OF RECEIPT BY PRE-CARRIER		9. DOMESTIC ROUTING/EXPORT INSTRUCTIONS	
14. EXPORTING CARRIER APL SHANGHAI / 035E		15. PORT OF LOADING/EXPORT New York		10. LOADING PIER/TERMINAL	
16. FOREIGN PORT OF UNLOADING (Vessel and air only) Bremerhaven		17. PLACE OF DELIVERY BY ON-CARRIER		11. TYPE OF MOVE Vessel, Containerized	
11a. CONTAINERIZED (Vessel only) Yes ☒ No					
MARKS AND NUMBERS (18)	NUMBER OF PACKAGES (19)	DESCRIPTION OF COMMODITIES in Schedule B detail (20)		GROSS WEIGHT (Kilos) (21)	MEASUREMENT (22)
CAIU8033698 7266877	1 PCS	2 CHAIRS AES XTN: 123456789-HBOL15168		68.04 Kg "150.00 Lb"	
1				68.04 Kg 150.00 lb	0.00 Vlb 0.00 ft ³

Carrier has a policy against payment, solicitation, or receipt of any rebate, directly or indirectly, which would be unlawful under the United States Shipping Act, 1994 as amended.
DECLARED VALUE READ CLAUSE 29 HEREOF CONCERNING EXTRA FREIGHT AND CARRIER'S LIMITATION OF LIABILITY.

FREIGHT RATES, CHARGES, WEIGHTS AND/OR MEASUREMENTS		
SUBJECT TO CORRECTION	PREPAID	COLLECT
GRAND TOTAL		

RECEIVED, by the Carrier as described on the reverse hereof (hereinafter called the Carrier) from the above name shipper, the goods, or package said to contain goods, hereinabove described, in apparent good order and condition unless otherwise noted hereon, to be held and transported subject to all written, typed printed or stamped provisions of this bill of lading, on this and on the reverse side hereof, to the port or place of discharge named above or so near thereunto as the ship can always safely get and leave always afloat at the stages and conditions of water and weather and there to be delivered or transhipped on payment of the charges

DATED AT Bayonne

By Marine Transport Logistics
SIGNED ON BEHALF OF THE CARRIER

MO. _____ DAY _____ YEAR _____

B/L No. **HBOL15168**

Payment must be received no later than 2 weeks after sailing date. Past Due Invoices are subject to mandatory Late Fee (\$50) and Documentation Fee

Exhibit J
to Declaration of Dimitry Alper



Marine Transport Logistic Inc

63 Hook Road
Bayonne, NJ. 07002
USA

201-858-8600

Invoice

Reference #

HBOL15168

Date	Due Date	Number
Aug/06/2013	Aug/13/2013	27343

Bill to	Shipper:	MAVL CAPITAL
MAVL Capital, Inc	Consignee:	
	Origin/Destination:	NYC / BRV
	Entry Date:	Jul/15/2013
	Carrier:	HYUNDAI MERCHANT MARINE (AME
	AWB / BL No.:	EO-22456
	House Way Bill:	HBOL15168
	Pieces / Weight:	1 / 150.00 lb
	Booking Number:	NYNY440126
	Desc. of Goods:	2 CHAIRS
	Container No.:	CAIU8033698

Year	Make	Model	VIN	Notes

Description of Charges	Quantity	Price	Amount
Ocean Freight Service	1.00 0	250.00	250.00
Storage Fee	1.00	310.00	310.00
Inland Freight	4.00	150.00	600.00

TERMS AND CONDITIONS:

This invoice contains cash outlays advances for your account. Payments must be received no later than 10 business days after sailing date. Past due invoices are subject to mandatory late payment fee of \$250 plus the cost of collection. Please remit promptly. All sales are final. No refunds. Marine Transport Logistics credit only. All ocean freight rates are quoted "ALL IN" to include: Base ocean freight, Loading, Lashing, Drayage and Export documentation filing.

USD

1160.00

PLEASE PAY THIS AMOUNT

RETURN PORTION

To Ensure Proper Credit, Please Return This Portion With Payment

Payment Instruction

For INTERNATIONAL Wire Transfers:

HSBC BANK
89 RIVER DRIVE SOUTH
JERSEY CITY, NJ 07310ROUTING: 021001088
SWIFT: MRMDUS33

Contact office for account information

For DOMESTIC Wire Transfers:

TD BANK
1701 ROUTE 70 EAST
CHERRY HILL, NJ 08034ROUTING: 026013673
SWIFT: CBNAUS33

Contact office for account information

MAILING ADDRESS

Marine Transport Logistics
63 New Hook Rd
Bayonne, NJ 07002

For ACH PAYMENTS:

Contact Office for account information

Make all checks payable to - Marine Transport Logistics
Office: 201.858.8600 Fax: 201.858.8607

Customer Name:MAVL Capital, Inc

Invoice #: 27343

File #: HBOL15168

Invoice Date: Aug/06/2013

Container Number: CAIU8033698

Origin: NYC

Destination: BRV

Amount: USD 1160.00

Year	Make	Model	VIN

Exhibit K
to Declaration of Dimitry Alper



Marine Transport Logistic Inc
63 Hook Road
Bayonne, NJ. 07002
USA

201-858-8600

Invoice

Reference #
77853

Bill to	Date	Due Date	Number
MAVL Capital, Inc	Feb/21/2013	Feb/28/2013	20059
Document Number: 77853 Shipper: OSTROVSKIY MAXIM Consignee: Entry Date: Feb/13/2013 Origin/Destination: NYC / Carrier: Pieces / Weight: 1 / 3082.00 lb			

Year	Make	Model	VIN	Notes
2012	Volkswagen	Jetta	3VWDP7AJ3CM348564	v#348564

Description of Charges	Quantity	Price	Amount
Purchases (v#348564)	1.00	1004.00	1004.00
Inland Freight (v#348564 Carteret, NJ-Brooklyn-Bayonne, NJ)	1.00	200.00	200.00
Storage Fee (v#348564 @ IAAI)	1.00	100.00	100.00
Interest (\$1304X0.30X187/365)	1.00	200.00	200.00

TERMS AND CONDITIONS:

This invoice contains cash outlays advances for your account. Payments must be received no later than 10 business days after sailing date. Past due invoices are subject to mandatory late payment fee of \$250 plus the cost of collection. Please remit promptly. All sales are final. No refunds. Marine Transport Logistics credit only. All ocean freight rates are quoted "ALL IN" to include: Base ocean freight, Loading, Lashing, Drayage and Export documentation filing.

USD

1504.00

PLEASE PAY THIS AMOUNT

RETURN PORTION

To Ensure Proper Credit, Please Return This Portion With Payment

Payment Instruction

For INTERNATIONAL Wire Transfers:

HSBC BANK
89 RIVER DRIVE SOUTH
JERSEY CITY, NJ 07310

ROUTING: 021001088
SWIFT: MRMDUS33

Contact office for account information

MAILING ADDRESS

Marine Transport Logistics
63 New Hook Rd
Bayonne, NJ 07002

For DOMESTIC Wire Transfers:

TD BANK
1701 ROUTE 70 EAST
CHERRY HILL, NJ 08034

ROUTING: 026013673
SWIFT: CBNAUS33

Contact office for account information

For ACH PAYMENTS:

Contact Office for account information

Make all checks payable to - Marine Transport Logistics
Office: 201.858.8600 Fax: 201.858.8607

Customer Name: MAVL Capital, Inc

Invoice #: 20059

File #: 77853

Invoice Date: Feb/21/2013

Container Number:

Origin: NYC

Destination:

Amount: USD 1504.00

Year	Make	Model	VIN
2012	Volkswagen	Jetta	3VWDP7AJ3CM348564

Exhibit L
to Declaration of Dimitry Alper



Marine Transport Logistic Inc

63 Hook Road
Bayonne, NJ. 07002
USA

201-858-8600

Invoice

Reference #

84899

Date	Due Date	Number
Aug/16/2013	Aug/26/2013	27702

Bill to MAVL Capital, Inc	Document Number: 84899 Shipper: OSTROVSKIY MAXIM Consignee: Entry Date: May/16/2013 Origin/Destination: NYC / Carrier: Pieces / Weight: 1 / 0.00 lb
-------------------------------------	---

Year	Make	Model	VIN	Notes
2004	VOLVO	VNL	4V4NC9TG34N355476	

Description of Charges	Quantity	Price	Amount
Storage Fee (From 05.16.13 to 08.26.13 (103 days X \$45))	103.00	45.00	4635.00
Purchases	1.00	8990.00	8990.00
Inland Freight	1.00	1950.00	1950.00
Interest (\$10940 X 30% X 103/365 DAYS)	1.00	926.00	926.00

TERMS AND CONDITIONS:

This invoice contains cash outlays advances for your account. Payments must be received no later than 10 business days after sailing date. Past due invoices are subject to mandatory late payment fee of \$250 plus the cost of collection. Please remit promptly. All sales are final. No refunds. Marine Transport Logistics credit only. All ocean freight rates are quoted "ALL IN" to include: Base ocean freight, Loading, Lashing, Drayage and Export documentation filing.

USD ►

16501.00

PLEASE PAY THIS AMOUNT

RETURN PORTION

To Ensure Proper Credit, Please Return This Portion With Payment.

Payment Instruction

For INTERNATIONAL Wire Transfers:

HSBC BANK
89 RIVER DRIVE SOUTH
JERSEY CITY, NJ 07310ROUTING: 021001088
SWIFT: MRMDUS33

Contact office for account information

For DOMESTIC Wire Transfers:

TD BANK
1701 ROUTE 70 EAST
CHERRY HILL, NJ 08034ROUTING: 026013673
SWIFT: CBNAUS33

Contact office for account information

MAILING ADDRESS

Marine Transport Logistics
63 New Hook Rd
Bayonne, NJ 07002

For ACH PAYMENTS:

Contact Office for account information

Make all checks payable to - Marine Transport Logistics
Office: 201.858.8600 Fax: 201.858.8607

Customer Name: MAVL Capital, Inc

Invoice #: 27702

File #: 84899

Invoice Date: Aug/16/2013

Container Number:

Origin: NYC

Destination:

Amount: USD 16501.00

Year	Make	Model	VIN
2004	VOLVO	VNL	4V4NC9TG34N355476

APPENDIX “4”

APPENDIX “5”

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 16-16

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

— vs. —

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

CERTIFICATION OF MAXIM OSTROVSKIY

Maxim Ostrovskiy, pursuant to 28 U.S.C. § 1746, making the following Certification under penalty of perjury, in lieu of an oath or affidavit says:

1. I am the President and Owner of MAVL CAPITAL, INC. (“MAVL”), IAM & AL GROUP INC. (“IAM”), the complainants this action.

2. I submit this Certification in response to the Presiding Officer’s Order to Show Cause as to why complainants’ claims alleging Shipping Act violations with respect to a 2006 Mercedes SL65, Vehicle Identification Number ("VIN") ending in 3072 (the “Mercedes”); and three certain Harley Davidson motorcycles should not be dismissed for lack of subject matter jurisdiction or for failure to state a claim upon which relief may be granted.

3. As explained below, The Mercedes was received by delivered respondent MARINE TRANSPORT LOGISTICS, INC. (“MTL”) for one purpose, to wit: for long term storage in contemplation of export back to Germany.

4. As additionally explained below, MTL invoiced complainants for storage of the Mercedes pursuant to the terms of its tariff related to vehicles received by MTL for purposes of export.

5. It was only *after* complainants requested that the respondents release the vehicle from long term storage by MTL and export it back to Germany, said vehicle was *intentionally* shipped to Dubai by respondents and *then* subsequently sold under the pretext of respondents exercising a maritime lien.

6. The respondents claim to have exercised this lien pursuant to the terms and conditions of *MTL's house bill of lading* under which the vehicle was transported overseas.

7. On or about December 3, 2012, Complainants requested that MTL act as Complainants' "receiving agent" and store the Mercedes, imported to the United States from Germany by Complainants so that maintenance could be performed on the vehicle after which it would subsequently shipped back to Germany.

8. Said Mercedes was then received by MTL's warehouse facility.

9. I personally provided MTL with the original Certificate of Title for the Mercedes to facilitate the forthcoming export of the vehicle back to Germany, which included presentation of the of the title to U.S. Customs so that it could be "validated" by U.S. Customs prior to being loaded on board a vessel destined for Germany. A copy of the certificate of title for the Mercedes is annexed hereto as Exhibit "A".

10. On or about December 3, 2012, Complainants explained to MTL that the Mercedes was to be shipped back to Germany by respondents on a date to be determined by Complainants after Complainants could inspect said vehicle and order custom made repair parts.

11. Due to the fact that this vehicle *was delivered to MTL's facility for the sole purpose of being exported back to Germany*, complainants received thirty (30) days of free storage at MTL's warehouse pursuant to MTL's tariff.

12. After the thirty free days of storage had expired, MTL began invoicing complainants \$150.00 per month which represented a 50% discount of MTL's normal storage rate of \$10.00 per day, and this was done in light of the parties' ongoing business relationship. A copy of the invoice is annexed hereto as Exhibit "B".

13. On or about June 1, 2013, I visited MTL's storage site to obtain possession of the vehicle to visually inspect it prior to export back to Germany through MTL, and MTL refused to offer any explanation as to the whereabouts of the vehicle.

14. Subsequent thereto, in early June of 2013, and due to a lack of response by MTL, I then proceeded to export the vehicle without visual inspection. I then requested that the respondents release the Mercedes from the MTL storage site *and export it back to Germany*.

15. The request to MTL for export to Germany was made verbally. I specifically instructed MTL to export the vehicle to Germany to an address previously provided to MTL for export of my other cargo. The request was made to export to the following consignee: Anatoli Ostrovski, Arnold STR 2, Dusseldorf Germany, 40749.

16. It was not until I filed a lawsuit in the United States District Court for the Eastern District of New York that I learned that respondents exported the Mercedes to Dubai.

17. Instead of following my instructions, the respondents shipped the Mercedes to the United Arab Emirates on or about August 24, 2013 without my permission or direction to ship it to that location.

18. On or about June 7, 2013, MAVL purchased a 2004 Harley Davidson FXDXI, VIN ending in 7436 ("Harley #1"). This motorcycle was paid for in full by MAVL.

19. On or about June 11, 2013, MAVL purchased a 2007 Harley Davidson FXD, VIN ending in 1645 ("Harley #2"). This motorcycle was paid for in full by MAVL.

20. On or about July 8, 2013, MAVL purchased a 2000 Harley Davidson XL883, VIN ending in 3838 ("Harley #3"). This motorcycle was paid for in full by MAVL.

21. After MAVL made payment in full for all three motorcycles, they were all released to MAVL with their original titles.

22. Complainants retained the services of a carrier not a party to this action and known as Unitrans-PRA ("Unitrans"), and Harley #'s "1", "2", and "3" were delivered to the Unitrans' storage facility for shipment overseas.

23. On or about September 6, 2013, respondent Alper contacted Unitrans via email and directed Unitrans to refrain from shipping Harley #'s "1", "2", and "3" on the basis that MAVL had attempted to appropriate these motorcycles which were purportedly owned by MTL and Car Express. Alper specifically stated to Unitrans that: "Your company was previously advised of this fact verbally on August 22, 2013 and this serves as formal notice of such. We are currently requesting that you hold the...cargo until release instructions are provided...". A copy of Alper's email is annexed hereto as Exhibit "C".

24. On or about October 23, 2013, respondent Alper then fraudulently obtained a replacement title for Harley #3 from the State of Georgia.

25. On or about November 8, 2013, respondent Alper contacted Unitrans and advised that he had obtained title to Harley #3 so that Unitrans would release Harley #3 back into the custody and control of MTL. A copy of the email is annexed hereto as Exhibit "D".

26. Alper's act in obtaining title to Harley #3 was fraudulent on the basis that he was aware that complainants possessed an original title, and he made misrepresentations to the State of Georgia in order to obtain a replacement title.

27. Upon information and belief, the misrepresentations made to the State of Georgia made by Alper in order to obtain title were that the original title was misplaced or destroyed, and that MTL was the lawful owner of Harley #3.

28. To date, respondents have refused to authorize Unitrans to release Harley #'s "1", "2", and "3" to their proper consignees, despite complainants' request that the respondents do so.

I declare under penalty of perjury under the laws of the United States of America that the foregoing
is true and correct.

Executed on October 1, 2016



Maxim Ostrovskiy

Exhibit “A”

VOID WITHOUT BEAR WATERMARK. HOLD TO LIGHT TO VIEW.

STATE OF CALIFORNIA
SALVAGE CERTIFICATE

VEHICLE HISTORY

13408301024

9-16 / 10

AUTOMOBILE

VEHICLE ID NUMBER
WDBSK79F86F113072

VEHICLE MODEL MAKE
2006 MERZ

PLATE NUMBER
3QYH434

BODY TYPE MODEL
CV

FEES PAID
\$18

REGISTRATION
EXPIRATION DATE
09/02/2010

VEHICLE
CLASS
2006 MA

EQUIPMENT NUMBER
RV 6691840

ISSUE DATE
08/30/10

MOTORCYCLE

ODOMETER DATE
06/30/2010

ODOMETER READING
60484 MI

ACTUAL MILEAGE

REGISTERED OWNER

MERCURY INS
C/O IAA 131
11535 DOUGLAS RD
RNCH CORDOVA CA 95742



THIS SALVAGE CERTIFICATE IS EVIDENCE THAT ALL
DOCUMENTS FOR THIS VEHICLE HAVE BEEN SUBMITTED
TO THE DEPARTMENT OF MOTOR VEHICLES

WARNING:

The vehicle described herein has been declared a total loss salvage vehicle per CVC 11515 and may not be registered without a vehicle identification number (VIN) inspection per CVC 5505 and a brake and light inspection. In addition a certification of compliance (smog) may be required.

To transfer ownership of this vehicle the seller and buyer must complete the reassignment on the back of this certificate.

CVC 11515 requires the seller and any subsequent sellers that transfer ownership of a total loss vehicle pursuant to a properly endorsed salvage certificate to disclose to the purchaser at, or prior to, the time of sale that the vehicle has been declared a total loss salvage vehicle.

SALVAGE



11518112/020211/00012 914

7418976

000012

REG. 488 (REV. 7/07)

FIRST REASSIGNMENT

Manhattan Auto Brokers Inc.

ADDRESS CITY STATE ZIP CODE

I certify (or declare) under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

SIGNATURE OF SELLER DATE 10-8-10 PHONE NUMBER
 MERCURY INSURANCE
 MERCURY INSURANCE DEALER NUMBER JKS NUMBER SELLING PRICE

FEDERAL AND STATE LAW REQUIRES that you state the mileage upon transfer of ownership. Failure to complete or making a false statement may result in fines and/or imprisonment.
 The odometer reading is 60484 (no tenths) which, to the best of my knowledge, is the actual mileage unless one of the following statements is checked.

WARNING - MILEAGE ☐ is not the actual mileage ☐ exceeds odometer mechanical limits

I certify (or declare) under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

SIGNATURE OF BUYER DATE 10-8-10 PHONE NUMBER
 MERCURY INSURANCE
 MERCURY INSURANCE PRINTED NAME

SECOND REASSIGNMENT

The undersigned hereby certifies that the vehicle described on this Salvage Certificate has been transferred to the following buyer, and the title of this vehicle is as shown.

THE FULL NAME(S) OF BUYER(S) COVERED LICENSE # DRIVER LICENSE #

ADDRESS CITY STATE ZIP CODE

I certify (or declare) under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

SIGNATURE OF SELLER DATE PHONE NUMBER
 JKS NUMBER SELLING PRICE

FEDERAL AND STATE LAW REQUIRES that you state the mileage upon transfer of ownership. Failure to complete or making a false statement may result in fines and/or imprisonment.
 The odometer reading is () () () (no tenths) which, to the best of my knowledge, is the actual mileage unless one of the following statements is checked.

WARNING - MILEAGE ☐ is not the actual mileage ☐ exceeds odometer mechanical limits

I certify (or declare) under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

SIGNATURE OF BUYER DATE
 SIGNATURE OF BUYER (ACKNOWLEDGE OCCURRENCE READING) PRINTED NAME DATE

Exhibit “B”



Marine Transport Logistic Inc

63 Hook Road
Bayonne, NJ. 07002
USA

201-858-8600

Invoice

Reference #

IO-5010

Date

Due Date

Number

May/09/2013

May/16/2013

24261

Bill to

IAM & AL GROUP, INC
115E 57 STREET, FL11
NEW YORK, NY 10022.
USA

Shipper: ATLANTIC CARGO LOGISTICS LLC
Consignee: ATLANTIC CARGO LOGISTICS LLC
Origin/Destination: BRV / NYC
Entry Date: Oct/31/2012
Carrier: Cosco
AWB / BL No.: COSU4505431850
House Way Bill:
Pieces / Weight: 1 / 0.00 lb
Booking Number: COSU4505431850
Container No.: CAXU6911501

Year

Make

Model

VIN

Notes

2006

Mercedes-Ben

SL-Class

WDBSK79F86F113072

STORAGE 05/04-6/05

Description of Charges

Quantity

Price

Amount

Storage Fee (5/04-6/05)

1.00

150.00

150.00

TERMS AND CONDITIONS:

This invoice contains cash outlays advances for your account. Payments must be received no later than 10 business days after sailing date. Past due invoices are subject to mandatory late payment fee of \$250 plus the cost of collection. Please remit promptly. All sales are final. No refunds. Marine Transport Logistics credit only. All ocean freight rates are quoted "ALL IN" to include: Base ocean freight, Loading, Lashing, Drayage and Export documentation filing.

USD

150.00

PLEASE PAY THIS AMOUNT

RETURN PORTION

To Ensure Proper Credit, Please Return This Portion With Payment

Payment Instruction

For INTERNATIONAL Wire Transfers:

HSBC BANK
89 RIVER DRIVE SOUTH
JERSEY CITY, NJ 07310

ROUTING: 021001088
SWIFT: MRMDUS33

Contact office for account information

For DOMESTIC Wire Transfers:

TD BANK
1701 ROUTE 70 EAST
CHERRY HILL, NJ 08034

ROUTING: 026013673
SWIFT: CBNAUS33

Contact office for account information

MAILING ADDRESS

Marine Transport Logistics
63 New Hook Rd
Bayonne, NJ 07002

For ACH PAYMENTS:

Contact Office for account information

Make all checks payable to - Marine Transport Logistics

Office: 201.858.8600 Fax: 201.858.8607

Customer

IAM & AL GROUP, INC

Invoice 24261

File #: IO-5010

Invoice Date: May/09/2013

Container Number: CAXU6911501

Origin: BRV

Destination: NYC

Amount: USD 150.00

Year	Make	Model	VIN
2006	Mercedes-Ben	SL-Class	WDBSK79F86F113072

Marine Transport Logistic Inc
Open Invoices
January 11 through May 9, 2013 (USD)

Thursday
May 09, 2013

Type	Date	Number	References	Due	Amt. Due	Original	Invoice:Container
IAM & AL GROUP, INC							
Invoice	Jan/11/201	18091	Master # COSU4505431850; Booking #	Jan/18/2	150.00	150.00	CAXU6911501
Invoice	Feb/04/201	19098	Master # COSU4505431850; Booking #	Feb/11/2	150.00	150.00	CAXU6911501
Invoice	Mar/04/201	20622	Master # COSU4505431850; Booking #	Mar/11/2	150.00	150.00	CAXU6911501
Invoice	Apr/22/2013	23343	Master # COSU4505431850; Booking #	Apr/29/2	150.00	150.00	CAXU6911501
Invoice	Apr/22/2013	23344	Master # COSU4505431850; Booking #	Apr/29/2	150.00	150.00	CAXU6911501
Invoice	May/09/201	24261	Master # COSU4505431850; Booking #	May/16/	150.00	150.00	CAXU6911501
Total IAM & AL GROUP, INC					900.00		
Total					900.00		

Exhibit “C”

From: Dimitry [<mailto:dimitry@mtlworld.com>]
Sent: Friday, September 06, 2013 3:36 PM
To: 'kathyk@unitrans-pra.com'; 'olga@unitrans-pra.com'; 'simon@unitrans-pra.com'
Cc: 'alla@mtlworld.com'; 'Alex Solovyev'; Alkaplusinc (alkaplusinc@aol.com)
Subject: Misdelivery of 3 Harley Davidsons Attention PRA President/Owner
Importance: High

Good afternoon Simon,

Please allow this letter to serve as formal notice that the below 3 units have been wrongfully shipped by your company. The units in question were purchased by Car Express & Import Inc, proof of purchase is attached. There was a fraudulent attempt to appropriate the units by MAVL CAPITAL without any authorization to do so. Your company was previously advised of this fact verbally on August 22, 2013 and this serves as formal notice of such. We are currently requesting that you hold the below mentioned cargo until release instructions are provided by Car Express & Import. We are awaiting your confirmation on this issue to avoid and further unnecessary legal action.

Units in question:

- 1) 2000 Harley Davidson Vin #1HD4CEM18YK133838
- 2) 2007 Harley Davidson Vin #1HD1GM4167K321645
- 3) 2004 Harley Davidson Vin #1HD1GRW364K327436

Regards,
Dimitry Alper
Director of Operations
Legal Department
Marine Transport Logistics
63 New Hook Road
Bayonne, New Jersey 07002
Business Phone (201) 858-8600 Ext 120
Fax 201-603-2824
Skype: Dimitry Alper

Unless otherwise noted, all ocean freight quotations are valid for 30 days from the date of original quotation, subject to equipment availability, subject to any and all tariff additional valid at time of shipment. Inland freight quotations are subject to third party increases valid at time of shipment, subject to any fuel surcharges valid at time of shipment, subject to weight limitations and weight distribution requirements in accordance with the local and national rules and regulations of the country(ies) of transit, subject to availability of inland carrier at time of booking. Loading, lashing, securing, blocking and bracing of cargo is for shipper's account. Carrier reserves the right to stow cargo in the best interest of the Vessel and in compliance with local, national and international rules, regulations and conventions. On deck shipments at shipper's risk. Dangerous cargo, as defined by 49 CFR or the IMDG Code, is subject to the line's approval at time of booking. Kindly note all vessel dates are subject to changes. Equipment is subject to availability. By using MTL's services, client thereby agrees to terms and conditions which could be found at our website www.MTLWORLD.com.

ALL COMMUNICATION IN THIS EMAIL IS PRIVILEGED AND INTENDED ONLY FOR THE ORIGINAL RECIPIENT. ALL OTHER USE OF SUCH COMMUNICATION IS PROHIBITED BY LAW.

Exhibit “D”

From: Dmitry [<mailto:dimitry@mtlworld.com>]
Sent: Friday, November 08, 2013 1:54 PM
To: 'Simon Kaganov'
Cc: 'Aleksander Solovyev'; alla@mtlworld.com
Subject: RE: Misdelivery of 3 Harley Davidsons Attention PRA President/Owner

Good afternoon Simon,

We obtained the original title for Motorcycle Harley Davidson vin #133838. Please advise where and when we can pick up above mentioned cycle. Appreciate your assistance.

Regards,
Dimitry Alper
Director of Operations
Legal Department
Marine Transport Logistics
63 New Hook Road
Bayonne, New Jersey 07002
Business Phone (201) 858-8600 Ext 120
Fax 201-603-2824
Skype: Dimitry Alper

Unless otherwise noted, all ocean freight quotations are valid for 30 days from the date of original quotation, subject to equipment availability, subject to any and all tariff additional valid at time of shipment. Inland freight quotations are: subject to third party increases valid at time of shipment, subject to any fuel surcharges valid at time of shipment, subject to weight limitations and weight distribution requirements in accordance with the local and national rules and regulations of the country(ies) of transit, subject to availability of inland carrier at time of booking. Loading, lashing, securing, blocking and bracing of cargo is for shipper's account. Carrier reserves the right to stow cargo in the best interest of the Vessel and in compliance with local, national and international rules, regulations and conventions. On deck shipments at shipper's risk. Dangerous cargo, as defined by 49 CFR or the IMDG Code, is subject to the line's approval at time of booking. Kindly note all vessel dates are subject to changes. Equipment is subject to availability. By using MTL's services, client thereby agrees to terms and conditions which could be found at our website www.MTLWORLD.com.

ALL COMMUNICATION IN THIS EMAIL IS PRIVILEGED AND INTENDED ONLY FOR THE ORIGINAL RECIPIENT. ALL OTHER USE OF SUCH COMMUNICATION IS PROHIBITED BY LAW.

APPENDIX “6”

ORIGINAL

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.:

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

— vs. —

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

VERIFIED COMPLAINT

Complainants MAVL CAPITAL, INC. ("MAVL"), IAM & AL GROUP INC. ("IAM"), and MAXIM OSTROVSKIY (collectively "Complainants") by their undersigned attorney, Marcus A. Nussbaum, Esq., file this complaint against the respondents herein, alleging violations of the Shipping act of 1984, 46 U.S.C. §40101, et. Seq. (the "Shipping Act") as follows:

I. Complainants

1. Complainant MAVL CAPITAL, INC. ("MAVL") is a New York corporation with its primary place of business at 115 East 57th Street, New York, NY 10022.
2. Complainant IAM & AL GROUP INC. ("IAM") is an Indiana corporation with its primary place of business at 100 N Center Street Ste. 131, Mishawaka IN 46544.
3. Complainant MAXIM OSTROVSKIY is an individual residing in Moscow, Russia, and is a principal of MAVL and IAM.

II. Respondents

4. Respondent MARINE TRANSPORT LOGISTICS, INC. ("MTL") is a New York

Corporation with its primary place of business at 63 New Hook Road, Bayonne NJ 07002.

5. Respondent DIMITRY ALPER is an individual with a last known business address located at 501 New County Road Unit # A Secaucus, NJ 07094.

6. Respondent MTL is in the business of providing services as an ocean transportation intermediary, and operates as a non-vessel operating common carrier ("NVOCC").

7. At all times relevant hereto, respondent Alper was the director of operations of MTL.

8. At all times relevant hereto, the operation and supervision of MTL's day-to-day activities were conducted by respondent Alper.

9. At all times relevant hereto, MTL is and was licensed by the Federal Maritime Commission as non-vessel operating common carrier ("NVOCC") under license number 018709.

10. Respondent Alper is a "person" pursuant to the Shipping Act of 1984 as amended by the Ocean Shipping Reform Act of 1998 ("Shipping Act").

11. Upon information and belief, MTL has bond coverage with Great American Alliance Insurance Company, as required by the Shipping Act. MTL's NVOCC Bond No. is 91308.

12. The closeness of their relationships indicates that individual respondent Alper is the alter ego of the corporate entity and piercing the corporate veil is necessary to avoid injustice and fundamental unfairness.

13. At all times relevant to the instant lawsuit, respondents MTL and Alper were united in interest such that they are one and the same.

14. At all times relevant to the instant lawsuit, MTL and Alper: (a) ordered cargo to port; (b) prepared and/or processed export declarations; (c) booked, arranged for, and confirmed

cargo space; (d) prepared and processing delivery orders and/or dock receipts; (e) processed ocean bills of lading; (f) arranged for warehouse storage; (g) cleared shipments in accordance with United States Government export regulations; (h) handled freight or other monies advanced by shippers, and/or remitted or advanced freight or other monies or credit in connection with the dispatching of shipments; (i) coordinated the movement of shipments from origin to vessel; and (j) give expert advice to exporters concerning problems germane to the cargoes' dispatch.

15. At all times relevant hereto respondent Alper also served as the “Legal Department” of respondent MTL.

16. At all times relevant to the instant lawsuit, respondent Alper knowingly and intentionally used the corporate form of respondent MTL to perpetrate tortious and other wrongful conduct against the Complainants.

III. Jurisdiction

17. The Federal Maritime Commission (“FMC”) has subject matter jurisdiction over the claims in this action as this matter relates to contracts for carriage of goods by sea from ports of the United States in foreign trade and thus comes under the Carriage of Goods by Sea Act (“COGSA”), 46 U.S.C.S. § 30701, and the Shipping act of 1984, 46 U.S.C. §40101, et. Seq.

18. Complainants are seeking reparations for injuries caused to them by respondents MTL and Alper as a result of respondents’ violations of 46 U.S.C. §§41102, 41104, and the FMC’s regulations at 46 C.F.R. Part 515, by:

- i. Failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property;
- ii. Unreasonably refusing to deal or negotiate;
- iii. Retaliating against Complainants because the Complainants had patronized another carrier;

- iv. Knowingly misdelivering Complainants' cargo; and
- v. Converting Complainants' cargo under the false premise of having exercised a maritime lien.

19. MTL is a non-vessel operating common carrier within the meaning of the Shipping Act and is and was licensed by the Federal Maritime Commission as a non-vessel operating common carrier under license number 018709, and thus falls under the jurisdiction of the Commission.

IV. Statement of Facts and Matters Complained of

20. Respondents MTL and Alper are engaged in the business of exporting used cars, motorcycles, and other cargo (from warehouse to warehouse) from the United States to ports abroad. Respondent MTL was hired to ship Complainants' vehicles described below from a warehouse operated by MTL in the United States to various locations abroad via ocean going vessel.

21. Respondents MTL and Alper are in the business of providing services as an ocean transportation intermediary, and operate as a non-vessel operating common carrier ("NVOCC"). Respondents arrange for the warehouse to warehouse transport of automobiles overseas for automobile dealerships and personal shippers, and during the course of the parties' business relationship had shipped a number of Complainants' automobiles from the United States to ports abroad.

22. Complainants have been forced to bring the instant action as a result of respondents having retaliated against Complainants because the Complainants had patronized another carrier.

23. Complainants have additionally been forced to bring the instant action due to respondents' knowingly having misdelivered Complainants' vehicles and due to respondents' unlawful conversion of same.

24. MTL, as an NVOCC, contracts with its customers as principal, agreeing to transport their goods on a voyage that includes an ocean leg.

25. An NVOCC commonly issues house bills of lading to its customers in its own name, even though it does not operate the ship that will carry the goods on the ocean voyage.

26. The NVOCC buys space on the carrying ship like any other customer, receiving a bill of lading from the owner or charterer of that ship when the goods are loaded on board.

THE INDIVIDUAL VEHICLES FROM WHICH THIS ACTION ARISES

The 2006 Mercedes SL65

27. On or about December 3, 2012, Complainants requested that MTL act as Complainants' "receiving agent" and store a 2006 Mercedes SL65, Vehicle Identification Number ("VIN") ending in 3072, imported to the United States by Complainants so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas.

28. Said Mercedes was then received by MTL's warehouse facility.

29. On or about December 3, 2012, Complainants explained to MTL that the 2006 Mercedes SL65 was to be shipped to Germany by respondents on a date to be determined by Complainants after Complainants could inspect said vehicle and order custom made repair parts.

30. Because of the commercial relationship between Complainants and MTL, MTL agreed to charge Complainants a monthly storage charge of \$150 for the storage of the 2006 Mercedes SL65.

31. The respondents unlawfully converted this vehicle and shipped it to the United Arab Emirates on or about August 24, 2013 without the permission or direction of the Complainants.

32. The respondents unlawfully shipped this vehicle overseas without obtaining a

Power of Attorney or other Written Authorization from the Complainants.

33. The respondents have further failed to follow all legal prerequisites to selling this vehicle, such as notifying the Complainants prior to the sale, and the requirement that respondents obtain valid title this vehicle. Respondents have further failed to provide documentation establishing that a sale took place, nor have they come forward with the specific sum realized from the sale of the vehicle.

34. In addition, the consignee listed on the bill of lading for the shipment of this vehicle is a third-party that has no relationship, commercial or otherwise with the Complainants.

35. The respondents unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit.

36. Therefore, as a result of respondents' unlawful conversion of this vehicle, complainants are entitled to damages in the amount of \$39,931.81, which includes the sum of \$25,615.00 paid to purchase this vehicle, \$1000 for shipment from the U.S. to Germany for repairs, \$7000.00 expended on repairs of the vehicle in Germany, and \$6316.81 in freight, U.S. customs clearance and other charges for shipment of this vehicle back to the United States.

The 2011 Porsche Panamera

37. On or about April 22, 2013, complainant IAM purchased a 2011 Porsche Panamera, VIN ending in 7399 to be shipped overseas via MTL and sold to an overseas customer.

38. Specifically, this vehicle was destined for shipment to the port of Kotka, in Finland.

39. IAM subsequently received an invoice from a third-party Royal Finance Group, Inc. ("RFG") who was acting on behalf of MTL, which indicated that RFG was charging amounts for, among other things, the delivery, shipping to Kotka, and a commission.

40. The shipping charges for shipment of this vehicle to Kotka was prepaid by

Complainants.

41. The respondents unlawfully converted this vehicle and shipped it to the United Arab Emirates on or about August 24, 2013 without the permission or direction of the Complainants.

42. The respondents unlawfully shipped this vehicle overseas without obtaining a Power of Attorney or other Written Authorization from the Complainants.

43. The respondents have further failed to follow all legal prerequisites to selling this vehicle, such as notifying the Complainants prior to the sale, and the requirement that respondents obtain valid title this vehicle. Respondents have further failed to provide documentation establishing that a sale took place, nor have they come forward with the specific sum realized from the sale of the vehicle.

44. In addition, the consignee listed on the bill of lading for the shipment of this vehicle is a third-party that has no relationship, commercial or otherwise with the Complainants.

45. The respondents unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit.

46. As a result of the foregoing, and as a result of respondents' failure to deliver this vehicle to its proper destination and due to respondents' conversion of same, complainants are entitled to the return of \$15,500.00 paid for this vehicle plus the additional \$2900.00 paid for the parts used for the repair of this vehicle, plus consequential damages in the amount of \$98,088.00 arising out of lost contract of sale between Complainants' and their overseas customer.

The Three Harley Davidson Motorcycles

47. Between June 7, 2013 and July 8, 2013, complainants purchased a 2004 Harley Davidson FXDXI, VIN ending in 7436 ("Harley #1"); a 2007 Harley Davidson FXD, VIN ending

in 1645 ("Harley #2"); and a 2000 Harley Davidson XL883, VIN ending in 3838 ("Harley #3").

48. After having made payment in full for these motorcycles, all three of said vehicles were released to complainants with their original titles.

49. As a result of MTL's previous failures to deliver complainants' vehicles to their overseas destinations, complainants retained the services of another NVOCC not a party to this action and known as Unitrans-PRA ("Unitrans"), and Harley #'s "1", "2", and "3" were delivered to the Unitrans' storage facility for shipment overseas.

50. On or about September 6, 2013, respondent Alper contacted Unitrans on behalf of MTL via email, and directed Unitrans to refrain from shipping Harley #'s "1", "2", and "3" and to "hold" that cargo.

51. As a result of respondents' fraudulent acts described herein, the complainants incurred approximately \$22,920.00 in storage charges for the storage of these motorcycles.

V. Violations of the Shipping Act

A. MTL and Alper violated 46 U.S.C. §41102(c) by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property; and by failing to provide Complainants and any other necessary parties with: (1) proper and lawful documents of ownership; (2) shipping invoices and house bills of lading; and (3) the terms and conditions of transport; (4) failing to deal in good faith.

B. MTL and Alper violated 46 U.S.C. §§ 41104(3), and 41104(10) by: (i) retaliating against Complainants by resorting to unfair and unjustly discriminatory methods; and (ii) by unreasonably refusing to deal or negotiate.

C. MTL and Alper have violated 46 U.S.C. 41102(c) by exercising a purported maritime lien for monies allegedly owed to third parties, and by detaining, misdelivering, and

converting Complainants' automobiles in order to sell them overseas for a profit.

VII. Injury to Complainants

A. As a result of respondents' aforementioned violations of the Shipping Act of 1984, the complainants have sustained and continue to sustain injuries and damages as follows:

- Direct damages in excess of \$180,000.00 constituting the amounts paid for the purchase of the vehicles plus additional consequential damages for sums arising out of lost contracts, plus interest;

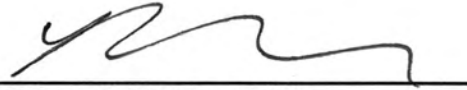
The full extent of damages can only be determined after obtaining discovery in this matter, and after final calculation of interest due and owing to Complainants on this sum and calculation of the legal fees incurred by complainants due to respondents' violations of the Shipping Act.

VIII. Prayer for Relief

- A. Statement regarding ADR procedures: Alternative dispute resolution procedures were not used prior to filing the Complaint and Complainants have not consulted with the Commission Dispute Resolution Specialist about utilizing alternative dispute resolution.
- B. **WHEREFORE**, Complainants pray that: (1) respondents be required to answer the charges herein; (2) that after due hearing, an order be made commanding said respondent to pay to Complainants by way of reparations for the unlawful conduct hereinabove described, the sums described herein, with interest and attorney's fees, costs and expenses, or such other sum as the Commission may determine to be proper as an award of reparation; (3) that the Commission issue an Order holding that the respondents Dmitry Alper individually, and Marine Transport Logistics Inc. violated the Shipping Act of 1984; and (4) that the Commission issue such other and further order or orders as the Commission determines to be just and

proper.

- C. Complainants request a hearing on this matter, and further request that the hearing be held in Washington, D.C.



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Fax: 347-572-0439
Attorneys for Complainants
marcus.nussbaum@gmail.com

Dated: July 31, 2016

VERIFICATION

Maxim Ostrovskiy declares and states that he is a Complainant in this proceeding, and that the foregoing annexed VERIFIED COMPLAINT is true to the best of his information and belief, and that the grounds to his belief as to those matters therein not stated upon personal knowledge, is based upon information which has otherwise been provided to Complainant and which Complainant believes to be true.

I declare under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.

Executed on July 31, 2016.



Maxim Ostrovskiy

APPENDIX “7”

Marine Transport Logistic Inc. - FMC Tariff No. 1	Orig/Rev Original	Page TITLE PAGE
FROM: TARIFF ORIGIN SCOPE TO: TARIFF DESTINATION SCOPE	Cancels Original	Cancels Page TITLE PAGE
TITLE PAGE	CORR: 0	Issued: 01May2012

TITLE PAGE

Effective: 28Jul2011 Thru: Expires: Publish 28Jul2011 Amend: C
Originally Issued: 04May2004 Originally Effective: 04May2004

Marine Transport Logistic Inc.
63 HOOK ROAD
BAYONNE, NJ 07002
Tel: 201-858-8600 Fax: 201-858-8607

NVOCC Tariff No. 001

Naming

Rules, Regulations and Freight Rates
Applicable on the Transportation of Commodities

Between
Worldwide Ports and Points
(As Named in Rule 1)

And
United States Ports and Points
(As Named in Rule 1)

Marine Transport Logistic Inc. is a Non-Vessel Operating Common Carrier
registered with the Federal Maritime Commission under Organization No.018709

For explanation of abbreviations and reference marks see Rule 29.

NOTICE TO TARIFF USERS

This document is compiled to reflect carrier's tariff as published in
compliance with regulations of the U.S. Federal Maritime Commission (FMC).
Carrier's official tariff is that contained in the Internet web site of
Distribution-Publications, Inc., located at www.dpiusa.com

Publishing Office
Distribution-Publications, Inc.
180 Grand Ave, Ste 430
OAKLAND, CA, USA 94612
Phone: 1-510-273-8933 Fax: 1-510-273-8959
Email: publishing@dpiusa.com

Marine Transport Logistic Inc. - FMC Tariff No. 1	Orig/Rev Original	Page 2,000,033
FROM: TARIFF ORIGIN SCOPE TO: TARIFF DESTINATION SCOPE	Cancels Original	Cancels Page 2,000,033
SECTION 2 - RULES	CORR: 0	Issued: 01May2012
Items with effective dates prior to page Issue Date are brought forward without change. Future effective items are preceded with a > symbol.		
<u>RULE 2-140: CARGO STORAGE</u> Effective: 28Feb2012 Thru: Expires: Publish 28Feb2012 Amend: C Except as otherwise provided herein, Carrier provides 30 calendar days free storage prior for vehicles, trucks and boats received for US export shipment at its CFS/CY as listed herein. Beyond 30 days, storage charges per day apply as follows: A. STORAGE CHARGES AT BAYONNE, NJ Automobiles & Vehicles: USD 10 per day Trucks: USD 20 per day Boats: USD 20 per day B. STORAGE CHARGES AT Savannah, GA; Norfolk, VA; Charleston, SC; Miami, FL; Jacksonville, FL; Houston, TX; Los Angeles, CA; Oakland, CA; Seattle, WA; Baltimore, MD; Boston, MA Automobiles & Vehicles: USD 10 per day Trucks: USD 20 per day Boats: USD 20 per day These charges apply in addition to ocean freight rates and all other charges provided herein. Also, any storage charges, tollage, wharfage, terminal handling and/or other charges assessed against the cargo at port of origin or discharge by the underlying ocean carrier or port terminal operator in connection with storage, handling of cargo shall be for the account of the cargo. C. WAREHOUSE STORAGE - VEHICLES (C) Carrier's CFS/CY may be a designated warehouse. Shipper, at its own expense, will deliver its vehicle to the Carrier's designated warehouse for loading into the container for movement to the U.S. load port. As part of the warehouse storage and handling of the vehicles: (i) shipper will be entitled to 30 days free storage starting from the date of arrival of the vehicle at the warehouse in order to allow time to provide the Carrier with the vehicle title, absent which the vehicle will not be loaded into a container; (ii) if after 30 days the title to a vehicle has not been presented by the shipper to the Carrier, the shipper has the option to either retrieve its vehicle or allow the vehicle to remain stored at the warehouse pending the Carrier's receipt of the title; and		
This tariff number 018709-001 is published by Distribution-Publications, Inc. (DPI) on the web at http://www.dpiusa.com .		

APPENDIX “8”

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 16-16

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

– vs. –

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

**COMPLAINANTS’ RESPONSE TO THE COMMISSION’S ORDER TO SHOW CAUSE
WHY THE COMPLAINT SHOULD NOT BE PARTIALLY DISMISSED**

Pursuant to Rules 69 and 70 of the Federal Maritime Commission’s (the “Commission”) Rules of Practice and Procedure (46 C.F.R. 502 *et seq.*), Complainants, through their Counsel, Marcus A. Nussbaum, Esq. respectfully submit this brief in response to the Federal Maritime Commission’s (the “Commission”), Order to Show Cause dated September 15, 2016 (the “Order to Show Cause”).

BRIEF STATEMENT

This brief is respectfully submitted by Complainants in response to the Commission’s Order to Show Cause. As set forth below, and with regard to the allegations in the complaint regarding complainants’ 2006 Mercedes SL65 and the three Harley Davidson motorcycles, it is respectfully submitted that:

1. The Commission *has* subject matter jurisdiction over the Complaint herein; and
2. The Complaint overabundantly states a claim upon which relief may be granted.

As set forth in detail below, the Mercedes, was received by respondent MARINE TRANSPORT LOGISTICS, INC. (“MTL”) for one purpose, to wit: for storage by MTL in contemplation of export back to Germany. It was only *after* complainants requested that the respondents release the vehicle from storage and export it back to Germany, the said vehicle was intentionally misdelivered to Dubai by respondents and then *subsequently* sold under the pretext of respondents allegedly exercising a maritime lien pursuant to the terms and conditions of MTL’s house bill of lading.

Thus, with respect to the Mercedes, the respondents violated the Shipping Act because the unlawful activity occurred *while MTL was engaged in the course of transporting the vehicle internationally by water*.

As set additionally forth in detail below, and with respect to the three Harley Davidson Motorcycles described in the complaint, complainants have alleged a Shipping Act violation sounding in retaliation under §41104(3) of the Shipping Act, wherein complainants claim that the respondents retaliated against complainants for patronizing another Non-Vessel Operating Common Carrier (“NVOCC”) after the complainants decided to wind down the business relationship with the respondents. This was done *solely* to punish complainants for deciding not to do business with MTL.

In light of the foregoing, and as explained in detail below, the Commission has jurisdiction over complainants’ claims in this action, and the complaint states a cause of action against respondents for violations of the Shipping Act.

STATEMENT OF FACTS

For purposes of the instant Order to Show Cause, the Complainants respectfully rely upon the factual allegations set forth in Complainants’ instant Complaint, which must be taken as true by the Presiding Officer. *See, LaChapelle v. Berkshire Life Ins. Co.*, 142 F.3d 507, 508 (1st

Cir.1998). Said allegations of fact are wholly incorporated herein, and fully made a part hereof. Complainants additionally rely upon the Certification of complainant Maxim Ostrovskiy submitted contemporaneously herewith and the documents contained within the Appendix to this brief, which as set forth below, establish that (1) MTL sold the Mercedes in Dubai under the pretext of exercising a maritime lien pursuant to MTL's House Bill of Lading; and (2) MTL retaliated against complainants for patronizing another carrier with respect to shipment of the three Harley Davidson motorcycles.

The 2006 Mercedes SL65, Vehicle Identification Number ("VIN") ending in 3072

As the Presiding Officer may recall, and with respect to the Mercedes, the Complaint alleges as follows:

- On or about December 3, 2012, Complainants requested that MTL act as Complainants' "receiving agent" and store a 2006 Mercedes SL65, Vehicle Identification Number ("VIN") ending in 3072, imported to the United States by Complainants so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas. (Complaint, ¶ "27")
- Said Mercedes was then received by MTL's warehouse facility. (Complaint, ¶ "28")
- On or about December 3, 2012, Complainants explained to MTL that the 2006 Mercedes SL65 was to be shipped to Germany by respondents on a date to be determined by Complainants after Complainants could inspect said vehicle and order custom made repair parts. (Complaint, ¶ "29")
- Because of the commercial relationship between Complainants and MTL, MTL agreed to charge Complainants a monthly storage charge of \$150 for the storage of the 2006 Mercedes SL65. (Complaint, ¶ "30")

As additionally explained in the Certification of Maxim Ostrovskiy, because this vehicle *was delivered to MTL's facility for the sole purpose of being exported back to Germany*, complainants received thirty (30) days of free storage at MTL's warehouse. (Ostrovskiy Certification, ¶ "11").

This is confirmed by MTL's Tariff, a copy of which is Annexed hereto as Appendix "A", and which explains that:

"...shipper will be entitled to 30 days free storage starting from the date of arrival of the vehicle at the warehouse ***in order to allow time to provide the Carrier with the vehicle title, absent which the vehicle will not be loaded into a container...***".

After the thirty free days of storage had expired, MTL began invoicing complainants \$150.00 per month which represented a 50% discount of MTL's normal storage rate of \$10.00 per day, and this was done in light of the parties' ongoing business relationship. (Ostrovskiy Certification, ¶ "12" and Exhibit "B" thereto).

Mr. Ostrovskiy personally provided MTL with the original Certificate of Title for the Mercedes to facilitate the forthcoming export of the vehicle back to Germany, which included presentation of the of the title to U.S. Customs and Border Protection ("CBP") so that it could be "validated" by CBP prior to being loaded on board a vessel destined for Germany. (Ostrovskiy Certification, ¶ "9" and Exhibit "A" thereto).

On or about June 1, 2013, Mr. Ostrovskiy visited MTL's storage site to obtain possession of the vehicle to visually inspect it prior to export back to Germany by MTL, and MTL refused to offer any explanation as to the whereabouts of the vehicle. Subsequent thereto, in early June of 2013, and due to a lack of response by MTL, Mr. Ostrovsky then proceeded to export the vehicle without visual inspection. (Ostrovskiy Certification, ¶¶ "13" – "14").

In early June of 2013, Mr. Ostrovskiy requested that the respondents release the Mercedes from MTL's storage site *and export it back to Germany*. This request was made verbally. Mr. Ostrovskiy specifically instructed MTL to export the vehicle to Germany to an address previously provided to MTL for export of other cargo. The request was made to export to the following consignee: Anatoli Ostrovski, Arnold STR 2, Dusseldorf Germany, 40749. (Ostrovskiy Certification, ¶ "15").

As set forth in the Ocean Liner Bill of Lading from MAERSK Line (a copy of which is annexed hereto as Appendix “B”), the Mercedes was loaded on-board by MTL (who is listed as “Forwarder” on the bill of lading) on or about August 24, 2013, where it was then shipped to Dubai. Annexed hereto as Appendix “C” is a sworn Response to Interrogatories verified by the President of MTL, Mrs. Alla Solovyeva, from the matter of *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.* (U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-7110), where she explains as follows:

Q2: “...If sold by you, state the amount received for the sale of said vehicles and identify which defendant received for the sale of said vehicles”

A: “The 2006 Mercedes SL65 was sold for \$3,800 *in Dubai*.”

(Appendix “C”, p. 2)

Ms. Solovyeva additionally explains that the Mercedes was allegedly sold pursuant to the terms of MTL’s House Bill of Lading:

Q3: “With respect to the Mercedes...explain the factual basis under which these vehicles were exported to Dubai and /or sold to third parties”

A: “The 2006 Mercedes SL65...was sold *pursuant to Clause 15 of the MTL House Bill of Lading* [“LIEN”] for unpaid freight and other charges...”

(Appendix “C”, p. 3)

With respect to cargo which MTL claims that it was allegedly entitled to assert a lien upon, Ms. Solovyeva explained that MTL allegedly followed in doing so:

Q12: “Please describe in detail the process followed by you in asserting a lien upon the Vehicles which you claim that you were entitled to assert a lien upon.”

A: “MTL provides notice of the outstanding charges owned by the shipper via-email and the lien materializes *pursuant to Clause 15 of the MTL House Bill of Lading* [“LIEN”] upon non-payment of freight and other charges owed...”

(Appendix “C”, pp. 6-7)

With respect to any notices served or published by MTL prior to seizure and sale of any vehicles by virtue of any alleged liens, Ms. Solovyeva explained as follows:

Q13: “Please identify any notices served or published by you prior to your seizure and sale of any vehicles which you claim that you are entitled to seize and sell by virtue of a lien.”

A: “Actual Notice is given *in the MTL House Bill of Lading* and constructive notice is given *in the MTL tariff*.”

(Appendix “C”, p. 7)

As set forth below the Mercedes was imported into Dubai by MTL under the pretense that it was a salvage vehicle, where after repairs were completed, a new title could be issued. Therefore, the conversion happened *after* it had arrived in Dubai and not while in storage at MTL's long term storage site. This is confirmed by Mr. Alexander Safonov, who is the owner of Middle East Asia Alfa FZE (“MEAA”), listed as the consignee on the Ocean Liner Bill of Lading from MAERSK Line and who provided a sworn Certification in the matter of *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.* (U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-7110), (annexed hereto as Appendix “D”) where he explains as follows:

- “I submit this Certification in response to various misrepresentations of fact made by the defendants and their counsel in this matter, as they pertain to two automobiles allegedly sold to MEAA by the defendants herein and which are at issue in this matter, to wit: (1) a 2006 Mercedes SL65, Vehicle Identification Number (“VIN”) ending in 3072 (the “Mercedes”); and (2) a 2011 Porsche Panamera, VIN ending in 7399 (the “Porsche”).” (Safonov Certification ¶ “3”)
- At no time did MEAA ever receive invoice # 347110 from the defendants and at no time did MEAA ever purchase the Mercedes from defendants herein. MEAA’s only involvement with this vehicle was repair and storage of the vehicle in Dubai, UAE at defendants’ direction and request. (Safonov Certification ¶ “6”)
- “The Porsche (together with the Mercedes) was shipped to MEAA in Dubai, UAE, at the request of...Alexander Solovyev, RFG and Marine Transport Logistics (“MTL”). At their

direction and request, MEAA performed the customs clearance for these vehicles, paid customs duties, repaired and stored these vehicles. At their direction and request, MEAA paid \$50,000 for the customs duties, repair and storage of the vehicles, which defendants Alexander Solovyev and MTL promised to repay.” (Safonov Certification ¶ “12”)

- “...In Dubai, after the vehicles were repaired, they were issued a new title. This allowed Mr. Solovyev and Mr. Tretiakov to sell the stolen vehicles with a clean title to third-parties.” (Safonov Certification ¶ “13”)

The Three Harley Davidson Motorcycles

As the Presiding Officer may recall, the complaint alleges a cause of action against the respondents for retaliation under section 41104(3) of the Shipping Act wherein respondents retaliated against complainants due to complainants having patronized another carrier known as Unitrans-PRA Co. Inc. The Certification of Maxim Ostrovskiy explains as follows:

- On or about June 7, 2013, MAVL purchased a 2004 Harley Davidson FXDXI, VIN ending in 7436 ("Harley #1"). This motorcycle was paid for in full by MAVL. (Ostrovskiy Certification, ¶ “18”)
- On or about June 11, 2013, MAVL purchased a 2007 Harley Davidson FXD, VIN ending in 1645 ("Harley #2"). This motorcycle was paid for in full by MAVL. (Ostrovskiy Certification, ¶ “19”)
- On or about July 8, 2013, MAVL purchased a 2000 Harley Davidson XL883, VIN ending in 3838 ("Harley #3"). This motorcycle was paid for in full by MAVL. (Ostrovskiy Certification, ¶ “20”)
- After MAVL made payment in full for all three motorcycles, they were all released to MAVL with their original titles. (Ostrovskiy Certification, ¶ “21”)
- Complainants retained the services of a carrier not a party to this action and known as Unitrans-PRA ("Unitrans"), and Harley #'s "1", "2", and "3" were delivered to the Unitrans' storage facility for shipment overseas. (Ostrovskiy Certification, ¶ “22”)
- On or about September 6, 2013, respondent Alper contacted Unitrans via email and directed Unitrans to refrain from shipping Harley #'s "1", "2", and "3" on the basis that MAVL had attempted to appropriate these motorcycles which were purportedly owned by MTL and Car Express. Alper specifically stated to Unitrans that: “Your company was previously advised of this fact verbally on August 22, 2013 and this serves as formal notice of such. We are currently requesting that you hold the...cargo until release instructions are provided...”. (Ostrovskiy Certification, ¶ “23” and Exhibit “C” thereto).

- On or about October 23, 2013, respondent Alper then fraudulently obtained a replacement title for Harley #3 from the State of Georgia. (Ostrovskiy Certification, ¶ “24”)
- On or about November 8, 2013, respondent Alper contacted Unitrans and advised that he had obtained title to Harley #3 so that Unitrans would release Harley #3 back into the custody and control of MTL. (Ostrovskiy Certification, ¶ “25” and Exhibit “D” thereto)
- Alper's act in obtaining title to Harley #3 was fraudulent on the basis that he was aware that complainants possessed an original title, and he made misrepresentations to the State of Georgia in order to obtain a replacement title. (Ostrovskiy Certification, ¶ “26”)
- Upon information and belief, the misrepresentations made to the State of Georgia made by Alper in order to obtain title were that the original title was misplaced or destroyed, and that MTL was the lawful owner of Harley #3. (Ostrovskiy Certification, ¶ “27”)
- To date, respondents have refused to authorize Unitrans to release Harley #'s "1", "2", and "3" to their proper consignees, despite complainants' request that the respondents do so. (Ostrovskiy Certification, ¶ “28”)

As explained above, Mr. Alper's actions and attempts to take possession of the motorcycles (by fraudulently obtaining a replacement title) and interfere with their export by complainants (by instructing Unitrans to hold the cargo) were done as a direct result of complainants having retained another carrier to export the motorcycles overseas. The motorcycles were the lawful property of complainants and respondent Alper had no basis in law or in fact to interfere with their export. Therefore the Presiding Officer is respectfully urged to allow complainants to proceed with a cause of action for retaliation within the meaning of the Shipping act for the Motorcycles.

ARGUMENT

The Federal Maritime Commission Has Jurisdiction Over Complainants Claims Herein

Standard of Review

It is well settled that the Commission has jurisdiction over matters relating to "transportation by water of ... cargo between the United States and a foreign country," 46 U.S.C. § 40102(6), by a common carrier as defined by the Shipping Act. That jurisdiction essentially begins when a common carrier assumes responsibility for transportation of the cargo and ends

when the cargo is delivered to the consignee at the place of destination contemplated by the contract of carriage. *See, e.g., Norfolk Southern R. Co. v. James N. Kirby, Ply Ltd.*, 543 U.S. 14, 23-27 (2004) (finding that federal maritime law applies to the inland portions of international shipments transported under a through bill of lading). *See also, Kawasaki Kisen Kaisha, Ltd v. Regal-Beloit Corp.*, 561 U.S. 89, 108 (2010) (finding that ocean transportation occurring under a through bill of lading cannot be separated into ocean and domestic inland transportation); *accord, Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, 2011 FMC LEXIS 12, 56 (FMC 2011) ("[L]egislative history demonstrates that Congress intended that the Commission have jurisdiction over through transportation including the inland segment of such transportation.")

It is respectfully submitted that the matters as described herein indeed relate to "transportation by water of ... cargo between the United States and a foreign country. As such, the Commission has jurisdiction over claims made in the complaint.

The Mercedes Was Stored By MTL in Contemplation For Export and Sent To Dubai After Complainants Requested That the Respondents Release the Vehicle and Export It Back To Germany

In the first instance, and with respect to the Mercedes, it was received by respondent MARINE TRANSPORT LOGISTICS, INC. ("MTL") for one purpose, to wit: for storage by MTL in contemplation of export back to Germany. During the time of storage, MTL invoiced complainants for storage of the Mercedes pursuant to the terms of its tariff related to vehicles received by MTL for purposes of export.

Second, and as explained herein, it was only *after* complainants requested that the respondents release the vehicle and export it back to Germany, the said vehicle was intentionally misdelivered to Dubai by respondents and then *subsequently* sold under the pretext of respondents allegedly exercising a maritime lien. The respondents claim to have exercised this lien pursuant to the terms and conditions of the MTL House Bill of Lading under which the vehicle was transported

overseas. At the time that the Mercedes was shipped to Dubai, complainants *still owned the vehicle*. As further explained herein, it was only *after* the vehicle was repaired in Dubai that a new title was issued so that it could be sold by respondents. Therefore, the conversion happened *after* it had arrived in Dubai and *not* while in storage at MTL's long term storage site.

Thus, with respect to the Mercedes, the respondents violated the Shipping Act because the unlawful activity occurred *while MTL was engaged in the course of transporting the vehicle internationally by water*.

Respondents' Act of Retaliation With Respect To the Three Harley Davidson Motorcycles Was Done Solely To Punish Complainants for Deciding Not To Do Business with MTL

With respect to the three Harley Davidson Motorcycles described in the complaint, the Presiding Officer is aware that complainants have alleged a Shipping Act violation sounding in retaliation under §41104(3) of the Shipping Act, wherein complainants claim that the respondents retaliated against complainants for patronizing another carrier after the complainants decided to wind down the business relationship with the respondents. The three motorcycles, purchased and paid for in full, and lawfully owned by complainants, were delivered to the warehouse of a non-party NVOCC known as Unitrans-PRA Co. Inc. ("Unitrans").

As explained herein, while preparations for export were underway, respondent Alper interfered with the export, and contacted Unitrans to place a hold on that cargo. Alper threatened Unitrans with legal action on the alleged basis that Alper was the owner of said cargo and claimed that complainants were attempting to misappropriate his cargo. Alper went as far as to obtain a replacement title in his own name for one of the motorcycles and did so under false and fraudulent pretenses. As a result of the foregoing, the motorcycles were not timely released because of Alper's lies to Unitrans, where they accrued storage and demurrage charges in excess of the value of the

motorcycles. This act of retaliation was done *solely* to punish complainants for deciding not to do business with MTL.

In light of the foregoing, and as explained in detail herein, the Commission has jurisdiction over complainants' claims in this action, and the complaint states a cause of action against respondents for violations of the Shipping Act.

CONCLUSION

It is respectfully submitted that based upon the foregoing, the Commission has jurisdiction over complainants' claims in this action, and the complaint states a cause of action against respondents for violations of the Shipping Act.

Consequently, it is respectfully urged and otherwise prayed for that the Presiding Officer now allow complainants to proceed forward with their claims regarding the Mercedes and motorcycles described herein, and grant such other relief as the Commission may deem just and proper under the circumstances.

Dated: Brooklyn, New York
October 3, 2016

Respectfully Submitted,

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', written over a horizontal line.

Marcus A. Nussbaum, Esq.
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Brooklyn, NY 11224
Tel: 888-426-4370
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Attorney for Complainants
marcus.nussbaum@gmail.com

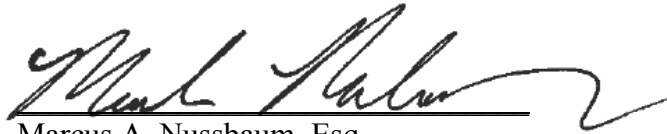
CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' RESPONSE TO THE COMMISSION'S ORDER TO SHOW CAUSE WHY THE COMPLAINT SHOULD NOT BE PARTIALLY DISMISSED, CERTIFICATION OF MAXIM OSTROVSKIY and APPENDIX** upon Respondents' Counsel at the following address:

Montgomery McCracken Walker & Rhoads LLP
437 Madison Avenue, 29th Floor
New York, NY 10022
Attn: Eric Chang, Esq.
Attn: Stephen H. Vengrow, Esq.

Law Office of Peter Cipparulo, III, LLC
346 Route 206, Ste. K
Hillsborough, New Jersey 08844

by first class mail, postage prepaid, and by email to: EChang@mmwr.com; svengrow@mmwr.com; and PeterCipparulo@cipplaw.com.

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', is written over a horizontal line.

Marcus A. Nussbaum, Esq.
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Attorney for Complainants
marcus.nussbaum@gmail.com

Dated: Brooklyn, New York
October 3, 2016

APPENDIX “9”

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 16-16

MAVL CAPITAL, INC., IAM & AL GROUP INC. and MAXIM OSTROVSKIY,
(Complainants)

v.

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,
(Respondents)

RESPONDENT MARINE TRANSPORT LOGISTIC, INC.'S
BRIEF IN SUPPORT OF THE ORDER TO SHOW CAUSE

Respondent Marine Transport Logistics, Inc. (“MTL”) submits this brief in support of Administrative Law Judge Guthridge’s September 15, 2016 Order To Show Cause (“OTSC”), and in opposition to Complainant’s October 3, 2016 Brief (“Compl. Brief”) responding to the OTSC. Accompanying this brief is Respondent’s Appendix of Documents (Exh. 01 – 04) in support of the OTSC.

BACKGROUND

As background, but directly relevant to this proceeding, MTL brings to the Commission’s attention that the claims alleged by Complainants in this case (the “FMC Action”) are duplicative of claims filed by Complainants in 2013 in the U.S. District Court for the Eastern District of New York, in a case captioned *MAVL Capital, Inc. v. Marine Transport Logistics, Inc., et al.*,

Civil Action No. 13-cv-7110 (the “E.D.N.Y. Case.”)¹ See E.D.N.Y. PACER Docket at Respondent’s Appendix Exh. 01. The Complaint in the E.D.N.Y. Case (“E.D.N.Y. Complaint”), dated December 12, 2013, contains the same or substantially identical allegations with regard to the same 2006 Mercedes SL65, 2011 Porsche Panamera, and three Harley Davidson motorcycles at issue in the present FMC Action. See E.D.N.Y. Complaint at Respondent’s Appendix Exh. 02, ¶¶ 78 – 83; 100 – 105; 110 – 123. The E.D.N.Y. Complaint also alleged a Shipping Act Violation. Exh. 02 at ¶¶ 128 – 130.

The significance of the E.D.N.Y. case is that the parties (both Complainants and MTL) have *already completed* discovery on Complainants’ claims of a Shipping Act violation. In other words, this is not a case where Complainants can fall back on the age-old plaintiff’s cry of needing “more discovery” to flesh out its allegations. All the facts needed to support their allegations, if any exist, are within Complainants’ own knowledge or known to Complainants from the E.D.N.Y. Case. Turning to Complainant’s factual allegations, MTL disputes many of the facts alleged by Complainants and the Certification of Maxim Ostrovskiy (“Ostrovskiy Cert.”). For purposes of this OTSC *only*, and without prejudice to Respondent’s right to make a summary judgment motion on the undisputed material facts in Respondent’s favor, MTL treats Complainant’s allegations as true – with the exception of certain facts noted herein, which are known to Complainants but which were presumably deliberately omitted from the Complaint and Complainants’ Brief.

¹ Complainants’ (i.e. the plaintiffs’) claims in the E.D.N.Y. Case are currently pending decision by the E.D.N.Y. court on the court’s September 8, 2015 Order to Show Cause why the claims should not be dismissed. See Appendix Exh. 01 at page 9, Docket Entry #48.

LEGAL STANDARD

On this OTSC, Complainant has the burden of proving Commission jurisdiction by “substantial evidence.” *AHL Shipping Company v. Kinder Morgan Liquids Terminals, LLC*, 2005 WL 1596715, at *3 (ALJ Initial Decision June 13, 2005). As set out in the OTSC, the Commission follows the Fed. R. Civ. P. Rule 12(b)(6) standard used by the federal courts to dismiss a claim over which it does not have any jurisdiction *Kobel v. Hapag-Lloyd America, Inc.*, 32 SRR 40, 42 (ALJ 2011). Under Rule 12(b)(6), a claim must be dismissed if it fails to allege *all* essential elements or fails to allege facts that, if established, entitle a complaint to relief. The party asserting [subject matter] jurisdiction bears the burden of proving its existence. *See Kokkonen v. Guardian Life Ins. Co.*, 511 U.S. 375, 377 (1994). Moreover, although well-pled facts are accepted as true, the Complainants’ *legal conclusions* are not entitled to the same deference. *Ashcroft v. Iqbal*, 556 U.S. ___, 129 S.Ct. 1937, 1949 (2009)(emphasis added).

ARGUMENT

I. COMPLAINANTS FAIL TO ALLEGE A SHIPPING ACT VIOLATION WITH REGARD TO THE MERCEDES SL65

The claim by Complainants concerning a Mercedes lacks any connection to the Shipping Act. The OTSC correctly recognizes that the Complaint itself alleges that “respondents unlawfully converted this [Mercedes] *and* shipped it to the United Arab Emirates on or about August 24, 2013.” FMC Complaint at ¶ 31 (emphasis added). As a temporal (not to mention factual and legal) matter, it can only be that respondents *first* converted this vehicle and then *subsequently* shipped it to the U.A.E.; this is the only logical and commonsense sequence of events. Conversion, after all, is the “intentional exercise of dominion or control over a chattel which . . . seriously interferes with the right of another to control it . . .” Restatement (Second) of Torts § 222A. Thus, if a conversion took place, as alleged, it took place at one of two times and

places – both within the U.S. and both without involving international carriage by water. Complainants' remedy, if any, lies with the appropriate state or federal court, and not in a non-existent Shipping Act claim.

A. The alleged “conversion” did not implicate the Shipping Act.

Complainants allege (i.e., concede), under penalty of perjury, two factual occurrences of which either, under the assumption of truth *arguendo*, constitute a prima facie claim of conversion. However, both of these occurrences were in the U.S., without the involvement of any international carriage by water whatsoever, and without implicating the Shipping Act:

First, Complainants allege that on or about June 1, 2013, Complainant approached MTL and MTL “refused to offer any explanation as to the whereabouts of the vehicle.”² Ostrovskiy Cert. at ¶ 13-15. Assuming this to be true, i.e., that on June 1, 2013, MTL interfered with Complainant’s right to the Mercedes, this would be a prima facie claim for conversion, without any Shipping Act implications. *See* Restatement (Second) of Torts § 222A, *supra*.

Second, if MTL exported the Mercedes to Dubai against Complainants’ directives on or about August 24, 2013, then a conversion *must* have occurred prior to the export. The obviousness of this is proven by considering the following hypothetical: instead of exporting the Mercedes to Dubai, what if the Mercedes had been transported elsewhere in New Jersey on August 24, 2013 against Complainants’ wishes? Or what if, after August 24, 2013, MTL simply

² MTL denies the allegations of conversion, including the allegations of Complainants’ unsubstantiated and self-serving testimony purporting a communication on or about June 1, 2013, of which there is no documented evidence whatsoever, despite Complainants’ *obligation* to produce same (if it existed) in the E.D.N.Y. Case pursuant to Federal Rules. Fed. R. Civ. P. 26(a). Nevertheless, Complainants’ allegations are treated as true *only* for the purpose of this OtSC and to determine Commission jurisdiction. *Ashcroft v. Iqbal*, 129 S.Ct. 1937, 1949.

refused to release the Mercedes³? Would Complainants agree that no conversion took place? Of course not. The arrival of the Mercedes in Dubai is immaterial to any conversion; it is the earlier act of interfering with Complainants' control of the Mercedes that makes out a prima facie conversion claim.

Yet, in a desperate attempt to squeeze a square peg into a round hole, Complainants claim that "the conversion occurred *after* [the Mercedes] had arrived in Dubai." Compl. Brief at p. 10 (emphasis in original). In other words, Complainants want the Commission to find that a "refusal" to release the Mercedes to Complainants on June 1, 2013 *and* the precedent action required to export the Mercedes to Dubai when Complainants (allegedly) wanted to export the Mercedes to Germany, did *not* constitute an intentional act interfering with Complainants' right to the Mercedes (i.e. a conversion). This is simply an erroneous legal conclusion contrary to the very facts in the sworn statement by Complainants. Because Complainants' allegations are, in reality, allegations of conversion occurring in New Jersey without any international carriage by water and without any Shipping Act implications whatsoever, Complainants' claim must be dismissed for lack of Commission jurisdiction, with reasonable attorneys fees and costs awarded to respondents.

B. Complainants' did not pay or attempt to pay outstanding storage.

Notwithstanding that Complainants did not allege a Shipping Act violation for the Mercedes, Respondent highlights an additional omission from the Complaint: any facts showing payment or intent to make payment of the storage charges. Complainants' allegations in this regard mysteriously leap from an "agreement" in December 2012 to monthly storage charges of \$150 per month (Complaint at ¶ 30) to the allegation of an unlawful conversion 8 months later

³Assuming, *arguendo*, that Complainants were factually and legally entitled to the Mercedes.

on or about August 24, 2013 (Complaint at ¶ 31.) The solution to this mystery is that Complainants, in fact, did not pay or attempt to pay the agreed-on storage. This is an undisputed fact. Although this fact is not directly material to the absence of Commission jurisdiction on Complainants' claim, this omission is representative of Complainants' attempt to shade the facts to erroneously persuade the Commission to find jurisdiction on what is otherwise a "straightforward" breach of contract or tort claim.

II. COMPLAINANTS FAIL TO ALLEGE A SHIPPING ACT VIOLATION WITH REGARD TO HARLEY DAVIDSON MOTORCYCLES.

Complainants' claim with regard to the motorcycles fails for two reasons. First, aside from the absence of Commission jurisdiction, Complainants' have not and will not be able to prove causation. Consequently, if this claim is not dismissed at this stage, MTL reserves its right to move for summary judgment and, as discussed above, no further discovery is needed. Alternatively, as material to the instant OTSC, this claim also fails for lack of Commission jurisdiction because Complainants have not alleged facts showing a "retaliation" within the meaning of the Shipping Act.

A. Unitrans did not agree to Alper's September 6, 2013 request.

First and foremost, this claim is premised on the continuing fiction from Complainants that Alper's September 6, 2013 action *caused* Complainants' alleged troubles with its motorcycles and with Unitrans. In support of this fiction, Complainants directed the Commission to a September 6, 2013 e-mail by Alper (then-of-MTL) to Unitrans "requesting that [Unitrans] hold the below mentioned [motorcycles]." *See Ostrovskiy Cert. at Exh. C.*

But, the FMC should take notice that the September 6, 2013 e-mail is not the end of the story (or even the end of that specific e-mail exchange.) Complainants only presented part of the story to the Commission; Complainants' counsel is well-aware that on September 10, 2013, Unitrans *responded* to Alper's September 6, 2013 email and *refused* Alper's "request" (in relevant part below)⁴:

Unitrans – PRA Co., Inc has never been involved in any business transactions with MTL so it is *unacceptable* for us to get any requests from MTL in regards of third party transactions.

* * *

If you will provide our company with Court Order, we will execute it, but *any instructions or orders from your company have no legal ground and can not be executed.*

(emphasis added).

Complainants' Brief makes no mention of this key September 10, 2013 e-mail. The unequivocal language in Unitrans' September 10, 2013 e-mail shows that Unitrans *refused* Alper's September 6, 2013 request. In fact, Unitrans chastised Alper for his "unacceptable" request which "can not be executed" by Unitrans absent a Court Order. Appendix Exh. 04. There is no evidence that a court order ever issued and Complainants have never produced any documents to contradict Unitrans' clear refusal of Alper's request, despite their obligation to do so under Fed. R. Civ. P. Rule 26(a)(1) ["Required Disclosures"]. If such a document from Unitrans exists (which it obviously does not), Complainants' nondisclosure would subject Complainants to sanctions and preclusion of evidence in the E.D.N.Y. Case under Fed. R. Civ. P.

⁴ On May 19, 2014, as part of the E.D.N.Y. Case, the undersigned counsel provided MAVL Capital's (i.e., the plaintiff the E.D.N.Y. Suit and the present Complainants) counsel (M. Nussbaum), with a copy of Unitrans' September 10, 2013 email. Respondent's Appendix Exh. 03. The undersigned further reiterated in the May 19, 2014 that neither MAVL nor Mr. Nussbaum had disclosed any documents that would contradict Unitrans' September 10, 2013 email. This has not changed.

Rule 37(c)(1). Thus, the undisputed evidence is that Unitrans *rejected* Alper's request for Unitrans to hold the motorcycles. Consequently, there is no causation between Alper's request and any refusal by Unitrans to export Complainants' motorcycles.

Moreover, if Complainants' incredible allegations were believed, then it would be *Unitrans* that violated the Shipping Act by refusing to export the motorcycles. Yet, suspiciously, Complainants have seemingly made no effort to file suit or bring a FMC proceeding against Unitrans. Instead, Complainants chose only to file suit against third-parties (MTL and Alper) to obtain a court order directing third-parties to give "instructions" to Unitrans; instructions which Unitrans is under no legal obligation to accept and in fact has adamantly refused to accept. The factual basis for this instant Shipping Act proceeding by Complainants is, thus, highly suspect. There are presumably facts which Complainants are secreting from the Commission and from Respondents; but the burden is not on Respondents or the Commission to speculate as to why a non-party (Unitrans) may or may not have refused to deal further with Complainants. It is sufficient at this stage that Complainants have not and will not be able to allege, much less prove, the element of causation for any harm allegedly suffered by Complainants, which warrants dismissal of their claim.

B. Complainants fail to allege a "retaliation" by MTL.

Aside from the lack of causation, Complainants also fail to allege a Shipping Act Violation under 46 U.S.C. § 41104(3). "Retaliation" under 46 U.S.C. § 41104(3) occurs when a carrier "refus[es], or threaten[s] to refuse, cargo space accommodations when available" or "resorts to other unfair or unjustly discriminatory methods." Neither of those actions occurred here. As the OTSC identified and as Complainants concede, Complainants voluntarily elected *not to hire*, book, or pay MTL to ship the motorcycles. MTL, thus, did not refuse or threaten to

refuse space to Complainants. And MTL did not – and obviously could not – act unfairly or discriminate against Complainants for a *non-existent* booking with MTL. Complainants cite to no authority or non-frivolous allegation to the contrary. Accordingly, Complainants' claims concerning the Harley Davidson motorcycles can also be dismissed for lack of Commission jurisdiction.

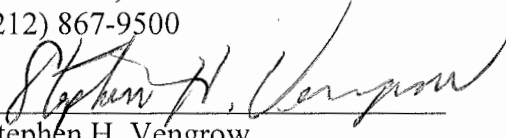
Without proof of causation or Commission jurisdiction, Complainants' claim against MTL concerning the motorcycles fail under any legal standard and is subject to dismissal (or summary judgment).

CONCLUSION

For the foregoing reasons, Respondent MTL respectfully submits that Complainants' claims regarding the Mercedes and the Harley Davidson motorcycles should be dismissed pursuant to the OTSC, with an award of reasonable attorneys fees and costs awarded to MTL.

Dated: October 17, 2016
New York, NY

Respectfully submitted,
MONTGOMERY McCracken
WALKER & RHOADS, LLP
Attorneys for Respondent
Marine Transport Logistics, Inc.
437 Madison Avenue, 29th Floor
New York, NY 10022
(212) 867-9500



Stephen H. Vengrow
Eric Chang

CERTIFICATE OF SERVICE

The undersigned declares under penalty of perjury that the following is true and correct:

1. I am over the age of eighteen years and I am not a party to this action.
2. On October 17, 2016, I served a complete copy of Respondent's Brief in Support of the Order to Show Cause and Appendix of Documents in Support of the Order to Show Cause in Docket No. 16-16 by mailing same to the below parties by U.S. Mail and by e-mail to:

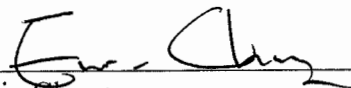
Original plus 5 copies to:

Secretary, Federal Maritime Commission
800 N. Capital St., NW.
Washington DC 20573-0001
secretary@fmc.gov

Copy only to:

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Attorneys for Complainants
P.O. Box 245599
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Eric Chang

Dated: October 17, 2016
New York, New York

APPENDIX “10”

**Law Offices of
Peter Cipparulo, III, LLC**

Peter Cipparulo, III, Esq.*

**Certified by the Supreme Court of New Jersey
as a Certified Civil Trial Attorney*

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October 17, 2016

Federal Maritime Commission
Office of the Secretary
800 North Capitol Street, N.W.
Washington, DC 20573-0001

RE: MAVL CAPITAL, INC., v. ALPER, et al.
Docket No. 16-16
Our File No. 400

Dear Sir/Madam:

Please forward this letter brief to the judge assigned to hear this matter. This office represents the respondent Dimitry Alper. By way of background, the Court on September 15, 2016 filed an Order to Show Cause why the complaint filed the complainants should not be partially dismissed. In particular, the Court's Order to Show Cause focused on the 2006 Mercedes SL65 and Three Harley Davidson Motorcycles including a 2004 Harley Davidson FXDXI, a 2007 Harley Davidson FXD, and a 2000 Harley Davidson XL883.

The complainants have submitted their opposition to the Order to Show Cause. Mr. Alper denies the facts set forth in the opposition, but even accepting such facts as true, does not give rise to jurisdiction under the Shipping Act.

The complainants cannot establish that the transactions involved a Shipping Act Violation. As set forth in Norfolk Southern Railway Co. v. Kirby, 543 U.S. 14

(2014), there must be some element of maritime commerce in order for maritime law to apply. *Id.* at 27. Further in Kawasaki Kisen Kaisha, Ltd v. Regal-Beloit Corp., 561 U.S. 89 (2010), maritime law applies even to land transportation along as part of the transportation involved maritime transportation. *Id.* at 93 and 110.

Regarding the 2006 Mercedes, the complainant does not contradict the Order to Show Cause which states that “MTL stole the Mercedes while it was stored in MTL’s warehouse, not while MTL was transporting it internationally by water” (See, Order to Show Cause dated September 15, 2016, p. 6). As highlighted in the actual complaint referring to the 2006 Mercedes, “the respondents unlawfully **converted** this vehicle and shipped it to the United Arab Emirates on or about August 23, 2013 (See complaint, p. 31, emphasis added). Despite the complainants’ protestations, nothing in their opposition changes this fact that MTL took control of the vehicle while it was located in its warehouse located in New Jersey. The fact that the title to the vehicle may have been issued in Dubai does not change the fact that the conversion of the vehicle occurred in MTL’s warehouse, thereby, abrogating any claim to a violation of the Shipping Act.

Regarding the three Harley Davidson motorcycles, the complainants’ opposition fails to address the essential crux to the Court’s Order to Show Cause which states that “Complainants do not allege that they hired or paid Respondents to ship Complainants’ motorcycles overseas or that Unitrans, a different NVOCC, was Respondents’ agent for transporting the motorcycles” (See page 7 of Order to Show Cause). Complainants’ opposition wildly asserts that defendant Alper improperly obtained title to one of the Harley Davidson motorcycles, however such claims, still do not establish that complainants hired the respondents pertaining to the transport of any of the three motorcycles or that that Unitrans was acting as the respondents’

agent. Without establishing this prerequisite, the complainants cannot establish a violation of the Shipping Act. Since the claims regarding 2006 Mercedes SL65 and Three Harley Davidson Motorcycles do not involve matters relating to the "transportation by water of ... cargo between the United States and a foreign country" under 46 U.S.C. § 40102(6) by a common carrier, this Commission lacks jurisdiction to hear over these allegations of the complaint.

Accordingly, it is respectfully requested the Court grant its Order to Show Cause to partially dismiss the complaint pertaining to the 2006 Mercedes SL65 and Three Harley Davidson Motorcycles.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Peter Cipparulo, III".

PETER CIPPARULO, III

PC/pc

cc: Marcus A. Nussbaum, Esq., counsel for plaintiff
Eric Chang, Esq., counsel for defendant Marine Transport Logistics

BEFORE THE
FEDERAL MARITIME COMMISSION

MAVL CAPITAL, INC. and IAM & AL
GROUP, INC. and MAXIM
OSTROVSKIY,

Plaintiff,

vs.

MARINE TRANSPORT LOGISTICS,
INC. and DIMITRY ALPER,

Defendants.

Docket No. 16-16

Civil Action

CERTIFICATE OF SERVICE

I hereby certify that on October 17, 2016, I served a Letter Brief via email and
Regular mail to the following:

Federal Maritime Commission
Office of the Secretary
800 North Capitol Street, N.W.
Washington, DC 20573-0001

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/s/ Peter Cipparulo, III, Esq.

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Fax: (973) 737-1617

DATED: October 17, 2016

APPENDIX “11”

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 16-16

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

— vs. —

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

**COMPLAINANTS' REPLY TO RESPONDENTS' RESPONSES TO THE COMMISSION'S
ORDER TO SHOW CAUSE WHY THE
COMPLAINT SHOULD NOT BE PARTIALLY DISMISSED**

Pursuant to the Presiding Officer's Order dated September 15, 2016, complainants respectfully submit the following in reply to respondents' responses to the Order to Show Cause Why the Complaint Should Not Be Partially Dismissed.

BRIEF STATEMENT

As set forth herein, respondent have abjectly *failed* to respond to the arguments set forth in complainants' response to the Presiding Officer's Order to Show Cause with respect to complainants' allegations regarding the subject 2006 Mercedes SL65 (the "Mercedes") and three Harley Davidson motorcycles from which this action arises. Respondents' silence speaks volumes with respect to their failure to address the admissions made under oath by Alla Solovyeva regarding the Mercedes having been sold *in Dubai*, allegedly pursuant to the terms and conditions set forth in MTL's Bill of Lading. Respondents have further wholly ignored the fact that the Mercedes was issued a new title in Dubai *after* it was repaired in that country at the direction and request of the respondents.

Notably and with respect to the Mercedes (which as the Presiding Officer is aware, is also at issue in a proceeding ongoing in the U.S. District Court for the Eastern District of New York,

captioned as *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.*, U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-7110, referred to herein as the “EDNY” matter), the respondents herein have engaged in what can only be described as a game of ‘situational ethics’ as it has suited their individual pecuniary needs, and in the process making various conflicting representations in two different forums regarding the facts under which the Mercedes was shipped to Dubai.

In the first instance, and as explained below, respondents have flat out denied having converted the vehicle (*prior* to its shipment overseas) in their individual Answers filed in response to the Complaint herein, and respondent Alper now points the proverbial finger at MTL, averring that the conversion of the vehicle occurred in MTL’s warehouse, while at the same time, both Marine Transport Logistics, Inc. (“MTL”) and Alper *denied* having converted the Mercedes in their joint Answer filed in the EDNY matter in response to the Complaint of plaintiffs therein.

It is additionally submitted that in the EDNY matter, respondents claim to have sold the Mercedes in order to recover “outstanding debts owed by plaintiffs” and claim to have asserted a lien upon the Mercedes for “*prior debts*” pursuant to clause “15” of MTL’s Bill of Lading (which complainants submit is a clear violation of the Shipping Act).

With respect to MTL’s assertion that “this is not a case where Complainants can fall back on the age old plaintiff’s cry of needing ‘more discovery’ ...”, complainants note that discovery is indeed needed in order to assist the Presiding Officer in developing a complete record¹ in light of the conflicting statements made by respondents as set forth above; and additionally in that in the EDNY

¹ It is well settled that the Commission favors the development of a complete record: “...it is Commission policy that the evidentiary record be fully developed fully [sic] before an initial decision is rendered. Maersk Line Agency for the Benefit of Mitsui and Co., 22 FMC 224 [19 SRR 1014] (1979)...[i]tis not just the policy, but the responsibility of the Commission and, by delegation of authority, the presiding judge, to inquire into and consider all relevant facts. Michigan Consolidated Gas Co. v. Federal Power Commission, 283 F2d 204, 226, *cert. denied*, 364 US 913 (1960). The Commission’s role is not one of ‘an umpire blindly calling balls and strikes for adversaries appearing before it.’ Scenic Hudson Preservation Conference v. Federal Power Commission, 354 F2d 608, 620 (2d Cir. 1965). The Commission would not be fulfilling its responsibility if it were to decide the issues upon a [sic] incomplete record. Indeed of, even greater importance than the concept of fairness between the parties as they maneuver to develop a record which fits neatly within their positions, is the need to ensure that justice is served and all relevant facts are investigated and considered by the Commission. Isbrandtsen Co. v. United States, 96 F.Supp. 883, 892 (SDNY 1951); Landis, *The Administrative Process* 39 1938. Id. at 1377.

matter, respondents claim to have sold the Mercedes to a non-party for \$3500 via wire transfer, a claim denied by said non-party, while at the same time, respondents have averred before the Presiding Officer in the matter of *Crocus Investments, LLC et al. v. Marine Transport Logistics Inc. et al.* (FMC Docket No.: 15-04) that this very same wire transfer was sent by that very same non-party to the respondents for the purchase of a boat trailer. Moreover, in the Crocus matter, and as explained below, MTL claims that “It was customer who was shipping panorama and a Mercedes [to Dubai]”, further creating inconsistent statements by respondents regarding the disposition of this vehicle.

It is further submitted that while respondents argue in conclusory fashion that the fact that a new title to the vehicle may have been issued in Dubai is irrelevant, it remains undisputed that the respondents shipped complainants’ Mercedes to Dubai, under complainants’ *original* title and then claimed to have executed a lien on said vehicle, allegedly pursuant to the terms and conditions of the MTL Bill of lading. Therefore, *ownership* of the Mercedes was transferred at the time that the new title was issued in Dubai.

A set forth below and with respect to the three Harley Davidson Motorcycles, respondent Alper has already *admitted in a sworn declaration* that MTL had received the titles for all three motorcycles after they were paid for in full by complainants *so that MTL could arrange the ocean carriage for the 3 Harley Davidson motorcycles*. This is also confirmed in the Sworn Declaration of Aleksandr Solovyev, who explains that the seller of the motorcycles sent the original titles to MTL so that MTL could arrange the ocean carriage the motorcycles.

In light of: (1) respondents’ continued “pivoting” in different forums with respect to their allegations regarding the Mercedes and their continued refusal to take a consistent position on the manner in which it was disposed; and (2) respondents’ admissions that the motorcycles were indeed purchased for the *sole* purpose of ocean transport by MTL, the Presiding Officer is respectfully urged to discharge the Order to Show Cause and to the extent necessary, allow complainants leave to amend the Complaint herein.

ARGUMENT

Respondents' Inconsistent Statements Regarding the Mercedes

It is notable that respondents have flat out denied having converted the vehicle (*prior* to its shipment overseas) in their individual Answers filed in response to the Complaint herein, and respondent Alper now points the proverbial finger at MTL, averring that “the conversion of the vehicle occurred in MTL’s warehouse” (See, page “2” of respondent Alper’s Letter Brief in response to the Order to Show Cause); while at the same time, both Marine Transport Logistics, Inc. (“MTL”) and Alper *denied* having converted the Mercedes in their joint Answer filed in the EDNY matter in response to the Complaint of plaintiffs therein (See, Complaint in the EDNY Matter annexed to MTL’s Response to the Order to Show Cause EXH “2”, ¶¶ “137” through “140”, and Answer of MTL and Dimitry Alper, annexed hereto as Appendix “A”, ¶¶ “137” through “140”).

It is additionally notable that in the EDNY matter, respondents claim to have sold the Mercedes in order to recover “outstanding debts owed by plaintiffs” and claim to have asserted a lien upon the Mercedes for “*prior debts*” pursuant to clause “15” of MTL’s Bill of Lading (See, Memorandum in Opposition to Plaintiff’s Motion for Injunctive Relief in the EDNY matter, pp. 2; 17-18, a copy of which is annexed hereto as Appendix “B”).

With respect to MTL’s assertion that “this is not a case where Complainants can fall back on the age old plaintiff’s cry of needing ‘more discovery’ ...”, complainants note that discovery is indeed needed in order to assist the Presiding Officer in developing a complete record in light of the conflicting statements made by respondents as set forth above; and additionally in that in the EDNY matter, respondents claim to have sold the Mercedes to a company called Middle East Asia Alfa FZE (“MEAA”) for \$3500 via wire transfer², a claim denied by MEAA, while at the same time,

² Respondents claim that MEAA wired \$4950 to respondents for payment of the Mercedes in the amount of \$3500 plus an additional \$1,450.00 paid toward a motorcycle purchase, unrelated to this matter.

respondents have averred before the Presiding Officer in the matter of *Crocus Investments, LLC et al. v. Marine Transport Logistics Inc. et al.* (FMC Docket No.: 15-04) that this very same wire transfer was sent by MEAA to respondents for “the purchase of a boat trailer” (See, Certification of Alexander Safonov, annexed to complainants’ Response to the Presiding Officer’s Order to Show Cause as Appendix “D”, ¶¶ “3” through “12” and exhibits “A”, “B”, “C” and “D” annexed thereto).

On the issue of respondent MTL’s denial of having converted the Mercedes, MTL claims that complainants have proffered “unsubstantiated and self-serving testimony” purporting a communication on or about June 1, 2013, of which there is allegedly “no documented evidence whatsoever” regarding the verbal instructions given by complainants to MTL to export the Mercedes back to Germany (see footnote “2” on page “4” of MTL’s brief in response to the Order to Show Cause). Such an argument is belied by MTL’s admission, *documented in writing*, that it indeed received verbal instructions from complainants regarding the parties’ course of business in making such requests for export.

The President of MTL, Ms. Alla Solovyeva, explained in her sworn Response to Interrogatories, verified by her from the EDNY matter as follows:

Q4: “...Identify the manner in which the individuals or entities authorizing you to export these vehicles provided such authorization.”

A4: “Authorization for the export of the vehicles was given by plaintiffs orally...”

(See, Appendix “C” to complainants’ Response to the Presiding Officer’s Order to Show Cause, p. 3).

The Presiding Officer is also respectfully asked to take note of additional inconsistent statements made by MTL in the matter of *Crocus Investments, LLC et al., supra*, which as explained herein, involves the very same vehicles Porsche and Mercedes at issue in the case at bar. During a deposition conducted of respondent MTL, a statement was made under oath regarding the Mercedes by Mr. Alexander Solovyev, who professes to be an “agent” of MTL. A copy of Mr. Solovyev’s

deposition transcript is annexed hereto as **Appendix “C”**, wherein he states that the Mercedes and Porsche were shipped to Dubai and sold at the request “of a customer in the U.S.A.” as follows:

- Q. Because I have an e-mail which we provided to you that is between you and Mr. Safonov in December 2013 talking about a Mercedes Benz SL and a Porsche that you had shipped over to Dubai. What's the deal of that? What was the understanding?
- A. ***It was customer who was shipping panorama and a Mercedes.*** It's salvage cars which Andre Trejaykov was supposed to sell it in Dubai. Make his commission and return money back to let's say United States, that's all.
- Q. But do you buy the cars for them and did you charge them for them?
- A. No, It's not the business. ***It was a business for one of the customers in U.S.A. which ask me to sell them In Dubai, that's all.*** (emphasis added)

(See, Appendix “C” p.89; ln. 7-22)

Complainants Were the Owners of the Mercedes at the Time It Was Exported to Dubai

While respondents argue in conclusory fashion that the fact that a new title to the vehicle may have been issued in Dubai is irrelevant, it remains undisputed that the respondents shipped complainants' Mercedes to Dubai, under complainants' original title and then claimed to have executed a lien on said vehicle pursuant to the terms and conditions of the MTL Bill of lading. Therefore, *ownership* of the Mercedes was transferred at the time that the new title was issued in Dubai. (See, Certification of Alexander Safonov, annexed to complainants' Response to the Presiding Officer's Order to Show Cause as Appendix “D”, ¶ “13”).

MTL Was Originally Hired By Complainants For Ocean Transport of the Three Harley Davidson Motorcycles

With respect to the three Harley Davidson Motorcycles, respondent Alper has already *admitted in a sworn declaration* that MTL had received the titles for all three motorcycles after they were paid for in full by complainants “so that MTL could arrange the ocean carriage for the 3 Harley Davidson motorcycles.” (See, Declaration of Dimitry Alper, ¶ “34” a copy of which is annexed hereto as Appendix “D”). Additionally, this is also confirmed in the Sworn Declaration of Aleksandr Solovyev, who explains that: (1) he is “the sole principal and officer of Car Express & Import, Inc.

(“Car Express”); (2) Car Express has a “mutual referral arrangement” with MTL in which Car Express refers its buyers to MTL for the ocean transport of vehicles purchased through Car Express; and (3) “Pursuant to the agreement between Car Express and [complainants], Car Express sent the original titles for all 3 Harley Davidson Motorcycles to MTL so that MTL could arrange the ocean carriage for the 3 Harley Davidson motorcycles” (See, Declaration of Aleksandr Solovyev, ¶¶ “2”, “9”, “10” and “27” a copy of which is annexed hereto as Appendix “E”).

While it is undisputed that the three motorcycles eventually ended up in the custody of non-party NVOCC Unitrans-PRA Co. Inc. (“Unitrans”), counsel for respondents MTL and Alper have disingenuously taken the position that it was *Unitrans* that created the problems in the first instance by rejecting Alper’s request for Unitrans to hold the motorcycles. Respondents studiously ignore the fact that Alper had no legal right to interfere with the transport of the vehicles by Unitrans in the first place.

Even more troubling is respondents’ claim that it was *Unitrans* that allegedly violated the Shipping Act by refusing to export the motorcycles, specifically in light of the fact that counsel for respondents herein also currently represent Unitrans in the matter of *Quibec Inc. v. Unitrans-Pra Co., Inc. et al.*, (Docket No.: 1:09-cv-00144 -- .S.D.C. - E.D.N.Y.) and were previously counsel for Unitrans in the matter of *Transatlantic Auto Group, Inc. v. Unitrans-PRA Co. Inc. et al*, (Docket No.: 08-cv-5070 -- U.S.D.C. - E.D.N.Y.).

In a feckless attempt to pass the blame and extricate respondents from what is otherwise a textbook example or retaliation under the Shipping Act, respondents’ counsel have apparently been very eager to throw Unitrans “under the bus” and in doing so have raised serious conflict of interest issues which may need to be addressed as this matter proceeds forward.

In light of respondents’ continued “pivoting” with respect to the Mercedes and their refusal to take a consistent position on the manner in which it was disposed, the Presiding Officer is respectfully

urged to discharge the Order to Show Cause and to the extent necessary, allow complainants leave to amend the Complaint herein.

CONCLUSION

It is respectfully submitted that based upon the foregoing, the Commission has jurisdiction over complainants' claims in this action, and the complaint states a cause of action against respondents for violations of the Shipping Act.

Consequently, it is respectfully urged and otherwise prayed for that the Presiding Officer now allow complainants to proceed forward with their claims regarding the Mercedes and motorcycles described herein, and to the extent necessary allow complainants leave to amend the complaint; and grant such other relief as the Commission may deem just and proper under the circumstances.

Dated: Brooklyn, New York
October 23, 2016

Respectfully Submitted,

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', written over a horizontal line.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

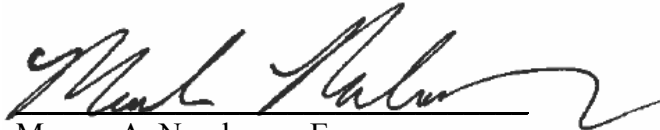
CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' REPLY TO RESPONDENTS' RESPONSES TO THE COMMISSION'S ORDER TO SHOW CAUSE WHY THE COMPLAINT SHOULD NOT BE PARTIALLY DISMISSED** upon Respondents' Counsel at the following address:

Montgomery McCracken Walker & Rhoads LLP
437 Madison Avenue, 29th Floor
New York, NY 10022
Attn: Eric Chang, Esq.
Attn: Stephen H. Vengrow, Esq.

Law Office of Peter Cipparulo, III, LLC
346 Route 206, Ste. K
Hillsborough, New Jersey 08844

by first class mail, postage prepaid, and by email to: EChang@mmwr.com; svengrow@mmwr.com; and PeterCipparulo@cipplaw.com.

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", with a long, sweeping horizontal line extending to the right.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

Dated: Brooklyn, New York
October 23, 2016

APPENDIX “12”

U.S. CUSTOMS AND BORDER PROTECTION
FIELD OPERATIONS, NEW YORK
NEW YORK/NEWARK AREA

INS-I:AD:N:SOD PP

INFORMATIONAL PIPELINE NO. 08-012-NWK

TO: All Exporters, Freight Forwarders, Carriers, Terminal Operators
and Others Concerned

SUBJECT: Revised Procedures for Exporting Used Vehicles

DATE: JUN 30 2008

REFERENCE

New York/Newark Area Informational Pipeline No. 99-90
(New Requirements and Procedures for Exporting Used Vehicles -dated 06/01/1999)
New York/Newark Area Informational Pipeline No. 05-05
(New Requirements and Procedures for Exporting Used Vehicles -dated 04/20/2005)

Purpose

To provide information concerning revised local operational procedures and policies relating to the exportation of used vehicles.

Background

On May 6, 1999, revised Customs Regulations governing the export of used vehicles went into effect. On June 1, 1999, U.S. Customs issued the above referenced Informational Pipeline that delineated requirements and operating procedures for exporting used vehicles. In response to the primary national security mission of Customs and Border Protection (CBP), the New York/Newark Area realigned legacy Customs inspection teams and priorities. These changes mandated the revision of current export vehicle operating procedures and policies in the seaport area.

With the recent volume increase of vehicle exports, CBP has revised several procedures presented in Informational Pipeline No. 05-05.

Action

The following changes to the New York/Newark Area procedures relating to the exportation of used vehicles are effective immediately:

- All required documentation must be presented to CBP at least 72 hours prior to export, not including weekends and Federal holidays.

REPORT DRUG SMUGGLING TO CUSTOMS AND BORDER PROTECTION 1-800-BE-ALERT

- Required documentation consists of the original certificate of title, a duplicate of the certificate of title (front and back) and a dock receipt, bill of lading or Intent to Export form, which must contain identifying vehicle information and endorsement by the export carrier which indicates the carrier's receipt and possession of the vehicle.
- Dock Receipts must not be altered in any way. Original Pier/Date stamps, VIN Numbers and Shipper/Consignee information must be legible and complete.
- All Terminals must stamp the Dock Receipt with a stamp which includes date and terminal location. Only one stamp format is to be utilized by each exporting carrier terminal location. CBP is in the process of acquiring copies of stamp formats from each export carrier terminal. Before a carrier changes its stamp format, an example must be submitted to the CBP export vehicle desk at 1210 Corbin Street, Port Elizabeth.
- The vehicle must be delivered to the exporting carrier prior to presentation of documents to CBP.
- The vehicle must be "held on dock" for a minimum of 72 hours after the carrier terminal accepts the vehicle, and export documents are presented to CBP. This timeframe does not include weekends or Federal holidays. The only exception to this timeline is when CBP processes and returns export documentation prior to the 72 hours.
- Documents will be processed on a first-in, first-out basis.
- CBP will no longer provide a stamped "release" for export vehicles, nor will CBP require vehicles to be "held on dock" awaiting such a release, past the 72 hour requirement. With no action or notification by CBP, vehicles may be loaded for export 72 hours after proper and compliant documents have been presented to the CBP Vehicle Export Desk at 1210 Corbin Street, Port Elizabeth.
- Under the provisions of 19USC1436, the vessel master is responsible for presenting a true manifest, and may be penalized if the subject vehicles are not detailed or otherwise accurately described on export manifest.
- When CBP designates vehicles for VACIS and/or physical inspection, CBP will utilize a standard, hardcopy "CBP Export Notification Document," issued to the export carrier, according to established local procedures.
- All containers scanned at a fixed base VACIS site, and subsequently designated for an enforcement examination, must be examined at the exam facility on that site.
- If for any reason the title or related paperwork is rejected by CBP, it is the shipper/forwarder's responsibility to notify the carrier to defer vehicle export until approved by CBP.

Documentation presented for export of a used vehicle will be processed Monday through Friday from 8 am to 3:45 pm at the Vehicle Export Desk located on the 3rd floor of 1210 Corbin Street, Elizabeth, New Jersey.

Additional information is available on the CBP Website at www.CBP.gov. Vehicle exports are detailed on the website in the Trade section's "Basic Importing and Exporting" category, under Export Documents, Licenses and Requirements (http://www.cbp.gov/xp/cgov/trade/basic_trade/export_docs/). You may also contact the Assistant Area Director, Seaport Operations at (201) 443-0200.



Adele Fasano
Area Director
New York / Newark

Dist: CMC-3, CMC-16

REPORT DRUG SMUGGLING TO CUSTOMS AND BORDER PROTECTION 1-800-BE-ALERT

APPENDIX “13”

9934/SHV
CICHANOWICZ, CALLAN, KEANE,
VENGROW & TEXTOR, LLP
61 Broadway, Suite 3000, New York, New York 10006
(212)344-7042
Attorneys for Defendants

UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK

MAVL CAPITAL, INC., IAM & AL GROUP
INC., and MAXIM OSTROVSKIY,

Plaintiffs,

- against -

MARINE TRANSPORT LOGISTICS, INC.,
ROYAL FINANCE GROUP, INC., CAR
EXPRESS & IMPORT INC., ALEKSANDR
SOLOVYEV, DIMITRY ALPER, and JOHN
DOE CORP., the unidentified Vessel
Operating Common Carrier/Ocean Liner,

Defendants.

13 Civ. 07110 (SLT)(RLM)

**DECLARATION OF
ALEKSANDR SOLOVYEV**

I, ALEKSANDR SOLOVYEV, hereby declare under penalty of perjury that
the following is true and correct:

1. I am the sole principal and officer of Royal Finance Group, Inc. ("Royal Finance Group") and have been since 2012.
2. I am also the sole principal and officer of Car Express & Import, Inc. ("Car Express") and have been since 2007.
3. I am fully familiar with the facts and circumstances of this case and make this declaration on personal knowledge.

4. Royal Finance Group is a Florida corporation that offers financing for the purchase of cars. Royal Finance Group advances the purchase price, either in full or in part, and charges a 2.5% monthly financing fee on the balance financed by Royal Finance Group.
5. Car Express is a New York corporation and is a licensed car purchaser/dealer.
6. As a car purchaser/dealer, Car Express primarily purchases used and salvage cars, automobiles, and other vehicles (collectively "cars") from auctions and dealerships at the request of Car Express' buyers.
7. Car Express charges its buyer a commission for its services, plus, when applicable, delivery charges and other related costs. Related costs can include arranging for the transporting of the car(s) from the auction site to the buyer's designated warehouse or repair costs to put a salvage/damaged car(s) in "saleable" condition.
8. Car Express does not finance any of the car purchases or advance any of the payment for the car purchases. The purchase monies are paid to Car Express in advance by Car Express' buyer or by finance companies.
9. Because many of Car Express' buyers export the car(s) from the U.S. to overseas destinations, Car Express has a mutual referral arrangement with Marine Transport Logistics, Inc. ("MTL"). MTL is a Federal Maritime Commission licensed Non-Vessel Operating Common Carrier.

10. As part of the mutual referral arrangement, Car Express refers its buyers to MTL for the ocean and intermodal transportation of the car(s). In turn, MTL refers its shippers that are in need of inland car transportation and/or delivery services to Car Express.

11. I have known Maxim Ostrovskiy since December 2012.

12. The cars, vehicles, and shipments at issue as alleged by Plaintiffs are discussed below.

The 2006 Mercedes SL65 (VIN # 3072)

13. Car Express and Royal Finance Group were not involved with the 2006 Mercedes SL65.

The 2004 Bobcat S205 (VIN # 1404)

14. On April 16, 2013 Plaintiffs emailed Car Express from their ceospb@mtlworld.com email account to request that Car Express pick up the Bobcat S205 from A Division of Lift, Inc. in Ephrata, Pennsylvania. A copy of Plaintiffs' April 16, 2013 email is attached as **Exhibit A** hereto.

15. On June 11, 2013 Plaintiffs emailed Car Express and MTL from their ceo@oooacca.net email account asking if the 2004 Bobcat S205 and 2010 Bobcat S185 could be loaded into a container to Finland. In response, I requested that Ostrovskiy provide the VIN #s for the two Bobcats. A copy of Plaintiffs' June 11, 2013 email is attached as **Exhibit B** hereto.

16. On June 12, 2013 Plaintiffs emailed Car Express and MTL from their ceo@oooacca.net email account to provide the VIN numbers for the 2004 Bobcat S205 and 2010 Bobcat S185 and to request that MTL "Please Load" (1) the 2004 Bobcat S205 with the Consignee designated as "OOO ACCA LOGISTIC" in St. Petersburg, and (2) the 2010 Bobcat S185 with the consignee designated as Illushik Valeriy in St. Petersburg. A copy of Plaintiffs' June 12, 2013 email is attached as **Exhibit C** hereto.

The 2006 Bobcat S250 (VIN # 2346)

17. Car Express and Royal Finance Group were not involved with the Bobcat S250.

The 2010 Bobcat S185 (VIN # 8388)

18. On June 11, 2013 Plaintiffs emailed Car Express and MTL from their ceo@oooacca.net email account asking if the 2004 Bobcat S205 and 2010 Bobcat S185 could be loaded into a container to Finland. In response, I requested that Ostrosvkiy provide the VIN #s for the two Bobcats. A copy of Plaintiffs' June 11, 2013 email is attached as **Exhibit B** hereto.

The 2011 Porsche Panamera (VIN # 7399)

19. Car Express purchased the Porsche Panamera for \$41,940 on or about April 18, 2013 at Plaintiffs' request with financing provided by Royal Finance Group.

20. Royal Finance Group issued its Invoice no. 1172MO on or about April 20, 2013 to Plaintiffs. A copy of Invoice no. 1172MO was attached by Plaintiffs to their Complaint as "Exhibit H", but is attached again for convenience as **Exhibit D** hereto.
21. As part of the financing agreement, Plaintiffs was required to pay a 2.5% monthly finance fee to Royal Finance Group on the remaining balance, until the balance was paid in full.
22. To date, Invoice no. 1172MO remains unpaid.

The Hummer Seats

23. Car Express and Royal Finance Group were not involved with the 2 Hummer seats.

The 3 Harley Davidson motorcycles

24. On or about June 7, 2013 Car Express purchased a 2004 Harley Davidson FXD1 (VIN # 7346) at Plaintiffs' request.
25. On or about July 8, 2013 Car Express purchased a 2000 Harley Davidson XL883 (VIN # 3838) at Plaintiffs' request.
26. On or about July 29, 2013 Car Express purchased a 2007 Harley Davidson FXD (VIN # 1645) at Plaintiffs' request.
27. Pursuant to the agreement between Car Express and Plaintiffs, Car Express sent the original titles for all 3 Harley Davidson motorcycles to

MTL so that MTL could arrange the ocean carriage for the 3 Harley Davidson motorcycles

The 2010 Mercedes GL (VIN # 2062) and 2012 Mercedes ML (VIN # 8732)

28. On April 18, 2013 Plaintiffs emailed me confirming the outstanding invoices nos. 1162MO, 1161MO, 1160MO, and 1159MO from Royal Finance Group. A copy of the April 18, 2013 email is attached as **Exhibit E** hereto

29. In that same email, Plaintiffs requested that Royal Finance Group send him invoices for a Mercedes GL350 to Novoriskyk and a Mercedes ML350 to Kotka.

30. Subsequently, Royal Finance Group sent Plaintiffs Invoice no. 1170MO for the Mercedes GL350 and Invoice no. 1173MO for the Mercedes ML350. The two Royal Finance Group invoices were sent to Ostrovskiy on or about April 20, 2013. A copy of Invoice no. 1170MO and no. 1173MO were attached to Plaintiffs' Complaint as "Exhibit Q", but are attached again for convenience as **Exhibit F** hereto.

31. Royal Finance Group has never tried to collect on either Invoice no. 1170MO or 1173MO.

I declare under penalty of perjury that the foregoing is true and correct.

Dated: New York, New York
February 28, 2014


ALEKSANDR SOLOVYEV

Exhibit A
to Declaration of Aleksandr Solovyev

Alla Solovyeva

From: Alex Solovyev [mailto:mtlworld@mtlworld.com]
Sent: Tuesday, April 16, 2013 9:42 PM
To: Maxim Ostrovski; Alla Solovyev
Subject: Re: rented bobcat s205

ok

Aleksandr Solovyev
Car Express & Import Inc
As an agent for Marine Transport
63 New Hook Road,
Bayonne, NJ 07002
Tel: 201-858-8600 Ext: 117
Fax: 201-858-8607
Cell: 646-725-1335
Skype: aleksandr.solovyev

Unless otherwise noted, all ocean freight quotations are valid for 30 days from the date of original quotation, subject to equipment availability, subject to any and all tariff adjustments valid at time of shipment.
Inland freight quotations are subject to third party increases valid at time of shipment, subject to any fuel surcharges valid at time of shipment, subject to weight limitations and weight distribution requirements in accordance with the local and national rules and regulations of the country(ies) of transit, subject to availability of inland carrier at time of booking. Loading, lashing, securing, blocking and bracing of cargo is for shipper's account. Carrier reserves the right to stow cargo in the best interest of the Vessel and in compliance with local, national and international rules, regulations and conventions. On deck shipments at shipper's risk. Dangerous cargo, as defined by 49 CFR or the IMDG Code, is subject to the line's approval at time of booking. Kindly note all vessel rates are subject to changes. Equipment is subject to availability.

ALL COMMUNICATION IN THIS EMAIL IS PRIVILEGED AND INTENDED ONLY FOR THE ORIGINAL RECIPIENT. ALL OTHER USE OF SUCH COMMUNICATION IS PROHIBITED BY LAW.

Go Green! Please don't print this e-mail unless you REALLY, REALLY need to.

From: Maxim Ostrovski <ceospb@mtlworld.com>
Date: Tuesday, April 16, 2013 9:31 PM
To: Alla Solovyev <alla@mtlworld.com>, Alex Solovyev <mtlworld@mtlworld.com>
Subject: rented bobcat s205

Pick up:
A Division of Lift, Inc
4122 Oregon Ave,
Ephrata, PA 17522
717 808 8450
Stephen

need to tell that Bobcat will delivered to my store in Philadelphia:
9413 Bustelton Ave
Philadelphia, PA 19115

Maxim O.
OOO "ACCA"
www.mtlworld.com
www.oooacca.com
www.autolehmann.us
+1 347 903 5896
+7 981 192 5714
Skype" ALOMAX
Email: ceospb@mtlworld.com

Exhibit B

to Declaration of Aleksandr Solovyev

Alla Solovyeva

From: Alex Solovyev [mtlworld@mtlworld.com]
Sent: Monday, October 7, 2013 12:31 PM
To: Alla Solovyev
Subject: Re: Loading Bobcats

On Tue, Jun 11, 2013 at 5:08 PM, Alex Solovyev <mtlworld@mtlworld.com> wrote:
GIVE ME VIN #?

--

Aleksandr Solovyev
Car Express & Import Inc
As an agent for Marine Transport
63 New Hook Road,
Bayonne, NJ 07002
Tel: 201-858-8600 Ext: 117
Fax: 201-603-2772
Cell: 646-725-1335
Skype: aleksandr.solovyev

From: CEO ACCA <ceo@oooacca.net>
Date: Tuesday, June 11, 2013 4:55 PM
To: Alex Solovyev <mtlworld@mtlworld.com>, <alla@mtlworld.com>
Subject: Loading Bobcats

Can we load in to container 2004 BOBCAT S205 and 2010 BOBCAT S185 to Finland?

Best regards

Михаил Остро́вский
MAVL Capital, Inc
ACCA Logistics, Ltd

+1 347 903 5896 New York

+7 921 860 0430 SPB

ceo@oooacca.net

Skype: al.omax

Affiliates:

<http://acm.mab.autolehmann.us/> (CARS/MOTO/SALVAGE)

Exhibit C

to Declaration of Aleksandr Solovyev

Alla Solovyeva

From: Alla Solovyeva [alla@mtlworld.com]
Sent: Monday, October 7, 2013 12:58 PM
To: 'Dimitry'
Subject: FW: FW: Loading to Kotka
Attachments: photo-3.jpg; IMG_7079.jpg; photo (12) JPG

Regards,

Alla
Marine Transport Logistics
63 New Hook Road
Bayonne, New Jersey 07002
Phone (201) 858-8600 Ext 116
Fax (201) 308-8402

www.MTLWORLD.com

From: CEO ACCA <ceo@oooacca.net>
Date: Wednesday, June 12, 2013 10:18 PM
To: Alex Solovyev <mtlworld@mtlworld.com>, <alla@mtlworld.com>
Subject: Loading to Kotka

Please Load

2010 Bobcat S185 VIN: A3L938388 (include PALET FORK and SWEEPER see pictures in attach)
Consignee: Ilushik Valeriy, Kutysheva 55,49, Maloe Verevo, Sankt Peterburg, Russia 188354

2004 BOBCAT 5205 VIN:530511404

Consignee: OOO ACCA LOGISTIC, Setevaia 13/7 Pushkin, Sankt Peterburg

Best regards

Maxim Ostrovskiy
MAVL Capital, Inc
ACCA Logistics, Ltd

+1 347 903 5896 New York

+7 921 860 0430 SPB

ceo@oooacca.net

Skype: al.omax

Affiliates:

<http://acm-mab.autolehmann.us/> (CARS/MOTO/SALVAGE)

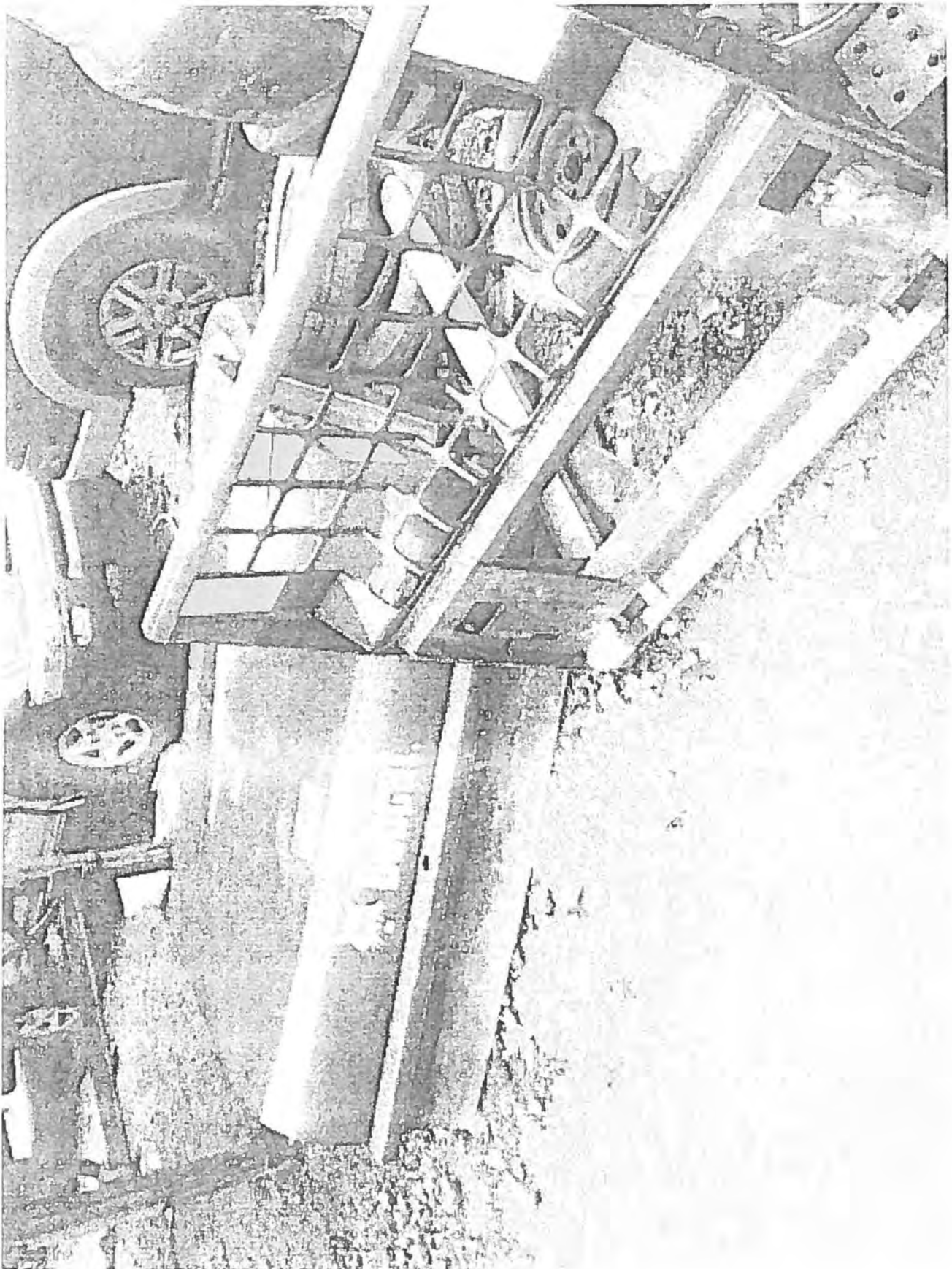
<http://hcck-mab.autolehmann.us/> (HEAVY EQUIPMENT)

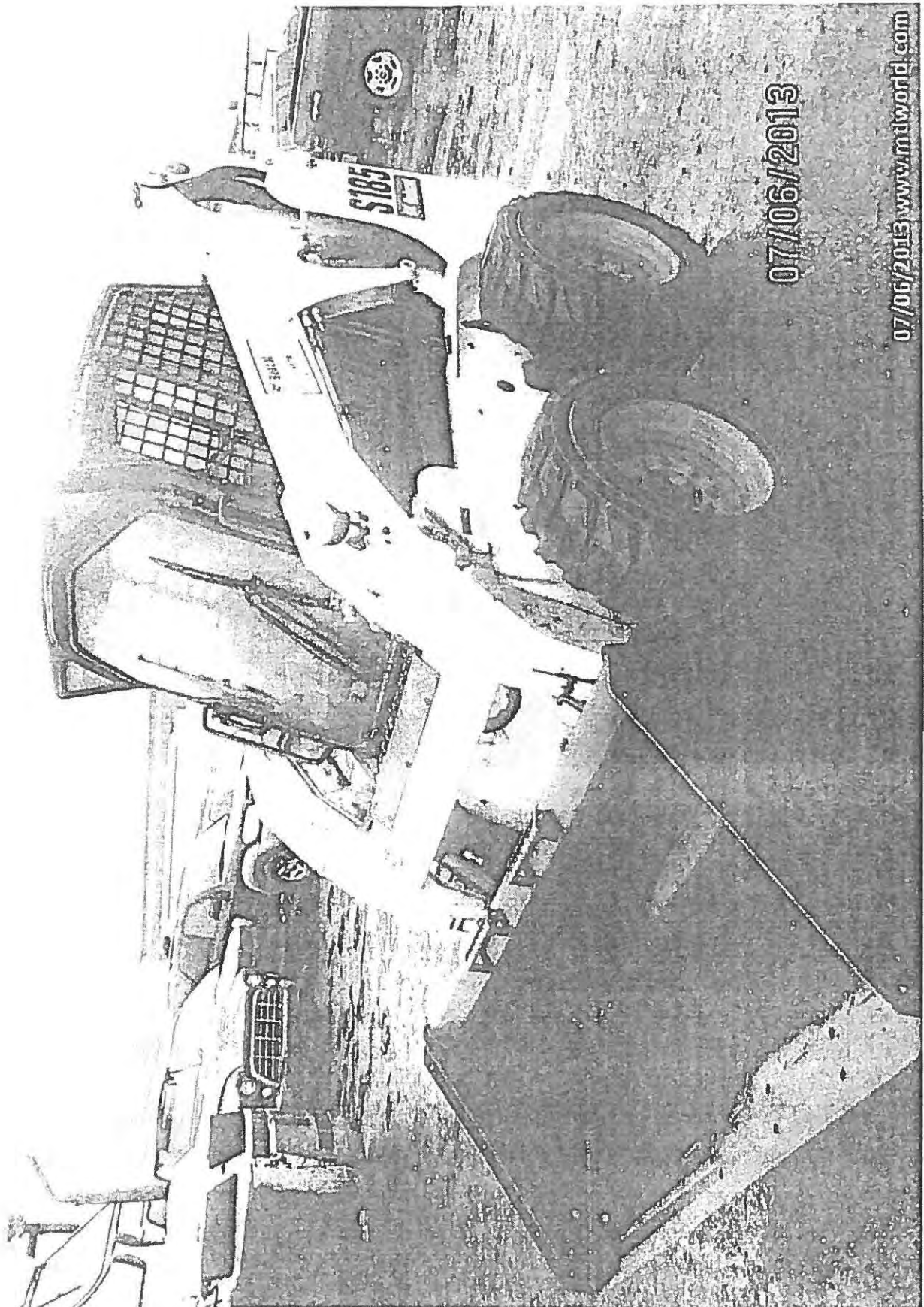
<http://acca.autolehmann.us/> (HEAVY EQUIPMENT)

<http://mabmv.autolehmann.us/> (MOTO / ATV / JETSKI)

www.oooacca.com (WAREHOUSE SBP - RUSSIA)

www.autolehmann.us GENERAL LOCATIONS





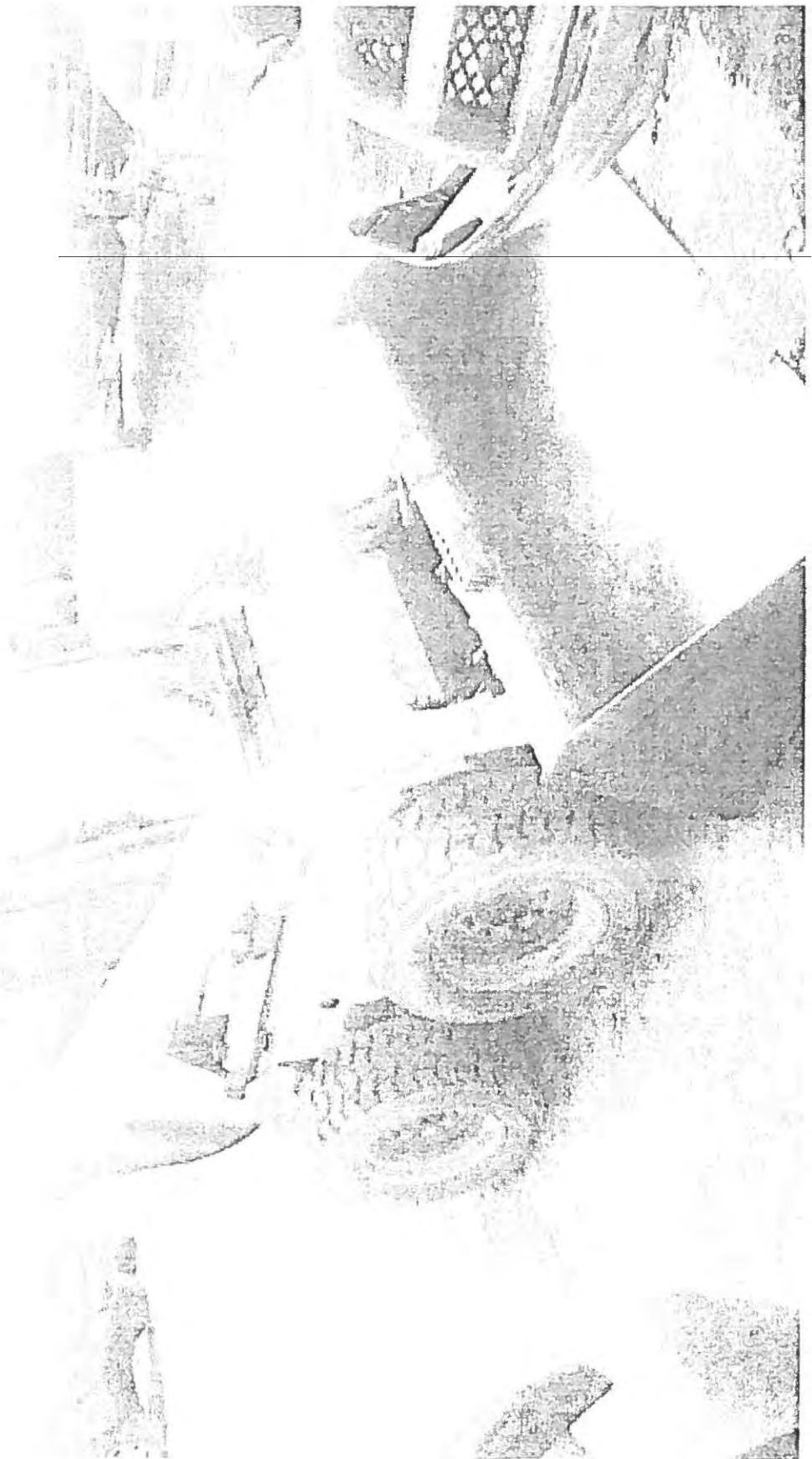


Exhibit D

to Declaration of Aleksandr Solovyev

Royal Finance Group, Inc

1040 Seminole Dr., Apt.1460
Fort Lauderdale, Florida 33304
Tel: 646.725.1335

04/20/2013

INVOICE # 1172MO

TO :
MAVL Capital, INC
115E 57th Str, FL11
New York, NY 10022
3479035896
Tax id: 680676853

Description of services:

2011 PORSCHE PANAMERA IAAI

VIN# WP0AA2A75BL017399

CAR COST : \$35,379

DELIVERY: \$ 950

SHIPPING TO KOTKA: \$ 700

COMMISSION : \$ 3,300

TOTAL COST : \$40,429

WIRING INSTRUCTION

Royal Finance Group, Inc
1040 Seminole Dr., Apt.1460
Fort Lauderdale, Florida 33304

CITI BANK, N.A. CitiBank, N.A.

5 Marine View Plaza, Hoboken, NJ 07030 ABA: 021272655
ACCOUNT: 759635976 SWIFT: CITI US 33

Exhibit E

to Declaration of Aleksandr Solovyev

Eric Chang

From: Alex Solovyev <mtlworld@mtlworld.com>
Sent: Friday, February 14, 2014 5:10 PM
To: Eric Chang
Subject: FW: invoices

Follow Up Flag: Follow up
Flag Status: Flagged

Categories: Red Category

From: Maxim Ostrovski <ceospb@mtlworld.com>
Date: Thursday, April 18, 2013 at 12:22 PM
To: Alex Solovyev <mtlworld@mtlworld.com>
Subject: invoices

Open invoices

Royal Finance 1162MO
\$242

Royal Finance 1161MO
\$7660

Royal Finance 1160MO
\$2817

Royal Finance 1159MO
\$1317

Need invoice for

S205+Sweeper+Palet Fork: Shipping
GL350: Rest amount and shipping to Novorosiysk \$31690
ML350: Amount price shipping to Kotka \$36229
Panamera: Amount price shipping to Kotka \$40979

--

~

Maxim O.
OOO "ACCA"
www.mtlworld.com
www.oooacca.com
www.autolehmann.us
+1 347 903 5896
+7 981 192 5714
Skype" AL.OMAX
Email: ceospb@mtlworld.com

Exhibit F

to Declaration of Aleksandr Solovyev

Royal Finance Group, Inc

1040 Seminole Dr., Apt.1460
Fort Lauderdale, Florida 33304
Tel: 646.725.1335

04/20/2013

INVOICE # 1170MO

TO :
MAVL Capital, INC
115E 57th Str, FL11
New York, NY 10022
3479035896
Tax id: 680676853

Description of services:

2010 MERCEDES-BENZ GL-CLASS BASE
4JGBF2FE6AA562062

CAR COST :	\$31,280
DELIVERY:	\$ 150
SHIPPING TO NOVOROSIYSK:	\$ 1,000
COMMISSION :	\$ 2,186

TOTAL COST : \$34,591

WIRING INSTRUCTION
Royal Finance Group, Inc
1040 Seminole Dr., Apt.1460
Fort Lauderdale, Florida 33304

CITI BANK, N.A. CitiBank, N.A.
5 Marine View Plaza, Hoboken, NJ 07030 ABA: 021272655
ACCOUNT: 759635976 SWIFT: CITI US 33

Royal Finance Group, Inc

1040 Seminole Dr., Apt.1460
Fort Lauderdale, Florida 33304
Tel: 646.725.1335

04/20/2013

INVOICE # 1173MO

TO :
MAVL Capital, INC
115E 57th Str, FL11
New York, NY 10022
3479035896
Tax id: 680676853

Description of services:

2012 MERCEDES BENZ-ML350

VIN# 4JGDA5HB8CA008732

CAR COST :	\$32,494
DELIVERY:	\$ 250
SHIPPING TO KOTKA:	\$ 700
COMMISSION :	\$ 2,500

TOTAL COST : \$35,944

WIRING INSTRUCTION
Royal Finance Group, Inc
1040 Seminole Dr., Apt.1460
Fort Lauderdale, Florida 33304

CITI BANK, N.A. CitiBank, N.A.
5 Marine View Plaza, Hoboken, NJ 07030 ABA: 021272655
ACCOUNT: 759635976 SWIFT: CITI US 33

APPENDIX “14”

Page 1	Page 3
1 2 FEDERAL MARITIME COMMISSION 3 DOCKET NO.: 15-04 4 -----X 5 CROCUS INVESTMENTS, LLC AND CROCUS, PZE 6 Complainants 7 v. 8 MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR 9 SOLOVYEV a/k/a ROYAL FINANCE GROUP INC. 10 Respondents 11 -----X 12 1384 Broadway 13 New York, New York 10018 14 November 20, 2015 15 10:13 a.m. 16 17 EXAMINATION BEFORE TRIAL of ALEKSANDR 18 SOLOVYEV, the Defendant in the above-entitled 19 action, taken on behalf of the Plaintiffs, held 20 at the above time and place, and taken before 21 Dorene Glover, a reporter and Notary Public 22 within and for the State of New York. 23 24 25	1 IT IS HEREBY STIPULATED AND AGREED by and 2 between the attorneys for the respective 3 parties herein, and in compliance with Rule 221 4 of the Uniform Rules for the Trial Courts: 5 THAT the parties recognize the provision of 6 Rule 3115 subdivisions (b), (c), and/or (d). 7 All objections made at a deposition shall be 8 noted by the officer before whom the deposition 9 is taken, and the answer shall be given and the 10 deposition shall proceed subject to the 11 objections and to the right of a person to 12 apply for appropriate relief pursuant to 13 Article 31 of the CPLR. 14 THAT every objection raised during a 15 deposition shall be stated succinctly and 16 framed so as not to suggest an answer to the 17 deponent and, at the request of the questioning 18 attorney, shall include a clear statement as to 19 any defect in form or other basis of error or 20 irregularity. Except to the extent permitted 21 by CPLR Rule 3115 or by this rule, during the 22 course of the examination persons in attendance 23 shall not make statements or comments that 24 interfere with the questioning. 25
Page 2	Page 4
1 2 A P P E A R A N C E S: 3 4 THE LAW OFFICE OF LOUIZA TARASSOVA, P.A. 5 Attorneys for Complainants 6 1420 Lake Baldwin Lane 7 Orlando, Florida 32814 8 BY: LOUIZA TARASSOVA, ESQ. 9 10 CICHANOWICZ, CALLAN, KEANE, VENGROW & TEXTOR, 11 LLP. 12 Attorneys for Respondents 13 61 Broadway 14 New York, New York 10006 15 BY: ERIC CHANG, ESQ. 16 17 18 19 20 21 22 23 24 25	1 2 THAT a deponent shall answer all questions 3 at a deposition, except (i) to preserve a 4 privilege or right of confidentiality, (ii) to 5 enforce a limitation set forth in an order of a 6 court, or (iii) when the question is plainly 7 improper and would, if answered, cause 8 significant prejudice to any person. An 9 attorney shall not direct a deponent not to 10 answer except as provided in CPLR Rule 3115 or 11 this subdivision. Any refusal to answer or 12 direction not to answer shall be accompanied by 13 a succinct and clear statement of the basis 14 therefore. If the deponent does not answer a 15 question, the examining party shall have the 16 right to complete the remainder of the 17 deposition. 18 THAT an attorney shall not interrupt the 19 deposition for the purpose of communicating 20 with the deponent unless all parties consent or 21 the communication is made for the purpose of 22 determining whether the question should not be 23 answered on the grounds set forth in section 24 221.2 of these rules and, in such event, the 25 reason for the communication shall be state for

Page 5 1 2 the record succinctly and clearly. 3 THAT failure to object to any question or to 4 move to strike and testimony at this 5 examination shall not be a bar or waiver to 6 make such objection or motion at the time of 7 the trial of this action, and is hereby 8 reserved; and 9 THAT this examination may be signed and 10 sworn to by the witness examined herein before 11 any Notary Public, but the failure to do so or 12 to return the original of the examination to 13 the attorney on whose behalf the examination is 14 taken shall not be deemed a waiver of the 15 rights provided by Rules 3116 and 3117 of the 16 CPLR, and shall be controlled thereby, and 17 THAT certification and filing of the 18 original of this examination are waived; and 19 THAT the questioning attorney shall provide 20 counsel for the witness examined herein with a 21 copy of this examination at no charge. 22 23 24 25	Page 7 1 SOLOVYEV 2 a range between one and five, five and ten, ten 3 to 15; how many would you say? 4 A. Two. 5 Q. What were those cases? 6 A. I don't remember. 7 Q. Do you know how long ago they were? 8 A. Ten years ago. 9 Q. I am sure at that time they 10 explained the ground rules to you but I'm going 11 to remind you about the ground rules of the 12 deposition today again. 13 I am going to assume that you 14 understood my question unless you tell me that 15 you did not. And ask me to rephrase it or 16 restate it; do you understand? 17 A. Understand. 18 Q. So sometimes lawyer tend to want to 19 get their thoughts out and it don't come out as 20 well as we have them in our minds. Stop me and 21 say can you rephrase that, I don't understand 22 and I'll be happy to do that, okay. 23 A. Yes. 24 Q. Answer just like you would if the 25 judge was here. Everything is being recorded
Page 6 1 2 ALEKSANDR SOLOVYEV, 3 the witness herein, having first been duly 4 sworn 5 by a Notary Public of the State of New York, 6 was 7 examined and testified as follows: 8 EXAMINATION BY 9 MS. TARASSOVA: 10 Q. Please state your name for the 11 record. 12 A. Aleksandr Solovyev. 13 Q. Please state your address. 14 A. 2820 Ocean Parkway, Brooklyn, New 15 York 11223. 16 Q. Good morning, Mr. Solovyev. Can 17 you hear me well? 18 A. Good morning, yes. 19 Q. Have you ever been to a deposition 20 before? 21 A. Yes. 22 Q. How many times would you say? 23 A. Don't remember. 24 Q. Do you know approximately? I'm not 25 asking for a specific number. I'm looking for	Page 8 1 SOLOVYEV 2 and it will be used in a hearing at a later 3 time. So if you truly do not remember then go 4 ahead and state so, but remember if you 5 suddenly remember or recall facts at a hearing 6 or at a trial, it will be basically used 7 against you; do you understand that? 8 A. Yes. 9 Q. Also, and you're doing a very good 10 job but I want to remind you to give verbal 11 responses. Sometime we tend to nod shakes our 12 heads when we agree or disagree and I do want 13 you to say yes or no; do you understand that? 14 A. Yes. 15 Q. I see that you are on your phone 16 right now; what are you doing? 17 A. Giving constructions. 18 Q. I would ask that you pay complete 19 and full attention today to the deposition. It 20 is very important that you are completely 21 participating in this because like I said, 22 everything's being recorded and if you give a 23 wrong answer, if you're distracted, it will be 24 used against you; do you understand that? 25 A. Yes.

Page 9 1 SOLOVYEV 2 MR. CHANG: Louiza, if he gets a 3 business phone call and he needs to have 4 quick break, can we just let you know 5 and you'll stop questioning. Obviously 6 if there's a pending question, we'll 7 have him answer before he leaves. I 8 think the reason he's on his phone is 9 because he getting calls almost nonstop 10 throughout the day for work. 11 MS. TARASSOVA: Okay, Eric, that's 12 fine. 13 Q. As you know from doing previous 14 depositions, in your career, breaks are totally 15 fine but when you're talking about constant 16 phone calls, that's not going to work and so 17 that brings me to my next question: Mr. 18 Solovyev, is there anything that may be 19 distracting you today in preventing you from 20 being able to have participate fully in this 21 deposition? 22 A. No. 23 Q. So you're prepared to do this 24 deposition? You're going to be fully focused; 25 is that correct?	Page 11 1 SOLOVYEV 2 Q. Okay, perfect. 3 You mentioned that -- well, let's 4 start from the beginning: What is your current 5 home address? 6 A. 2820 Ocean Parkway. 7 Q. Okay, what state is that in? 8 A. New York. Brooklyn, New York. 9 Q. And how long have you lived at that 10 address? 11 A. Three years. 12 Q. And where did you live prior to 13 that address? 14 A. I don't remember. It was the same 15 building. I moved to a new apartment. I don't 16 remember what building number it was. I don't 17 remember now. The same area. 18 Q. It was also at 2820 that building? 19 A. No, different numbers. 20 Q. Have you ever -- are you married? 21 A. Separated. 22 Q. But legally you are married right 23 now? 24 A. No, separated. 25 Q. Have you gotten a divorce?
Page 10 1 SOLOVYEV 2 A. I am fully focused. 3 Q. Okay, perfect. And throughout the 4 deposition, you're attorney may be objecting to 5 certain questions. That's absolutely normal go 6 ahead and stop your answer. Let us put what we 7 need to put on the record and then proceed to 8 answer once you've been instructed to do so, 9 okay. 10 A. Okay. 11 Q. And finally, are you on any type of 12 medication today that would prevent you from 13 remembering certain facts? 14 A. Not yet. 15 Q. What do you mean not yet? Do you 16 think you might need to take some medication 17 later today that might prevent you from 18 remembering certain facts? 19 A. Let's see which say you're going 20 today. Maybe you're going to make it crazier 21 and I will need some Tylenol. 22 Q. Do you think Tylenol might prevent 23 you from remembering? 24 A. I don't know yet. Let's start 25 working.	Page 12 1 SOLOVYEV 2 A. No. 3 Q. And what is the name of your spouse 4 who you're separated from? 5 A. Allah Solovyev. 6 Q. What address does she live at? 7 A. 420 Jensen Street, Staten Island, 8 New York. 9 Q. Have you ever lived at that 10 address? 11 A. No. 12 Q. So you never lived at that address 13 with your wife? 14 A. No. 15 Q. What is your cellphone number? 16 MR. CHANG: Is this something he 17 can check? 18 MS. TARASSOVA: Absolutely. The 19 other rule that I forgot, this is not a 20 quiz. If you do need to refer to 21 something in your phone or if there's 22 some documents, go ahead and do that. 23 That's not a problem. I want you to 24 give accurate answers. 25 A. 646-725-1355.

Page 13 1 SOLOVYEV 2 Q. Have you ever had a cellphone 3 number that was 646-725-1335? 4 A. Yes, this is my number, yes. 5 Q. 1335? 6 A. Yes. 7 Q. Is that a different cellphone 8 number from the one you just gave me that ends 9 with 1355? 10 A. Did I? 11 Q. The phone number you just gave me 12 was 646-725-1355? 13 A. No, 1335. 14 Q. How long did you have the cellphone 15 number? 16 A. Way too long. 17 Q. Pretty long. How much -- 18 approximately how many years would you say? 19 A. Five years. 20 Q. And did you use the cellphone 21 number throughout the time that the dispute is 22 about? This case -- it's from the transactions 23 happened between 2013 and 2014, did you use 24 that cellphone number at the time? 25 A. Yes.	Page 15 1 SOLOVYEV 2 have? 3 MR. CHANG: During the 2013 or 2014 4 period? 5 MS. TARASSOVA: Correct, yes. 6 A. It was two e-mails. 7 Q. What is the first e-mail address? 8 A. Worldexpress2010@gmail.com. 9 Q. And what was the next e-mail 10 address? 11 A. Alex -- no, no, sorry. 12 MTLworld@MTLworld.com. 13 Q. Those were the only e-mail 14 addresses that you used during the transaction 15 period? 16 A. Yes. 17 Q. And I just want to clarify, when I 18 say transaction period I'm talking about the 19 transactions between the complainants and the 20 respondents, you know what I'm talking about 21 right the issues that are in the lawsuit? 22 A. No. 23 Q. No what? 24 A. Means I never had any deals with 25 your plaintiff.
Page 14 1 SOLOVYEV 2 Q. And did you have any other 3 cellphone numbers that you used at the time? 4 A. Yes. 5 Q. And what was the number for that? 6 A. 201-467-5205. 7 Q. Did you use the cellphone number 8 during the time that the transactions occurred? 9 A. Yes. 10 Q. And did you have any other 11 cellphone in the United States of Americas 12 besides those two that you gave me? 13 A. No. 14 Q. Did you have an office number that 15 you used? 16 A. Yes. 17 Q. And how many office numbers did you 18 have at the time? 19 A. No, no, no, sorry, no. 20 Q. No landline? 21 A. No landline. 22 Q. And did you have an e-mail address 23 that you used during the transactions? 24 A. Yes. 25 Q. How many e-mail addresses did you	Page 16 1 SOLOVYEV 2 Q. I understand. 3 So let's clarify because going 4 forward at some point we identify the parties 5 and the characters in this story correctly, so 6 tell me who you thought or who you had dealings 7 with? 8 A. About what? 9 Q. With the transactions at issue, 10 with this issue? 11 A. The boat. 12 Q. The shipping the buys everything? 13 A. Andre Trejaykov, T-R-E-J-A-Y-K-O-V, 14 and the company Middle Asia in Dubai. 15 Q. Is it Middle East Asia Alpha? 16 A. Yes, Middle East Asia Alpha. 17 Q. Have you ever had dealings with Mr. 18 Aleksandr Safonov? 19 MR. CHANG: Are you asking about 20 before this case? 21 MS. TARASSOVA: No, during the 22 transactions. We're trying to identify 23 the people involved in these 24 transactions so that I'm, you know, 25 properly asking the questions and it's

Page 17	Page 19
1 SOLOVYEV 2 not confusing. 3 Q. Mr. Solovyev, have you ever in 4 these transactions dealt with Mr. Safonov? 5 A. Couple of times. 6 Q. Have you ever had dealings with 7 Crocus FZE the Dubai company? 8 A. No, never. 9 Q. Your company's never received any 10 money from Crocus FZE? 11 A. Crocus was sending money as far as 12 I remember from a Miami account. He got 13 offshore in Miami. He was trying to find money 14 in Michigan. 15 Q. So you're saying that any 16 transportations that would have been between 17 your companies and Crocus it would have been 18 the Crocus that's registered in Florida? 19 A. Yes. 20 Q. And had your company's ever issued 21 any invoices to Crocus FZE the Dubai company? 22 A. I don't remember. 23 Q. Is it possible or no? 24 A. I don't remember. 25 Q. What is your highest level of	1 SOLOVYEV 2 Q. And who are you employed by? 3 A. World Express. 4 Q. And what do you mean World Express 5 in connection? 6 A. It's what I meant. 7 Q. Can you give me the physical 8 address for that business? 9 A. 63 New Hook Road, Bayonne, New 10 Jersey 07002. 11 Q. What state is it incorporated in? 12 A. New Jersey. 13 Q. What year was it incorporated in? 14 A. Around 2007. 15 Q. And does the company hold any 16 licenses? 17 A. No. 18 Q. It does not an FMC license? And I 19 see you looking at your attorney. Are you 20 unable to answer that question? 21 MR. CHANG: If you can answer the 22 question, if you don't know the answer 23 or you don't understand the question -- 24 A. No, it's what -- I don't remember. 25 Q. You don't remember if your company
Page 18	Page 20
1 SOLOVYEV 2 education? 3 A. College in Moscow Russia. 4 Q. What did you major in? 5 A. Professional musician. 6 Q. Did you attend any colleges or take 7 any college courses in the United States? 8 A. No. 9 Q. Do you hold any degrees? 10 A. No. 11 Q. And do you hold any degrees from 12 Russia? 13 A. Yes. 14 Q. What degree? 15 A. Bachelor degree. 16 Q. Do you hold any professional 17 licenses? 18 A. Where? 19 Q. In the United States. 20 A. No. 21 Q. Do you hold any professional 22 licenses anywhere else in the world? 23 A. No. 24 Q. Are you currently employed? 25 A. Yes.	1 SOLOVYEV 2 World Express in connection has a license from 3 the Federal Maritime Commission? 4 A. I don't remember. Maybe yes, maybe 5 not. 6 Q. 'Cause I found online that the 7 company actually applied for one in 2009 and 8 was issue an FMC license number? 9 A. If you have it, we can use it. 10 Q. What was that? 11 A. I don't remember because we don't 12 use it for -- since whatever you said, 2009. 13 Q. Can you -- so then can you explain 14 what the business does? What is it in the 15 business of doing World Express in connection? 16 A. Warehousing business. 17 Q. By that, what do you mean 18 specifically? 19 A. Warehousing means warehousing 20 whatever is connected. Cargo into the house 21 and getting out of your houses means their 22 housing business. 23 Q. So you hold goods for who? Do you 24 hold goods for like other businesses? 25 A. For other businesses.

Page 21

1 SOLOVYEV
2 Q. Why did you apply for an FMC
3 license? Were you going to do some shipping
4 internationally?
5 A. I don't remember why.
6 Q. Did you own the business?
7 A. I own the business.
8 Q. Does anyone else own the business
9 with you?
10 A. Maybe, yes.
11 Q. You say maybe. Why maybe?
12 A. Because I don't remember. It
13 was -- it stopped a long time ago. If I
14 know -- I would be prepared, right now I'm not
15 prepared, so, I'm answering maybe.
16 Q. And where would you go to find this
17 information?
18 A. In the World Express files.
19 Q. And where are those files held?
20 A. At the same address what I just
21 remained (sic) to you 63 New Hook Road in our
22 archive specific place where we keep up all the
23 documentation which is required by the
24 government during the last seven years. We
25 call it the archive for World Express.

Page 22

1 SOLOVYEV
2 Q. Does World Express have any
3 employees?
4 A. Yes.
5 Q. How many employees does that have?
6 A. Four.
7 Q. And who are those employees?
8 A. Workers, warehouse workers.
9 Q. Can you explain what they do? They
10 all do the same job?
11 A. All they do is the same job.
12 Q. And what is that job?
13 A. Work in the warehouse, unloading,
14 packing and loading cargo.
15 Q. Does anyone work in the office?
16 A. Accounting, accountant one,
17 accountant work in the office.
18 Q. Is that one in addition to the four
19 warehouse workers?
20 A. No, it's including four workers.
21 Q. So you have three warehouse
22 employees and one office employee that's an
23 accountant?
24 A. Yes.
25 Q. And who handles all the paperwork

Page 23

1 SOLOVYEV
2 on behalf of the company; is it your accountant
3 or is it you?
4 A. Me.
5 Q. So are you the one that signs
6 documents on behalf of the company?
7 A. Yes.
8 Q. And are you the one that stores
9 documents in the archives for World Express?
10 A. Yes.
11 Q. Are you employed by any other
12 employer?
13 A. No.
14 Q. What about your company called
15 World Finance Group, LLC?
16 A. It's a self-employee. I'm working
17 as a self-employee.
18 Q. Do you own that company?
19 A. I own this company.
20 Q. What is the address for that
21 company for Royal Finance Group?
22 A. I don't remember. It's a Fort
23 Lauderdale, Miami it's 1040 Seminole Drive.
24 Q. Is that an office building?
25 A. It's a private residence.

Page 24

1 SOLOVYEV
2 Q. Whose residence is it?
3 A. I don't remember.
4 Q. Is it your residence?
5 A. It's not my residence. Can I
6 interrupt, please?
7 Q. Sure.
8 (Whereupon, an off-the-record
9 discussion was held.)
10 A. Sorry.
11 MS. TARASSOVA: We are we back on
12 the record.
13 Q. Mr. Solovyev, we were talking about
14 the business address for Royal Finance Group.
15 You were telling me it was a private residence
16 but you don't remember who it belongs to. The
17 last question I asked you was is it your
18 residence?
19 A. No.
20 Q. Is it a family member's residence?
21 A. Yes.
22 Q. Why don't you remember who it
23 belongs to?
24 A. It's not important.
25 Q. Are you just refusing to answer

Page 25	Page 27
1 SOLOVYEV 2 that question? 3 A. No, it has nothing to do with this 4 your plaintiff about whatever his request is. 5 Q. I don't understand that. I get to 6 ask a wide range of questions. That is 7 something that my client's have a right to do. 8 If your attorney states the question is 9 inappropriate, he may object. At this point 10 your attorney has not objected. I would 11 instruct you to go ahead and answer that 12 question. 13 A. I ask for you clearly what I know. 14 The rest, I don't remember. 15 Q. You have no idea who this private 16 residence belongs to other than it's a family 17 member? 18 A. Yes. 19 Q. Does the business Royal Finance 20 Group have any employees? 21 A. No. 22 Q. Are you an employee of the 23 business? 24 A. Yes. 25 Q. So it has one employee which is	1 SOLOVYEV 2 A. International business which 3 required help with buying and selling some 4 merchandise, rules and regulations in the 5 U.S.A. for wholesalers or retailers, support 6 and knowledge of working procedures. It was 7 banks, it was a legal entities with lawyers, 8 and some other stuff. 9 Q. And when did those businesses 10 begin? 11 A. This business began three years 12 ago. 13 Q. And how are you qualified to give 14 such consulting information to clients? Do you 15 have some kind of a specialize knowledge or 16 some kind of experience that would allow you to 17 be able to consult clients on the things you 18 described? 19 A. Yes. 20 Q. Can you explain what that expertise 21 or knowledge is? 22 A. In my experience of 25 years doing 23 international business is worldwide activities. 24 Q. And which companies was that 25 through? I assume they're through your own
Page 26	Page 28
1 SOLOVYEV 2 you; is that correct? 3 A. Yes. 4 Q. What does Royal Finance Group do? 5 A. Consulting business. 6 Q. What does - what areas does it 7 consult in? 8 A. International transactions. 9 Q. Can you describe that what you do 10 you go to a different business clients you talk 11 to them about international transactions? 12 A. Yes, one second. 13 MS. TARASSOVA: Okay. 14 (Whereupon, an off-the-record 15 discussion was held.) 16 MS. TARASSOVA: Let the record 17 reflect this is the deponent's second 18 interruption with a phone call. I just 19 want to put that on the record. It's 20 been in the last ten minutes. 21 MR. CHANG: That's fine. 22 Q. You were telling me about the 23 nature of the business. Can you explain what 24 types of clients the business has, the Royal 25 Finance Group?	1 SOLOVYEV 2 companies. You tell me what does your 25 years 3 of experience, what does that entail? 4 A. It entails nothing. It just 5 entails that I was logging in international 6 procedure and learning how to do it for many 7 years. It's my own knowledge. 8 Q. Were you employed by some companies 9 in the last 25 years or did you own your own 10 companies? 11 A. No, from the books and internet. 12 Q. You learned from books and internet 13 you said you know you have expertise or 14 knowledge from the last 25 years of doing 15 international business? 16 A. Absolutely right. Doing 17 international business. 18 Q. So how were you doing it? Were you 19 working, were you employed for a company or did 20 you have your own company? 21 A. I had my own companies overseas. 22 Q. Did you - let's talk about another 23 business that you own currently. Car express 24 and import; do you own that business? 25 A. Yes, I own that business.

Page 29 1 SOLOVYEV 2 Q. And what is the address for that 3 business? 4 A. 333 Avenue X, second floor, 5 Brooklyn, New York 11223. 6 Q. Is that an office building? 7 A. It's an office building. 8 Q. What is the phone number for this 9 business? 10 A. 646-725-1335. 11 Q. Is that your cellphone number? 12 A. It's a company number, yeah, 13 company, business number, yeah. 14 Q. Does the business have a fax 15 number? 16 A. No. 17 Q. It does not? 18 A. Does not. 19 Q. Does the business have a website? 20 A. Yes. 21 Q. Is there a fax number listed on 22 that website? 23 A. I don't remember the fax number. I 24 don't remember. I never use a fax. 25 Q. So if there was a fax number listed	Page 31 1 SOLOVYEV 2 very distracted today. He has 3 interrupted the deposition twice to pick 4 up his phone. He's looking at his phone 5 right now, he cannot describe to me what 6 he's doing that is relevant to this 7 deposition. So I'm a little bit 8 concerned about how this is going. Do 9 we need to reschedule this deposition in 10 order for us to have him focused and 11 attentive? 12 MR. CHANG: Do you want this on the 13 record? 14 MS. TARASSOVA: Yeah, I do. I want 15 it on the record as far as what your 16 response is to this? 17 MR. CHANG: Can you continue 18 without your cellphone for the rest of 19 the deposition? 20 THE WITNESS: No, I have to. I 21 have nothing to do. There is no 22 interruptions. 23 MR. CHANG: Can you put it away for 24 the next hour. Can I take the phone for 25 the next hour? Otherwise, we have to
Page 30 1 SOLOVYEV 2 on the website, you're saying that you would 3 know about it? 4 A. I would know about it. 5 Q. So how do you reconcile the fact 6 that on the website which -- tell me what the 7 website is so that we have that on the record. 8 What is the domain for this business? 9 A. Carexpress@gmail.com. 10 Q. What is the domain address for the 11 website? 12 A. Carexpress.org. 13 Q. What about car express.U.S.? 14 A. It's the same. 15 Q. Are you looking, are you checking 16 that on the phone right now? 17 A. No. 18 Q. Are you texting on the phone right 19 now? 20 A. No. 21 MS. TARASSOVA: Eric? 22 MR. CHANG: Yes. 23 MS. TARASSOVA: I'm going to have 24 to raise an issue here and I want to put 25 that on the record. Mr. Solovyev is	Page 32 1 SOLOVYEV 2 reschedule, all right. I'm taking away 3 his with cellphone for now. If we have 4 to reschedule then we'll reschedule 5 let's try to get through this today. 6 MS. TARASSOVA: I agree. Thank you 7 so much. 8 Q. Mr. Solovyev, we're talking about 9 the Car Express website. I see here that it 10 has a website called carexpres.U.S.? 11 A. As well, yes. 12 Q. Is that in addition to 13 carexpress.org that you say? 14 A. Yes, it's in addition. 15 Q. Does Car Express -- where is Car 16 Express an import registered? Which state? 17 A. New York. 18 Q. Does it have any employees? 19 A. No. 20 Q. Are you employed with the company? 21 A. Yes. 22 Q. So it has one employee which is 23 you? 24 A. Yes. 25 Q. Do you own any other companies?

Page 33

1 SOLOVYEV
2 A. No.
3 Q. What about Leader Transportation,
4 Inc.?
5 A. What about Leader?
6 Q. Do you own that company?
7 A. Yes, I am.
8 Q. Did you forget that you owned it
9 when I just asked you if you own any other
10 companies?
11 A. I didn't forget about it.
12 Q. So you do own the company?
13 A. I do.
14 Q. What's the business address of that
15 company?
16 A. 63 New Hook Road, New Jersey.
17 Q. What is the phone number for the
18 company?
19 A. 201-858-3785.
20 Q. Where is that company registered?
21 A. New Jersey.
22 Q. Does anyone else own the company
23 besides you?
24 A. No.
25 Q. Does it have employees?

Page 34

1 SOLOVYEV
2 A. Yes.
3 Q. How many employees?
4 A. Just one.
5 Q. Is that you?
6 A. Two employees; me and another
7 employee, yeah.
8 Q. And who's the other employee?
9 A. Rami Homeine, R-A-M-I.
10 H-O-M-E-I-N-E.
11 Q. And what does Rami do with the
12 company?
13 A. He's dispatcher of the company.
14 Q. What kind of business is it?
15 A. It's a tracking business.
16 Q. Does the company own its own
17 trucks?
18 A. Several of them, yes.
19 Q. And what does it deliver goods? Is
20 that what it does?
21 A. Yes.
22 Q. And do you use Leader
23 Transportation to deliver like vehicles or
24 vessels for your clients?
25 A. No.

Page 35

1 SOLOVYEV
2 Q. What kinds of deliveries does
3 Leader Transportation do?
4 A. Cargo from the warehouse.
5 Q. From which warehouse?
6 A. World Express Warehouse.
7 Q. Are you currently employed by
8 Marine Transport Logistics?
9 A. No.
10 Q. Have you ever been employed?
11 A. No.
12 Q. Do you own it?
13 A. No.
14 Q. Have you ever owned it?
15 A. No.
16 Q. Have you ever owned a company
17 called Mosaic Transportation Lines?
18 A. Yes.
19 Q. And what kind of a company was it?
20 A. It was an NVOCC Company.
21 Q. And what years was it active in?
22 When was it working?
23 A. '93, '97.
24 Q. And how did it close down?
25 A. Just closed down.

Page 36

1 SOLOVYEV
2 Q. What was the reason for closing it
3 down?
4 A. I don't remember.
5 Q. Were you the only owner of the
6 business?
7 A. Yes.
8 Q. How many employees did it have?
9 A. I don't remember.
10 Q. Did your wife Allah Solovyev ever
11 participate in that business?
12 A. No.
13 Q. Did you own a business called MTL
14 Worldwide Agency, Inc.?
15 A. I can get your question.
16 Q. Did you own a company called MTL
17 Worldwide Agency, Inc.?
18 A. No.
19 Q. Mr. Solovyev, have you ever filed
20 for bankruptcy?
21 A. Yes.
22 Q. What year was that?
23 A. It was ten years ago.
24 Q. Was it in 2008?
25 A. Around that time.

Page 37 1 SOLOVYEV 2 Q. Do you remember submitting 3 information to your attorney in the bankruptcy 4 case about your employment? 5 A. I don't remember. 6 Q. Because if your bankruptcy petition 7 in the schedules attached to it, you report 8 that you were employed by MTL Worldwide Agency? 9 A. So what does it mean? 10 Q. Well, I'm asking you to clarify 11 that. I want to get that information clear. 12 So that if we have to go to trial or a hearing 13 I understand that I'm not mistaken in that 14 information? 15 A. I don't remember. 16 Q. Is it a possibility that you may 17 have owned MTL Worldwide Agency, Inc and worked 18 for it? 19 A. It's a possibility. 20 Q. Do you remember signing a 21 certification in your bankruptcy process that 22 states that your petition is true and accurate? 23 A. Absolutely. 24 Q. Have you ever held yourself out as 25 an agent or a representative for Marine	Page 39 1 SOLOVYEV 2 would use MTL to ship the items to the clients; 3 is that correct? 4 A. It's correct. 5 Q. So how were you an agent for MTL? 6 I don't understand. My understanding is you 7 were just to use MTL for your services or to 8 subcontract the shipping. Did you -- I mean, 9 did your client have an understanding that you 10 were working with MTL or MTL was working for 11 them? 12 A. I didn't get your question. Why is 13 it two different companies? It has to be doing 14 something together when one is a company. It's 15 buying the stuff and another is a shipping -- 16 it's two different entities. 17 Q. I understand that. My question is: 18 Why were you an agent for MTL? How does that 19 play in? 20 A. Because I was trying to promote a 21 company, MTL on a friendly basis because this 22 is a very good company for the shipping and if 23 somebody out of business -- but MTL is still in 24 business, so, it's showing the faces -- the 25 company's still doing something right.
Page 38 1 SOLOVYEV 2 Transport Logistics? 3 A. Yes. 4 Q. In what circumstance did you do 5 that? 6 A. To ship my cars through the money 7 Transport Logistics cars or boats or any 8 commodities which required to be shipped 9 worldwide. 10 Q. And can you explain your 11 understanding of being an agent for MTL? 12 A. Car Express is a wholesale company 13 which was buying cars, boats or any machinery 14 at the USA auto auctions. These requirements 15 to ship it overseas. And the Car Express was 16 using money transport for such purpose. 17 Q. I guess I'm confused. Maybe you 18 can clarify. 19 So you would get a client that -- 20 and tell me if I'm wrong but tell me what you 21 understand -- you would get a client through 22 Car Express, they would order something either 23 to buy a used car or used boat or some kind of 24 machinery? Your business would go to the auto 25 auction and purchase those items and then you	Page 40 1 SOLOVYEV 2 Q. And so in your e-mails, would you 3 write Aleksandr Solovyev agent for Transport 4 Logistics? 5 A. Yes. 6 Q. Do you know Aleksandr? We talked 7 about Aleksandr Safanov earlier? Do you know 8 him? 9 A. No, I don't know him. 10 Q. And what do you mean you don't know 11 him? Have you ever communicated with him? 12 A. What do you mean? Do I know him? 13 Q. Yes, that's what we have to clarify 14 is I guess -- let's start from the beginning: 15 Have you ever heard about him? 16 A. I heard about him. 17 Q. How did you first hear about him? 18 A. I heard about this person as Andre 19 Trejaykov from Middle East Asia and he present 20 me this person. 21 Q. And how do you know Andre 22 Trejaykov? 23 A. I know from Dubai. 24 Q. How do you know him from Dubai? 25 Did you meet in person one day? Do you have

Page 41	Page 43
1 SOLOVYEV 2 common colleagues or friends? 3 A. I meet him in Dubai one day before. 4 Q. And did you have some kind of a 5 business relationship with Mr. Trejaykov? 6 A. Yes we have business before he 7 present me Safonov. It wasn't the business. 8 It was the same corporation. Trejaykov was 9 buying cars from my Car Express and shipping 10 through MTL in 2013. He brought Safonov into 11 this business. 12 Q. So the first time you heard about 13 Mr. Safonov was in 2013? 14 A. Approximately. 15 Q. What was your understanding about 16 the relationship between Mr. Trejaykov and Mr. 17 Safonov? 18 A. I have no idea. He just brought 19 him. That's all they started to buy boat 20 through Car Express. 21 Q. So when Mr. Trejaykov introduced 22 Mr. Safonov to you, you understood that they 23 were working together? 24 A. Yes. 25 Q. Have you ever met Mr. Safonov in	1 SOLOVYEV 2 don't see a problem with it whatsoever. 3 Q. Mr. Solovyev, so the first time you 4 ever met Mr. Safonov in person was when -- 5 after this lawsuit had been filed and he went 6 to mediation, correct? 7 A. Yes. 8 Q. Prior to this lawsuit, you never 9 met Mr. Safonov in person; is that correct? 10 A. Never. 11 Q. Had you ever communicated with Mr. 12 Safonov prior to the lawsuit? 13 A. Yes. 14 Q. And how did you communicate with 15 him? 16 A. It was some communication in the 17 end of 2013 by Skype and some communication in 18 2014 by e-mails. 19 Q. When we're talking about Skype, did 20 you have a Skype username? 21 A. If I communicate through the Skype, 22 so, I have it. 23 Q. And sometimes the question's seem 24 very like basic but I have to set the record 25 that there was a username and then I will ask
Page 42	Page 44
1 SOLOVYEV 2 person? 3 A. Once Russia tone, two weeks ago, 4 they brought him for that. 5 MR. CHANG: Louiza, I think the 6 record's getting a little confusing 7 because you're asking him -- I think 8 he's thinking of as of this day have. 9 Q. No, I completely understand what 10 he's saying. 11 A. But we also have to understand what 12 you're asking's a little bit frustrating for 13 everybody here. Be specific, please. 14 MR. CHANG: Let her finish. I know 15 some of the answers in the record were 16 confused. If you're asking questions 17 predating this days, can I ask you to be 18 specific? 19 MS. TARASSOVA: I mean I think I 20 was specific enough. I asked if he ever 21 met him in person. He said, yes, once, 22 two weeks ago. That's pretty clear. 23 MR. CHANG: If that answers your 24 questions. 25 MS. TARASSOVA: Absolutely. I	1 SOLOVYEV 2 you to get specific and tell me what the 3 username is. So I just want to let you know 4 to -- so you did have a username. What was the 5 username for Skype that you used to communicate 6 with Mr. Safonov? 7 A. Aleksandr.Solovyev. 8 Q. What was the e-mail address that 9 you used to communicate with him? 10 A. It was MTLworld@MTLworld.com. 11 Q. Did you purchase the Shopwell in 12 the Monterey for either Mr. Trejaykov or Mr. 13 Safonov or both of them at some point, the two 14 boats that are -- 15 A. The boat purchase through any 16 company, Car Express from co-part which 17 litigated in Long Island City. 18 Q. And how were you first contacted 19 about buying these two boats? 20 A. I didn't contact them. They 21 contacted me. They were asking me to help them 22 to buy it. 23 Q. And who specifically reached out to 24 you? 25 A. Andre Trejaykov.

Page 45

1 SOLOVYEV
2 Q. And do you remember the date?
3 A. No.
4 Q. What year was that?
5 A. Everything is in the files. I
6 don't remember the date but that was 2013.
7 Q. It was in 2014?
8 A. '13.
9 Q. Who paid for the boats?
10 A. Their side paid for the boat,
11 Middle East Asia.
12 Q. So middle East Asia paid for it?
13 A. Yes.
14 Q. Who did they pay to?
15 A. They paid to Car Express. The
16 hold, they paid to Royal Finance Group.
17 Q. Why did they have to pay to Royal
18 Finance Group?
19 A. Because restrictions of the co-part
20 auto auction regarding the payment obligation
21 was given on a three free-day basis. After
22 that, it's a huge amount of penalty which
23 applies their day which we call in professional
24 way, detention demurrage, D-E-M-U-R-R-A-G-E,
25 and the storage charges and the Royal Finance

Page 46

1 SOLOVYEV
2 was helping them to pay in a timely basis for
3 their orders of whatever they bought and pay in
4 time. And after that, was waiting for the
5 payment from overseas, from Middle Asia and
6 usually it was working in time and they've been
7 paying during seven or 10 days.
8 Q. Why did Royal Finance Group do that
9 for them? Does it collect some kind of a fee
10 or interest?
11 A. Yes.
12 Q. What's the fee for the service?
13 A. From \$200 to \$400 per boat. We
14 call it commission.
15 Q. And when they -- when they first
16 reached out to you in this particular
17 transaction, were they going through your
18 company Royal Finance Group to arrange the
19 purchase and shipping or were they going to
20 your company Car Express or World Express who
21 were they contacting to arrange the purchase in
22 the shipment?
23 A. To arrange the purchase of the
24 equipment. We call it equipment. Let's say it
25 the right way. They contacted to Car Express.

Page 47

1 SOLOVYEV
2 Q. So you're saying they went directly
3 to Car Express to get the boats and then they
4 went separately? Did they go separately to
5 World Finance Group to finance the purchase?
6 A. They didn't go to Royal Finance.
7 They were receiving invoices from Royal Finance
8 because they couldn't manage their business in
9 a timely basis and I have to find out the way
10 how you excite -- would support them of doing
11 such transactions in the business of buying and
12 shipping to Dubai. So I was helping my friend
13 Andre to establish this business out of U.S.A.
14 using Car Express and Royal Finance.
15 Q. So you were doing it just, you
16 know, as a friendly favor, make sure that they
17 he had the money to pay for the boats at the
18 car auction and basically you were kind of
19 helping him arrange everything through your
20 companies?
21 A. Correct.
22 Q. And then after Royal Finance Group
23 collected the money, did it pay directly to
24 Co-part or did it have to pay Car Express?
25 A. They paid directly to co-part.

Page 48

1 SOLOVYEV
2 Q. Who arranged the shipment of the
3 boats to Dubai?
4 A. According to arrangement of the
5 shipping to Dubai customer itself sitting in
6 the Dubai made an arrangement through Car
7 Express and the Car Express is the agent of
8 Money Transport Logistic suggests to the
9 customer in Dubai to go through Money Transport
10 and ship it through Marine Transport.
11 Q. And when you're talking about them
12 going to Car Express which is an agent for MTL,
13 do you mean that they e-mailed you at your
14 address at MTLworld.com; is that how it
15 happened?
16 A. You're talking about what
17 instruction? For the buying, shipping,
18 financing? Which instructions, which
19 investment you're talking right now? (Sic)
20 Q. Arranging the shipment.
21 A. Yes, they were asking mostly
22 verbally to ship it to help them to ship to
23 Dubai and after that, once they're already to
24 ship, they've been in touch with Marine
25 Transport Logistics. They were talking to

Page 49 1 SOLOVYEV 2 purchase when the bookings on the timing, on 3 the loading, documentation, mailing back and 4 forth. 5 Q. The reason I ask this question is 6 because all the e-mails from you are from 7 the -- that I've seen so far are from 8 MTLworld@MTLworld.com, right where your 9 signature blog says Aleksandr as agent for MTL. 10 What I'm asking you is that how you 11 communicated; through e-mail? Is that the only 12 e-mail you use, whether it was to do your 13 business with Royal Finance Group or do you do 14 your business with Car Express or did you have 15 separate e-mail addresses for Car Express Royal 16 Finance Group? 17 A. Usually I'm doing for every 18 customer a different way of doing business. 19 (Sic) In this case, in your particular case 20 because Safonov didn't speak English and any 21 other language besides Russian and I started 22 this business early -- years ago with Andrea. 23 My e-mail MTL@MTLworld.com. I didn't want him 24 to bring in other sources of communication. Do 25 not make his business corporation complicated.	Page 51 1 SOLOVYEV 2 A. Yes, they arrived to Dubai. 3 Q. And how do you know that? How did 4 you get that information? 5 A. We got a bill of lading from Marine 6 Logistics. 7 Q. Why did you receive a bill of 8 lading? 9 A. I didn't receive it. Andre sent it 10 to us. 11 Q. So you received the bill of lading 12 from Andre? 13 A. Yes. 14 Q. That MTL had prepared, correct? 15 A. Yes. 16 Q. Who quoted -- who quoted Andre or 17 Mr. Safonov for the shipping, how much it would 18 cost? 19 A. MTL. 20 Q. Did you participate in quoting them 21 for the shipping at all for these two boats? 22 A. Yes, I helped them to buy trailers, 23 and measure boats with the trailers and to 24 participate in reasonable local shipping of all 25 his boats to Dubai.
Page 50 1 SOLOVYEV 2 So I was trying to setup his transactions 3 through one e-mail which is 4 MTLworld@MTLworld.com. 5 Q. Did you think it was going to be 6 confusing for him to get an e-mail from you 7 from another e-mail address? 8 A. Yes. 9 Q. Does Car Express have its own 10 e-mail address? 11 A. Yes. 12 Q. What is the e-mail address for Car 13 Express? 14 A. I don't remember right now but we 15 have the e-mail -- yes, it's on the website. 16 Q. And on the website I see it says 17 info@Carexpress.U.S.? 18 A. Absolutely right. 19 Q. Do you know if the boats ever 20 arrived in Dubai? 21 A. Which boats? 22 Q. The two boats that we were talking 23 about earlier. The Shopwell and the Monterey 24 that you purchased at the auction and set up -- 25 set them up with MTL to be shipped?	Page 52 1 SOLOVYEV 2 Q. So had you ever had to contact MTL 3 yourself on their behalf and find out how much 4 it would cost to ship? 5 A. Yes, of course because we have to 6 put together loading and the shipping. 7 Q. Were you getting paid for these 8 services, for arranging everything? 9 A. Who? Me personally? 10 Q. You, yes. 11 A. Personally, not. 12 Q. Any of your companies, were they 13 getting paid for all of this for arranging 14 everything? 15 A. Yes. 16 Q. Which company? 17 A. Royal Finance Group commission for 18 financing, Car Express for commission for the 19 buying boat; some commission was put on top for 20 buying trailers for the customers. And no 21 commission on the shipping with Marine 22 Transport. 23 Q. But did you get any commission or 24 any of your companies for arranging 25 orchestrating. I understand that Royal Finance

Page 53

1 SOLOVYEV
2 Group received a commission for its service
3 which is basically floating the purchase and
4 Car Express got a commission for buying but did
5 you or your companies get any commission or
6 payment for going to MTL and measuring these
7 boats and finding out the quotes?
8 A. No, we don't have that in our
9 invoices.
10 Q. Were you just doing that out of the
11 goodness of your heart?
12 A. Yes, I have a big heart, yes.
13 Q. Was MTL paid for its services?
14 A. I didn't get your question. MTL
15 paid nothing for anything. MTL was supposed to
16 be paid for the shipping.
17 Q. Yes, that was my question. Was MTL
18 paid for its services?
19 A. No. MTL didn't pay for anything.
20 MS. TARASSOVA: Ma'am, court
21 reporter, can you repeat my question to
22 the deponent, please.
23 (Whereupon, the referred question
24 was read back by the Reporter.)
25 A. For the shipping, MTL for the

Page 54

1 SOLOVYEV
2 shipping to the steamship line, steamship line
3 and the quoted on top, the commission.
4 Q. So MTL was paid a commission for
5 shipping, correct?
6 MR. CHANG: I'm sorry, can you read
7 back his answer. That wasn't his
8 answer.
9 (Whereupon, the referred answer was
10 read back by the Reporter.)
11 Q. Can you clarify that? I think your
12 attorney was confused. I understood your
13 answer as saying that MTL charges a commission
14 for setting up the shipping with vessel?
15 A. Yes, absolutely right, yes.
16 Q. How much was that commission? Do
17 you know?
18 A. No.
19 Q. Did Royal Finance Group receive
20 payment on behalf of MTL?
21 A. Yes.
22 Q. Why did it do that?
23 A. Because it was easy to receive one
24 lump sum from Dubai and Andre was asking to pay
25 once to the company for the all services out of

Page 55

1 SOLOVYEV
2 USA and Royal Finances -- Royal Finance Group
3 was receiving money for all services, five, six
4 services and paying on behalf of the customer
5 for all the services up to shipping to the pay
6 Dubai.
7 Q. So Royal Finance Group would
8 receive money on behalf of MTL and then pay MTL
9 its portion for its services?
10 A. Yes.
11 Q. And how does that work? Does Royal
12 Finance Group invoice your clients?
13 A. Yes.
14 Q. Is it invoice based on a quote or a
15 prior agreement?
16 A. On a quote from Marine Transport
17 Logistics.
18 Q. And at some point were these two
19 boats, the month, day and the Shopwell, were
20 they shipped back to New Jersey from Dubai?
21 A. Yes.
22 Q. Why were they shipped back; do you
23 know?
24 A. No.
25 Q. Were you helping with that

Page 56

1 SOLOVYEV
2 transaction? Were you helping set up the
3 shipment from Dubai back to New Jersey?
4 A. No.
5 Q. Because I believe I saw some
6 e-mails that Mr. Safonov produced in discovery
7 that showed that you -- I think you forwarded
8 him some communications where you were
9 arranging the shipment and asking for quotes
10 from various companies to ship the two boats
11 from Dubai to New Jersey; do you remember that?
12 A. Yes, they were asking a lot of
13 questions. I was trying to help them to do
14 their business but it's not easier of any
15 company, either companies that you just
16 mentioned been involved in the shipping out of
17 Dubai. They were doing it on their own.
18 Q. And where did those boats end up
19 after they arrived in New Jersey; do you know?
20 A. They end up in the port of New
21 York.
22 Q. And do you know where they went
23 from the port?
24 A. From the port they went to 63 New
25 Hook Road in Bayonne, New Jersey to a warehouse

Page 57	Page 59
1 SOLOVYEV 2 of World Express. 3 Q. How did they end up being stored at 4 World Express? 5 A. They end up as a receiver, final 6 receiver on a bill of lading where it stated 7 that Marine Transport is a notified party for 8 these two boats in U.S.A. 9 Q. Did you help them with that? How 10 did MTL become involved in this? 11 A. MTL was a receiver as an agent for 12 the line. They would receive something from a 13 notified party on a bill of lading and they 14 hire the tracker and unloading department to 15 take this boat out of the container and store 16 it on the World Express yacht. 17 Q. So what I'm trying to understand is 18 your involvement. Prior you had said that you 19 had been helping them deal with MTL, right? 20 Did you have anything to do with the boats back 21 to New Jersey? 22 A. No. 23 Q. Did you help them arrange that? 24 A. No, to New York. No, they did it 25 under their own bill of lading and their own	1 SOLOVYEV 2 Q. And did you have an agreement about 3 how much that would cost? 4 A. Yes. 5 Q. And was it a written agreement or a 6 verbal agreement? 7 A. It was a Skype communication with 8 numbers which is supposed to indicate the 9 number of the Monterey number for the services. 10 Q. And how much were those services 11 supposed to cost? 12 A. What services? 13 Q. For storage, you said that you guys 14 via Skype that was there was a monetary amount 15 for a monetary number that you discussed for 16 the storage of the two bets with Mr. 17 Trejaykov? 18 A. You're wrong. In order to receive 19 such cargo out of foreign country, you do not 20 have to pay storage accumulating after all 21 other services and charges which occurred 22 before which is included. Custom clearance, 23 port charges, THC, destination, local 24 demurrage, track, unloading and covering and 25 letting of the boats and after that, in about
Page 58	Page 60
1 SOLOVYEV 2 loading and their own decision to ship it back. 3 Q. Do you know why MTL was listed as 4 the final receiver? 5 A. Because like Andre says to me, he 6 don't - he didn't know anybody in the U.S.A. 7 and he wants to use his boat in U.S.A. 8 Q. And were these boats you said that 9 they were put on a truck and moved to World 10 Express, did they use your company leader? 11 A. I don't know. It looks like not. 12 There was no leader at the time. 13 MR. CHANG: Can you pick a spot for 14 a five-minute break? 15 MS. TARASSOVA: Yes, let's do it 16 now. 17 (Whereupon, a five-minute break was 18 taken.) 19 Q. Mr. Solovyev, we left off on me 20 asking you how the two boats, the Shopwell and 21 the Monterey ended up in storage with World 22 Express in connection; how did that happen? 23 A. Customer from Dubai Andre asked me 24 to install them, ship them and install them in 25 New York.	1 SOLOVYEV 2 two weeks according to the filing storages 3 accommodated so before storages we have plenty 4 of charges which connected with import 5 shipments of the boat. 6 Q. When you described those charges, 7 can you explain who was responsible for 8 satisfying those charges on the United States 9 side? 10 A. Whoever was a shipper of the 11 anchor, Middle East Asia. They're supposed to 12 be paying all these charges. 13 Q. Did someone pay those charges? 14 A. No. 15 Q. So no one ever paid for customs 16 fees, anything like that? 17 A. Nobody. 18 Q. Do those goods not get held up in 19 customs, if customs had not paid for it? 20 A. No. 21 Q. Can you explain the process to me? 22 How does it work? So say Middle East Asia, 23 sends over the two boats, they don't pay 24 anything to anyone, who takes the hit I mean, 25 do they just have outstanding balances?

Page 61 1 SOLOVYEV 2 A. They're supposed to send all 3 balances to the company Marine Transport who 4 was paying for all these charges. 5 Q. So Marine Transport Logistics paid 6 for the charges for Middle East? 7 A. Yes. 8 Q. How does that work? Why would you 9 not collect the fees up front? Why would you 10 invoice afterwards? 11 A. It was invoiced up front. 12 Q. Did they pay? 13 A. It's the same story as procedure of 14 buying equipment from the auctions in order to 15 pay lump sum amount for all services, service 16 has to be provided. As soon as Marine 17 Transport recognizes all the charges for the 18 car and services, invoice was issued and 19 deliver to the customer in full because to 20 predict \$1.00 plus and minus, it's impossible 21 that customs can hold it for any reason. If 22 something come up legal -- but in this case 23 everything was legal -- and all the procedure 24 went smoothly and the boats resolved as a yacht 25 of World Express resolved any additional	Page 63 1 SOLOVYEV 2 cargo falls down to the final destination 3 storages will be accommodated according to the 4 filing and any unit or any object which would 5 be stored at the facility of World Express 6 would be penalized with the storage charges. 7 Q. And that policy, is it written 8 somewhere? 9 A. Yes, it's written somewhere. 10 Q. And where is that policy written? 11 A. On the performer of World Express. 12 Q. And would you give that to the 13 compliance? Is it on a website somewhere? Is 14 it an e-mail? 15 A. Yes, it's on the website. Every 16 customer can see it through the website. 17 Q. What is the website? 18 A. MTLworld.com. 19 Q. I'm confused and I hear your 20 attorney is confused as well. 21 So I'm talking about storage with 22 World Express? 23 A. Sorry. It's my mistaken. On the 24 inspection report, yes, you're right. On the 25 inspection report of World Express, there is a
Page 62 1 SOLOVYEV 2 charges. 3 Q. So was Royal Finance Group involved 4 in this transaction of the boats being shipped 5 back to New Jersey to MTL? 6 A. No. 7 Q. Did Royal Finance Group pay the 8 money upfront to cover customs and shipping 9 charges, Etc.? 10 A. I don't remember. As far as I 11 remember, Marine Transport was paying for all 12 the charges. 13 Q. And to go back to my question 14 before we got into that, I was asking you 15 about -- was there an agreement or an 16 arrangement about the storage fees and you 17 said, well, storage fees are incurred after all 18 of this is paid. Can you please clarify that 19 for me? 20 A. Yes, according to -- we have 21 30 days of fee for the customer who will 22 conduct next step for the business transaction 23 between one of our companies and in resolved 24 reason customer using storage facility as to 25 store and do not ship, do not transact his	Page 64 1 SOLOVYEV 2 stipulation on the backside. Absolutely on the 3 bill of lading stipulation of the storage 4 charges, yes, Marine Transport has nothing to 5 do with it on the World Express policy. Its 6 inspection report is stipulated as a bill of 7 lading at the backside of this paper, it 8 stipulated the storage charges procedure. 9 Absolutely right, you're right. 10 Q. Do you have a record of giving that 11 of that document from World Express where the 12 policy is written on the back of the bill of 13 lading? Do you have a copy of that that we can 14 see? 15 A. Yeah, you can see it. 16 Q. But you have it? 17 A. I can have a copy in my office in 18 the office of World Express. You can see it 19 was mentioned to Andre Trejaykov about this 20 policy he decided to ship it back or when I 21 decided to ship it to Dubai, it was stated to 22 him verbally. He doesn't speak English. So it 23 was verbally and stipulated to him that he 24 would be responsible for the storage. 25 Q. And on that written document, does

Page 65 1 SOLOVYEV 2 he have to sign the bill of lading at any 3 point? You're saying it's on the back of the 4 bill of lading, that policy? 5 A. Yes, it's on the back, yes. 6 Q. Did Mr. Andre Trejaykov or Mr. 7 Safonov or anyone else, did they ever have to 8 sign that document? 9 A. Don't have to. 10 Q. So did they come in contact with 11 that document in the regular course of 12 business? 13 A. No. 14 Q. So how would they be on notice that 15 that policy's on the back of the bill of 16 lading? 17 A. There was no notice. They would 18 ask me if there was any storage. I show them 19 the paperwork. It's my translation. It's my 20 full translation from English to Russian that 21 they would be in charge for the storage such 22 and such numbers to the -- according to the 23 size of their boat. 24 Q. So basically you're saying that it 25 was on a piece of paper that they didn't sign	Page 67 1 SOLOVYEV 2 say it's about \$40 a day for the large boat 3 it's maybe from \$100 up to \$150 a day. 4 Q. Is that the industry rate or is 5 that something that you assign as a company? 6 A. Industry rate is three times higher 7 than I just mentioned to you. 8 Q. How long were the monitoring and 9 the Shopwell at World Express? 10 A. Very long years and years. More 11 than a year. 12 Q. More than a year. 13 Did you at any point notify either 14 Mr. Trejaykov or Mr. Safonov that their boats 15 are going to be incurring storage fees? 16 A. Absolutely. 17 Q. How did you notify them? 18 A. In writing. 19 Q. Through what medium? 20 A. Through the internet, Skype. 21 Q. So you wrote them a message through 22 Skype? 23 A. Absolutely. 24 Q. And when did you first inform them 25 about the storage fees?
Page 66 1 SOLOVYEV 2 and you verbally explained it to them? 3 A. Yes, every customer -- there is 4 thousands and thousands of customers coming 5 through World Express knows about this 6 procedure. Thousands and thousands and during 7 last 20 years. It was the same procedure for 8 every customer. Maybe medium people know this 9 procedure. If you ask anybody about this 10 procedure, everybody knows it. The storage 11 charges will apply if the customer does not 12 ship. It just wants to store it. 13 Q. It's like a regular course of 14 business activity for the -- 15 A. It's a regulation of the business, 16 yes. 17 Q. And so if they don't pick up their, 18 you know, goods in 30 days, what are the 19 storage fees? 20 A. It's according to the measurement 21 of let's say for the cars. We got from \$10 up 22 to \$15 per day and for the boat it's from liner 23 meter. It's like \$20. I don't remember how 24 much. It's \$20 per liner meter so it's like if 25 the boat -- let's say for the small boat, let's	Page 68 1 SOLOVYEV 2 A. When I understood that they were 3 hiding from me and they have some kind of 4 problems speaking them up (sic) and their 5 boats, their boat on top of my neck and they 6 just -- keeping the space which is supposed to 7 be for the business purpose, not for the 8 storage. 9 Q. What is your procedure to notify 10 clients if it's past 30 days? Do you reach out 11 to them immediately after the 30 days is up or 12 do you wait for them to contact you and just 13 passively add to their balance with the 14 company? What's your procedure? 15 A. It's a different procedure. 16 Usually if the customer is shipping with us, 17 and he's asking to store it, it's over the 18 phone or by e-mail. It's always -- it's a 19 different procedure. It depends on what kind 20 of customer how we ask him. We can talk 21 verbally. If you do not trust the customer, we 22 can send them an official letter or lawyer sign 23 or through the court order. 24 Q. And in this case with the two 25 boats, the Shopwell and the monitor ray, did

Page 69 1 SOLOVYEV 2 you trust Andre Trejaykov and Aleksandr 3 Safonov; did you trust them? 4 A. Absolutely, yes. 5 Q. So what happened when you noticed 6 that 30 days went by, the boats are sitting on 7 your lot and they're not picking them up? Did 8 you notify them? 9 A. Yes, we notify them. Not after 10 three days, maybe a couple of months because 11 they -- it was having a problem during the 12 period of time, 2014 to bring them out. It was 13 a lot of snow and they said give us months or 14 two, we'll take care of it and snow. It's 15 just -- and then after that, it was spring and 16 the summer and, you know, we didn't what to do 17 with these boats. After that we started 18 sending them messages. 19 Q. And when you're talking about snow 20 do you mean snow? New Jersey on your end? 21 A. Yes, snow in New Jersey. It was a 22 lot of snow. They couldn't handle these boats 23 calling me several times keep these boats to 24 pay for the storages. 25 Q. Why would they have a problem with	Page 71 1 SOLOVYEV 2 A. Yes. 3 Q. And what is that -- do you know 4 what the date of that e-mail is? 5 A. No. As far as I remember, it was 6 in May 2014 with several messages by Skype in 7 about -- in April time. 8 Q. April 2014? 9 A. Yes. 10 Q. And do you have those records? 11 A. Yes, we have it, yeah. 12 Q. And the first thing that you 13 notified them, it was wintertime. Did you do 14 it by phone or e-mail and Skype? 15 A. By phone for sure. They knew that 16 was going on and if the ship it -- hold on. 17 Can you give me a second? 18 MS. TARASSOVA: Sure. 19 (Whereupon, an off-the-record 20 discussion was held.) 21 Q. Let the record reflect that Mr. 22 Solovyev is double checking on his computer. 23 And Mr. Solovyev, can you just let us know what 24 you're referring to right now? What you're 25 looking at?
Page 70 1 SOLOVYEV 2 the snow? Is it because you charged them more 3 to get them out? Why would they care, it's not 4 their problem? 5 A. I didn't charge them more because 6 to keep out and move boats in such snow, it's 7 very difficult. Nobody any tracking company 8 would do it. I remember it was a lot of snow 9 during this time, yes. I don't know, maybe 10 there was their reason. I don't know why. 11 It's my suggestion but we've been talking about 12 weather, conditions of the weather during this 13 time and they knew the condition it was in. 14 Maybe it was interruption of the next step to 15 continue business here. 16 Q. And then when the snow cleared, did 17 you contact them again and let them know that 18 they are incurring fees? 19 A. Yes. 20 Q. How did you contact them the second 21 time? 22 A. Over the phone, over e-mail. 23 Q. Do you have proof? Do you have an 24 e-mail retained from that when you gave them 25 notice?	Page 72 1 SOLOVYEV 2 A. I was trying to remember when the 3 boats came back. 4 Q. What are you looking at? What are 5 you referring to on your computer? What 6 document? 7 A. Bill of lading for these two boats 8 arrive back. 9 Q. And what was the day on the bill of 10 lading? 11 A. It was August, September 2014 when 12 they came back. 13 Q. You said when? What was the date? 14 A. 2014 in the middle of the year two 15 boats arrived there. 16 Q. Do you have the date or you just 17 know that it's was summertime? 18 A. Let me find -- 19 Q. Can you let me know what you're 20 looking at there? What are you referring to? 21 What document is helping you remember? 22 A. You're asking me about these two 23 boats. When they arrived with the dates and 24 I'm trying to find the exact date when they 25 arrived here in New York out of Dubai all

Page 73 1 SOLOVYEV 2 right. 3 Q. Yep. What document are you 4 referring to on your computer? 5 A. Bill of lading which was sent to me 6 from Andre Trejaykov under his booking for 7 these two boats. I'm looking for the bill of 8 lading. 9 Q. Okay. 10 A. Yes, on August 2014, yes. 11 Q. So in the winter of 2014 they were 12 not in New Jersey. They were in Dubai, right? 13 A. Yes. 14 Q. So can you clarify that; cause you 15 said you remember there was a storm that 16 prevented them from getting picked up. When 17 was that. Is this even in reference to these 18 boats or might it have been something else? 19 A. It's in reference to Formula, 20 another boat. 21 Q. And when was the Formula purchased? 22 A. In August 2013. 23 Q. So it stayed and where was it 24 stored, with what company? 25 A. World Express.	Page 75 1 SOLOVYEV 2 see now I'm confused. 3 As far as the notices, I want to 4 talk about, the notices that your company or 5 you gave to them are about storage fees. In 6 relation to the Monterey and the Shopwell, when 7 was the first time that you gave either Mr. 8 Trejaykov or Mr. Safonov notice that they are 9 incurring storage charges? 10 A. Immediately after their arrival to 11 New York back. They knew about storage charges 12 immediately. 13 Q. How did they know about them? 14 A. Because they were asking if any 15 storages occurred and they received a positive 16 answer yes would be storages if they occur. 17 Q. Was this — did they ask in writing 18 and did you respond in writing or was this all 19 verbal? 20 A. It was verbal and as far as I 21 remember, in writing definitely it was in 22 writing. 23 Q. Do you have evidence of that? Can 24 you go to an e-mail or Skype message and pull 25 that up right now?
Page 74 1 SOLOVYEV 2 Q. What company bought it? 3 A. Car Express. 4 Q. Was the purchase through co-part as 5 well? 6 A. The same through co-part. 7 Q. And did Royal Finance Group collect 8 money for all the services that your company's 9 provided? 10 A. Yes. 11 Q. And in relation to the transaction 12 with the Formula, how did you communicate? Who 13 did you communicate with? 14 A. Andre Trejaykov. 15 Q. And how did you communicate with 16 him; through Skype, e-mail, phone? 17 A. E-mail, Skype and phone. 18 Q. And did you use that e-mail called 19 our e-mail MTLworld@MTLworld.com? 20 A. Yes. 21 Q. So that was — was that the boat 22 that was being stored through the wintertime 23 and you had issues with the snow? 24 A. Yes. 25 Q. So let's get this clear because —	Page 76 1 SOLOVYEV 2 A. Not right now. My lawyer also has 3 this information for you. 4 Q. He already has the information for 5 us? 6 A. Yes. 7 Q. And when you're talking about 8 writing what would you look in? Would you look 9 into your Skype account or would you look into 10 your e-mail account or both? 11 A. Both. 12 Q. So if they arrived in August 2014 13 at what point did they begin incurring storage 14 fees? 15 A. Right in the month after arrival. 16 Q. Within 30 days? 17 A. Within 30 days, yes. 18 Q. And when was that the first written 19 notice given? Do you know the date of that? 20 A. I don't remember the date but it 21 was given, notice was given. 22 Q. And we're talking about written 23 notice? 24 A. Written notice, yes. 25 Q. How many — did you remind them

Page 77	Page 79
1 SOLOVYEV 2 again? Did you give them additional notices or 3 it was just that one time? 4 A. It was mentioned on every 5 conversation over Skype to Andre Trejaykov. 6 Q. Did you ever send an official 7 invoice to Andre or Mr. Safonov? 8 A. Yes, it was an official invoice, 9 yes. 10 Q. And when was that invoice sent? 11 A. Official invoice was September, 12 within a couple of months after boats arrived. 13 Q. And how much was that invoice for? 14 A. It was particularly for the storage 15 charges which is occurred up to storage day, 16 particular storage day. It was several 17 invoices which was issued from the beginning 18 after that bill had been adjusted to the higher 19 amount and never applied to other invoices and 20 nothing replied from any of the customers. 21 What you just mentioned, Andre Trejaykov or 22 Aleksandr Safonov, on the storage charges when 23 they're planning to pay or any other movements 24 of the boats. 25 For the proposal, for helping them	1 SOLOVYEV 2 shop has a stipulation, they're going to charge 3 you \$45 for storage car or \$60 per day and if 4 its amount exceeds such particular amount, 5 let's say \$2,000, they needed to put a lien or 6 just bring it to the auction and resell to get 7 their money back for the storage. The same 8 storage procedure supposed to be in this case 9 with World Express which stipulated on World 10 Express bill of lading, okay but because it was 11 my friends, we didn't put a lien and we didn't 12 sell them to cover our expenses to store them 13 for our own money. And if the customer who are 14 using somebody services in U.S.A. not 15 responsible for their boats, let's say in this 16 situation, so it's his fault to be punished 17 according to the New Jersey law for storages or 18 resending his entity in order to cover the 19 storage charges which accumulated because of 20 his mistake, not calculation for -- not to be 21 responsible for his own boat. 22 MR. CHANG: Note my objection 23 that's not responsive to the question. 24 Q. Had you ever charged them -- when I 25 say you, I guess I'm talking about World
Page 78	Page 80
1 SOLOVYEV 2 to ship it from Dubai or to fly never got to 3 this point during the next two years on any of 4 my question. So according to the New Jersey 5 law, and we have this law stipulated by 6 governor of New Jersey, we have three months of 7 storage free. After that we can get rid of the 8 boats, sell them, give us the rights on our 9 side, you can do it as well but we didn't do 10 it. We were trusted in believing that these 11 people would be -- would resolve this issue of 12 storage on their own. 13 Q. So is it my understanding and tell 14 me where I'm incorrect in the record, my 15 understanding from Mr. Safonov is that the 16 first time he heard about any storage fees was 17 when he received an invoice for about \$40,000; 18 was that the only invoice that you had sent or 19 were there invoices prior to that? 20 A. Let me explain to you how it works. 21 If you bring your car, I can give you an 22 example to a repair shop and you don't pick it 23 up after the day of your car was repaired in 24 every way in U.S.A. they will charge you and 25 everybody has the same stipulation, every car	1 SOLOVYEV 2 Express in connection, right because that would 3 be the entity that's charging them for storage; 4 is that correct? 5 A. Correct. 6 Q. Had you ever charged them storage 7 fees before? First of all, let me back up so 8 we can set the record straight. Had you done 9 business with Mr. Trejaykov or Mr. Safonov 10 prior to these three boats? 11 A. Yes, I did business with Mr. 12 Trejaykov before Safonov for about two years 13 before. 14 Q. And had you ever had charged Mr. 15 Trejaykov any storage fees? 16 A. No, there was no storage fees 17 because he was shipping everything in time out 18 of U.S.A. If he spent his money, he's supposed 19 to get his goods in Dubai as soon as possible. 20 He had never get in storage. 21 Q. So this was the first time that you 22 had to enforce your storage fee policy? 23 A. Absolutely. It was the first time 24 and customer had not been responsible for his 25 own goods.

Page 81	Page 83
1 SOLOVYEV 2 Q. So what I'm getting at is this, 3 what I'm trying to figure out right now usually 4 when a business sees that their client who's 5 been doing well and has been honest through 6 their course of dealings is not picking up the 7 boats is not responding now they're an 8 inconvenience to you as a business, right? 9 A. Right. 10 Q. Usually the business will give 11 notice to that person or that company. So say, 12 listen you are now incurring storage fees 13 because you are not picking up your boats, 14 you're being nonresponsive or unresponsive. So 15 you're saying you did that and I'm trying to 16 figure out because at this point I have not 17 seen any documentation other than the e-mail 18 where you sent the \$40,000 invoice at, what 19 point did you give them notice in writing that 20 they will start incurring storages? 21 A. It was a notice over the phone and 22 Skype conversation between me and Andre which I 23 present to my lawyer where Andre says that 24 Aleksandr Safonov called him recently asking 25 why he is getting storage charges for his boat.	1 SOLOVYEV 2 first. 3 MR. CHANG: Objection to form. 4 MR. TARASSOVA: And then the 5 question to Eric is, Eric, do you know 6 what Skype conversation he's talking 7 about because I haven't received that? 8 MR. CHANG: I do not but obviously 9 if you make the request for it, we'll 10 dig it up and turn it over. 11 A. I'll mark it up. 12 MR. CHANG: We'll find it just so 13 the record's clear post August 2014? 14 MS. TARASSOVA: What are you 15 talking about? 16 MR. CHANG: Are you asking about 17 post August 2014? 18 MS. TARASSOVA: No, I'm talking 19 about -- your client told you that he 20 submitted as a disclosure that I haven't 21 received -- I'm talking about everything 22 your client submitted. It's not post or 23 prior, it's everything that may be in 24 your possession that is supposed to be 25 disclosed.
Page 82	Page 84
1 SOLOVYEV 2 I got this information over Skype and if 3 Safonov is saying that he never received it, he 4 received it, I got proof. 5 MS. TARASSOVA: And counsel, do you 6 know what your client is talking about 7 because I have not seen those Skype 8 conversations? 9 MR. CHANG: I'm not positive. It 10 sounds like he's talking about a Skype 11 conversation after the invoice was sent; 12 is that correct? 13 A. Sure. 14 MR. CHANG: Does that answer your 15 question? 16 MS. TARASSOVA: Okay. 17 Q. So this Skype conversation after 18 the \$40,000 invoice; is that right? 19 A. Yes, absolutely right. 20 Q. So tell me if I'm wrong but the 21 first time that Mr. Safonov or Mr. Trejaykov 22 got notice in writing or an official invoice, 23 that was the e-mail that had the invoice for 24 \$40,000; is that correct? 25 A. Yes, whatever it was. It was	1 SOLOVYEV 2 MR. CHANG: Okay. I will look 3 through our files and see what we have 4 responsive your demand. 5 MS. TARASSOVA: Okay. 6 Q. So now the invoice, who did you 7 send that invoice, the \$43,000? Let me look -- 8 MS. TARASSOVA: Let me look for 9 something. Off the record. 10 (Whereupon, an off-the-record 11 discussion was held.) 12 Q. I found the invoice and it is dated 13 August 13th, 2014, it is from Royal Finance 14 Group, Inc. to Crocus Investments for storage 15 of the \$2,010 Formula at \$9.60 for one linear 16 meter per day. And unloading from the trailer 17 and that is in the amount of \$39,409.39. Is 18 that the invoice that you were talking about? 19 A. Yes. 20 Q. Now, this invoice looks like it was 21 just made out for the storage of the formula. 22 What about the other two boats the Monterey and 23 the Shopwell had just arrived to New Jersey 24 that summer? 25 A. Yes.

Page 85	Page 87
1 SOLOVYEV 2 Q. So when this invoice came out for 3 the storage of the formula, would an invoice 4 have been due for the storage of the Shopwell 5 and the Monterey at that point in August 2014? 6 A. It was an additional invoice 7 separated from formula. 8 Q. And when did that invoice go out 9 for the monitor ray and the Shopwell? 10 A. As soon as these two boats arrived 11 back from Dubai. 12 Q. Now, this invoice for the formula, 13 who did you send that invoice to? 14 A. It was sent to Crocus and Andre 15 Trejaykov. 16 Q. To both, so they were sent -- were 17 they sent to Mr. Safonov on behalf of Crocus? 18 A. Yes. 19 Q. Why did you wait so long to issue 20 the bill for the formula? 21 A. I didn't wait. They were waiting. 22 I didn't wait. 23 Q. Because the invoice is issued about 24 a year after it had been purchased in standing 25 at World Express in connection. It was bought	1 SOLOVYEV 2 may not pay the large fee? 3 A. No. 4 Q. Isn't that a risk for your 5 business? 6 A. It's a very big risk for the 7 business what I did to my friends so much time 8 to think about it. As they didn't make up 9 their minds, they didn't make a final decision 10 but they've been in touch with me constantly 11 about this boat opportunity to bring it to 12 Florida or to Dubai. They were talking to me. 13 Q. What prompted you to finally issue 14 the invoice for \$39,000 for formula for the 15 storage of the formula? 16 A. Say it again. 17 Q. What made you finally issue the 18 invoice because you said you were waiting on 19 them to figure out what they were going to do 20 finally in August? You decided to send them 21 the invoice. What event prompted you to send 22 that invoice? 23 A. Because people steal. They know 24 what to do with this boat even after seeing 25 some proposals from my side to shipping to ship
Page 86	Page 88
1 SOLOVYEV 2 in the summer of 2013 and the invoice is issued 3 in the summer of 2014; is that correct? 4 A. No. 5 Q. When was the formula purchased? 6 A. Purchased in about 7 August/September 2013. 8 Q. So this invoice for \$39,000 was 9 issued in August 2014? 10 A. So what? 11 Q. What I'm asking is: Why did you 12 wait one year to issue the invoice? 13 A. I didn't wait. Customer was 14 waiting for his decision, what to do with the 15 boats. I didn't wait. As soon as the boat was 16 on my way the invoice but it was the decision 17 of the customer how soon to get this invoice 18 and what to do with the boat. We have nothing 19 to do with his boat. It's a customer who was 20 waiting whoever they didn't know what to do 21 with his boat. 22 Q. Right, but aren't you concerned 23 like any other business would be if you're 24 providing a service for a long time and the 25 clients is incurring a lot of fees that they	1 SOLOVYEV 2 them to Dubai or to bring them back to Florida 3 they didn't react to any of my proposals and I 4 was frustrated keeping the cargo at our 5 facility for nothing. 6 Q. Do you know what their current 7 balance with World Express in connection is to 8 date for storage? 9 A. More than a hundred thousand 10 dollars. 11 Q. Can you tell me about the business 12 relationship that you had with Mr. Trejaykov 13 and Mr. Safonov as far as you and your company, 14 shipping cars to Dubai to repair and resell; 15 what is that about? 16 A. They were buying the cars, bots, 17 jet ski, some parts, auto parts, boat parts out 18 of U.S.A. and I was helping them to buy those 19 units or cargo or commodities and usually we 20 ship them to Dubai during all this time 21 calculating fees, that's all. 22 Q. What was your agreement? Was it 23 for you to make some money off of the profit 24 and/or were you just purely providing the cars 25 for them for a commission?

Page 89

1 SOLOVYEV
2 A. No, usually they were buying cars
3 or boats or parts on their own money. Do not
4 ask me about whatever I would be participating
5 as a business. I never participate in their
6 business.
7 Q. Because I have an e-mail which we
8 provided to you that is between you and Mr.
9 Safonov in December 2013 talking about a
10 Mercedes Benz SL and a Porsche that you had
11 shipped over to Dubai. What's the deal of
12 that? What was the understanding?
13 A. It was customer who was shipping
14 panorama and a Mercedes. It's salvage cars
15 which Andre Trejaykov was supposed to sell it
16 in Dubai. Make his commission and return money
17 back to let's say United States, that's all.
18 Q. But do you buy the cars for them
19 and did you charge them for them?
20 A. No, it's not the business. It was
21 a business for one of the customers in U.S.A.
22 which ask me to sell them in Dubai, that's all.
23 Q. I guess what I'm getting at is, you
24 know, my clients are saying that they had a
25 business relationship with you where they would

Page 90

1 SOLOVYEV
2 hold your vehicles that you sent over to Dubai
3 to resell just like you held their boats in New
4 Jersey. It was a mutual relationship in,
5 therefore, storage fees wouldn't be due because
6 their storage of your vehicles equal the
7 storage of the boats; is that incorrect?
8 What's your response on that issue?
9 A. I have no idea what you are talking
10 about.
11 Q. You never heard about, you know,
12 them claiming that they had stored cars for you
13 in Dubai?
14 A. No.
15 Q. So would you say your business
16 relationship with them was purely you
17 purchasing items on the auction and then taking
18 a commission and arranging shipment to Dubai?
19 Was that strictly contained to that?
20 A. Absolutely.
21 Q. Now, I asked you earlier if you
22 were at all in any way employed or owned part
23 of Marine Transport Logistics and you said, no;
24 is that correct?
25 A. Yes.

Page 91

1 SOLOVYEV
2 Q. Have you -- you said that you were
3 sued prior? How many times would you say you
4 were sued?
5 MR. CHANG: Object to the form
6 but --
7 A. I don't understand your question.
8 Q. How many times have you been sued
9 as Aleksandr Solovyev but how many times have
10 you been named as a party in the lawsuit?
11 A. Just once.
12 Q. I found a couple of lawsuits that
13 named you as a party and I want to go over them
14 with you to see if you remember that.
15 In 20 -- in 1997 you were sued?
16 You were named as a party along with a company
17 named Mosaic Transportation Lines, the
18 plaintiff in that case was Hockeye. Do you
19 remember that lawsuit?
20 A. No.
21 Q. In 2005, you were named as an
22 individual in a lawsuit along with MTL
23 Worldwide Agency, Inc. in a lawsuit where the
24 plaintiff was American president lines; do you
25 remember that lawsuit?

Page 92

1 SOLOVYEV
2 A. Yes.
3 Q. What was that about?
4 MR. CHANG: I'm going to object to
5 that line of questioning. I'm going to
6 instruct him not to answer unless you
7 can tie up some relevance to these
8 lawsuits.
9 MS. TARASSOVA: No, I don't think
10 that's how objections work, unless it's
11 privileged. You can't instruct him not
12 to answer the question. You can object
13 to form and you can object to it not
14 leading to any discoverable evidence but
15 we can deal with that in court. Are you
16 instructing him not to answer based on
17 privilege?
18 MR. CHANG: What was your question?
19 What was the lawsuit about?
20 MS. TARASSOVA: Right, correct.
21 MR. CHANG: If you remember, answer
22 the question.
23 Q. Go ahead Mr. Solovyev.
24 A. We had six containers with
25 windshield washer shipped no, no, no. Which

Page 93

1 SOLOVYEV
2 company was it?
3 Q. American President Lines, LTD 2005?
4 A. What was it about?
5 Q. That's what I'm asking you?
6 A. No, I don't remember. Then I don't
7 remember if you just asking -- you don't know
8 what you're asking about. I don't remember.
9 Q. No, I'm asking you about a lawsuit
10 that you were named as a party and you said you
11 do remember that lawsuit and you were about to
12 tell me what it is about?
13 A. No, you tell me what it is about
14 and I tell you in details because I don't
15 remember like from this guy what happened ten
16 years ago.
17 Q. Let's talk about more recent cases
18 that you may remember in 2009. You were named
19 as a party in a lawsuit along with Marine
20 Transport Logistics and your wife and World
21 Express it was a labor and employment lawsuit.
22 You were sued by Nadia, N-A-D-I-A, Fursoff,
23 F-U-R-S-O-F-F; do you remember that?
24 A. Yes, I remember.
25 Q. Do you remember in that lawsuit her

Page 94

1 SOLOVYEV
2 alleging that you had control over MTL and she
3 had actually been employed by both companies
4 MTL and World Express in connection at the same
5 time?
6 A. It's maybe it. I don't remember
7 details but maybe.
8 Q. Why would she say that you had
9 control over MTL and were responsible for
10 hiring and firing employees for MTL?
11 MR. CHANG: Note my objection. I
12 am instructing him not to answer this
13 one.
14 MS. TARASSOVA: Based on privilege?
15 MR. CHANG: Privilege and
16 attorney/client. You're asking him to
17 speculate the offenses. The plaintiff
18 may have alleged.
19 MS. TARASSOVA: Absolutely not.
20 MR. CHANG: Why would the plaintiff
21 against him have alleged so and so cause
22 of action?
23 MS. TARASSOVA: Right.
24 MR. CHANG: I'm instructing him not
25 to answer.

Page 95

1 SOLOVYEV
2 MS. TARASSOVA: Not a cause of
3 action. It's not a cause of action
4 because the cause of action was a labor
5 and employment issue. What I'm asking
6 is why would she allege the fact?
7 MR. CHANG: You're asking him to
8 speculate as to why a plaintiff alleged
9 so and so cause of action? That's not
10 what he's here for. That's not even a
11 question he can answer.
12 MS. TARASSOVA: He can answer that
13 question. This isn't court so
14 speculation would not be an objection.
15 You can use that later. I'm asking why
16 would she allege that fact? We can go
17 into that. This is very relevant, Eric.
18 Mr. Solovyev was saying on the record
19 that he has nothing to do with MTL. I'm
20 talking about examples of other people
21 stating that in fact he does have
22 control over it so --
23 MR. CHANG: That's not a question
24 that Mr. Solovyev has any capability of
25 answering. Again, you're asking him to

Page 96

1 SOLOVYEV
2 speculate what a third party is thinking
3 or might have done.
4 MS. TARASSOVA: That's fine. He
5 can answer in any way that he wants to
6 answer that but I want him to answer the
7 question. You know I don't think you
8 can jump in and fight his fight for him.
9 It's a question that he has to answer
10 the best way he can. It's a deposition.
11 MR. CHANG: Okay, if you can answer
12 the question.
13 A. Yes, I can answer. I remember
14 Nadia Fursoff she was the biggest liar which
15 I've seen in my life. She was stealing money
16 of doing her duties in the company World
17 Express. It was a big fuss when she had an
18 agreement. She got the cleaning activity
19 between her working as a dispatcher for the
20 company and a subcontracting company whom she
21 hired and she was watching the money and
22 presenting false invoices to the company,
23 buying cheap and they're it sending to MTL or
24 MCL services much more higher than it's
25 supposed to be. I think she's a big liar.

Page 97 1 SOLOVYEV 2 Whatever you got information right now about 3 this case, you couldn't get me convinced that I 4 was doing something wrong. I know this person 5 is a big, big liar and she has a criminal 6 record. She was a lap dancer before, she was a 7 prostitute before and it was huge history of 8 this person. So it's not resolved of what you 9 can get truthful information about what's going 10 on in the companies. 11 Q. What position did she serve with 12 World Express in connection? 13 A. She was handling some deliveries 14 some warehousing drop. 15 Q. At the time that she was an 16 employee for World Express In Connection, was 17 she an employee with MTL as well at the same 18 time? 19 A. I don't remember. 20 Q. Then, again, in 2013 you had a 21 similar lawsuit where an employee named Kirill, 22 K-I-R-I-L-L, Delendra, D-E-L-E-N-D-R-A. He 23 alleged basically the same thing that Nadia did 24 that you are in charge of both MTL and World 25 Express In Connection that he had worked for	Page 99 1 SOLOVYEV 2 MR. CHANG: That's the exact 3 question you were asking. Why is this 4 guy alleging these facts. 5 MS. TARASSOVA: Correct. It's not 6 why is he bringing the lawsuit for, you 7 know, unpaid wages, the question is why 8 is he alleging that fact. It's a fact 9 question. 10 MR. CHANG: It's not a fact 11 question within Mr. Solovyev's 12 knowledge. Why would a plaintiff bring 13 such a lawsuit, what facts does the 14 plaintiff brings? 15 MS. TARASSOVA: I think you're 16 answering on behalf of Mr. Solovyev but 17 I have not heard Mr. Solovyev say that 18 he doesn't know. So I would propose 19 that Mr. Solovyev answer that question 20 to the best of his ability. I would 21 raise the same issue as the 2009 case 22 that you made the same argument. I said 23 stop fighting, stop answering the 24 questions for him. There's no legal 25 grounds why he should not respond to
Page 98 1 SOLOVYEV 2 both of the companies simultaneously and that 3 you were responsible for hiring and firing for 4 both companies. Same question: Why would he 5 allege that fact in the 2013 case? 6 MR. CHANG: None of your questions 7 are factual questions. Every one of 8 your questions you're asking him why a 9 plaintiff might have sued him but that's 10 a question. 11 MS. TARASSOVA: No. 12 MR. CHANG: If you have a factual 13 question that you can answer ask him, 14 otherwise I'm instructing him not to 15 answer. If you want to make a motion to 16 get an answer for this go ahead but -- 17 MS. TARASSOVA: I want to put on 18 the record that the question did not go 19 to why the plaintiff sued him or what 20 his theory of liability was. My 21 question -- 22 MR. CHANG: Can I have the reporter 23 read back the question? 24 (Whereupon, the referred question 25 was read back by the Reporter.)	Page 100 1 SOLOVYEV 2 this question. It's not privileged. I 3 just asked him why would this person 4 state the same fact. 5 MR. CHANG: Why would someone who's 6 not Mr. Solovyev state these facts? 7 MS. TARASSOVA: Correct. 8 MR. CHANG: That's your question? 9 MS. TARASSOVA: That's my question. 10 MR. CHANG: If you can answer, why 11 the plaintiff in the 2013-case -- 12 A. I can explain. I have nothing 13 against this question. This person Kirill was 14 working as a loader in our warehouse, whatever 15 he say. He said nothing. His lawyer said the 16 same way like you are asking on behalf of your 17 customers, and we know how lawyers are working 18 this case, they are trying to find somebody who 19 pays money to his customers. So the same with 20 Kirill. When he punched me with a nail gun, 21 ear gun, he did it himself. Nobody discharge 22 this person at the time of his labor. And 23 after that, the lawyer went for everybody who 24 was in the same building, every company, he 25 started to swear at everybody. That's all what

Page 101 1 SOLOVYEV 2 happened, but he was working to the World 3 Express just loading cars, that's all. 4 Q. In 2013, there was a case against 5 you as an individual as well as MTL Royal 6 Finance Group, Car Express and imports, that 7 case was brought by MAVL Capital, Inc.; do you 8 remember this case? 9 A. I remember this case. 10 Q. I believe in this case, the 11 plaintiff also alleges that you are in control 12 of MTL and you are responsible for the actions 13 of MTL. Why would they allege that in 2013? 14 What happened? 15 A. Can my lawyer answer all your 16 questions because he was involved? 17 MR. CHANG: I'm not going to answer 18 his question but I'm objecting to the 19 form. There was two questions. 20 Q. The first question is: What were 21 the circumstances of that case? 22 A. It was stolen property, ships 23 through MTL. Unknown payment for boat cars and 24 some units which MAVL Company and according to 25 the shipping law, he was talking to only his	Page 103 1 SOLOVYEV 2 failure to disclose funds and the United States 3 ended up coming in and taking about \$600,000 4 out of the MTL bank account; do you remember 5 that case? 6 A. Yes. 7 Q. Why would the United States of 8 America state that you were involved with MTL? 9 Why would they tie you to MTL if you have 10 nothing to do with it? 11 A. I have nothing to do with it. It 12 was shipping of some cars through Iran which is 13 an unfriendly blacklister country. This was a 14 case only with MTL not with Car Express or me. 15 Maybe it's a leased but I guzzling money from 16 MTL not from me or my companies, no. 17 Q. But based on their investigation, 18 they found that you were involved with MTL. 19 MR. CHANG: Is there a question? 20 A. I wouldn't be penalized. It wasn't 21 just money penalties, that's all. I have 22 nothing to do with this case. 23 Q. Have you ever been convicted of a 24 crime? 25 A. Convicted of a crime? I've never
Page 102 1 SOLOVYEV 2 owner of the money. I never talk to him about 3 shipping of his goods. So nobody has proof 4 that I was advised him where to ship, how to 5 ship, that's all what has happened. So one 6 more time stolen property, which he stole ships 7 from MTL and FBI was involved in this case and 8 plus he stole some bull dozer for \$250,000 and 9 that also involved. So right now this 10 company's hiding out of U.S.A. I don't know 11 where this person is. 12 Q. What about the case that you had 13 with Homeland Security where you were named as 14 an individual along with your wife Allah 15 Solovyev and MTL where the United States 16 attorney is alleging that you are an agent for 17 MTL? 18 A. I don't know. 19 MR. CHANG: Is there a question 20 there? 21 A. What is this? 22 Q. What are the -- why would the 23 United States attorney allege that you were 24 involved with MTL in that case where just to 25 remind you that's where it was a case about	Page 104 1 SOLOVYEV 2 been convicted. 3 Q. You were never convicted of a crime 4 in New Jersey for receiving stolen property? 5 A. It has to do with the boat? 6 Q. I'm entitled to ask that question. 7 A. I have to object. 8 MR. CHANG: This is whether you -- 9 was there a conviction? 10 A. No, there was no conviction. 11 Q. Have you ever been on probation? 12 A. Yes. 13 Q. What were you on probation for? 14 A. Don't matter. 15 Q. It does. Your attorney can explain 16 to you why this is relevant but it is and I'm 17 entitled to ask that question it is actually 18 very important. So can you please explain to 19 me why you were put on probation? What was 20 that in relation to? 21 MR. CHANG: You are asking for 22 the -- 23 MS. TARASSOVA: Why was he put on 24 probation? Why would the state of New 25 Jersey put him on probation?

Page 105	Page 107
1 SOLOVYEV	1 SOLOVYEV
2 A. I don't remember. It was some	2 I N D E X
3 stolen cars as the property, that's all.	3
4 Q. What were you accused of?	4 WITNESS EXAMINATION BY
5 A. I don't remember the stipulation	5 PAGE
6 but it was something like stolen Renwickr cars	6 6-106 MS. TARASSOVA
7 as the property of World Express.	7
8 Q. Was MTL involved in that?	8
9 A. No.	9
10 Q. Did you plead guilty in that case?	10
11 A. Yes.	11
12 Q. Other than probation, did you have	12
13 to serve any time in jail?	13
14 A. No.	14
15 (Continued on next page	15
16 to include jurat.)	16
17	17
18	18
19	19
20	20
21	21
22	22
23	23
24	24
25	25

Page 106	Page 108
1 SOLOVYEV	1 SOLOVYEV
2 Q. Have you been convicted of anything	2 C E R T I F I C A T E
3 else?	3
4 A. No.	4 STATE OF NEW YORK)
5 MS. TARASSOVA: Those are all the	5 ss.:)
6 questions I have.	6
7 THE COURT REPORTER: Would you like	7
8 a copy of the transcript?	8
9 MR. CHANG: Sure.	9 I, DORENE GLOVER, a Notary Public for
10	10 and within the State of New York, do hereby
11 (Whereupon, at 12:48 p.m., the	11 certify:
12 examination of this witness was	12 That the witness whose examination is
13 concluded.)	13 hereinbefore set forth was duly sworn and that
14	14 such examination is a true record of the
15	15 testimony given by that witness.
16	16 I further certify that I am not related
17	17 to any of the parties to this action by blood
18	18 or by marriage and that I am in no way
19	19 interested in the outcome of this matter.
20	20 IN WITNESS WHEREOF, I have hereunto set
21	21 my hand this 4th day of December, 2015.
22	22
23	23
24	24
25	25

Page 109	
1	SOLOVYEV
2	STATE OF NEW YORK)
	ss.:
3	COUNTY OF BRONX)
4	
5	I wish to make the following changes, for
6	the following reasons:
7	
8	PAGE LINE
9	_____ CHANGE:
10	_____
11	REASON:
12	_____
13	_____ CHANGE:
14	_____
15	REASON:
16	_____
17	_____ CHANGE:
18	_____
19	REASON:
20	_____
21	_____ CHANGE:
22	_____
23	REASON:
24	_____
25	_____

APPENDIX “15”



Marine Transport Logistic Inc

63 Hook Road
Bayonne, NJ. 07002
USA

201-858-8600

Invoice

Reference #

IO-5010

Date	Due Date	Number
May/09/2013	May/16/2013	24261
Bill to IAM & AL GROUP, INC 115E 57 STREET, FL11 NEW YORK, NY 10022. USA		
Shipper: ATLANTIC CARGO LOGISTICS LLC Consignee: ATLANTIC CARGO LOGISTICS LLC Origin/Destination: BRV / NYC Entry Date: Oct/31/2012 Carrier: Cosco AWB / BL No.: COSU4505431850 House Way Bill: Pieces / Weight: 1 / 0.00 lb Booking Number: COSU4505431850 Container No.: CAXU6911501		

Year	Make	Model	VIN	Notes
2006	Mercedes-Ben	SL-Class	WDBSK79F86F113072	STORAGE 05/04-6/05

Description of Charges	Quantity	Price	Amount
Storage Fee (5/04-6/05)	1.00	150.00	150.00

TERMS AND CONDITIONS:

This invoice contains cash outlays advances for your account. Payments must be received no later than 10 business days after sailing date. Past due invoices are subject to mandatory late payment fee of \$250 plus the cost of collection. Please remit promptly. All sales are final. No refunds. Marine Transport Logistics credit only. All ocean freight rates are quoted "ALL IN" to include: Base ocean freight, Loading, Lashing, Drayage and Export documentation filing.

USD

150.00

PLEASE PAY THIS AMOUNT

RETURN PORTION

To Ensure Proper Credit, Please Return This Portion With Payment

Payment Instruction

For INTERNATIONAL Wire Transfers:

HSBC BANK
89 RIVER DRIVE SOUTH
JERSEY CITY, NJ 07310ROUTING: 021001088
SWIFT: MRMDUS33

Contact office for account information

For DOMESTIC Wire Transfers:

TD BANK
1701 ROUTE 70 EAST
CHERRY HILL, NJ 08034ROUTING: 026013673
SWIFT: CBNAUS33

Contact office for account information

MAILING ADDRESS

Marine Transport Logistics
63 New Hook Rd
Bayonne, NJ 07002

For ACH PAYMENTS:

Contact Office for account information

Make all checks payable to - Marine Transport Logistics
Office: 201.858.8600 Fax: 201.858.8607

Customer

IAM & AL GROUP, INC

Invoice 24261

File #: IO-5010

Invoice Date: May/09/2013

Container Number: CAXU6911501

Origin: BRV

Destination: NYC

Amount: USD 150.00

Year	Make	Model	VIN
2006	Mercedes-Ben	SL-Class	WDBSK79F86F113072

APPENDIX “16”

9934/SHV
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UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK

MAVL CAPITAL, INC., IAM & AL GROUP
INC., and MAXIM OSTROVSKIY,

Plaintiffs,

· against ·

MARINE TRANSPORT LOGISTICS, INC.,
ROYAL FINANCE GROUP, INC., CAR
EXPRESS & IMPORT INC., ALEKSANDR
SOLOVYEV, DIMITRY ALPER, and JOHN
DOE CORP., the unidentified Vessel
Operating Common Carrier/Ocean Liner,

Defendants.

13 Civ. 07110 (SLT)(RLM)

**DEFENDANTS'
MEMORANDUM OF LAW IN
OPPOSITION TO PLAINTIFFS'
MOTION FOR INJUNCTIVE
RELIEF**

CICHANOWICZ, CALLAN, KEANE,
VENGROW & TEXTOR, LLP
Attorneys for Defendants

TABLE OF CONTENTS

TABLE OF AUTHORITIES	iii-vi
INTRODUCTION.....	1
PRELIMINARY STATEMENT	1
BACKGROUND FACTS	2
ARGUMENT	3
I. PLAINTIFFS HAVE NOT SHOWN IRREPARABLE HARM	3
A. Loss of business is compensable by money damages	4
B. Loss of goodwill is also compensable by money damages	5
II. PLAINTIFFS ARE NOT LIKELY TO SUCCEED ON THE MERITS.....	6
A. Plaintiffs' causes of action are insufficient for relief	6
1. Violation of The Shipping Act of 1984.....	7
2. Breach of fiduciary duty	
3. Conversion	
4. Civil conspiracy	
5. Tortious interference with business relations	8
6. Action to pierce the corporate veil	10
7. Injunctive relief	11
8. Breach of contract	11
9. New York Consumer Fraud Act	11
10. Common law fraud	12
11. RICO	15

TABLE OF CONTENTS

B. The balance of hardships is not in Plaintiffs' favor	16
C. Contrary to Plaintiffs' allegations, Defendants have a valid lien on Plaintiffs' property	17
1. Lien on unpaid current debts	16
2. Lien on unpaid prior debts.....	17
CONCLUSION.....	19

TABLE OF AUTHORITIES

CASES

<i>Abdul Wali v. Coughlin</i> , 754 F.2d 1015 (2d Cir. 1985)	3, 6
<i>Ashcroft v. Iqbal</i> 129 S.Ct. 1937, 1949, 173 L. Ed. 2d 868 (2009)	10
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TABLE OF AUTHORITIES

CASES

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TABLE OF AUTHORITIES

CASES

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TABLE OF AUTHORITIES

CASES

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RULES

Fed. R. Civ. P. 65.....	2
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INTRODUCTION

Defendants Marine Transport Logistics, Inc. (“MTL”), Royal Finance Group, Inc. (“Royal Finance Group”), Car Express & Import, Inc. (“Car Express”), Aleksandr Solovyev, and Dimitry Alper (hereinafter collectively “Defendants”), by their attorneys Cichanowicz, Callan, Keane, Vengrow & Textor, LLP, submit this memorandum of law in opposition to Plaintiffs’ motion for injunctive relief. In support of Defendants’ opposition are the Declaration of Aleksandr Solovyev on behalf of Car Express and Royal Finance Group, and the Declaration of Dimitry Alper on behalf of MTL. **Oral Argument is requested.**

PRELIMINARY STATEMENT

The issues facing this Court are whether Plaintiffs have shown by a clear preponderance of the evidence that their claims are not compensable by money damages and are likely to succeed on the merits. Defendants respectfully submit that Plaintiffs have not met their burden and the Court should deny Plaintiffs’ motion for two reasons: (I) Plaintiffs have not proven irreparable harm; and (II) Plaintiffs are not likely to succeed on the merits because: (A) Plaintiffs failed to set forth causes of action on which relief can be granted or make a clear showing of a likelihood of success on their causes of action; (B) Plaintiffs failed to raise sufficiently serious questions as to the merits; and (C) contrary to Plaintiffs’ claims, Defendants have a valid lien on Plaintiffs’ property.

However, before addressing Plaintiffs' motion, if Plaintiffs now agree to post a security bond to the court in the amount of \$61,754¹ for the outstanding debts owed by Defendants, Defendants will also now agree to release (without prejudice) the following 3 "vehicles" and 1 "shipment of replacement seats":

1. Bobcat S205 (currently in Kotka, Finland)
2. Bobcat S250 (currently in Kotka, Finland)
3. Porsche Panamera (currently in Dubai, UAE)
4. Two (2) replacement seats for a General Motors Hummer (currently in Bremerhaven, Germany)

Of the remaining "vehicles" in dispute: Defendants sold the Mercedes SL65 and the Bobcat S185 to third-parties to recover outstanding debts owed by Plaintiffs, and the 3 Harley Davidson motorcycles are believed to be in the custody and control of (non-party) Uni-Trans PRA, a company hired by Plaintiffs that is not related to Defendants.

BACKGROUND FACTS

We respectfully refer the Court to the Declarations of Aleksandr Solovyev (the "Solovyev Decl.") and Dimitry Alper (the "Alper Decl.") for the background facts in this case.

¹ \$61,754 is the total amount owed by Plaintiffs to MTL on: Invoices no. 27764 (\$1,600), 27382 (\$750), 27343 (\$1,160), 20059 (\$1,504) and 27702 (\$16,501); plus \$40,239 owed to Royal Finance Group on Invoice no. 1173MO. (Attached as Exhibits F, H, J, K and L respectively to the Alper Decl. and Exhibit D to the Solovyev Decl.) We note that if a preliminary injunction is granted, the posting of security by the movant in an amount determined by the court is mandatory. Fed. R. Civ. P. 65. Whether Plaintiffs' "consent" to putting up a bond in that case is immaterial. (See Pl. OSC Brief at p. 13).

ARGUMENT

The Second Circuit requires a movant seeking injunctive relief to show by a preponderance of the evidence: (I) irreparable harm and (II) either likelihood of success on the merits or sufficiently serious questions going to the merits to make them a fair ground for litigation and a balance of hardships tipping decidedly toward the movant. *Caulfield v. Board of Education*, 583 F.2d 605, 610 (2d Cir. 1978). In addition, because Plaintiffs seek a mandatory injunction, Plaintiffs must make a “clear showing” of entitlement to the relief requested.² *Abdul Wali v. Coughlin*, 754 F.2d 1015, 1025 (2d Cir. 1985). “The ‘clear showing’ requirement . . . alters the traditional formula by requiring that the movant demonstrate a *greater* likelihood of success.” *SEC v. Unifund SAL*, 910 F.2d 1028, 1039 (2d Cir. 1990)(emphasis added).

We first address the “irreparable harm” requirement for injunctive relief.

I. PLAINTIFFS HAVE NOT PROVEN IRREPARABLE HARM.

For harm to be irreparable, the harm must be “one requiring a remedy of more than mere monetary damages”. *Tucker Anthony Realty Corp. v. Schlesinger*, 888 F.2d 969, 975 (2d Cir. 1989). Plaintiffs must demonstrate “clear proof of an imminent threat of irreparable injury and not mere unsupported speculation”. *Reiter’s Beer Distribs. v. Christian Schmidt Brewing*, 1986 U.S. Dist. LEXIS 22175,

² A mandatory injunction, in contrast to a typical preliminary injunction that seeks only to maintain the status quo pending trial, is said to *alter* the status quo by commanding some positive act. *Abdul Wali, supra*.

*30 (E.D.N.Y. 1986). “Unless a party makes a threshold showing of irreparable harm there is no necessity to consider either of the alternative merits criteria.” *Id.*

In the instant matter, Plaintiffs allege irreparable harm from (A) the loss of Plaintiffs’ contract with their consignees and (B) Plaintiffs’ loss of goodwill. (Pl. OSC Brief at p. 12). As next discussed, Plaintiffs have an adequate remedy at law in money damages and thus have not met their burden of proving, by a preponderance of the evidence, irreparable harm.

A. Loss of business is compensable by money damages.

Plaintiffs first allege that the shipments at issue (i.e. 3 Bobcats, 2 salvage cars, and 2 Hummer seats) are irreplaceable and Plaintiffs face the termination of their contracts with their consignees. (Pl. OSC Brief at p. 12). Here, however, Plaintiffs do not face irreparable harm if Plaintiffs could avoid the loss by obtaining substitute shipments. *Tom Doherty Assocs. v. Saban Entm’t, Inc.*, 60 F.3d 27, 38 (2d Cir. 1995); *See also Tri-County Wholesale Distribs. v. Wine Group, Inc.*, 2012 U.S. App. LEXIS 13415, *28 (6th Cir. 2012)(“there must be some meaningful showing that another comparable product cannot seamlessly replace the jeopardized product.”)

In the instant matter, aside from Plaintiffs’ bare allegations, Plaintiffs have not made any showing that the shipments are, in fact, irreplaceable. *Reiter’s Beer Distribs, supra*. Furthermore, even accepting Plaintiffs’ bare allegations as true, the loss of customers or the loss of business are both readily compensable in money damages. *Jackson Dairy, Inc. v. H. P. Hood & Sons, Inc.*, 596 F.2d 70, 72-73 (2d Cir.

1979)(loss of customers or business compensable in “dollars and cents”). Because Plaintiffs have an adequate remedy at law with regard to any loss of customers, Plaintiffs have not proven irreparable harm. *Id.*

B. Loss of goodwill is also compensable by money damages.

Plaintiffs next allege that their “goodwill is suffering with respect to the consignees and the industry as a whole”. (Pl. OSC Brief at p. 12). Again, aside from Plaintiffs’ bare allegations, Plaintiffs have not shown clear proof of a loss of goodwill. Moreover, Courts generally only consider loss of goodwill when it rises to the level of threatening a business with termination. *Loveridge v. Pendleton Woolen Mills, Inc.*, 788 F.2d 914, 917 (2d Cir. 1986). Just because a business’ customers may “grumble and go elsewhere” is insufficient for an injunction. *Id.*; *See also Millenium Restaurants v. City of Dallas*, 181 F.Supp.2d 659, 666 (N.D. Tex. 2001)(denying injunctive relief when plaintiffs merely argued that it would be put out of business, losing customers and goodwill, but made no showing that money damages would be inadequate).³

³ All three decisions cited by Plaintiffs for their “loss of goodwill” claim involve either trademarked products or non-compete agreements. Two of the decisions cited by Plaintiffs involved non-compete agreements with stipulations that money damages would be insufficient for breach and, as noted by the courts, “when a party violates a non-compete clause the resulting loss of client relationships and customers goodwill . . . constitutes irreparable harm.” *Titor Title Ins. Co. v. Cohen*, 173 F.3d 63 (2d Cir. 1999) and *Nat’l Elevator Cab & Door Company v. H&B, Inc.*, 282 Fed. Appx. 885 (2d Cir. 2008). The third decision cited by Plaintiffs involved infringement on a company’s unique and trademarked bottle design where the court found that “the unique nature of the trademark . . . in representing such an intangible asset as reputation and goodwill means that irreparable harm is almost always found where probability of confusion exists.” *Essie Cosmetics, Ltd. v. Dae Do Int’l, Ltd.*, 808 F.Supp. 952 (E.D.N.Y. 1992). Since the instant matter involves neither a trademarked (unique) product nor a non-compete agreement, the decisions do not readily support the relief sought by Plaintiffs and, in any event, Plaintiffs are still required to prove by a preponderance of the evidence that money damages are inadequate.

Where a plaintiff has only demonstrated that business would be disrupted, but failed to show that the business would be so affected that it would be forced to fold, authority in the Second Circuit has held that an adequate legal remedy exists. *Newport Tire & Rubber Co. v. Tire & Battery Corp.*, 504 F. Supp. 143, 149-150 (E.D.N.Y. 1980). In the instant matter, Plaintiffs have not even sufficiently proven that their business would be disrupted, much less that Plaintiffs' business would be forced to fold. *Id.* Nor have Plaintiffs shown that any loss of goodwill could not be compensated by money damages. *Tom Doherty Assocs.*, 60 F.3d 27, 38.

Because Plaintiffs have not proven irreparable harm by a preponderance of the evidence, Plaintiffs motion for injunctive relief should be denied.

II. PLAINTIFFS ARE NOT LIKELY TO SUCCEED ON THE MERITS.

Plaintiffs have also failed to make a clear showing of a likelihood of success on the merits. *Abdul Wali*, 754 F.2d 1015, 1025 (2d Cir. 1985). Plaintiffs' claims are unlikely to succeed for three reasons. (A) First, Plaintiffs fail to state claims upon which relief can be granted and to adequately support their causes of action. (B) Second, in conjunction with the first point, the balance of hardships do not tip in Plaintiffs' favor. (C) And finally, contrary to Plaintiffs' allegations, Defendants have a valid bill of lading lien on Plaintiffs' property.

A. Plaintiffs' causes of action are insufficient for relief.

Notwithstanding that Plaintiffs have not made a clear showing of irreparable harm, Plaintiffs are also unlikely to succeed on the merits because Plaintiffs fail to

state claims upon which relief can be granted and to adequately support their causes of action.⁴

In this regard, Plaintiffs' causes of action, though impressive in variety, are insufficient on the pleadings or lacking in merit. Plaintiffs allege causes of action for: (1) violation of The Shipping Act of 1984; (2) breach of fiduciary duty; (3) conversion; (4) civil conspiracy; (5) tortious interference with business relations; (6) an action to pierce the corporate veil; (7) injunctive relief; (8) breach of contract; (9) violation of the New York Consumer Fraud Act; (10) common law fraud; and (11) violation of the Racketeer Influenced and Corrupt Organizations Act (RICO). (Compl. ¶¶ 128-179 Counts I-XI).⁵ The causes of action are addressed below in the same order set out in the Complaint.

1. Violation of The Shipping Act of 1984.

Plaintiffs first allege that Defendants violated The Shipping Act of 1984. (Pl. OSC Brief p. 11; Compl. Count I). Even accepting Plaintiff's allegation as true, the Federal Maritime Commission (f/k/a the Federal Maritime Board) has exclusive jurisdiction over suits to recover reparations under The Shipping Act. *D.L. Piazza*

⁴ Although this is not a motion to dismiss the Complaint and/or individual causes of action, which Defendants intend to file on a later date, the insufficiency of Plaintiffs' causes of action are intertwined here with Plaintiffs' burden of showing a likelihood of success on the merits.

⁵ While not set out as a cause of action, Plaintiffs repeatedly mention alleged violations of New York Penal Law §§ 105, 190.40, 190.42 and 190.45. (Pl. OSC Brief p. 10; Compl. ¶ 61). However, Plaintiffs have not set forth any authority for a private cause of action to enforce the rights allegedly created by New York Penal Law. *Casey System, Inc. v. Firecom, Inc.*, 1995 U.S. Dist. LEXIS 17761 (S.D.N.Y. 1995)(stating the general rule that "when a statute is contained solely within the penal law section, the legislature intended it as a police regulation to be enforced only by a court of criminal jurisdiction"); *Valentin Christian v. Town of Riga*, 649 F. Supp. 2d 84, 91 (W.D.N.Y. 2009)(dismissing private causes of actions under New York PL 190, 190.25, 190.20).

Co. v. West Coast Line, Inc., 210 F.2d 947 (2d. Cir.), *cert denied*, 348 U.S. 839, 99 L. Ed. 661, 75 S.Ct. 42 (1954). Plaintiffs cannot proceed originally with their cause of action in a district court without defeating this primary jurisdiction. *Id.*

2. Breach of fiduciary duty.
3. Conversion.
4. Civil conspiracy.
5. Tortious interference with business relations.

Plaintiffs' causes of action for breach of fiduciary duty, conversion, conspiracy, and tortious interference are addressed together. To succeed on the merits on any of the above causes of action, Plaintiffs must show some wrongdoing by Defendants. See *Lunsford v. Farrell Shipping Lines, Inc.*, 1991 U.S. Dist. LEXIS 10263, No. 83 Civ. 7462, at *8 (S.D.N.Y. 1991)(plaintiffs must show a breach of the fiduciary duty); *Eaves v. Designs for Fin., Inc.*, 785 F. Supp. 2d 229, 267 (S.D.N.Y. 2011)(“to prove a conversion . . . plaintiff must show that defendant exercised an unlawful dominion over the thing in question”); *Beck v. Prupis*, 529 U.S. 494, 503, 146 L.Ed. 2d 561, 120 S.Ct. 1608 (2000)(requiring overt tortious or unlawful act for civil conspiracy); *Valley Lane Indus. Co. v. Victoria's Secret Direct Brand Mgmt., L.L.C.*, 455 Fed. Appx. 102, 105-106 (2d Cir. N.Y. 2012)(for tortious interference, defendant's conduct must amount to a crime or an independent tort). However, as next discussed, Plaintiffs' factual allegations of Defendants' wrongdoing are either plainly insufficient or blatantly contradicted by other evidence.

First, Plaintiffs allege that they “requested that [Defendants] release the [Mercedes SL65] and said request was denied without explanation”. (Pl. Decl. ¶ 20.)

However, Plaintiffs fail to mention that Plaintiffs accumulated unpaid storage fees of \$900 for the Mercedes SL65 (\$150 per month x 6 months from Dec. 2012 through May 2013). In fact, Defendants notified Plaintiffs by e-mail on May 9, 2013 of the unpaid storage fees for the Mercedes SL65 but Plaintiffs never responded to Defendants or paid the storage fees. (Alper Decl. ¶¶ 10-12, Exhibit A thereto). Thus, Defendants did not refuse to release Plaintiffs' property "without explanation".

Plaintiffs next allege that Defendants misappropriated the 2 Hummer seats. (Pl. Decl. ¶¶ 47-48.) In fact, Defendants delivered the 2 Hummer seats to Bremerhaven, Germany pursuant to Plaintiffs' instructions. The 2 Hummer seats are being held by Defendants in Bremerhaven pending payment by Plaintiffs of \$1,160 (as of August 2013) in ocean freight and storage fees. (Alper Decl. ¶¶ 28-30, Exhibits I and J thereto). Defendants did not misappropriate the 2 Hummer seats.

Finally, Plaintiffs allege that Defendants "upon information and belief . . . illegally shipped the [Bobcat S205 and the Bobcat S185] overseas without [Plaintiffs'] consent". (Pl. Decl. ¶¶ 26 and 37). At first blush, the allegation "upon information and belief" is puzzling; after all, Plaintiffs either consented to the shipment overseas or they didn't.⁶ In fact, Plaintiffs' allegation is refuted by Plaintiffs' own e-mails to the Defendants requesting that Defendants load the Bobcat S205 and Bobcat S185 into a container for shipment to Kotka, Finland.

⁶ Many of Plaintiffs' allegations, including allegations that are contradicted or refuted, were made only on "information and belief." (See Pl. Decl. at ¶¶ 26, 37, 43, 61). Allegations seeking an injunction must be specific. *Moore v. New York Cotton Exch.*, 296 F. 61, 73 (2d Cir. N.Y. 1923). Allegations made upon information and belief are, as a rule, insufficient. *Id.*; *Hispanic Leadership Fund, Inc. v. Walsh*, 2012 U.S. Dist. LEXIS 189367, *18 (N.D.N.Y. 2012) ("Courts generally consider affidavits made on information and belief to be insufficient for a preliminary injunction.").

(Solovyev Decl. ¶ 15, Exhibit B thereto). A request from Plaintiffs to load the Bobcats into a container for shipment overseas is equivalent to consent by Plaintiffs to ship the Bobcats oversea. Plaintiffs' allegations of wrongdoing are clearly without merit.

Because Plaintiffs have not proven or adequately supported their allegations of Defendants' wrongdoing, all causes of action that require proof of wrongdoing must also fail.

6. Action to pierce the corporate veil.

Plaintiffs have not plead sufficient allegations to make their action to pierce the corporate veil plausible. *Ashcroft v. Iqbal*, 129 S.Ct. 1937, 1949, 173 L. Ed. 2d 868 (2009). It is incumbent upon Plaintiffs to plead sufficient facts to support both prongs of the veil-piercing inquiry – that is, both disregard for the corporate form and resulting fraud or injustice. In pleading these elements, Plaintiffs must do more than merely parrot the facts enumerated in the veil-piercing case law. See *G4S Justice Servs., Inc. v. Correctional Program Servs., Inc.*, 2009 U.S. Dist. LEXIS 88689, at *3-4 (S.D. Ind. 2009).

In the instant matter, Plaintiffs have merely plead conclusory allegations, without alleging any facts whatsoever to support an action to pierce the corporate veil. (Compl. ¶¶ 150-151). Without facts to support the relief requested, this cause of action must also fail.

7. Injunctive relief.

As addressed above, Plaintiffs have not shown by a preponderance of the evidence that irreparable harm will result. “Accordingly, unless a plaintiff makes a threshold showing of irreparable harm there is no necessity to consider either of the alternative merits criteria.” *Reiter’s Beer Distribs, supra*.

8. Breach of contract.

Plaintiffs allege that Defendants “breached their contract with Plaintiffs for the shipment of goods via ocean transit”. (Compl. ¶ 156). To prevail on a breach of contract claim, plaintiffs must prove, *inter alia*, performance of the contract by the plaintiff and breach of the contract by the defendant. *First Investors Corp. v. Liberty Mut. Ins. Co.*, 152 F.3d 162, 168 (2d Cir. 1998).

First, as an initial matter, Plaintiffs have not performed their obligations under the contract (i.e. the bills of lading). Plaintiffs have not paid the outstanding debts. (Alper Decl. ¶¶ 17, 22, 26, and 30). Second, Defendants have fully performed their obligations under the contracts. Defendants shipped the Plaintiffs’ property overseas, as requested by Plaintiffs. (Alper Decl. ¶¶ 16, 20, 24, 28-30; Exhibits E, , I and J thereto). The only remaining obligation under the contracts is Plaintiffs’ payment of outstanding debts.

9. New York Consumer Fraud Act.

New York Courts have consistently held that unique private transactions between sophisticated business parties do not give rise to liability under the New

York Consumer Fraud Act. *Oswego Laborers' Local 214 Pension Fund v. Marine Midland Bank, N.A.*, 85 N.Y.2d 20, 25 647 N.E.2d 741, 623 N.Y.S.2d 529 (1995)(“Private contract disputes, unique to the parties . . . would not fall within the ambit of the statute”); *Suttons Assocs. v. LexisNexis*, 196 Misc. 2d 30 (Sup. Ct. 2003)(dismissing a Consumer Fraud Act claim that alleged a “private commercial dispute involving the two businesses involved in the transaction”). New York appellate authority is equally clear on this point, and unequivocally excludes businesses from the definition of “consumer” for the New York Consumer Fraud Act by defining a “consumer” as an individual who “purchases goods and services for personal, family or household use”. *Sheth v. New York Life Ins. Co.*, 273 A.D.2d 72, 709 N.Y.S.2d 74, 75 (1st Dept 2000); *Cruz v. NYNEX Info. Res.*, 263 A.D.2d 285, 705 N.Y.S.2d 103, 107 (1st Dept 2000).

In the instant matter, Plaintiffs are “*in the business* of purchasing and exporting new and used cars from the United States to Europe”. (Compl. ¶ 2 (emphasis added)). Because Plaintiffs are not “consumers” within the ambit of the New York Consumer Fraud Act, Plaintiffs fail to state a claim upon which relief can be granted and are thus, not likely to succeed on the merits.

10. Common law fraud.

Plaintiffs allege that Defendants began fraudulently “invoicing Plaintiffs for amounts never agreed upon” *after* Plaintiffs severed their business relationship with Defendants in August 2013. (Pl. OSC Brief at p. 9).

A cause of action for fraud requires proof by clear and convincing evidence of a material false representation, an intent to defraud the plaintiff, that the plaintiff relied upon the false representation, and that the plaintiffs suffered damage as a result of such reliance. *Banque Arabe Et Internationale D'Investissement v. Maryland Nat'l Bank*, 57 F.3d 146, 153 (2d Cir. 1995) citing *Keywell Corp. v. Weinstein*, 33 F.3d 159, 163 (2d Cir. 1994). As next discussed, Plaintiffs fail to allege adequate facts to support the required elements of fraud.

First, Plaintiffs must show a material false representation. *Id.* In this regard, Plaintiffs point to Royal Finance Group Invoices nos. 1170MO, 1171MO, 1172MO and 1173MO which Plaintiffs allege were “conjured up”. (See Compl. “Exhibit F”, “Exhibit Q”, and “Exhibit H”). However, other than bare allegations, Plaintiffs have not shown that the invoices were “false representations”.

Second, Plaintiffs must show “an intent to defraud”. *Id.* Plaintiffs allege that Defendants created the above invoices *after* Plaintiffs’ termination of their business relationship with Defendants in August 2013. (Pl. OSC Brief at p. 9). In fact, the invoices at issue actually pre-date Plaintiffs’ termination of the business relationship by several months. Defendants created Invoices no. 1170MO and 1173MO on April 20, 2013 at Plaintiffs’ April 18, 2013 e-mail request. (Solovyev Decl. ¶¶ 28-30; Exhibits E and F thereto). Invoices no. 1171MO and 1172MO were also created on or about April 20, 2013 without objection by Plaintiffs, i.e. four months before the alleged motivation for Defendants’ “intent to defraud”. It is impossible for Defendants to have formed an “intent to defraud” in April 2013, as

alleged by Plaintiffs, in response to an event initiated by Plaintiffs four months later in August 2013.

Third, even if the invoices were fraudulent or Defendants intended to defraud Plaintiffs, Plaintiffs must still show a material reliance on the false representation and damages as a result of that reliance. Under New York law, a plaintiff must prove not only reliance, but that reliance was justifiable in the sense that the party claiming to have been defrauded was justified in believing the false representation and justified in acting upon it. *Compania Sud-Americana De Vapores, S.A. v. IBI Schroder Bank & Trust Co.*, 785 F. Supp. 411, 419 (S.D.N.Y. 1992). Reliance on alleged misrepresentation is *not* justified if plaintiff was placed on guard or practically faced with the facts. *Danaan Realty Corp. v. Harris*, 5 N.Y.2d 317, 184 N.Y.S.2d 599, 157 N.E.2d 616 (1954). In the instant matter, even accepting Plaintiffs' allegations as true, Plaintiffs cannot show material reliance on any false representation because Plaintiffs, by their own admission, recognized and knew immediately that the alleged debts were "never agreed to" and did not make payment on any of the debts. (Pl. Decl. ¶¶ 36, 42, 66). In other words, Plaintiffs allegations of fraud fail because Plaintiffs were never actually defrauded.

Lastly, in conjunction with the lack of reliance, Plaintiffs have not been damaged as a result of any such reliance. *Compania Sud-Americana De Vapores, S.A.*, 785 F. Supp. 411, 419. Plaintiffs have not paid any of the invoices.

Plaintiffs also allege that Defendants "fraudulently obtained a replacement title" on a Harley Davidson motorcycle. (Comp. ¶ 119). To the contrary, however,

Defendants actually obtained the original titles to the motorcycles pursuant to the agreement between Plaintiffs and Defendants for MTL to ship the motorcycle. (Alper Decl. ¶ 34). In any event, again accepting Plaintiffs' allegations as true, Plaintiffs still have not shown reliance on any "fraud" or damages as a result of Defendants allegedly obtaining replacement titles. *Banque Arabe Et Internationale D'Investissement*, 57 F.3d 146, 153 (2d Cir. 1995).

Because Plaintiffs have not met the burden of proof on the elements of a fraud claim, Plaintiffs are not likely to succeed on the merits.

11. Violation of the Racketeer Influenced Corrupt Practices Act.

"Because the mere assertion of a RICO claim . . . has an almost stigmatizing effect on those named as defendants . . . courts should strive to flush out frivolous RICO allegations at an early stage of the litigation". *Katzman v. Victoria's Secret Catalogue*, 167 F.R.D. 649, 655 (S.D.N.Y. 1996). "Courts must attempt to distinguish between claims consistent with Congress's intention in passing RICO – protecting legitimate businesses from infiltration by organized crime – and traditional state court actions cast in terms of RICO simply to gain access to treble damages and attorneys fees in federal court". *Schuh v. Druckman & Sinel, L.L.P.*, 2008 U.S. Dist. LEXIS 15079, *8 (S.D.N.Y. 2008) (citations omitted).

Again, Plaintiffs' allegations of fraud or other wrongdoing are inadequately unsupported or materially contradicted by evidence. Plaintiffs' RICO claim is ultimately futile and, in any event, is certainly not likely to succeed. *Victoria's*

Secret Catalogue, 167 F.R.D. 649 (RICO allegation is inadequate when it fails to identify any fraudulent misrepresentations or material omissions).

Plaintiffs attempt to interject a last-ditch allegation of “a money laundering scheme perpetrated by the remaining defendants” to sustain its RICO allegations. (Compl. ¶¶ 175-176.). The only even support anywhere for this allegation is the single bare statement by Plaintiffs that “it is [his] belief . . . that defendants are running an illegal scheme to extort money.” (Pl Decl. ¶ 75). Because a money laundering claim cannot be plead with wholly conclusory allegations, this allegation is likewise insufficient. *Republic of Colom. v. Diageo N. Am. Inc.*, 531 F. Supp. 2d 365, 440 (E.D.N.Y. 2007).

Because Plaintiffs have not made a clear showing of a likelihood of success on the merits with regard to any of their myriad causes of action, notwithstanding that Plaintiffs also have not shown irreparable harm, Plaintiffs’ motion should be denied.

B. The balance of hardships is not in Plaintiffs’ favor.

The balance of hardships is also not in Plaintiffs’ favor. Significantly, the balance of hardships test necessarily *includes* the showing of irreparable harm. *Triebwasser & Katz v. American Tel. & Tel. Co.*, 535 F.2d 1356, 1359 (2d Cir. N.Y. 1976). Where the plaintiff establishes something less than probable cause as to the merits, the need for proof of irreparable harm is even more pronounced. *Id.*

In the instant matter, Plaintiffs have not proven irreparable harm. Consequently, the burden on Plaintiffs to show probable cause as to the merits is heightened. In light of the doubtful merits of Plaintiffs’ allegations and causes of

action as discussed above, Plaintiffs have not met their burden of raising sufficiently serious questions going to the merits to make them a fair ground for litigation. *Id.*

C. Contrary to Plaintiffs' allegations Defendants have a valid lien on Plaintiffs' property.

For the sake of completeness, the only remaining question before the Court is whether Defendants have a valid lien on the shipments. As next discussed, MTL has a valid lien on the shipments pursuant to MTL's bill of lading for any of Plaintiffs' unpaid current or prior debts.

1. Liens on unpaid *current* debts.

Plaintiffs first allege that Defendants cannot have a valid lien on the shipments because Plaintiffs "paid Defendants in full for all shipping and related charges". (Pl. OSC Brief at p. 9). Defendants dispute Plaintiffs allegations and in fact, multiple invoices remain outstanding. (Exhibits F, H, J, K and L respectively to the Alper Decl.) Since Plaintiffs only argue that the lien is invalid because Plaintiffs "paid Defendants in full", presumably Plaintiffs concede that if payment in full had *not* been made, then Defendants would have a valid lien.

2. Liens on unpaid *prior* debts.

Notwithstanding the foregoing, Plaintiffs are also incorrect that "a debt on prior shipments . . . cannot be applied against vehicles shipped subsequent to." (Pl. OSC Brief. at p. 9). The MTL bill of lading Clause 15 ["LIEN"] terms and conditions

governing the transaction(s) between Plaintiffs and MTL allow MTL to do precisely that:

15. LIEN The Carrier shall have a lien on the Goods and any documents relating thereto for all sums payable to the Carrier: (a) Under this Bill of Lading; (b) *Under any other contracts with the Merchant, including without limitation, any and all unpaid ocean freight or other charges due from or on account of any previous carriage or other services performed by the Carrier for the Merchant*; (c) For expenses incurred by the Carrier for the account of the Merchant, and for General Average and salvage contributions to whomsoever due; and (d) For the costs and attorneys' fees incurred in recovering any or all of the foregoing, and for all such purposes the Carrier shall have the right in its absolute discretion to dispose of the Goods and/or to sell the Goods by public auction or private sale without notice to the Merchant. [Alper Decl. Exhibit E thereto. (emphasis added)]

A bill of lading is a contract between the shipper and the carrier. *United Van Lines v. Hellman*, 949 F. Supp. 126, 128-129 (E.D.N.Y. 1996) citing *Southern Pacific Transportation Co. V. Commercial Metals Co.*, 456 U.S. 336, at 342-343, 102 S. Ct. 1815, 72 L. Ed. 2d 114 (1982). The terms and conditions of a bill of lading are binding upon the parties. *Id.* Additionally, Courts have upheld bill of lading lien provisions with language similar to Clause 15 of the MTL bill of lading. See *Maersk-Sealand v. Eurocargo Express, LLC*, 2004 U.S. Dist. LEXIS 13391, *6, 14 2004 AMC 1098 (C.D. Cal. 2004)(upholding bill of lading general lien provision “for all sums payable to the Carrier under this contract and/or any other contract”.); See also *Two Containers v. Atl. Container Line AB*, 2009 U.S. Dist. LEXIS 46251, *8 (N.D. Ga 2009).

Clause 15 of the MTL bill of lading gives MTL a valid lien on Plaintiffs' shipments for *any* prior unpaid debts by Plaintiffs for "unpaid ocean freight or other charges due from or on account of any previous carriage or other services".

The decisions relied upon by Plaintiffs, supposedly to the contrary, do not involve a carrier's contractual liens on cargo for unpaid freight or bill of lading lien language similar to that in the MTL's bill of lading.⁷ MTL has a valid lien on the shipments, and thus, Plaintiffs' are not likely to succeed on any argument to the contrary.

CONCLUSION

Plaintiffs have not proven by a preponderance of the evidence irreparable harm and a likelihood of success on the merits. For all the foregoing reasons, Plaintiff's motion for injunctive relief should be denied.

⁷ Indeed, none of the decisions cited by Plaintiffs involve bill of lading liens on cargo. *Atlantic Mut. Ins. Cos. v. M/V BALSA*, 695 F.Supp. 165 (S.D.N.Y. 1988), cited by Plaintiffs, held that bills of lading are separate contracts with regard to a carrier's *delivery obligations*. *Shipping Corp. of India, Ltd. v. Pan American Seafood*, 583 F.Supp. 1555 (S.D.N.Y. 1984), cited by Plaintiffs, held that a shipper could assert a "recoupment" defense only with respect to damages to cargo arising out of the same transaction as the carrier's freight claim. *Birds of Paradise*, 72 U.S. 545 (1866) involved a contractual stipulation that the goods are to be delivered "before the freight is paid, without any condition or qualification". *Id.* at 555. And lastly, *Cornish Shipping v. International Nederlanden Bank N.V.*, 53 F.3d 499 (2d Cir. 1995) involved a shipowner's lien on "subfreights", i.e., monies earned by the vessel. "To secure payments of freight due from a charterer of its ship, a shipowner may create, by express provision of a charter party, a lien on the subfreights earned by the vessel". *Id.* at 501. The court held that such a lien is "extinguished" if the subfreights are paid to the charterer "in good faith prior to receiving notice of the lien". *Id.*

Dated: March 6, 2014
New York, New York

Respectfully submitted,
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APPENDIX “17”

MAERSK LINE		NON-NEGOTIABLE WAYBILL		SCAC MAEU B/L No. 560777509	
Shipper MARINE TRANSPORT LOGISTICS INC 63 NEW HOOK ROAD BAYONNE NJ 07002 UNITED STATES		Booking No. 560777509		Export reference EO-23147	
Consignee MIDDLE EAST ASIA ALFA FZC ANDREY TRETIYKOV CORNICHE TOWER FLAT 2208, AJMAN, UAE Tell. +971 6 7454179 Cell. +971 56 1440911		Svc Contract 644011			
Notify Party SAME AS CONSIGNEE		This contract is subject to the terms and conditions, including the law & jurisdiction clause and limitation of liability & declared value clauses, of the current Maersk Line Bill of Lading (available from the carrier, its agents and at www.maerskline.com), which are applicable with logical amendments (mutatis mutandis). To the extent necessary to enable the Consignee to sue and to be sued under this contract, the Shipper on entering into this contract does so on his own behalf and as agent for and on behalf of the Consignee and warrants that he has the authority to do so. The shipper shall be entitled to change the Consignee at any time before delivery of the goods provided he gives the Carrier reasonable notice in writing. Delivery will be made to the Consignee or his authorized agent on production of reasonable proof of identity (and, in the case of an agent, reasonable proof of authority) without production of this waybill. The Carrier shall be under no liability whatsoever for misdelivery unless caused by the Carrier's negligence. Onward inland routing (Not part of Carriage as defined in clause 1. For account and risk of Merchant)			
Vessel MAERSK MEMPHIS		Voyage No. 1305		Piece of Receipt, Applicable only when document used as Multimodal Waybill	
Port of Loading NEW YORK, NY, US		Port of Discharge JEBEL ALI, UNITED ARAB EMIRATES		Piece of Delivery, Applicable only when document used as Multimodal Transport B/L (see clause 1)	

PARTICULARS FURNISHED BY SHIPPER		
Kind of Packages; Description of goods; Marks and Numbers; Container No./Seal No. 1 Container Said to Contain 2 UNITS 2006 MERCEDES-BENZ SL-CLASS SL65 AMG; SL65 AM VIN# WDBSK79F86F113072 2011 PORSCHE PANAMERA BASE; 4 VIN# WP0AA2A75BL017399 X20130821010350 TCKU9589649 40 DRY 9'6 2 UNITS 4882.47 KGS Shipper Seal : 7269874 THESE COMMODITIES, TECHNOLOGY, OR SOFTWARE WERE EXPORTED FROM THE UNITED STATES IN ACCORDANCE WITH THE EXPORT ADMINISTRATION REGULATIONS. DIVERSION CONTRARY TO U.S.LAW PROHIBITED. SHIPPER'S LOAD, STOW, WEIGHT AND COUNT FREIGHT PREPAID CY/CY Outward Forwarders reference EO-23147	Weight 4882.47 KGS	Measurement

Above particulars as declared by Shipper, but without responsibility of or representation by Carrier.

Freight & Charges	Rate	Unit	Currency	Prepaid	Collect

Carrier's Receipt, Total number of containers or packages received by Carrier. 1 container	Place of Issue of Waybill Charlotte	Shipped, as far as ascertained by reasonable means of checking, in apparent good order and condition unless otherwise stated herein the total number or quantity of Containers or other packages or units indicated in the box opposite entitled "Carrier's Receipt"
Shipped on Board Date (Local Time) 2013-08-24	Date Issue of Waybill 2013-09-12	
Declared Value Charges (see clause 7.3 of the Maersk Line Bill of Lading) for Declared Value of US\$		
Forwarder MARINE TRANSPORT LOGISTICS HOOK RD Bayonne NJ 07002		

Signed for the Carrier A.P. Muller - Maersk A/S trading as Maersk Line

Maersk Agency U.S.A., Inc - Charlotte CRC
As Agent(s) for the Carrier

APPENDIX “18”

**UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK**

Marcus A. Nussbaum, Esq. (MN 9581)
P.O. Box 245599
Brooklyn, NY 11224
Tel: 201-956-7071
Fax: 347-572-0439
Attorney for Plaintiffs
marcus.nussbaum@gmail.com

MAVL CAPITAL, INC., IAM & AL GROUP INC., and MAXIM OSTROVSKIY, <i>Plaintiffs,</i> — vs. — MARINE TRANSPORT LOGISTICS, INC., ROYAL FINANCE GROUP, INC., CAR EXPRESS & IMPORT INC., ALEKSANDR SOLOVYEV, DIMITRY ALPER, and JOHN DOE CORP., the unidentified Vessel Operating Common Carrier/Ocean Liner, <i>Defendants.</i>	CIVIL ACTION Docket No.: 1:13-cv-07110-SLT-RLM <u>CERTIFICATION OF ALEXANDER SAFONOV</u>
--	--

Alexander Safonov, pursuant to 28 U.S.C. § 1746, making the following Certification under penalty of perjury, in lieu of an oath or affidavit says:

1. I am the President and Owner of a corporation known as Crocus Investments (“Crocus”), a non-party to this action.
2. I was also an owner of a foreign corporation known as Middle East Asia Alfa, FZC (“MEAA”), also a non-party to this action.
3. I submit this Certification in response to various misrepresentations of fact made by the defendants and their counsel in this matter, as they pertain to two automobiles allegedly sold to MEAA by the defendants herein and which are at issue in this matter, to wit: (1) a 2006

Mercedes SL65, Vehicle Identification Number ("VIN") ending in 3072 (the "Mercedes"); and (2) a 2011 Porsche Panamera, VIN ending in 7399 (the "Porsche").

4. I have read and reviewed an email, dated February 23, 2015 from counsel for defendants herein to counsel for plaintiffs herein, together with attachments (all of which are annexed hereto as **Exhibit "A"**).

5. The representations made in paragraph "4" of the email from defendants' Counsel are false, to wit: that defendant Royal Finance Group ("RFG") allegedly sold the Mercedes to MEAA for the amount of \$3500.00 (this paragraph also makes reference to an additional \$1,450.00 paid toward a motorcycle purchase, unrelated to this matter, for a total sum of \$4950.00 paid by MEAA to RFG). Paragraph "4" of the email from defendants' Counsel also makes reference to an invoice from RFG to MEAA (# 347110) purporting to indicate a sale of the Mercedes to MEAA, a copy which is attached to the February 23, 2015 email at page "10".

6. At no time did MEAA ever receive invoice # 347110 from the defendants and at no time did MEAA ever purchase the Mercedes from defendants herein. MEAA's only involvement with this vehicle was repair and storage of the vehicle in Dubai, UAE at defendants' direction and request. See the attached invoice (#a20) dated August 20, 2014 for "customs fees, auto repair, and storage" which was emailed by MEAA to the defendants herein, a copy of which is annexed hereto as **Exhibit "B"**.

7. I also respectfully refer the Court's attention to a bank statement provided by defendants and their counsel (attached to the February 23, 2015 email at page 11), and which indicates a wire in the amount of \$4950.00 from Crocus to RFG on December 6, 2013. I note that it appears as though either defendants or their counsel have altered this document to show that this wire transfer was made on account of MEAA. This is also a false representation of fact by the defendants and/or their counsel.

8. Defendants herein have alleged that this wire of \$4950.00 was payment for the Mercedes and motorcycle purchase. This is untrue. I note that defendants herein have alleged in a separate lawsuit before the Federal Maritime Commission (Docket No. 15-04) that this wire of \$4,950.00 was actually for the purchase of a boat trailer (with VIN # LW95141 – 37), which Crocus purchased from the defendants herein for the amount of \$4,950.00. On or about December 3, 2013, defendant RFG provided Crocus with an invoice (# 1204 AS) for the sale of the boat trailer, a copy of which is annexed hereto as **Exhibit “C”**.

9. I also respectfully refer the Court to the attached document from a matter in which Crocus has filed a claim against the defendants herein before the Federal Maritime Commission, Docket No. 15-04, as a result of the defendants’ violations of the Shipping Act of 1984. This document, entitled: “Respondents Proposed Findings of Fact, and Response to Complainants’ Proposed Findings of Fact” is annexed hereto as **Exhibit “D”**.

10. Paragraph “14” on Page “6” of Respondents Proposed Findings of Fact contains an admission by the defendants herein that Crocus paid “\$4950 toward the purchase of a boat trailer...See Royal Finance Group Invoice # 1204 AS”.

11. With specific regard to the Porsche, I wish to inform the Court that similar to the Mercedes, MEAA did not purchase this vehicle from the defendants herein.

12. The Porsche (together with the Mercedes) was shipped to MEAA in Dubai, UAE, at the request of defendants Alexander Solovyev, RFG and Marine Transport Logistics (“MTL”). At their direction and request, MEAA performed the customs clearance for these vehicles, paid customs duties, repaired and stored these vehicles. At their direction and request, MEAA paid \$50,000 for the customs duties, repair and storage of the vehicles, which defendants Alexander Solovyev and MTL promised to repay. (See the invoice in Exhibit “B” for \$50,000) At Solovyev’s request, after the repairs were complete, MEAA released the vehicles to defendants’ consignee.

However, Solovyev and MTL failed to repay the \$50,000.00 to MEAA, ~~which to date~~ remains unpaid.

13. Unbeknownst to me, Mr. Solovyev and Mr. Tretykov were engaging in a fraudulent scheme whereby they were importing stolen vehicles (such as the Porsche and Mercedes) into Dubai under the pretense that said vehicles were salvage vehicles. In Dubai, after the vehicles were repaired, they were issued a new title. This allowed Mr. Solovyev and Mr. Tretykov to sell the stolen vehicles with a clean title to third-parties.

14. As a result of this ongoing fraudulent scheme, I opened a criminal investigation in Dubai against Mr. Tretykov who subsequently fled the country.

The foregoing is true and correct to the best of my knowledge under penalty of perjury under 28 U.S.C. § 1746.

Executed on April 13, 2016



Alexander Safonov

Exhibit “A”



Marcus Nussbaum <marcus.nussbaum@gmail.com>

MAVL Capital, Inc.; IAM & AL GROUP, Maxim Ostrovskiy v. MTL, et al. - S.D.N.Y. 13 Civ. 7110 (SLT)(RLM) - CCKVT Ref.: 9934/SHV

Stephen Vengrow <SVengrow@cckvt.com>
To: Marcus Nussbaum <marcus.nussbaum@gmail.com>
Cc: Eric Chang <EChang@cckvt.com>

Mon, Feb 23, 2015 at 1:52 PM

Re: MAVL Capital, Inc.; IAM & AL GROUP, Maxim Ostrovskiy v. MTL, et al.

S.D.N.Y. 13 Civ. 7110 (SLT)(RLM)

Our Ref.: 9934/SHV

Dear Marcus,

In response to your February 18, 2015 email clarifying plaintiffs' request for production, please see the attached documents:

1. Salvage titles (front and reverse side) for the Mercedes SL65 and the Porsche Panamera.
2. Maersk B/L 560777509 for the Mercedes SL65 and the Porsche Panamera.
3. Royal Finance Group Invoice 40011 for the sale of the Bobcat S185 in the amount of \$8,000 [with \$2,650 paid in cash] and a statement reflecting a April 25, 2014 wire transfer from Igor Gudin for the balance of \$5,350. The bank statement has been redacted for all other transactions.
4. Royal Finance Group Invoice 347110 for the sale of the Mercedes SL65 in the amount of \$3,500. The bank statement showing payment for this transaction is for \$4,950, which includes payment of the \$3,500 for the Mercedes SL65 and \$1,450 toward an motorcycle purchase unrelated to this case. The bank statement has been redacted for all other transactions.

Regards.

Stephen H. Vengrow

Cichanowicz, Callan, Keane,
Vengrow & Textor LLP
61 Broadway, Suite 3000
New York, NY 10006

Tel: 212.344.7042

Fax: 212.344.7285

SVengrow@cckvt.com

CONFIDENTIAL: This message contains information from the law firm of Cichanowicz, Callan, Keane, Vengrow & Textor LLP which may be privileged, confidential and exempt from disclosure under applicable law. If you have received this message in error, please inform us immediately and delete all copies of it from your system.



9934 DOCUMENTS 2015-02-23.pdf

2541K

STATE OF CALIFORNIA

SALVAGE CERTIFICATE

VEHICLE HISTORY

3208
417

V61032013GT

AUTOMOBILE

VEHICLE ID NUMBER

WPOAA2A75BL017399

YR
MODEL

2011

MAKE

PORS

PLATE NUMBER

6TFN624

BODY TYPE MODEL

SD

UNLADEN
AX WEIGHT

FUEL

TRANSFER DATE

FEES PAID

\$19

REGISTRATION

EXPIRATION DATE

09/02/2013

YR NET
SOLD

2011 WN

CLASS

YR

MO

UP

EQUIPMENT/THrust NUMBER

1030324

ISSUE DATE

03/20/13

MOTORCYCLE ENGINE NUMBER

ODOMETER DATE

03/20/2013

ODOMETER READING

18361 MI

ACTUAL MILEAGE

REGISTERED OWNER'S

STATE FARM MUTUAL

AUTOMOBILE INS CO

C/O IAA 111

11535 DOUGLAS RD

RNCHO CORDOVA CA 95742

THIS SALVAGE CERTIFICATE IS EVIDENCE THAT TITLING
DOCUMENTS FOR THIS VEHICLE HAVE BEEN SURRENDERED
TO THE DEPARTMENT OF MOTOR VEHICLES.

WARNING:

The vehicle described herein has been declared a total loss salvage vehicle per CVC 11515 and may not be registered without a vehicle identification number (VIN) inspection per CVC 5505 and a brake and light inspection. In addition a certification of compliance (smog) may be required.

To transfer ownership of this vehicle the seller and buyer must complete the reassignment on the back of this certificate.



<IAAI SLD 49336371 SALED0CY>
Stock#:11030324 7515C1279 Sale Document (Front)

been declared a total loss salvage vehicle.

SALVAGE



8118772

REG. 402 (REV. 5/10)

000446

KEEP IN A SAFE PLACE - VOID IF ALTERED

FIRST REASSIGNMENT

The undersigned hereby certifies that the vehicle described on this Salvage Certificate has been transferred to the following buyer(s), and the title is true and clear of all liens.

TRUE FULL NAME(S) OF BUYER(S)

IAM & AI Group

ADDRESS CITY STATE ZIP CODE

I certify (or declare) under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

SIGNATURE OF SELLER

PRINTED NAME STATE FARM MUTUAL AUTOMOBILE INS CO

4117113

DEALER NUMBER

PHONE NUMBER

AGE ADJUSTER

SELLING PRICE

FEDERAL AND STATE LAW REQUIRES that you state the mileage upon transfer of ownership. Failure to complete or making a false statement may result in fines and/or imprisonment.

The odometer reading is 118,361 (no text) which, to the best of my knowledge, is the actual mileage unless one of the following statements is checked.

WARNING - MILEAGE

☐

is not the actual mileage

☐

exceeds odometer mechanical limits

I certify (or declare) under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

SIGNATURE OF SELLER

SIGNATURE OF BUYER (ACKNOWLEDGES ODOMETER READING)

STATE FARM MUTUAL AUTOMOBILE INS CO

PRINTED NAME

DATE

SECOND REASSIGNMENT

The undersigned hereby certifies that the vehicle described on this Salvage Certificate has been transferred to the following buyer(s), and the title is true and clear of all liens.

TRUE FULL NAME(S) OF BUYER(S)

DEALER LICENSE #

DEALER LICENSE #

ADDRESS CITY STATE ZIP CODE

I certify (or declare) under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

SIGNATURE OF SELLER

PRINTED NAME

DATE

DEALER NUMBER

PHONE NUMBER

AGE ADJUSTER

SELLING PRICE

FEDERAL AND STATE LAW REQUIRES that you state the mileage upon transfer of ownership. Failure to complete or making a false statement may result in fines and/or imprisonment.

The odometer reading is (no text) which, to the best of my knowledge, is the actual mileage unless one of the following statements is checked.

WARNING - MILEAGE

☐

is not the actual mileage

☐

exceeds odometer mechanical limits

I certify (or declare) under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

SIGNATURE OF SELLER

SIGNATURE OF BUYER (ACKNOWLEDGES ODOMETER READING)

PRINTED NAME

DATE

PRINTED NAME

DATE



<IAAI SLD 49336372 SALED0CZ>
Stock#11030324 7515C1279 Sale Document (Back)

VOID WITHOUT BEAR WATERMARK. HOLD TO LIGHT TO VIEW.

STATE OF CALIFORNIA
SALVAGE CERTIFICATE

VEHICLE HISTORY

13408301024

9-16 / 10

AUTOMOBILE

VEHICLE ID NUMBER
WDBSK79F86F113072

VEHICLE MODEL MAKE
2006 MERZ

PLATE NUMBER
3QYH434

BODY TYPE MODEL
CV

UNLADEN AX. WEIGHT FUEL TRANSFER DATE
G

FEES PAID
\$18

REGISTRATION EXPIRATION DATE
09/02/2010

VEHICLE SET SOLD CLASS
2006 MA

MO EQUIPMENT LIST NUMBER
RV 6691840

ISSUE DATE
08/30/10

MOTORCYCLE 250cc 4 CYLINDER

ODOMETER DATE
06/30/2010

ODOMETER READING
60484 MI

ACTUAL MILEAGE

REGISTERED CALENDAR

MERCURY INS

C/O IAA 131

11535 DOUGLAS RD
RNCH CORDOVA CA 95742

THIS SALVAGE CERTIFICATE IS EVIDENCE THAT ALL
DOCUMENTS FOR THIS VEHICLE HAVE BEEN SUBMITTED
TO THE DEPARTMENT OF MOTOR VEHICLES



WARNING:

The vehicle described herein has been declared a total loss salvage vehicle per CVC 11515 and may not be registered without a vehicle identification number (VIN) inspection per CVC 5505 and a brake and light inspection. In addition a certification of compliance (smog) may be required.

To transfer ownership of this vehicle the seller and buyer must complete the reassignment on the back of this certificate.

CVC 11515 requires the seller and any subsequent sellers that transfer ownership of a total loss vehicle pursuant to a properly endorsed salvage certificate to disclose to the purchaser at, or prior to, the time of sale that the vehicle has been declared a total loss salvage vehicle.



SALVAGE

13408301024

7418976

000012

REG. 400 (REV. 7/07)

FIRST REASSIGNMENT

Manhattan Auto Brokers Inc.

ADDRESS CITY STATE ZIP CODE

I certify (or declare) under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

SIGNATURE OF SELLER DATE 10-8-10 PHONE NUMBER
UNITED NAME DEALER NUMBER JOB NUMBER SELLING PRICE

FEDERAL AND STATE LAW REQUIRES that you state the mileage upon transfer of ownership. Failure to complete or making a false statement may result in fines and/or imprisonment.
The odometer reading is 60484 (no tenths) which, to the best of my knowledge, is the actual mileage unless one of the following statements is checked.

WARNING - MILEAGE ☐ is not the actual mileage ☐ exceeds odometer mechanical limits

I certify (or declare) under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

SIGNATURE OF BUYER DATE 10-8-10 PHONE NUMBER
UNITED NAME DEALER NUMBER JOB NUMBER SELLING PRICE

SECOND REASSIGNMENT

The undersigned hereby certifies that the vehicle described on the Salvage Certificate has been transferred to the following buyer, and the title of this vehicle is as shown.

NAME FULL ADDRESS OF BUYER CITY STATE ZIP CODE

I certify (or declare) under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

SIGNATURE OF SELLER DATE PHONE NUMBER
UNITED NAME DEALER NUMBER JOB NUMBER SELLING PRICE

FEDERAL AND STATE LAW REQUIRES that you state the mileage upon transfer of ownership. Failure to complete or making a false statement may result in fines and/or imprisonment.

The odometer reading is (no tenths) which, to the best of my knowledge, is the actual mileage unless one of the following statements is checked.

WARNING - MILEAGE ☐ is not the actual mileage ☐ exceeds odometer mechanical limits

I certify (or declare) under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

SIGNATURE OF SELLER DATE
SIGNATURE OF BUYER (UNKNOWN/DEALER) DATE

 MAERSK LINE		NON-NEGOTIABLE WAYBILL	SCAC MAEU B/L No. 560777509
Shipper MARINE TRANSPORT LOGISTICS INC 63 NEW HOOK ROAD BAYONNE NJ 07002 UNITED STATES		Booking No. 560777509	Svc Contract 644011
Consignee MIDDLE EAST ASIA ALFA FZC ANDREY TRETIVKOV CORNICHE TOWER FLAT 2208, AJMAN, UAE Tell. +971 6 7454179 Cell. +971 56 1440911		Export references EO-23147	
Notify Party SAME AS CONSIGNEE		This contract is subject to the terms and conditions, including the law & jurisdiction clause and limitation of liability & declared value clauses, of the current Maersk Line Bill of Lading (available from the carrier, its agents and at www.maerskline.com), which are applicable with logical amendments (mutatis mutandis). To the extent necessary to enable the Consignee to sue and to be sued under this contract, the Shipper on entering into this contract does so on his own behalf and as agent for and on behalf of the Consignee and warrants that he has the authority to do so. The shipper shall be entitled to change the Consignee at any time before delivery of the goods provided he gives the Carrier reasonable notice in writing. Delivery will be made to the Consignee or his authorised agent on production of reasonable proof of identity (and, in the case of an agent, reasonable proof of authority) without production of this waybill. The Carrier shall be under no liability whatsoever for misdelivery unless caused by the Carrier's negligence.	
		Onward inland routing (Not part of Carriage as defined in clause 1. For account and risk of Merchant)	
Vessel MAERSK MEMPHIS	Voyage No. 1305	Place of Receipt, Applicable only when document used as Multimodal Waybill	
Port of Loading NEW YORK, NY, US	Port of Discharge JEBEL ALI, UNITED ARAB EMIRATES	Place of Delivery, Applicable only when document used as Multimodal Transport B/L (see clause 1)	

PARTICULARS FURNISHED BY SHIPPER

Kind of Packages; Description of goods; Marks and Numbers; Container No./Seal No. 1 Container Said to Contain 2 UNITS 2006 MERCEDES-BENZ SL-CLASS SL65 AMG; SL65 AM VIN# WDBSK79F86F113072 2011 PORSCHE PANAMERA BASE; 4 VIN# WP0AA2A75BL017399 X20130821010350 TCKU9589649 40 DRY 9'6 2 UNITS 4882.47 KGS Shipper Seal : 7269874 THESE COMMODITIES, TECHNOLOGY, OR SOFTWARE WERE EXPORTED FROM THE UNITED STATES IN ACCORDANCE WITH THE EXPORT ADMINISTRATION REGULATIONS. DIVERSION CONTRARY TO U.S. LAW PROHIBITED. SHIPPER'S LOAD, STOW, WEIGHT AND COUNT FREIGHT PREPAID CY/CY Outward Forwarders reference EO-23147	Weight 4882.47 KGS	Measurement
--	-----------------------	-------------

Above particulars as declared by Shipper, but without responsibility of or representation by Carrier.

Freight & Charges	Rate	Unit	Currency	Prepaid	Collect										
<table border="1"> <tr> <td> Carrier's Receipt, Total number of containers or packages received by Carrier. 1 container </td> <td> Place of Issue of Waybill Charlotte </td> <td colspan="4" rowspan="3"> Shipped, as far as ascertained by reasonable means of checking, in apparent good order and condition unless otherwise stated herein the total number or quantity of Containers or other packages or units indicated in the box opposite entitled "Carrier's Receipt" </td> </tr> <tr> <td> Shipped on Board Date (Local Time) 2013-08-24 </td> <td> Date Issue of Waybill 2013-09-12 </td> </tr> <tr> <td colspan="2"> Declared Value Charges (see clause 7.3 of the Maersk Line Bill of Lading) for Declared Value of US\$ </td> </tr> </table>						Carrier's Receipt, Total number of containers or packages received by Carrier. 1 container	Place of Issue of Waybill Charlotte	Shipped, as far as ascertained by reasonable means of checking, in apparent good order and condition unless otherwise stated herein the total number or quantity of Containers or other packages or units indicated in the box opposite entitled "Carrier's Receipt"				Shipped on Board Date (Local Time) 2013-08-24	Date Issue of Waybill 2013-09-12	Declared Value Charges (see clause 7.3 of the Maersk Line Bill of Lading) for Declared Value of US\$	
Carrier's Receipt, Total number of containers or packages received by Carrier. 1 container	Place of Issue of Waybill Charlotte	Shipped, as far as ascertained by reasonable means of checking, in apparent good order and condition unless otherwise stated herein the total number or quantity of Containers or other packages or units indicated in the box opposite entitled "Carrier's Receipt"													
Shipped on Board Date (Local Time) 2013-08-24	Date Issue of Waybill 2013-09-12														
Declared Value Charges (see clause 7.3 of the Maersk Line Bill of Lading) for Declared Value of US\$															
<table border="1"> <tr> <td> Forwarder MARINE TRANSPORT LOGISTICS HOOK RD Bayonne NJ 07002 </td> <td colspan="5"> Signed for the Carrier A.P. Moller - Maersk A/S trading as Maersk Line  Maersk Agency U.S.A., Inc - Charlotte CRC As Agent(s) for the Carrier </td> </tr> </table>						Forwarder MARINE TRANSPORT LOGISTICS HOOK RD Bayonne NJ 07002	Signed for the Carrier A.P. Moller - Maersk A/S trading as Maersk Line  Maersk Agency U.S.A., Inc - Charlotte CRC As Agent(s) for the Carrier								
Forwarder MARINE TRANSPORT LOGISTICS HOOK RD Bayonne NJ 07002	Signed for the Carrier A.P. Moller - Maersk A/S trading as Maersk Line  Maersk Agency U.S.A., Inc - Charlotte CRC As Agent(s) for the Carrier														

ROYAL FINANCE GROUP, INC

63 NEW HOOK ROAD

BAYONNE, N.J. 07002

TEL : 646.725.1335

=====

4/15/2014

COMMERCIAL INVOICE : 40011

TO : IGOR GUDIN
VOLGOGRAD, RUSSIA

DESCRIPTION OF CARGO FOR SALE :

BOBCAT : S185 S/N : A3L938388

\$8,000

TOTAL COST :

\$8,000

BOBCAT LOCATED IN HAMINA/ALBATROS TERMINAL.
FREE OUT PRICE, RECEIVER RESPONSIBLE FOR ALL CHARGES IN
FINLAND.
CARGO SOLD AS IS, NO REFUND , NO RETURN.

CUSTOMER SIGNATURE

*42,650 paid in
cash on 4/27/14*

[Signature]

Recent Account Activity October 27 2013 to April 25 2014

Debits & Credits for Checking Account: [REDACTED]

Start-of-day available: [REDACTED]
 Start-of-day ledger: [REDACTED]
 Current available: [REDACTED]
 Current ledger: [REDACTED]

▼Date▲	▼Description▲	▼Credit▲	▼Debit▲
04/25/14	[REDACTED]		
04/25/14	[REDACTED]		
04/25/14	[REDACTED]		
04/25/14	WIRE FROM INGUDI/IGOR 042514-- 5,350.00	5,350.00	
04/24/14	[REDACTED]		
04/23/14	[REDACTED]		
04/23/14	[REDACTED]		
04/22/14	[REDACTED]		
04/22/14	[REDACTED]		
04/21/14	[REDACTED]		
04/21/14	[REDACTED]		
04/21/14	[REDACTED]		
04/17/14	[REDACTED]		
04/17/14	[REDACTED]		
04/16/14	[REDACTED]		
04/14/14	[REDACTED]		
04/14/14	[REDACTED]		
04/14/14	[REDACTED]		
04/14/14	[REDACTED]		
04/11/14	[REDACTED]		
04/11/14	[REDACTED]		
04/11/14	[REDACTED]		
04/10/14	[REDACTED]		
04/09/14	[REDACTED]		
04/09/14	[REDACTED]		
04/09/14	[REDACTED]		
04/09/14	[REDACTED]		
04/09/14	[REDACTED]		
04/07/14	[REDACTED]		
04/07/14	[REDACTED]		
04/04/14	[REDACTED]		
04/04/14	[REDACTED]		
04/04/14	[REDACTED]		
04/04/14	[REDACTED]		
04/03/14	[REDACTED]		
04/02/14	[REDACTED]		
04/02/14	[REDACTED]		
04/02/14	[REDACTED]		
04/01/14	[REDACTED]		

TEL : 646.725.1335

8/11/2013

COMMERCIAL INVOICE : 347110

AJMAN, UNITED ARAB EMIRATES

DESCRIPTION OF CARGO FOR SALE:

2006 MERZ SL 65	VIN#WDBSK79F86F113072	\$3,500
-----------------	-----------------------	---------

TOTAL COST: \$3,500

PREPAYMENT ONLY, ALL PORT CHARGES & UNLOADING TO THE
ACCOUNT OF CONSIGNEE.

CUSTOMER SIGNATURE

payment received
In full.
L. Sherr

Citibank CBO Services 420
P.O. Box 769018
San Antonio, Texas 78245

400/R1/20F030

009
CITIBANK, N. A.
Account

ROYAL FINANCE GROUP, INC.
63 NEW HOOK ROAD
BAYONNE NJ 07002

Page 1 of 3

Relationship Summary:

Checking

Savings

Checking Plus

SERVICE CHARGE SUMMARY

Type of Charge	No./Units	Price/Unit	Amount
CITIBUSINESS FLEXIBLE CHECKING			
Average Daily Collected Balance			
DEPOSIT SERVICES			
CHECKS, DEP ITEMS/TICKETS, ACH	9	.4000	3.60
**WAIVE			
Total Charges for Services			\$0.00
Net Service Charge			\$0.00

CITIBUSINESS FLEXIBLE CHECKING

CitiBusiness Flexible Checking

Beginning Balance:
Ending Balance:

Date	Description	Debits	Credits	Balance
12/05				
12/06	FUNDS TRANSFER WIRE FROM CROCUS FZE		4,950.00	
12/06				
12/06				
12/09				
12/09				
12/09				
12/09				
12/09				
12/10				
12/10				
12/10				
12/12				

Exhibit “B”

From: asiaalfa fzc <asiaalfazc@gmail.com>
 Subject: Fwd: invoice -Porsche panamera-2011 Mercedes SL-65
 Date: November 12, 2015 at 14:07
 To: alena@mvlawadvocate.com

Forwarded message

From: asiaalfa fzc <asiaalfazc@gmail.com>
 Date: 2014-08-20 13:34 GMT-04:00
 Subject: invoice -Porsche panamera-2011 Mercedes SL-65
 To: mtiworld@mtiworld.com

INVOICE #a20

August 20, 2014

Middle East Asia Alfa ,FZC

UAE, SAIF Sharjah

Executive Suite

P.O.Box 9133, C3-31/09

Account Number 102 467 704 79 03

IBAN-AE 100 260 001 024 677 047 903

BANK ADDRESS - P.O.BOX-777 EMIRATES NBD, DUBAI MARINA BRANCH

BILL To:

Royal Finance Group, Inc

1040 SEMINOLE DR APT 1460 FORT LAUDERDALE, 33304

#	DESCRIPTION	TOTAL \$
1	customs fees, auto repair, storage Porsche panamera 2011 VIN:WP0AA2A75BL017399	44000
2	Mercedes SL 65 -2006 VIN:WDBSK79F86F113072	6000
	TOTAL due	50 000 \$

INVOICE #a20

August 20, 2014

Middle East Asia Alfa ,FZC

UAE, SAIF, Sharjah

Executive Suite

P O Box 9133, C3-31/09

Account Number 102 467 704 79 03

IBAN- AE 100 260 001 024 677 047 903

BANK ADDRESS – P O BOX-777 EMIRATES NBD DUBAI MARINA BRANCH

BILL To

Royal Finance Group, inc

1040 SEMINOLE DR APT 1460 FORT LAUDERDALE, 33304

#	DESCRIPTION	TOTAL,\$
1	customs fees, auto repair, storage Porshe panamera 2011	44000
	VIN WP0AA2A75BL017399	
2	Mercedes SL 65 -2006	6000
	VIN WDBSK79F86F113072	
	TOTAL due	50 000 \$

Exhibit “C”

Royal Finance Group, Inc

1040 Seminole Dr , Apt.1460
Fort Lauderdale, Florida 33304
Tel 646 725 1335

12/3/2013

INVOICE # 1204 AS

TO

CROCUS FZE

UAE, DUBAI, Palm - Jumeira,
Shoreline,AL HASEER,
apartment -705
ALEXANDER SAFONOV

TEL +971 56 678 0202

CARGO DESCRIPTION

boat trailer 2005 NTTRL vin# LW95141 – 37'

TOTAL COST :

\$4,950.00

WIRING INSTRUCTION

Royal Finance Group, Inc
1040 Seminole Dr , Apt.1460
Fort Lauderdale, Florida 33304

CITI BANK, N.A. CitiBank, N.A.

5 Marine View Plaza, Hoboken, NJ 07030 ABA 021272655
ACCOUNT 759635976 SWIFT CITI US 33

Exhibit “D”

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE

(Complainants)

v.

**MARINE TRANSPORT LOGISTICS, INC. AND
ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP INC.**

(Respondents)

**RESPONDENTS' PROPOSED FINDINGS OF FACTS, and RESPONSE TO
COMPLAINANTS' PROPOSED FINDINGS OF FACT**

By: CICHANOWICZ, CALLAN, KEANE,
VENGROW & TEXTOR, LLP
Attorneys for Respondents
Marine Transport Logistics, Inc., and
Aleksandr Solovyev

Stephen H. Vengrow
svengrow@cckvt.com
Eric Chang
echang@cckvt.com
61 Broadway, Suite 3000
New York, New York 10006-2802
(212) 344-7042

Respondents' Proposed Findings of Fact.

1. Respondent Solovyev, through his company Car Express, is an agent of MTL.

(See Complainants' Proposed Finding of Fact No. 20, See Dep. Tr. of Solovyev, at 37:24 – 38:16, 48:2 – 49:4; See Dep. Tr. of Alla Solovyeva, at 18:13-16; See also August 13, 2014 email from Solovyev to Complainants, with the signature block stating that "Car Express & Import, Inc., As an agent for Marine Transport", at Appendix CX 103).

2. World Express & Connection, Inc. is a warehouse, separate and independent from Marine Transport Logistics, Inc.

(See deposition testimony from Aleksandr Solovyev ("Solovyev"), at 19:2-3, and Alla Solovyeva, Dep. Tr. of Alla Solovyeva, at 15:9-16, Appendix CX 261-264).

3. Andrey Tretyakov, an employee at Middle East Asia Alfa, was the person responsible for booking shipments with MTL on behalf of Complainants.

(See Dep. Tr. of Solovyev, at 48:20 – 49:4, 51:16-19; Dep Tr. of Alla Solovyeva, at 24:14-16, 29:3-15, 46:16 – 47:9).

4. Complainants did not book the export shipment of the 2010 Formula Boat from U.S. to Jebel Ali, with MTL.

(See Dep. Tr. of Alexander Safonov, on behalf of Complainants, at 64:25 – 65:8).

5. Complainants did not pay ocean freight for the shipment of the 2010 Formula Boat.

(See Appendix CX 031 and Respondents' Proposed Findings of Fact No. 14 for the total paid by Complainants, which is not inclusive of the \$13,000 estimated ocean freight for the 2010 Formula Boat.)

6. The May 30, 2014 shipment from Dubai to U.S. of the 2008 Chaparral Boat and 2011 Monterey Boat, was performed by APL under APL B/L No. APLU020188407.

(See Appendix RX 05).

7. MTL is not a shipper on the APL B/L No. APLU020188407.

(See Appendix RX 05).

Respondents' Response to Complainants' Proposed Findings of Fact.

1. Alexander Safonov is the owner of Crocus, FZE and Crocus Investments, LLC.

Response:

Admit.

2. Alexander Safonov also owned Middle East Asia Alfa, FZC and employed Andrey Tretyakov.

Response:

Admit.

3. Aleksandr Solovyev is the owner of Royal Finance Group, Inc.

Response:

Admit.

4. Solovyev, through Royal Finance Group, Inc. issued invoices for shipping to Complainants.

Response:

Deny.

Royal Finance Group ("RFG") advanced payments on behalf of the foreign Complainants to Co-Part (a U.S. auction site), and to other companies (e.g. MTL, Car Express, inland trucking companies). This was done as a convenience to Complainants so that Complainants would only need to make a single "lump sum" wire-transfer payment to RFG and, accordingly, could avoid paying the fees associated with sending multiple wire transfers. In this way, Complainants would also avoid incurring penalties for late payment to the auction site, which could occur if there are delays with the foreign wire transfers. (*See Dep. Tr. of Solovyev*, at 45:17 – 47:25). RFG, in turn, charged a commission to Complainants for its services. (*See Dep. Tr. of Solovyev*, at 46:8-14).

5. Solovyev through Royal Finance Group, Inc. forwarded payments he had collected from Complainants for MTL's shipping services to MTL.

Response:

Admit.

6. Aleksandr Solovyev is the owner of World Express and Connection, Inc., the company which MTL alleges has current custody of Complainants' property.

Response:

Admit.

7. World Express and Connection, Inc. and MTL both have the same address at 63 New Hook Road, Bayonne, NJ 07002.

Response:

Admit in part. World Express & Connection ("WEC") and MTL are two of several businesses that are located at 63-69 New Hook Road, Bayonne, NJ 07002.

8. Aleksandr Solovyev is married to Alla Solovyeva who is the owner of MTL.

Response:

Admit in part. Solovyev and Solovyeva are currently separated, but not yet legally divorced.

9. Aleksandr Solvyev used the email address mtlworld@mtlworld.com.

Response:

Admit.

10. Alla Solovyeva uses the email address alla@mtlworld.com.

Response:

Admit.

11. Aleksandr Solovyev has been identified as the managing member of Marine Transport Logistic, Inc.

Response:

Deny.

Solovyev is not a managing member of MTL. Solovyev does not own MTL and is not employed by MTL. (*See* Dep. Tr. of Solovyev, at 35:7-15). Car Express & Import, Inc., a company owned by Solovyev, is an agent of MTL. (*See* Dep. Tr. of Solovyev, at 37:24 – 38:16, 48:2 – 49:4; *See* Dep. Tr. of Alla Solovyeva, at 18:13-16; *See also* August 13, 2014 email from Solovyev to Complainants, with the signature block stating that “Car Express & Import, Inc., As an agent for Marine Transport”, at Appendix CX 103).

Complainants refer to a LinkedIn Page (Appendix CX 016) wherein Solovyev lists his title as “general manager at Marine Transport Logistics.” LinkedIn is a professional networking site, and Solovyev exaggerated his involvement and importance with MTL as part of his online networking presence. But, this does not change the actual relationship between Car Express and MTL and Solovyev and MTL.

Complainants also refer to a “Vessel Bill of Sale” (Appendix CX 018) on which Aleksandr Solovyev is listed as “General Manager of Marine Transport Logistic [sp]”. It is believed that this document was generated unilaterally by Middle East Asia for purposes of clearing Jebel Ali Customs, without Solovyev’s input and consent, and the “Signature of Seller” is not that of Solovyev’s.

[Moreover, Complainants “obtained” the LinkedIn Page (Appendix CX 016) on July 29, 2015 and had the opportunity to question Solovyev concerning his LinkedIn profile and the Vessel Bill of Sale at his November 20, 2015, but Complainants elected not to ask any clarifying questions regarding the above two documents.]

12. Aleksandr Solovyev communicated on behalf of Marine Transport Logistics with the Complainants.

Response:

Admit in part. Car Express, as agent for MTL, communicated with MTL to obtain shipping quotes for Complainants. The final shipping instructions for the 2008 Chaparral Boat and 2011 Monterey Boat were given directly by Andrey Tretyakov of Middle East Asia to MTL. (*See* Dep. Tr. of Solovyev, at 51:16-19); (*See* Dep. Tr. of Solovyeva, at 46:18 – 47:9).

13. Marine Transport Logistic, Inc. permitted Aleksandr Solovyev to act on its behalf and hold himself out as its agent.

Response:

Admit in part. Car Express, a company owned by Solovyev, is an agent of MTL.

14. Complainants paid a total of \$99,739.00 for the purchase and shipment of three boats: 2008 Chaparral 190 SSI; 2011 Monterey 2014; and 2010 Formula 34PC.

Response:

Deny in part.

The total alleged to be paid by Complainants of \$99,739.00 is broken down as follows, and does not include payment for shipment of the 2010 Formula 34 PC ("2010 Formula Boat"):

- \$30,000 toward the purchase and loading/shipping of the 2008 Chaparral Boat and the purchase and loading/shipping of the 2011 Monterey Boat. (See Royal Finance Group Invoice # 1177AT in the amount of \$15,455 and Royal Finance Group Invoice # 1168AT in the amount of \$14,855; at Appendix CX 007 and CX 011). [Although the total of the two invoices is \$30,310; Respondent Solovyev confirms that the \$30,000 payment by Complainants was payment for Invoices # 1177AT and 1168AT.]
- \$59,780 toward the purchase and inland delivery *only* of the 2010 Formula Boat. (See Royal Finance Group Invoice # 1189AT, dated August 7, 2013, at Appendix CX 009, *See Also* the August 9, 2013 email from Respondent Solovyev to Complainants, at Appendix CX 020, attaching Royal Finance Group Invoice # 1189AT).
- \$4,950 toward the purchase of a boat trailer, for use in the anticipated shipping of the 2010 Formula Boat. (See Royal Finance Group Invoice # 1204 AS, dated December 3, 2013, at Appendix CX 010.)
- \$5,000 is believed to have been paid by Complainants toward the purchase of a boat trailer, for use in the shipping and delivery of an un-related Sea Ray Boat. [But the date and proof of this payment has not been provided by Complainants to enable Respondents to confirm.]

As calculated above, the total of \$99,730 (i.e., \$30,000 + \$59,780 + \$4,950 + \$5,000), is the sum alleged to have been paid by Complainants.

However, Royal Finance Group Invoice # 1204 AS, dated December 3, 2014, with the amount of \$13,000.00 for “Loading/Shipping to Dubai” of the 2010 Formula Boat, was never paid and Complainants do not allege that they paid it. (See Appendix CX 028-029). Had such payment been made, the total paid by Complaints would be \$112,730 (i.e., \$99,730 + \$13,000). This was not paid because of the commercial end of Complainants’ business in Jebel Ali and Complainants’ decision not to ship the 2010 Formula Boat to Jebel Ali; Complainants ultimately, in August 2014, decided to move the 2010 Formula Boat to Florida.

15. In May 2013 Solovyev purchased the two smaller boats, Chaparral and Monterey for the Complainants and was ordered to ship the boats to Dubai via Marine Transport Logistic, Inc.

Response:

Deny.

Car Express purchased the 2008 Chaparral Boat and 2011 Monterey Boat on or about April 2013. Car Express, as agent for MTL, also assisted Complainants with measuring the boats and trailers and putting together the loading requirements and freight quotes from MTL. Once the quotes were agreed to, Andrey Tretyakov provided MTL with the shipping instructions for the 2008 Chaparral Boat and 2011 Monterey Boat from NJ to Jebel Ali. (See Dep. Tr. of Solovyev, at 51:3-19).

16. Those boats were shipped by MTL and arrived in Dubai.

Response:

Admit.

However, it is significant that in the Verified May 27, 2015 Formal Complaint in this proceeding [Docket No. 15-04], Safonov subscribed and swore, under oath, that as of February 2014, “MTL still has not made any shipments of the boats” and “Complainants contacted MTL, and requested that MTL reroute the shipment of *all three boats* to Florida, USA” (emphasis added). See Formal Complaint, at ¶ 20. This fact takes on particular importance in that it raises a real question as to whether Complainants contacted MTL in February 2014, as alleged, especially since no February 2014 communication has been produced by Complainants to substantiate this allegation, despite two requests to produce made by Respondents.

17. On or about August 7, 2013 Solovyev purchased the larger boat, Formula, for Complainants and Complainants ordered the boat to be shipped to Dubai via Marine Transport Logistic, Inc.

Response:

Deny.

Car Express purchased the 2010 Formula Boat on request of Complainants in August 2013, and invoiced Complainants \$59,780 toward the purchase and inland delivery *only* of the 2010 Formula Boat. (See Royal Finance Group Invoice # 1189AT, dated August 7, 2013, at Appendix CX 009).

But, Complainants did not “[order] the boat to be shipped to Dubai via Marine Transport Logistics, Inc.” Although Complainant may have originally intended to ship the 2010 Formula Boat to Dubai and an initial freight quote was provided to Complainants by Respondents, the commercial end of Complainants’ business in Jebel Ali and Complainants’ decision not to ship the 2010 Formula Boat to Jebel Ali resulted in Complainants not booking the shipment of the 2010 Formula Boat from NJ to Jebel Ali with MTL; not communicating any shipping instructions to MTL; and, not making payment for the shipping of the 2010 Formula Boat. (See Dep. Tr. of Alexander Safonov, on behalf of Complainants, at 64:25 – 65:8).

18. Complainants paid for the purchase and shipping of the boat.

Response:

Deny.

Assuming that Complainants are referring to the 2010 Formula Boat, Complainants paid \$59,780 for the purchase and inland delivery of the 2010 Formula Boat. (See Royal Finance Group Invoice # 1189AT, dated August 7, 2013, at Appendix CX 009). Complainants did not pay the \$13,000 initial freight quote for the loading and shipping of the 2010 Formula Boat. (See Appendix CX 028-029.)

19. Complainants also were invoiced and paid for a trailer to ship the Formula via roll on/ roll off.

Response:

Admit.

20. Marine Transport Logistic, Inc. did not ship the larger boat to Dubai between August 2013 and December 2013 (six months).

Response:

Deny in part.

In November 2013, Solovyev located a trailer to be used for the anticipated shipping of the 2010 Formula Boat to Dubai, but Complainants rejected the trailer in November 2013 because “[Complainant] didn’t like that trailer.” (See Dep. Tr. of Safonov, at 64:13-19). A “good or proper trailer that [Complainants] think is suitable” was located by Solovyev in December 2013, but Complainants still had not given any shipping instructions or paid for shipping, because Complainants, allegedly, “decided [Complainants didn’t] want to deal with [Tretyakov].” (See Dep. Tr. of Safonov, at 20-24; 64:25 – 65:8). The 2010 Formula Boat was, thus, “never shipped” by MTL because Complainants did not make a booking with MTL or pay for shipping; in other words, because Complainants *did not want* MTL to ship the 2010 Formula Boa to Dubai.

21. In December 2013, Solovyev on behalf of MTL contacted Safonov requesting a second payment for a trailer on which the larger boat was to be shipped roll on/roll off to Dubai.

Response:

Deny.

22. Safonov paid for a trailer for the Formula.

Response:

Admit.

23. Solovyev stopped communicating after receiving the second payment for the trailer until summer of 2014 (12 months passed since the purchase of the Formula.

Response:

Deny.

Deny that “Solovyev stopped communicating after receiving the second payment for the trailer until summer of 2014.” [In this Response, Respondents assume that “summer of 2014” refers to August 2014,

because Complainants frame their question as “12 months [having] passed since the purchase of the Formula”, which was made in August 2013.]

In particular, Safonov testified at deposition that in December 2013, Safonov and Solovyev “agreed and said we will deal with [the 2010 Formula Boat] after new year.” (See Dep. Tr. of Safonov, at 65:14-18). Safonov further alleges, although it has not been substantiated, that he sent a letter to Solovyev in February 2014, that letter has not been produced in discovery. (See Dep. Tr. of Safonov, at 65:9-13). Moreover, Safonov testified that in June 2014, he spoke with Solovyev by phone. (See Dep. Tr. of Safonov, at 68:3-10).

24. In August 2014, Safonov sent Solovyev a Demand Letter, requesting that Respondents immediately return his property.

Response:

Admit.

25. Respondents did not give Complainants notice of the storage fees until August 13, 2014, over a year after the Formula was purchased, and shipping to Dubai was paid by Complainants.

Response:

Deny.

Deny that “shipping to Dubai was paid by Complainants.” (See Response to Complainants Proposed Fact No. 18). Moreover, Tretyakov was informed of the storage by Solovyev. (See Dep. Tr. of Solovyev, at 64:16-24; 65:14-23).

26. In response to the Demand Letter, Solovyev issued an invoice for the storage of the Formula in the amount of \$39,409.39, charging for storage at the rate of \$9.60 per linear meter, equaling to \$105.31 per day.

Response:

Admit that upon receiving Complainants’ August 13, 2014 demand for the release of the 2010 Formula Boat, Royal Finance Group issued Invoice # 70C010, dated August 13, 2014 in the amount of \$39,409 for outstanding storage and unloading. (See Appendix CX 013.)

27. The storage fees in the invoice were contrary to Marine Transport Logistic, Inc.’s posted tariffs of \$20.00 per day.

Response:

Deny.

The storage of the 2008 Chaparral Boat, the 2011 Monterey Boat, and the 2010 Formula Boat was being done by World Express & Connection, Inc. The storage was not being performed by MTL, but rather by World Express. (See Appendix CX 261-266).

Additionally, MTL's posted tariff rate applies only to "boats received [by MTL] for US export shipment." (See Appendix CX 178).

The 2008 Chaparral Boat and 2011 Monterey Boat were received by MTL, as a consignee only, on a APL bill of lading on a Dubai to U.S. import shipment and were delivered to World Express for storage by Solovyev pending instructions from the shipper, Middle East, on the APL bill of lading. The 2010 Formula Boat was delivered to World Express, with the initial contemplation by Complainant that the 2010 Formula Boat would be exported to Dubai through MTL. However, after 369 days with no booking made and no shipping instructions, and with Complainants, ultimately, after 369 days deciding *not* to export the 2010 Formula Boat with MTL, the storage fees (charged by World Express) would not be subject in any event to MTL's posted tariff.

28. After receiving the invoice for storage, Safonov gave Solovyev notification that he refused to pay the exorbitant and conjured up fees and demands his property be returned.

Response:

Admit that Complainants refused to pay the outstanding storage charges.

29. While the two smaller boats were in Dubai, Complainants purchased parts and refurbished the boats to a marketable condition. (Proffered Testimony of Alexander Safonov).

Response:

Respondents neither admit nor deny this Proposed Finding of Fact. In this regard, Respondents have not been provided any documents during discovery to show that the boats were "refurbished to a marketable condition," and Complainants cite as support only to a non-specific photograph of a boat. (See Appendix CX 242).

30. On November 18, 2015, Solovyev through his company World Express & Connection, Inc. filed a lawsuit styled *World Express & Connection, Inc. v. Crocus Investments, LLC, Crocus FZE, Alexander Safonov, and Middle*

East Asia Alfa FZE, in the United States District Court, District of New Jersey under case number 2:15-cv-08126-KM-MAH claiming that Complainants owe the company \$115,259.51 in storage fees as a result of the transactions at issue.

Response:

Admit.

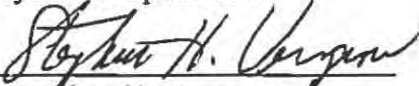
31. Marine Transport Logistic, Inc. produced copies of invoices during the discovery phase of this lawsuit that showed it paid World Express and Connection, Inc. for the storage of Complainants' boats.

Response:

Admit.

Dated: February 11, 2016

CICHANOWICZ, CALLAN, KEANE,
VENGROW & TEXTOR, LLP
Attorneys for Respondents

By: 

Stephen H. Vengrow
svengrow@cckvt.com

Eric Chang
echang@cckvt.com

61 Broadway, Suite 3000
New York, New York 10006-2802
(212) 344-7042

APPENDIX “19”

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE

(Complainants)

v.

**MARINE TRANSPORT LOGISTICS, INC. AND
ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP INC.**

(Respondents)

**RESPONDENTS' PROPOSED FINDINGS OF FACTS, and RESPONSE TO
COMPLAINANTS' PROPOSED FINDINGS OF FACT**

By: CICHANOWICZ, CALLAN, KEANE,
VENGROW & TEXTOR, LLP
Attorneys for Respondents
Marine Transport Logistics, Inc., and
Aleksandr Solovyev

Stephen H. Vengrow
svengrow@cckvt.com
Eric Chang
echang@cckvt.com
61 Broadway, Suite 3000
New York, New York 10006-2802
(212) 344-7042

Respondents' Proposed Findings of Fact.

1. Respondent Solovyev, through his company Car Express, is an agent of MTL.

(See Complainants' Proposed Finding of Fact No. 20, See Dep. Tr. of Solovyev, at 37:24 – 38:16, 48:2 – 49:4; See Dep. Tr. of Alla Solovyeva, at 18:13-16; See also August 13, 2014 email from Solovyev to Complainants, with the signature block stating that "Car Express & Import, Inc., As an agent for Marine Transport", at Appendix CX 103).

2. World Express & Connection, Inc. is a warehouse, separate and independent from Marine Transport Logistics, Inc.

(See deposition testimony from Aleksandr Solovyev ("Solovyev"), at 19:2-3, and Alla Solovyeva, Dep. Tr. of Alla Solovyeva, at 15:9-16, Appendix CX 261-264).

3. Andrey Tretyakov, an employee at Middle East Asia Alfa, was the person responsible for booking shipments with MTL on behalf of Complainants.

(See Dep. Tr. of Solovyev, at 48:20 – 49:4, 51:16-19; Dep Tr. of Alla Solovyeva, at 24:14-16, 29:3-15, 46:16 – 47:9).

4. Complainants did not book the export shipment of the 2010 Formula Boat from U.S. to Jebel Ali, with MTL.

(See Dep. Tr. of Alexander Safonov, on behalf of Complainants, at 64:25 – 65:8).

5. Complainants did not pay ocean freight for the shipment of the 2010 Formula Boat.

(See Appendix CX 031 and Respondents' Proposed Findings of Fact No. 14 for the total paid by Complainants, which is not inclusive of the \$13,000 estimated ocean freight for the 2010 Formula Boat.)

6. The May 30, 2014 shipment from Dubai to U.S. of the 2008 Chaparral Boat and 2011 Monterey Boat, was performed by APL under APL B/L No. APLU020188407.

(See Appendix RX 05).

7. MTL is not a shipper on the APL B/L No. APLU020188407.

(See Appendix RX 05).

Respondents' Response to Complainants' Proposed Findings of Fact.

1. Alexander Safonov is the owner of Crocus, FZE and Crocus Investments, LLC.

Response:

Admit.

2. Alexander Safonov also owned Middle East Asia Alfa, FZC and employed Andrey Tretyakov.

Response:

Admit.

3. Aleksandr Solovyev is the owner of Royal Finance Group, Inc.

Response:

Admit.

4. Solovyev, through Royal Finance Group, Inc. issued invoices for shipping to Complainants.

Response:

Deny.

Royal Finance Group ("RFG") advanced payments on behalf of the foreign Complainants to Co-Part (a U.S. auction site), and to other companies (e.g. MTL, Car Express, inland trucking companies). This was done as a convenience to Complainants so that Complainants would only need to make a single "lump sum" wire-transfer payment to RFG and, accordingly, could avoid paying the fees associated with sending multiple wire transfers. In this way, Complainants would also avoid incurring penalties for late payment to the auction site, which could occur if there are delays with the foreign wire transfers. (*See Dep. Tr. of Solovyev, at 45:17 – 47:25*). RFG, in turn, charged a commission to Complainants for its services. (*See Dep. Tr. of Solovyev, at 46:8-14*).

5. Solovyev through Royal Finance Group, Inc. forwarded payments he had collected from Complainants for MTL's shipping services to MTL.

Response:

Admit.

6. Aleksandr Solovyev is the owner of World Express and Connection, Inc., the company which MTL alleges has current custody of Complainants' property.

Response:

Admit.

7. World Express and Connection, Inc. and MTL both have the same address at 63 New Hook Road, Bayonne, NJ 07002.

Response:

Admit in part. World Express & Connection ("WEC") and MTL are two of several businesses that are located at 63-69 New Hook Road, Bayonne, NJ 07002.

8. Aleksandr Solovyev is married to Alla Solovyeva who is the owner of MTL.

Response:

Admit in part. Solovyev and Solovyeva are currently separated, but not yet legally divorced.

9. Aleksandr Solvyev used the email address mtlworld@mtlworld.com.

Response:

Admit.

10. Alla Solovyeva uses the email address alla@mtlworld.com.

Response:

Admit.

11. Aleksandr Solovyev has been identified as the managing member of Marine Transport Logistic, Inc.

Response:

Deny.

Solovyev is not a managing member of MTL. Solovyev does not own MTL and is not employed by MTL. (*See* Dep. Tr. of Solovyev, at 35:7-15). Car Express & Import, Inc., a company owned by Solovyev, is an agent of MTL. (*See* Dep. Tr. of Solovyev, at 37:24 – 38:16, 48:2 – 49:4; *See* Dep. Tr. of Alla Solovyeva, at 18:13-16; *See also* August 13, 2014 email from Solovyev to Complainants, with the signature block stating that “Car Express & Import, Inc., As an agent for Marine Transport”, at Appendix CX 103).

Complainants refer to a LinkedIn Page (Appendix CX 016) wherein Solovyev lists his title as “general manager at Marine Transport Logistics.” LinkedIn is a professional networking site, and Solovyev exaggerated his involvement and importance with MTL as part of his online networking presence. But, this does not change the actual relationship between Car Express and MTL and Solovyev and MTL.

Complainants also refer to a “Vessel Bill of Sale” (Appendix CX 018) on which Aleksandr Solovyev is listed as “General Manager of Marine Transport Logistic [sp]”. It is believed that this document was generated unilaterally by Middle East Asia for purposes of clearing Jebel Ali Customs, without Solovyev’s input and consent, and the “Signature of Seller” is not that of Solovyev’s.

[Moreover, Complainants “obtained” the LinkedIn Page (Appendix CX 016) on July 29, 2015 and had the opportunity to question Solovyev concerning his LinkedIn profile and the Vessel Bill of Sale at his November 20, 2015, but Complainants elected not to ask any clarifying questions regarding the above two documents.]

12. Aleksandr Solovyev communicated on behalf of Marine Transport Logistics with the Complainants.

Response:

Admit in part. Car Express, as agent for MTL, communicated with MTL to obtain shipping quotes for Complainants. The final shipping instructions for the 2008 Chaparral Boat and 2011 Monterey Boat were given directly by Andrey Tretyakov of Middle East Asia to MTL. (*See* Dep. Tr. of Solovyev, at 51:16-19); (*See* Dep. Tr. of Solovyeva, at 46:18 – 47:9).

13. Marine Transport Logistic, Inc. permitted Aleksandr Solovyev to act on its behalf and hold himself out as its agent.

Response:

Admit in part. Car Express, a company owned by Solovyev, is an agent of MTL.

14. Complainants paid a total of \$99,739.00 for the purchase and shipment of three boats: 2008 Chaparral 190 SSI; 2011 Monterey 2014; and 2010 Formula 34PC.

Response:

Deny in part.

The total alleged to be paid by Complainants of \$99,739.00 is broken down as follows, and does not include payment for shipment of the 2010 Formula 34 PC ("2010 Formula Boat"):

- \$30,000 toward the purchase and loading/shipping of the 2008 Chaparral Boat and the purchase and loading/shipping of the 2011 Monterey Boat. (See Royal Finance Group Invoice # 1177AT in the amount of \$15,455 and Royal Finance Group Invoice # 1168AT in the amount of \$14,855; at Appendix CX 007 and CX 011). [Although the total of the two invoices is \$30,310; Respondent Solovyev confirms that the \$30,000 payment by Complainants was payment for Invoices # 1177AT and 1168AT.]
- \$59,780 toward the purchase and inland delivery *only* of the 2010 Formula Boat. (See Royal Finance Group Invoice # 1189AT, dated August 7, 2013, at Appendix CX 009, *See Also* the August 9, 2013 email from Respondent Solovyev to Complainants, at Appendix CX 020, attaching Royal Finance Group Invoice # 1189AT).
- \$4,950 toward the purchase of a boat trailer, for use in the anticipated shipping of the 2010 Formula Boat. (See Royal Finance Group Invoice # 1204 AS, dated December 3, 2013, at Appendix CX 010.)
- \$5,000 is believed to have been paid by Complainants toward the purchase of a boat trailer, for use in the shipping and delivery of an un-related Sea Ray Boat. [But the date and proof of this payment has not been provided by Complainants to enable Respondents to confirm.]

As calculated above, the total of \$99,730 (i.e., \$30,000 + \$59,780 + \$4,950 + \$5,000), is the sum alleged to have been paid by Complainants.

However, Royal Finance Group Invoice # 1204 AS, dated December 3, 2014, with the amount of \$13,000.00 for "Loading/Shipping to Dubai" of the 2010 Formula Boat, was never paid and Complainants do not allege that they paid it. (See Appendix CX 028-029). Had such payment been made, the total paid by Complaints would be \$112,730 (i.e., \$99,730 + \$13,000). This was not paid because of the commercial end of Complainants' business in Jebel Ali and Complainants' decision not to ship the 2010 Formula Boat to Jebel Ali; Complainants ultimately, in August 2014, decided to move the 2010 Formula Boat to Florida.

15. In May 2013 Solovyev purchased the two smaller boats, Chaparral and Monterey for the Complainants and was ordered to ship the boats to Dubai via Marine Transport Logistic, Inc.

Response:

Deny.

Car Express purchased the 2008 Chaparral Boat and 2011 Monterey Boat on or about April 2013. Car Express, as agent for MTL, also assisted Complainants with measuring the boats and trailers and putting together the loading requirements and freight quotes from MTL. Once the quotes were agreed to, Andrey Tretyakov provided MTL with the shipping instructions for the 2008 Chaparral Boat and 2011 Monterey Boat from NJ to Jebel Ali. (See Dep. Tr. of Solovyev, at 51:3-19).

16. Those boats were shipped by MTL and arrived in Dubai.

Response:

Admit.

However, it is significant that in the Verified May 27, 2015 Formal Complaint in this proceeding [Docket No. 15-04], Safonov subscribed and swore, under oath, that as of February 2014, "MTL still has not made any shipments of the boats" and "Complainants contacted MTL, and requested that MTL reroute the shipment of *all three boats* to Florida, USA" (emphasis added). See Formal Complaint, at ¶ 20. This fact takes on particular importance in that it raises a real question as to whether Complainants contacted MTL in February 2014, as alleged, especially since no February 2014 communication has been produced by Complainants to substantiate this allegation, despite two requests to produce made by Respondents.

17. On or about August 7, 2013 Solovyev purchased the larger boat, Formula, for Complainants and Complainants ordered the boat to be shipped to Dubai via Marine Transport Logistic, Inc.

Response:

Deny.

Car Express purchased the 2010 Formula Boat on request of Complainants in August 2013, and invoiced Complainants \$59,780 toward the purchase and inland delivery *only* of the 2010 Formula Boat. (See Royal Finance Group Invoice # 1189AT, dated August 7, 2013, at Appendix CX 009).

But, Complainants did not “[order] the boat to be shipped to Dubai via Marine Transport Logistics, Inc.” Although Complainant may have originally intended to ship the 2010 Formula Boat to Dubai and an initial freight quote was provided to Complainants by Respondents, the commercial end of Complainants’ business in Jebel Ali and Complainants’ decision not to ship the 2010 Formula Boat to Jebel Ali resulted in Complainants not booking the shipment of the 2010 Formula Boat from NJ to Jebel Ali with MTL; not communicating any shipping instructions to MTL; and, not making payment for the shipping of the 2010 Formula Boat. (See Dep. Tr. of Alexander Safonov, on behalf of Complainants, at 64:25 – 65:8).

18. Complainants paid for the purchase and shipping of the boat.

Response:

Deny.

Assuming that Complainants are referring to the 2010 Formula Boat, Complainants paid \$59,780 for the purchase and inland delivery of the 2010 Formula Boat. (See Royal Finance Group Invoice # 1189AT, dated August 7, 2013, at Appendix CX 009). Complainants did not pay the \$13,000 initial freight quote for the loading and shipping of the 2010 Formula Boat. (See Appendix CX 028-029.)

19. Complainants also were invoiced and paid for a trailer to ship the Formula via roll on/ roll off.

Response:

Admit.

20. Marine Transport Logistic, Inc. did not ship the larger boat to Dubai between August 2013 and December 2013 (six months).

Response:

Deny in part.

In November 2013, Solovyev located a trailer to be used for the anticipated shipping of the 2010 Formula Boat to Dubai, but Complainants rejected the trailer in November 2013 because “[Complainant] didn’t like that trailer.” (See Dep. Tr. of Safonov, at 64:13-19). A “good or proper trailer that [Complainants] think is suitable” was located by Solovyev in December 2013, but Complainants still had not given any shipping instructions or paid for shipping, because Complainants, allegedly, “decided [Complainants didn’t] want to deal with [Tretyakov].” (See Dep. Tr. of Safonov, at 20-24; 64:25 – 65:8). The 2010 Formula Boat was, thus, “never shipped” by MTL because Complainants did not make a booking with MTL or pay for shipping; in other words, because Complainants *did not want* MTL to ship the 2010 Formula Boa to Dubai.

21. In December 2013, Solovyev on behalf of MTL contacted Safonov requesting a second payment for a trailer on which the larger boat was to be shipped roll on/roll off to Dubai.

Response:

Deny.

22. Safonov paid for a trailer for the Formula.

Response:

Admit.

23. Solovyev stopped communicating after receiving the second payment for the trailer until summer of 2014 (12 months passed since the purchase of the Formula.

Response:

Deny.

Deny that “Solovyev stopped communicating after receiving the second payment for the trailer until summer of 2014.” [In this Response, Respondents assume that “summer of 2014” refers to August 2014,

because Complainants frame their question as “12 months [having] passed since the purchase of the Formula”, which was made in August 2013.]

In particular, Safonov testified at deposition that in December 2013, Safonov and Solovyev “agreed and said we will deal with [the 2010 Formula Boat] after new year.” (See Dep. Tr. of Safonov, at 65:14-18). Safonov further alleges, although it has not been substantiated, that he sent a letter to Solovyev in February 2014, that letter has not been produced in discovery. (See Dep. Tr. of Safonov, at 65:9-13). Moreover, Safonov testified that in June 2014, he spoke with Solovyev by phone. (See Dep. Tr. of Safonov, at 68:3-10).

24. In August 2014, Safonov sent Solovyev a Demand Letter, requesting that Respondents immediately return his property.

Response:

Admit.

25. Respondents did not give Complainants notice of the storage fees until August 13, 2014, over a year after the Formula was purchased, and shipping to Dubai was paid by Complainants.

Response:

Deny.

Deny that “shipping to Dubai was paid by Complainants.” (See Response to Complainants Proposed Fact No. 18). Moreover, Tretyakov was informed of the storage by Solovyev. (See Dep. Tr. of Solovyev, at 64:16-24; 65:14-23).

26. In response to the Demand Letter, Solovyev issued an invoice for the storage of the Formula in the amount of \$39,409.39, charging for storage at the rate of \$9.60 per linear meter, equaling to \$105.31 per day.

Response:

Admit that upon receiving Complainants’ August 13, 2014 demand for the release of the 2010 Formula Boat, Royal Finance Group issued Invoice # 70C010, dated August 13, 2014 in the amount of \$39,409 for outstanding storage and unloading. (See Appendix CX 013.)

27. The storage fees in the invoice were contrary to Marine Transport Logistic, Inc.’s posted tariffs of \$20.00 per day.

Response:

Deny.

The storage of the 2008 Chaparral Boat, the 2011 Monterey Boat, and the 2010 Formula Boat was being done by World Express & Connection, Inc. The storage was not being performed by MTL, but rather by World Express. (See Appendix CX 261-266).

Additionally, MTL's posted tariff rate applies only to "boats received [by MTL] for US export shipment." (See Appendix CX 178).

The 2008 Chaparral Boat and 2011 Monterey Boat were received by MTL, as a consignee only, on a APL bill of lading on a Dubai to U.S. import shipment and were delivered to World Express for storage by Solovyev pending instructions from the shipper, Middle East, on the APL bill of lading. The 2010 Formula Boat was delivered to World Express, with the initial contemplation by Complainant that the 2010 Formula Boat would be exported to Dubai through MTL. However, after 369 days with no booking made and no shipping instructions, and with Complainants, ultimately, after 369 days deciding *not* to export the 2010 Formula Boat with MTL, the storage fees (charged by World Express) would not be subject in any event to MTL's posted tariff.

28. After receiving the invoice for storage, Safonov gave Solovyev notification that he refused to pay the exorbitant and conjured up fees and demands his property be returned.

Response:

Admit that Complainants refused to pay the outstanding storage charges.

29. While the two smaller boats were in Dubai, Complainants purchased parts and refurbished the boats to a marketable condition. (Proffered Testimony of Alexander Safonov).

Response:

Respondents neither admit nor deny this Proposed Finding of Fact. In this regard, Respondents have not been provided any documents during discovery to show that the boats were "refurbished to a marketable condition," and Complainants cite as support only to a non-specific photograph of a boat. (See Appendix CX 242).

30. On November 18, 2015, Solovyev through his company World Express & Connection, Inc. filed a lawsuit styled *World Express & Connection, Inc. v. Crocus Investments, LLC, Crocus FZE, Alexander Safonov, and Middle*

East Asia Alfa FZE, in the United States District Court, District of New Jersey under case number 2:15-cv-08126-KM-MAH claiming that Complainants owe the company \$115,259.51 in storage fees as a result of the transactions at issue.

Response:

Admit.

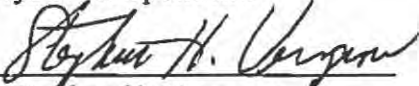
31. Marine Transport Logistic, Inc. produced copies of invoices during the discovery phase of this lawsuit that showed it paid World Express and Connection, Inc. for the storage of Complainants' boats.

Response:

Admit.

Dated: February 11, 2016

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